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Call: Aug 2022

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August 09, 2022

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, National Stock Exchange of India Limited

Exchange Plaza,

Bandra Kurla Complex,

Mumbai -400 001 Bandra (East),

Mumbai- 400 051

Company Code No.: 539807 Company Symbol: INFIBeam

Dear Sir / Madam,

Sub: Transcript of Earnings Conference Call for the quarter ended June 30, 2022

In compliance with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor/ Analyst conference call on financial performance of the Company for the quarter ended June 30, 2022 conducted on Friday, August 05, 2022 after the meeting of Board of Directors, for your information and records.

This transcript is also available on the website of the Company i.e. www.ia.ooo.

Kindly take the same on your records.

Thanking you,

Yours faithfully,

For Infibeam Avenues Limited

Shyamal Trivedi

Sr. Vice President & Company Sec

Encl.: As above

INFIBeam AVENUES LIMITED

(Formerly known as Infibeam Incorporation Limited)

Regd. Office: 28th Floor, GIFT Two Building, Block No. 56, Road-SC, Zone-5, GIFT CITY, Gandhinagar,

Taluka & District- Gandhinagar -382 355, CIN: L64203GJ2010PLC061366

Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@i.ia.ooo | Website: www.ia.ooo

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"Infibeam Avenues Limited Q1 FY -23 Earnings
Conference Call"

August 05, 2022

MANAGEMENT : MR. VISHAL MEHTA – MANAGING DIRECTOR .

MR. VISHWAS PATEL – EXECUTIVE DIRECTOR .

MR. SUNIL BHAGAT – CHIEF FINANCIAL OFFICER .

MR. PURVESH PAREKH – VP & HEAD (INVESTOR
RELATIONS).

MR B. RAVI – STRATEGIC ADVISOR .

MODERATOR : MR. RAJAT GUPTA – GO INDIA ADVISORS LLP

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Moderator: Good morning ladies and gentlemen. Welcome to Infibeam Avenues Limited Q1 FY23 Earnings

Conference Call, hosted by Goa India Advisors. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rajat Gupta from Goa India Advisors. Thank you and over to you sir.

Rajat Gupta: Thank you Lizann. Good morning everyone and welcome to Infibeam Avenues Limited Earning Call to discuss the Q1 FY 23 Results. We have on the call with us today. Mr. Vishal Mehta – Managing Director, Mr. Vishwas Patel – Executive Director, Mr. Sunil Bhagat – Chief Financial Officer, Mr. Purvesh Parekh – Head (Investor Relations), and Mr. Ravishanker – Corporate and Financial Advisors.

We must remind you that the discussion on today's call may include certain forward looking statement and must be therefore viewed in conjunction with the risk that the company faces. We now request Mr. Vishal Mehta to take us through the company's business outlook and financial highlights subsequent to which we will open the floor for Q&A. Thank you and over to you, sir.

Vishal Mehta: Thanks, Rajat. Good morning everyone. Thank you for taking time to attend our earnings call today. I hope you would have seen our presentation which has been uploaded on the exchanges as well as the company's website.

We started with a great start in a strong performance in the first quarter of FY 23 across all of our parameters, that we monitor. Our confidence and strength and scalability of our business model and our strategy to focus on merchants and bank for digital payments and providing them with differentiated business offering has been very rewarding. Over the years, we've always innovated well ahead of the curve, and introduced products which have been pioneers in the Fintech space. Our most recent launch, which is called tap on pay, CCAvenue TapPay, which was launched just last month is a revolutionary product, and it will be a game changer in the payment space. I will request

Vishwas Patel to talk about it in detail.

I will briefly discuss the performance for the quarter:

We delivered strong performance in the standalone business, which is the core India payment business and the platform business. All of our financial parameters revenue, EBITDA and PAT were at a record high. On a year-over-year basis gross revenue has been up 95%, EBITDA was up 51% and PAT is up 137%. The performance has been driven by higher transaction processing volumes which we call TPV and increase in take rates in payments business. EBITDA as a percentage of net revenue has risen to 64% from 60% year-over-year which we had guided in FY21.

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The total transaction processing volume which comprises of digital payments transaction processing, as well as what we process on government the marketplace has record high at 87,218 crores for the quarter. I would like to inform you that the TPV number that we report excludes

the UPI payments, which contributes to single digit percentage to the payments transaction processing volume.

Another interesting point to note is that this is the fifth consecutive quarter of growth in gross and net decrease in India payments business just through payment processing alone. We have not yet undertaken any major monetization efforts. Gross take rates in India payments business were 78 basis points and net take rate came in at 6.9 basis points, which has been steadily improving since the second quarter of 2022 when it was 4.8 basis points. Both the payment

and

industry mix contributed to this increase in take rate. We have in the last quarter of Q4 FY 22 disclosed that the share of credit options which is increased to 45% and that continues. We continue to maintain zero MDR payment options in single digit percentage of the overall transaction processing volume, while other options constitute the rest, which includes net banking, debit cards, prepaid instruments, NEFT, RTGS, et cetera.

As far as government e-market place is concerned, GeM has already crossed 50,000 crores on the 1st of August double the speed rate compared to last year FY22. As far as the industry is concerned, I'd like to highlight that outlook is quite positive. We believe payments transaction processing volume will continue to grow if there is a significant headroom and large untapped merchant and customer base, there are some legacy systems with banks and efforts by the government and the regulators to build on the sector in India to create financial inclusion. RBI through its most recent published payment vision 2025 report is aiming to triple the digital payments in India. Digital payments comprising of cards and prepaid instruments grew 35% to Rs.20 trillion and including UPI P2M, it grew to Rs. 36 trillion up 70% year-on-year.

Given the first quarter statistics by RBI and extrapolating it for the full year, it is expected to cross Rs.50 trillion rupees FY 23. Points of sale in e-commerce are expected to be equal contributors. Credit card trends are particularly encouraging, credit cards have increased to 7.9

crores in June of 2022 from 5.8 crores in March of 2020, which is the pre COVID level. Credit card value itself has shown a very strong averaging over Rs. 1 trillion in each of the month in first quarter. It averaged around 60,000 crores monthly in FY 20 the pre COVID period a growth of 67% in two years. We have been pioneers in our product offerings for online merchants over the last two decades and doing many of the industry firsts in the Fintech space. We want to offer differentiated product offering in our other segments also, we want to grow our market share in payments, by targeting offline merchants and generating higher cash flows and returns for our shareholders.

Vishwas Patel will throw a few pointers and provide some insights on this. We are focused on building a frictionless financial technology company in the digital payments space, which should provide a seamless and holistic digital payment solutions to merchants, along with access to Infibeam Avenues Limited
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capital at a click of a button. Through our comprehensive offerings comprising of software platforms, payments and finance. We want to make the merchants digital, credible, and hence bankable and offer them financial services in the form of lending based on in depth data analytics that we generate based on millions of merchants and transactions.

I will now hand over the call to Vishwas for his comments. Vishwas over to you.

Vishwas Patel: Thank you, Vishal. Good morning, everybody.

So, I will start with our new launch in the CCAvenue mobile app, which is the world's most advanced omni channel payments platform with TapPay, which is India's first pin on glass solution. TapPay for those who didn't attend our event. We have put a video on YouTube of our entire event of the launch including our corporate AV. CCAvenue TapPay is a breakthrough payment technology with pin on glass technology that will allow consumers to do transaction with an OTP even on amounts which are in excess of Rs. 5000 limit set by RBI not just on the merchants phone but on their own phone as well. To this we are also introducing soon TapPay, CCAvenue TapPay as a payment option inside some of India's major merchants checkout page app.

Consumers can select it as a payment option and tap their card on the phone for an instant checkout without

having to enter the card details or remembering CVV. Payment insurance in our country is sorted but RBI's payment vision can be achieved only by improving payment acceptance infrastructure and providing holistic solutions to merchants. And what we are aiming to do is just that, we are building a frictionless Fintech company, a comprehensive payment technology that will offer not only payment acquiring but payment issuance and all the related infrastructure. This will make us a core part of the entire payment ecosystem, allowing us to build a long term sustainable, profitable business and create value for all in the system. We are going to build this infrastructure in a twofold manner. One, we have an and are continuously engaging with a top banks to build top notch infrastructure for them that is not only scalable and robust, and two by offering CCAvenue mobile app with TapPay feature for merchants as an app for free to proliferate payments to deep across the India.

Despite tremendous success of UPI, MPCJ has mentioned that its reach is about 250 million customers. The target is to reach around a billion people in India, and they say acceptance and credit structure has to be improved for deeper reach. This is where the CCAvenue omni channel app aims to address the challenge of inadequate payment acceptance of infrastructure and eliminate barriers to seamless digital adoption. For small businesses or large to the ease of deployment and its probability to make it the best choice from many use cases. A part from it being zero and low cost. The future of digital payment is growth oriented, and a massive underbanked population waiting to be covered. The value of digital payments is expected to reach three fold from 3 trillion today, to US 10 trillion by 2026. There is a huge opportunity for us to scale and capture that opportunity. There is also a huge opportunity for credit as a country's Infibeam Avenues Limited

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credit staff with household debt that only 11% of the GDP when you compare with a mature market USA which is at 84%. 40% of the MSME credit in our country is still via informal channels. And that is where our lending platform trust Avenue comes in, which will allow the banks to lend and our merchants to get the loans through our next generation merchant data analytics.

Today, cash still accounts for 72% of the total consumer spending, there is more than 29 lakh crores of cash in the market. Our aim is to make our country a less cash society. We see the analysts and expects two out of every three payment transactions will be digitized by 2026. And the digital payment markets for person to merchant payments would be 2.5 trillion, from the 0.4

trillion in 2021. And B2B would become 2 trillion in 2026 from the 1 trillion in 2021. This all is very encouraging and we will strive and continue to grow as fast and as with next Gen technology to capture this.

Vishal with this would you like to add anything before we open up for Q &A.

Vishal Mehta: We've been growing at about 8000 merchants per day. And with a rich blend of offerings which will allow us to boost our earnings across millions of merchants all over Fintech solutions are also fueling our expansion to our goal of achieving a transaction processing value run rate of 7.5 lakh crore by end of FY 24. We are on the trajectory and confident of delivering this kind of performance going forward. Thank you moderator we can now open the floor for Q &A.

Moderator: Thank you. Ladies and gentlemen we will now begin with the question-and-answer session. The first question is from the line of Anuj Narula from JMFL. Please go ahead.

Anuj Narula: So, my first question is in terms of the recent expansion to Australia, how much would be the investments and what are our growth aspects here and what sort of competition do we face in other international markets

of UAE. Shall I ask the second question now.

Vishal Mehta: Sure.

Anuj Narula: So, my second question is with respect to TapPay, how much market share do we expect to capture with the launch of TapPay, and we plan to eliminate the POS machines and how much CAPEX would it incur any update on the e-commerce tie ups would also be helpful on this. Thank you.

Vishal Mehta: Sure, thanks a lot. So, I will take the first question and also give you some background of the second one as well. As far as Australia is concerned, you're right we have just announced an opening of our offices, and a fully owned subsidiary in Australia, we think it's a very large market. And, as far as the investment amounts are concerned, historically we've been forward investing in the international markets. And we see the ROI coming up in less than one or two years. Fortunately, we have got payment solutions, which are globally scalable. You see in payments, all the card networks as well as all the technology infrastructure that we have built Infibeam Avenues Limited

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out. They've all been built out on a global scale we currently operate anyways, in UAE we are number two players in UAE. And we've also opened up Saudi Arabia and US. So, we believe that since technology is scalable globally, we have built out a model which is called country in a box. And that model allows us to create a team who can actually work on a country to be able to build out volumes and generate traction there. With the thing that we are very excited about as far as Australia is concerned is that it's a very digital savvy society. And with our new solution, which is the point that you brought out in your second question, which is TapPay, these applications can be provided to even small merchants as well as larger merchants in that region. So, as far as the investments are concerned, we believe that it will be sub 1 million in the first year dollars, it will be about seven to eight crores of investments that we will make in that geography this year. And we expect that we should be able to launch and generate good amount of traction, given that a lot of technology that we've been built out is built out for global scale and not just for India alone. I hope that answers the first question that you have.

As far as the second question around what is the opportunity for TapPay in India, TapPay is for the first time across India, this is the only application which has got pin and glass certification. So, what that means is that any transaction which is even above Rs. 5000 can be transacted using TapPay, which is the only application which has this kind of approval across all the card networks. So, we expect that, we will be approaching, it's already live across many of the implementations, a few 1000 implementations have gone live already. And we expect that a large number of channels, OEM brands in the mobile phone space we believe banks as well as other financial institutions who want to cater to small merchants, we will be working very closely with these channels to be able to create a digital footprint for them, because for all these merchants, if they are digital, then they become credible, and hence they can get loans for their growth, we

can give them wings to fly. And we believe that just because merchant cannot afford a Rs. 10,000 to Rs.15,000 point of sale machine does not mean that we steal away the credibility from them.

And so, acceptance like which Vishwas mentioned in his speech, acceptance is a very large problem in India, if you allow any merchants to accept any kind of payments, and that too without a piece of hardware, every merchant has a mobile phone or a smartphone, but every merchant may not have a point of sale machine. And if we are able to create that kind of an

opportunity for merchants, we believe that it fulfills a large part of our mission that we built out

this company for. So, as far as the opportunity is concerned we expect that we will be able to today 99% of all transaction that we process, are online transaction only, but in the coming two to three years, we expect that at least 25 % to 30% of the transactions that we process will also

include offline, which is through CCAvenue TapPay .

Moderator: Thank you. The next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: I just want to understand a couple of things. Firstly, on this net take rate that we have got in this quarter. It's slightly up now, so I just wanted to understand two reasons behind it one from a competitive landscape perspective that how this is going on a directional path, and how much of this is coming from the mix change advantage that we may have in some of the business?

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Vishal Mehta: Sure, so the take rates have improved, if you recollect in our prior calls we mentioned that as the industry mix changes, a lot of if you look at last year, and since Q2 of FY22, you will see the take rates improved quite a bit. So, since it was if you look at pre COVID versus now, most of the industries including travel, entertainment, everyone else, they've started coming up to speed.

And if you recollect, I just mentioned in the prior question that all our transactions, 99% of our transaction processed are online. So, as offline picked up, online also picked up and since industry mix changes, that we've seen a much better take rate than what we had a year ago, we'd also forward communicated that saying that we expect the take rates to improve quarter-over-quarter as we go forward. The competitiveness in the industry is definitely there. I also mentioned that in our TPV, the transaction processing volume, we don't include the UPI based payments, which is actually single digit percentage of the overall payments, because that is not where we get over our commission. So, if you look at the overall perspective, we expect that the take rates will keep on getting better. As we go through and build up, the competitive intensity in the industry is definitely there. It's more so in the UPI part of the ecosystem. We expect that as we build out more and more feature sets, ones that allow the merchants to improve their own phrase and other opportunities, and make it part of our offering to merchants, it creates more stickiness, it creates better analytics, and it also allows merchants to become more successful.

And we believe that as we keep on building that up, it makes it more and more tenable. See, we have also built out for the first time an omni channel solution, one that offers online and offline both. And for the entire 5 million large merchant base that we have, we would be wanting to offer this kind of an experience with a single console. At the back end, this is the only omni channel solution across the country where you can process your online transactions, offline transactions and get reported into a single dashboard at the backend. So, large chains, large institutions, large OEMs, we would want to tap into them. And given this kind of solutioning it makes it very easy for anyone to even buy online, written offline and do whatever they want to be able to achieve a better experience. So, we believe that in the next few quarters, we should see the take rates getting better in spite of competitive intensity.

Rahul Jain: Just a small follow up on the same so, also if you could share some thoughts in terms of volume lead your ability to pull up better for you is that happening and in what kind of partners where you are able to see larger quantum lead ability to push for better pricing?

Vishal Mehta: If you look at the competitive intensity, it is significant in this country. So, in other words, you have a lot of companies offering similar competitive rates,

what we want to do is really go after

the feature set and the stickiness that we would want to create with our Merchant base in terms of volume, which is impacting pricing, what we realize is that we would want to pass the savings to our customers and our merchants to become more competitive in the industry. So, volume does give us some edge, we've already got significant amount of volumes passing through us, if we look at our projection by FY 24, we expected to do a transaction processing volume of \$100 billion. So, as far as the volumes are concerned, definitely we are there and any volume related savings that we expect to achieve we will pass on to the merchants.

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Moderator: Thank you. The next question is from the line of Gaurav Sharma from HSBC Securities and Capital Markets India Private Limited. Please go ahead.

Gaurav Sharma: Sir, a couple of questions from my end, since you will be entering into the working capital and invoice discounting so just wanted to know the timeline when it is initiating soon, and what will be the average ticket size on the same. And second is sir, like since some of the players, I hope that you will be providing the capital as well as the platform for the services. But on the other side, some platform based competitors, which are leveraging on the large bank customer database, they're tying up with the banks and providing, they're getting the benefit of huge customer base. So, how do you see that challenge of competition from them?

Vishal Mehta: Sorry, can you repeat the question you were slightly not audible I am sorry.

Gaurav Sharma: Okay, so my first question was, since you are entering into working capital and invoice discounting, so just wanted to know the timeline for the same, when you will be initiating the

same and what will be the average ticket size we will focus that was one . And second is sir , some of the players, which are just throwing the platform for this services, they're leveraging on the customer database, of large banks having some tie ups and providing the loan. So, how you see the competition from them, since you will be using your own finance to provide the funds?

Vishal Mehta: For the onset, I'll tell you that we don't expect to put our own finance to and our own balance sheet, to be able to fund whether it is invoice discounting, bill discounting or any loans, what we will do is , we will act as a platform in every case, where we will be able to connect the merchant with the necessary financial institution, whether it's a bank or an NBFC. And we will be able to earn, a small piece of that transaction. But classic example is what you would see as a DSA, where you would earn a small fraction on every transaction is what we would want to cater to. So, as far as the strategy for us is concerned, our strategy is that we will work with very large platform implementations to be able to give that kind of an opportunity where merchants can avail loans from financial institutions . The two largest frameworks that we are essentially catering to in India, one of them, of course, being government the marketplace. We also have more than, a few million merchants of our own, that can potentially leverage the opportunity to get attractive loans and offerings. So, we are going to continue building up that portfolio. As you can tell, we already have cross more than \$500 million, in terms of our settlement loans that we give to our merchants. That's one more part of financing that we offer, which has already been very successful, and we have zero NPAs so far in that, literally. So , that we have a scientific approach to approaching this, we expect that for all the settlements that we do, we expect that maybe we will be able to cross more than a billion dollars of financing there. And then we will work with some of the implementations that we

have, they already in terms of platform

implementations, they already have a few billion dollars of GNV or TPV that they process. So, to your second point, which is, some frameworks can leverage our setups to be able to do this, that is anyways work in progress through our Trust Avenue framework. And we expect that in Infibeam Avenues Limited
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any of these implementations, we will be able to help them process more than a billion dollars of loans in this coming year.

Moderator: Thank you. The next question is from the line of Amresh Kumar from Geosphere Capital . Please go ahead.

Amresh Kumar: Just one question from my side, you said that you will be not using your own capital to build this lending business. So, can I assume that you're not going for any kind of NBFC license in the future?

Vishal Mehta: It's reasonable to assume that in the near future, we would not be going for such licenses.

Amresh Kumar: Okay. And the second question is on this on tap technology . So, just trying to understand what is the pain point that you're trying to solve here for your customers . And are you trying to take away, do you think that it is the cost of the POS machines for your merchants which is the big problem for them or something else?

Vishal Mehta: I'll tell you, basically the objective is that merchants they have faced both in the online world as well as an offline channel of their own. And the one pain point that merchants face is that not all merchants have access to a point of sale machine, because you see, QR code based payments are different than card based payments. And, while some merchants may have QR codes, but not

everyone has a POS reader, there are more than 700 million RuPay cards, which are out there.

And if you look at the number of consumers in the UPI framework, there may be 150, 200 million. So , there is an opportunity for merchants to be able to accept payments in any shape and form. And if you're able to create an opportunity for merchants to accept payments across any channel, whether it is QR code based, Link based, whether it means card based , credit card, net banking , whatever you talk about, then it allows them to be able to cater to more consumers.

Now, what we're trying to solve is acceptance for the merchants, which is merchants can and consumers can be issued a card , issuance is not as much of a problem. If there are 700 million RuPay cards, there may be more than a billion more cards. So , I don't think that issuance is as much of an issue, we expect that acceptance is going to be a bigger issue in India, which is what we are catering to and which we'd like to solve.

Now, the second part in this is , that if you are able to digitize most of the transactions for the merchants, and you provide an interface for them to be able to conduct their business online as well as offline, because right now there is no omni channel solution this is the second problem that we want to solve, which is that a merchant will have a different provider for online and a different provider for offline point of sale machine. And for a point of sale machine, they will of course have a cost of point of sale , then they would want to go and make sure that there's paper rolls, there is main tenance, there is internet connectivity for the POS machines, there are so many other issues that continue plaguing this industry. And what we would like to do is , to be able to offer an opportunity whereby whether it is pre bundled onto their phone, or it comes across as

an application that can potentially just get downloaded and be able to use it, you can imagine
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that there will be millions of Kiranas that can potentially benefit out of such an implementation. Even a QR code can be accepted onto the app and it is their own, they don't have to be limited by one POS machine

machine there is no queuing. So, we expect that there'll be many, many more opportunities that potentially and use cases that can be solved using this. But from a macro level, what we would like to solve is two things acceptance on a very, very large merchant base that don't have access to point of sale machines, acceptance for all the merchants who have a point of sale machine but don't want to go through the maintenance and the hassles of being able to conduct your business. And an omni channel solution whereby there is better credit rating for the merchant that can potentially be offered a much larger opportunity to be able to take loans to grow their business. Because once you have both online as well as offline digital payment solutioning for merchants, it gives you a much better analytical position to be able to offer larger opportunities and loans to such merchants, which is what we'd like to solve.

Amresh Kumar: So, very helpful here this explanation. So, do we have a tie up with a bank at the back end for rolling out this, this world's best as you say it payment mechanism or what are we trying to do here?

Vishwas Patel: Yes, we do have. Every acquiring piece needs a bank, who has the tie up with a network. This we have launched in partnership with RBL Bank, we have our own acquiring been through which the bank has sponsored the card networks. So, we've launched it with RBL Bank. The whole idea here is that look, today the point of sale terminals, less than 5.7 million terminals for around 1.50 million SMEs in our country. So, point of sale terminals is not is very expensive 10 to Rs.12,000 as Vishal pointed out, giving them paper slips, training the merchants and imagine in a three or four city or a town in Arunachal Pradesh or Assam or Tamil Nadu or Orissa. So, it's very difficult to service, very difficult to hear. Here what we have given a solution is that, merchants most of the Kiranas have a phone, we are turning that phone into a POS terminal. And it's very simple and if we are giving them an all-encompassing +200 payment option, so it's not just the tapping a credit card or debit card, but it has also a static QR code, just like what you see printed on a Kirana today, where the any potential customer can just scan that QR and do the transaction, as well as it has an inbuilt sound box also. So, after the transaction, Kirana can hear that it's transaction is successful in multiple languages, which he is compatible with whichever local so what we are trying to solve here is that, not only grow the acceptance based from the current 5.4 million POS terminal to this 150, which is a huge opportunity, you want every street card vendor, you want every the use cases are enormous, though it has a user management so if a restaurant has around 10 or 12 delivery boys, all the 10 or 12 delivery boys on their phone can download the app and it is multiple users and the parent app can show all the transactions where the money is collected and notifications appropriately. So, use cases are huge. To see acceptance today, there are like I was sitting with a team there are more than a million schools in four states only which are not accepting fees online. So, payments acceptance is such like what is commerce, any product services sold and payment made. So, this kind of an app can help that enable. A student paying a tuition teacher that has to digitize the tuition teacher paying to a Kirana store for buying his biscuits or whatever that has to be digital, not go to an ATM,
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withdraw cash and then pay the money through this thing to the Kirana. Kirana paying to it's distributor has to be done, distributor paying through the manufacturer has to be digital, manufacture paying his taxes to the government should be digital. So, all those, every leg of a commerce like is there. And if you make such an easy ac

ceptance where your own mobile phone becomes a point-of-sale acceptance terminal that is a breakthrough transformative technology. If it is much cheaper and better, and more options than a physical POS. And it's more and more advance than a simple QR code pasted on a Kirana. So, it's a very transformative technology and we have quite a long way to go. We are India's first certified with pin on glass on this thing and you will see in the coming quarters, the take rate and other things, the acceptance of this solution.

Amresh Kumar: So, my last follow up on this is, very interesting this app is but one of the large competitors who has spent so much money in rolling out so many physical POS all across India. He would also be looking very closely at your application. And do you think that how much time it will take for them to copy this innovation?

Vishwas Patel: Sure thing yes, anything up build a couple of months down the line. They will also follow, copy

and surely that's the case what we have always been leading for the last 20, 22 years like we invoice that SMS, invoice 20 years back. But till then you also have to understand that we have the whole ecosystem ready. We have like 6.4 million merchants where we'll be rolling it out like if you say in hospitality, we have Taj, Oberoi, ITC, Lemon Tree and another 2000 hotels. So, these hotels these merchants are already on boarded on us, KYC done. So, these are the first low hanging fruits that who will be going and offering where we are offering all our solutions now and doing deep integrations with their existing systems since we know this merchants and their track record with us. So, having an ecosystem similarly Yes, when they come, they might go to their merchants but since we are first, there is a first mover advantage. So, let's see how it pans out.

Vishal Mehta: I will also add to that, that we are somewhat built as a payment infrastructure company, not a payment provider alone. So, what we do as a payment infrastructure company is given to merchants that we have. And we also give the framework to banks, some of the banks including Kotak Bank all pay as well as us HDFC Solutioning, comes to us. So, as we are built out more, as in U S there is a company called Stripe, which is more of a payment infrastructure, not just a payment solution provider. So, we are really going to give our offering and our framework to many of the merchants that are already on our platform, the millions of merchants that Vishwas talked about, but also to the ecosystem that we cater to.

Moderator: Thank you. The next question is from the line of Unnati Bhavkar from KRChoksey. Please go ahead.

Unnati Bhavkar: So, even these NDTRs is whatever started later on. So, I have a couple of questions on the financial side, and then also want to get some understanding around what is the share of all these new businesses to the total revenue. So, we've been talking about the TP V is going very strong, Infibeam Avenues Limited
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and they have been very strong, approximately 100%, kind of year-on-year growth is visible in the last four quarters. But then do you believe that in the first quarter of 23, this last quarter, the quarter-on-quarter growth has kind of slowed down and what could be the reason for it. And secondly, on the NTR side, the NTRs have been moving up for the past three, four quarters. And that's really great but, why is it not resonating in the gross margins because gross margins are still volatile if they are not in line with the NTRs improving. So, that is the second question and third, is express settlement that you've been talking about is that really doubling up, tripling up, wherein you don't have any kind of credit risk. So, what kind of margins do you make on it and what kind of a share do you have of it in a total revenue as of now, if it is a sizable revenue as

of now you can share it and secondly, also, what is the share of the overseas revenues overall to the total revenue and do you make better margins over there compared to the domestic revenue?

Vishal Mehta: Sure. So, I will take a few questions and then Vishwas can add in. As far as the overall quarter-over-quarter growth is concerned. We have been somewhat slightly marginally better in terms of the digital payments space and as far as the government e-marketplace is also something that we cater to. So, that should also answer some of the margin questions as well that you have as much. So, usually, Q4 is a very large quarter for gem and others, and you will see that Q1 also there is significant traction, but not as much as Q4, Q4 may there's usually a 40%, 50% increase over the other quarters, but this time around, it continued on in the first quarter as well. And as a result, you will see that there is a marginal improvement both in terms of overall, Q1 last year versus Q1 this year, because in the first quarter alone gem was able to perform 50,000 crores worth of by August, August they did 50,000 but the Q1 was also very strong. So, we expect that this trend will continue on in the subsequent quarters as well, both in digital payments as well as the infrastructure that we provide from the platform perspective. So, that is one reason why you would see that quarter-on-quarter, you would see a little bit of growth and some dip in certain parameters. But, that's been very strong compared to the first quarter of last year, and normally if you look at it, Q3 is the strongest quarter for digital payments because of the holiday season. So, Q1 and Q2, you will see growth and Q3 there is a phenomenal growth, Q4 so, we have some other seasonality, but it's somewhat because of the underlying growth in both the platform that the payments business that you don't see the impact this year, and we expect that it will continue on for the remainder of the year. So, again, it's reasonable to expect that Q3 will see a significant improvement as well in the digital payments business compared to the first two quarters of 23.

As far as the stake rate is concerned, I've explained in earlier question as well, we think that the take rate is actually going to keep on seeing improvement in the digital payments business. Because of the fact that the mix has changed, pandemic is behind us. Short of any uncertain event that happens around pandemic, we expect that they should continue on building up for the remainder quarters this year. International as a part of our business is less than 10% of our overall revenues, but internationalist significantly growing. The take rates in international definitely are

better compared to the take rates in India. Many a times in the international geographies we record only the net take rate and not the gross take rates. Because of certain specific rules that

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apply to specific countries whereby we are able to position it as a net take rate and crores. But, we expect that international in the next two to three years should be at least 30% of our overall business. So, as we increase our GMV, it's reasonable to assume that international will be at least 30% of the overall business that we cater to, with take rates as well as opportunity because the vision that we have for digital payments is contactless and borderless. And if we take that vision, and we work towards achieving that vision of ours, then we would want to make sure that anyone who is in any country given the regulatory approvals, as well as all the compliances should be able to transact through the banking channels without actually any friction. So, international is a significant opportunity for us. Fortunately, our entire payment infrastructure framework is built out in such a way that it is globalized. We don't have to build out

or the

region. Everything is horizontally scalable, as well as globalized. And all of our relationships with card networks and everything else are also global in nature. So, we think that with this kind of a vision of borderless and contactless we should continue building up. So, hopefully that answers the question that you have asked, if I've missed something you can let me know.

Unnati Bhavkar: Yes, about the excess settlement as in where it has reached in terms of its contribution to the overall revenue. And also, what kinds of gross margins do you make on express settlement?

Vishal Mehta: I will tell you, we don't segment gross settlement out the expense settlement, is a separate line item, we have opened it up to a select set of merchants, actually to be very precise it is less than 5% of our Merchant base, that we have opened the express settlement to, and in the last several quarters, we wanted to track and trace it and we are happy to let you know that we've got zero NPA so far, in terms of express settlements, while we have processed a few \$ 100 million of settlement. Now in terms of express settlement. So, the opportunity to expand it is significant because 95% of our merchant base can still be provided with this kind of an opportunity. In terms of contribution, I can tell you, while I don't have segmental for you but what I can tell you is, that it's reasonable to assume that we make about anywhere from one to three bps a day.

Unnati Bhavkar: And as I spoken about the, so what I meant to ask again is that, while the NTR are improving, when do we see the impact of it reflecting in on a regular basis or on a consistent basis, because right now although the NTR has improved to 6.9 basis points, the GPM have kind of come down to 17.6% kind of levels from 0.6% in Q4. So, can you just give us an understanding around how do you see this trajectory or GPM will be like going forward?

Vishal Mehta: So, in terms of, if I repeat your question in terms of gross margins, is that your question, where do you see the gross margins

Unnati Bhavkar: Yes.

Vishal Mehta: It's reasonable to expect that we will continue to invest in places, which have a potential for us, we are optimizing for the long term. And you'll appreciate we don't optimize for a quarter. But we expect that, about four, five quarters ago we mentioned that we should see an improvement in take rate, we have a strong assumption and we validate our assumptions. And we want to

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make sure that we can continue delivering on that with the line of sight. So, in terms of stabilization and improvement, it's reasonable to expect that, while we will invest in certain areas, which includes the CCAvenue TapPay and others, which have a huge potential for us to be able to offer a very differentiated positioning, those margins will be similar or slightly higher going forward. We think it's a shot of uncertain event like a pandemic.

Purvash Parekh: Let me just one point, I'd like to add here Purvash here. Gross margins for our India payments business has actually improved on a quarter-on-quarter basis. With the 19% increase that you've seen in the net take rate, the gross margins have also improved in the payments business. And overall, the 90% of our core business, which is our India payments and platforms, which we're recording standalone. There also, if you see the gross margins have improved and the EBITDA margin itself has gone up to 64%. So, there's a significant improvement here with respect to the operating profitability as well and at the next margin level.

Moderator: Thank you. The next question is from the line of Ayushi Shah an Individual Analyst. Please go ahead.

Ayushi Shah: I have two questions. And my first question is regarding the capital raising plan as a company. So, my understanding is that we have

around 208 crores as cash balance currently, and we incurred around 62 crores of amortization expenses as of March 22, which is actually a non-cash expense. Now in the press release issued yesterday, it will be stated that because Infibeam's major CAPEX cycle is behind them, the company is now focusing on our focused growth strategy for the next three, five years. So, to understand why we would need to raise funds at all if we are in your words, consistently converting EBITDA into free cash, and are almost a debt free company. So, if you could throw some light on that?

Vishal Mehta: Sure Ayushi. So, in the past, we have mentioned that, we have a significant opportunity to work on the express settlement piece, which may require certain amount of working capital. Express settlement is zero NPA and in that what we are doing is to be able to offer merchants and opportunity to get the cash faster, when they process through us. When we open up the offline space, as well as online space, that becomes one place that we think could be a potential. Second is that as far as our platform business, we think startups is a huge opportunity in India. And selectively we will evaluate making investments in such startups that allow us to strategically, open up and expand our own horizons. There are a lot of things which are slightly experimental in nature, but our internal buyers just so that is always to build and not to buy. But when we find something which is very interesting, which allows us to expand our opportunity, then we will collectively make investments. These are a bold, calculated bet, one that potentially allow us to grow. Historically, also we believe that we have made such opportunities viable. If you look at Go Payments, which is one of our subsidiaries. If you look at Uvik, which we did last year, which has actually resulted into the CC Avenue TapPay, the transaction size was about 75 odd crores and we were able to offer a very differentiated play. So, our perspective is that, yes we are very happy that we are in this position where we have a business model that generates returns

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and is profitable. But we also want to make sure that we continuously innovate and we want to get the right people with the right framework and built in technology, which can strategically improve the offering that we have, which is the reason why we would evaluate opportunities from time to time.

Ayushi Shah: Sir just to get some more clarity on that, so basically the capital raising funds will be for hiring new employees, as well as for new investment opportunities?

Vishal Mehta: Yes, it's reasonable to assume that, so it will be for investments and growth.

Ayushi Shah: Alright. Okay sir and sir my second question was that being an investor in the company that I'm highly interested in its growth, and that we are progressing by leaps and bounds in almost every segment, we entered be it gems or payments, but the growth hasn't really reflected in the market cap. Now, the shareholders are therefore not benefiting from the company's advancements. Sir, so what is the reason behind this lag in market cap growth, I'm not saying that like the promoters buy shares of the company or anything, but why don't we get any big reputed investors on board or is that a like a strategy behind keeping the market cap at this level?

Vishal Mehta: So, I would let you know that we of course as an investor we also want that our investors make good returns. And, I'm also an investor in the company. So, I share the sentiment that, yes we would want to actually do much better in terms of the performance, but you see it's a market and the market will of course report based on execution. So, as we continue to execute, our focus has always been to execute. And as we continue to execute, we hope that the markets will see through it and be able to reward

the performance of execution. Historically, we have not been focusing too much on optics, but more on execution. So, but selectively now we are also looking at trying to talk to people about what we do and not sell or convince any of the things that we do, but our performance should show up, while they maybe latencies both ways in execution and market, we expect that they should correct itself as we build out going forward. There is no strategy by say, we don't participate at all in these discussions. As far as, the opportunity for the growth as well as opportunity to look at international growth as well we selectively evaluate opportunities from time-to-time. And for the right reason, I'm sure that the Board will make the right decisions.

Moderator: Thank you. The next question is from the line of Anil Nahata an Individual Investor. Please go ahead.

Anil Nahata: I have a couple of questions, one is to understand slightly better, if you look at the net take rate and the transaction process volume at a net revenue level it reaches to somewhere around 59, 60 crores so there is a delta of 14 crore to net debt revenue there. Similarly, it used to be in the earlier quarters slightly higher than this, I just need to understand what is this business, the delta 14 crores, which used to be slightly higher and where are we heading in margin terms on this business?

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Vishal Mehta: We are a payment infrastructure company, and not just payment solution provider. So, whenever we provide infrastructure to some of the companies and banks and many others, I mentioned that we want to provide opportunities for them so that you can reach out to the larger ecosystem. So, there are certain things like, Kotak Allpay that goes through Kotak Bank. Banks cannot offer all different payment options to their users. And so what we do is that, we allow them to build upon our solution and provide it to merchants. And, let me be one of the reasons why you would see, whatever that small delta is in terms of the processing volumes. But that can come back to on exact specifics, we don't want to enter the numbers. So, that is one reason why you will see because, you can think of us as more of a stripe, there's a company which is based in the US they not only provide their own solutioning, but they allow others to build up on top of their own platform frameworks. And as we continue evolving, we want to continue building up in that format, because while channels will compete with each other, we want to be the backbone provider of the channels and you will expect that, that should continue being our focus going forward, there are lot of API's that have been opened up, and one can build out innovative solutions on top of our API's. And, we think that that must be perhaps what you're referring to, if you have any other questions, I can get into the specifics.

Anil Nahata: So, maybe I will take it offline, with your investor relations team and understand this slightly better. So, that is one point. On the second side, I have a couple of questions, you have given a guidance for the revenue, net profit and all that. And I believe the way you're setting up you're going to blow past that revenue targets any which way. One of the questions I have, and that is the most interesting area that you have spoken about in the last two calls and I also believe it to be same, is this TapPay thing that has been launched now. What kind of internal benchmark if any if you can share are you expecting this business to grow to over the next like four quarters. Any kind of a range that we can think of that this is what is the vision that you are looking at?

Vishal Mehta: Yes, so TapPay is the solution that we've launched recently and there are two things that will happen. We believe in the next few quarters one is, the number of cards that have

been issued, which are going to be NFC enabled, it should get to maybe 70%, 80% in the next 12 months. Because historically, not all cards were not NFC enabled and we expect that in our discussions with card networks and card providers, our expectation is that in the next six to 12 months, India will be a society where any card which has been issued will be NFC enabled. So, there is going to be a transition, even for cards that are non-NFC enabled to becoming more and more NFC enabled in India. Number one, number two that, as we built out for merchants, there will be the merchants that don't have point of sale machine. Those are very, they're watermelons on the ground. And we can offer such solutioning to such merchants. And for merchants who are using our platform at the moment, because they are anyway processing through us. Those the ones which are quick wins for us. In terms of the processing volume, like I said, 99% of all volumes in Q1 in fact 99.5 above were all online transactions. Offline market is a larger market in many ways compared to what online does today. And while online is increasing at a rate which is much faster. So, we expect that there's going to be a crossover, but Vishwas mentioned that 72% of the transactions even today are cash based. And so, if you're able to offer a solutioning which

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offers all these different elements, it makes it very worthwhile. So, this year, our target is that in a single digit percentage transactions will be through CC Avenue TapPay. And next year, in the year after we expect that about 30% of the transactions will be definitely through the offline channels.

Anil Nahata: 30%?

Vishal Mehta: Yes. All the transactions that we process will be through CC Avenue, because see what TapPay does, is it somewhat morph the line between offline and online. Fundamentally, it's a point of sale machine, which is more like it's a, think of it like a soft point of sale solution, but it's on the phone with all the security and all the features whichever built out which will be approved by all card networks, through authentications, and many other means. So, we expect that, I'm not sure whether you followed but there's an event which is online, you may want to perhaps we'd love to, my investor relations will reach out to you. But that's where we have a unique solution and it's patent pending, we file for a patent whereby, a consumer can make a payment while they're on a website, shopping for an airline ticket, they can tap their own phone and make a payment, which is the first in the world. Nobody has done that, if you are in an online website. And if you are shopping for a ticket, you will be able to tap your own phone and make the payment which will go through online. So, that is something that we have just recently patented. And we would want to, so that's where I said that offline will become a significant portion when CC Avenue TapPay that is a better way to place it. Check out to through us will be.

Anil Nahata: Absolutely agree and when we see many, many places where there are multiple servers but they have one or two machines like restaurants like all these petrol pumps, these are natural target for

TapPay, each of these people have a mobile phone, all of the , all the servers in restaurants and all of them can be a label and they can move away from POS machines to this thing. So, I can understand logically also this is an extraordinary opportunity and all the best for it.

Moderator: Thank you. Ladies and gentlemen due to time constraint, that was the last question. I now hand the conference over to the management for the closing comments.

Vishal Mehta: Thank you all for your participation. And we look forward to getting comments and suggestions from you every now and then, we'll keep you updated on the progress. Thanks so much.

Mo

derator: Thank you. Ladies and gentleman on behalf of Go India Advisors , that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2022

INFIBEAM AVENUES LIMITED

(Formerly known as Infibeam Incorporation Limited)

Regd. Office: 28th Floor, GIFT Two Building, Block No. 56, Road-5C, Zone-5, GIFT CITY, Gandhinagar,

Taluka & District - Gandhinagar – 382 355, CIN: L64203GJ2010PLC061366

Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@ia.ooo | Website: www.ia.ooo

November 07, 2022

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai - 400 001 Company Code No.: 539807 National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex, Bandra (East), Mumbai - 400 051 Company Symbol: INFIBEAM

Dear Sir / Madam,

Sub: Transcript of Earnings Conference Call for the quarter and half year ended September 30, 2022

In compliance with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor/ Analyst conference call on financial performance of the Company for the quarter and half year ended September 30, 2022 conducted on Friday, November 04, 2022 after the meeting of Board of Directors, for your information and records.

This transcript is also available on the website of the Company i.e. www.ia.ooo.

Kindly take the same on your records. Thanking you, Yours faithfully, For Infibeam Avenues Limited

Shyamal Trivedi

Sr. Vice President & Company Secretary

Encl.: As above

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"Infibeam Avenue Limited

Q2 FY '23 Earnings Conference Call "

November 04, 2022

Management :

Mr. Vishal Mehta – Managing Director

Mr. Vishwas Patel – Executive Director

Mr. Sunil Bhagat – CFO

Mr. Purvesh Parekh – Head of Investor Relations

Mr. B. Ravi – Consultant

Moderator:

Mr. Rajat Gupta – Go India Advisors

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Moderator: Ladies and gentlemen, good day and welcome to Q2 FY'23 Earnings

Conference Call of Infibeam Avenues Limited hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to

ask question after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajat Gupta from Go India Advisors. Thank you and over to you, sir.

Rajat Gupta : Thank you, Ruthija. Good afternoon, everyone, and welcome to Infibeam Avenues Limited earnings call to discuss the Q2 FY '23 results. We have on the call with us today Mr. Vishal Mehta, Managing Director; Mr. Vishwas Patel, Executive Director; Mr. Sunil Bhagat, Chief Financial Officer and Mr. Purvesh Parekh, Head Investor Relations. Also joining us on the call today is Mr. B. Ravi. Mr. Ravi was the CFO of Adani Ports for over 9 years and has a wide experience in corporate strategy and finance. He's also advising Infibeam on similar forms of corporate strategy and finance as an independent consultant. We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that the company faces.

I now request the MD, Mr. Vishal Mehta, to take us through the company's business outlook and financial highlights. Subsequent to which, we'll open the floor for Q&A. Thank you and over to you, sir.

Vishal Mehta : Thanks, Rajat, and good afternoon to everyone. Thank you all for taking time to attend our earnings call today. I hope you've seen our earnings document, which has been uploaded on the exchanges as well as the company's website. To start with, the last few years your company has made investments in building an incredibly strong payment infrastructure, which focuses both on merchants as well as banks. And we've evolved to offer a very inclusive and scalable solution, which simplifies business operations and transaction processing for merchants, governments, enterprises as well as banks. The strength and scalability of our Infibeam Avenue s Limited
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business model can be seen from our performance and strong profitability and we are very excited to talk about the performance of this quarter as well as ongoing forward.

This quarter we've delivered superior operating and financial performance across the board and I'll discuss that in detail. Firstly, let me focus on a few strategic developments. The company has received in-principle approvals from RBI to operate as a Payment Aggregator. We now have two licenses from RBI, one for operating as a Payment Aggregator and the other one is for bill payments under the Bharat BillPay infrastructure.

RBI has issued a framework under which Payment Aggregators are mandated to obtain a license for acquiring merchants and providing them with the digital payment acceptance solutions to ensure safety of customers as well as for merchants. This development will give us a substantial boost to expand our reach of payment processing in online segment as well as in particularly offline segment. We've also applied for one more license, which is under the NUE umbrella entity license through our subsidiary in consortium with some of the reputed and experienced enterprises that will allow us to be at the center of all payment flows.

Continuing on with our omnichannel strategy after launching CCAvenue omnichannel mobile app, which is featuring India's first pin-on-glass solution, and we named it CCAvenue TapPay. The company has also made some strategic investment by picking up a 50% stake in a Gurgaon-based software startup called

led Vishko22 Products and Services, which is backed by the erstwhile founders of Yepme.com. The company is going to focus on omnichannel enterprise software products along with payments, which will make it a B2B e-commerce inclusive framework.

Since our company has launched CCAvenue TapPay in July of 2022, we have so far deployed CCAvenue TapPay across more than 15,000 terminals and we plan to take it to 1 lakh by end of this financial year FY '23 and we are targeting to reach 1 million merchants by the end of FY '24 on CCAvenue TapPay.

I will now briefly talk about our financial and operating highlights for the quarter. We achieved the highest ever quarterly and half yearly gross revenue as well as net revenue on both standalone and consolidated basis. This quarter our gross revenue and net revenue grew 53%
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year-over-year and 25% year-over-year to INR 435 crores and INR 70 crores, respectively. Our India payments and platform business on consolidated levels also includes international payments, Go Payments and some of our other subsidiaries, each of them have shown

substantial growth. We are confident of maintaining this growth momentum for the future as well.

On a standalone basis, our profit after tax was INR 47 crores, which includes DRC Systems take -sale impact. Consolidated profit after tax stood at INR 40 crores and we are confident in achieving our guidance of INR 110 crores to INR 125 crores in profit after tax in FY '23. Our transaction processing volume for this quarter crossed an all -time high of INR 1 lakh crore, including the non -MDR based payment transaction processing volume. Both payments and GeM and the platform business were an all -time high. This was primarily on account of increased contribution from COVID impacted sectors, which are travel, hospitality, entertainment, etcetera and a rise in digital transactions.

Strong tailwinds, customer adoption and support from RBI and government will help India digital payments industry grow at 30% or more for the next five years. Our gross take rates in India payments business were close to 90 basis points and net take rate came in at 7.2 basis points, which has been steadily improving since the last 4 to 5 quarters. You can refer to the Slide 6, which will give you some indication on how our net take rates have been improving in the past few quarters.

Higher contribution from credit cards, about 47% versus less than 40% year -over -year, has led to higher gross take rate. As the sectors; which we talked about which is travel, hospitality and entertainment grow; the credit card usage in these sectors is higher and hence, our gross take rate comes out to be higher. As you can see from our Slide 6 of the presentation, both our India and payments net take rates has been continuously increasing. We are committed to take this to a double digit in the next few years through several business initiative offerings, one of them being offline expansion where we have launched CCAvenue TapPay, our payment infrastructure services to bank as well as our international expansion.

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We continue to build our merchant base as we continue to add more than 8,500 merchants on a daily basis. The number of merchants increased 77% to 7.3 million during Q2 '23. This is on backbone of our business and forms the base of all our future cross -sell opportunities. We are confident of growing this merchant base to over 10 million in the next two years.

Under our enterprise marketplace platform business, GeM continues to achieve record GMV quarter -over -quarter. In the first half, GeM GMV had crossed INR 75,000 crores and we are hopeful that it will double by the end of this financial year. Additionally, our interest in Vishko22 startup to develop omnichannel enterprise software pro

ducts and services will also

go a long way. This will allow us to scale our platform business.

Our balance sheet continues to remain strong. We had cash of INR 316 crores at the end of second quarter, up 50% in six months. Our capital expenses have reduced from INR 83 crores in '21 to INR 16 crores in the first half of this year.

A lot of capex cycle is behind us and we believe that the current business will continue to evaluate opportunities and look at additional capex and expansion. But we believe that whatever we have implemented so far, the capex cycle is behind us. We want to offer a very differentiated product offering in all of our other segments and we want to grow our market share in payments by targeting offline merchants and generating higher cash flows and returns for our shareholders.

Mind you all the merchants that we talked about are online payment processors with us and the entire base of merchants can potentially also use our offline solutions. So we have a significant merchant base with us where we can tap into to open up the offline payment solutions through CCAvenue TapPay. Our strong performance in the first half of this year gives us confidence of delivering higher than our stated revenue and operating guidance, which is mentioned in Slide 12.

Our confidence in this business can also be seen where we have continued to look at investing in our own company through preferential allotment on a friendly convertible basis. We have continued to evolve the business. The funds that we have, we will continue to look at it wisely in terms of where we can get the returns for our shareholders and do significant contributions

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and investments in those areas going forward. I think that is all for now. I'd like to pass it on to Vishwas for his comments. Vishwas, over to you.

Vishwas Patel: Thanks, Vishal. Ladies and gentlemen, thank you for joining us today. This is

an interesting time for our company and we are extremely excited with the way our business is progressing. Payments has to take a center stage across all businesses and it's a mission-critical subject in every aspect of life. This is where we want to solve the challenges across the economy to ensure smooth flow of funds. I would like to start by talking about TapPay. I'm extremely happy with the way this product has ramped up and just within three months of our launch. It's now present across 15,000 merchants who have started processing through the solution. The CCAvenue omnichannel mobile app is useful for both small merchants and vendors and to large corporates. The omnichannel app aims to address the challenges of inadequate payment acceptance infrastructure and eliminates various seamless digital adoptions. We're already testing it with a few large enterprises and we believe it will immensely help these large enterprises to have a single view of sales and settlements and a single point of contact for all resolutions. We are confident that by end of this year, we'll activate almost 100,000 terminals and eventually reach out to millions of merchants globally. In our international markets, we are seeing increasing business in the UAE. By end of this financial year, we plan to start payment business in Saudi Arabia and Australia followed by USA and then proceed to multiple international destinations to offer digital payments and payment infrastructure services. We are targeting off line payments to contribute around 20%, 25% of our overall payments TPV by the end of financial year 2025. We'll be offering the solutions to merchants and banks globally. The Indian payment license will also help us in gaining trust among the merchants and banks, and which we believe will help us to penetrate into the helpful hands and will also help us to expand in international markets as it will instill trust in our partners. We are also part

icipating in a similar license requirement in the UAE and also Saudi Arabia. Hence like India, UAE and Saudi Arabia will also be a regulated market. We are focused on building frictionless financial technology and digital payments, which will provide a seamless and holistic digital payment solution to merchants across along with access to capital at the click of a button. Therefore, our comprehensive offerings including Infibeam Avenue s Limited
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platforms, payments and finance; we want to make the merchants digital, credible and hence bankable. Our principal focus has always been our merchants and we shall continue to develop differentiated sets of solutions for our audience.

Now with this, I'll open the floor for questions. Thank you, everybody.

Moderator: Thank you, very much. We will now begin the question-and-answer session.

Anyone, who wishes to ask a question may press star and one on their touchtone telephone.

If you wish to remove yourself from the question queue, you may press star and two.

Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Gaurav Sharma from HSBC Securities and Capital Markets India Private Limited. Please go ahead.

Gaurav Sharma: So my first question is regarding to that that you mentioned that your payment net take rate is constantly improving both in India as well as the total payments and you mentioned that 47% is contributed by the credit card usage. So what are the take rates on credit card usage and also what are the payment models for the balance 53%, if you can mention? That is one. And sir, I also saw that the gap between the Indian payments and total payments is getting closer. So do you expect that Indian payment NTR will cross over or it will match the total payments NTR and if yes, then what will be the time frame would you like to give? These are my questions, sir.

Vishwas Patel: So first question I understood so I'll answer that first. I think the take rate is improving. You have seen this quarter, right, across credit and debit, both, across all options, 95% of the transaction we processed are credit and debit and only 4% or 5% accounts for UPI. So that take rate, as we said, that as more our kind of companies that is the travel, hospitality go online, the take rates are improving. So this quarter we have seen the take rate improving to 7.2% from 4.8%, which was year-on-year quarter. So that is increasing year-on-year. And as more merchants and as more as you go to the holiday season, we hope to keep bettering that take rate. The second part of the question, can you repeat it because I think we briefly lost your voice on the second question?

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Gaurav Sharma: Sure, sir. So if you look at the Slide No. 6, as you mentioned that we can see

that the Indian payments NTR and the gap between the total payment NTR is coming closer, it is reducing the gap. So just wanted to know do you see forward that Indian payments NTR crossing the total payments NTR and if yes, then what is the time frame? Also a small question on opex side. Since we say that the opex has sequentially increased significantly, so if you can just mention the factor. Like, one may be the like technological expenses and if you can also mention some other factors, it will be great?

Vishal Mehta: Sure. So this is Vishal here. Basically if you look at the first question, which is the net take rate, yes, it has been improving. India has shown a lot of improvement and this improvement is primarily because a lot of sectors that were hit by COVID, they have started coming up and as a result, I think we are also seeing some traction. Second is the expansion of our merchant base. As we expand into the merchant

base and go into smaller merchants, our take rates are also improving through that. So earlier I'd mentioned that we are adding about 8,500 -odd merchants every day and as a result when you go deeper into the ecosystem, I think it helps us.

The third is the offline payment mode, which is expected to help us and that's why we think that I had mentioned that we will go into a 2 -digit take rate in India. The reason is because offline payments, the net take rates are better because the risk is lower, because the card is present compared to card not present. And as a result, actually this combination of factors will help us keep on improving the net take rates we believe in the coming quarters, which will help us get to a double digit hopefully in the next two years, maybe earlier and we are confident that we are going in the right direction there.

As far as the second question, also in parallel you had mentioned that the take rates international and overall in India is also coming up. I think when we deploy such solutions, internationally also our take rate should also improve there. So we think that the solutions that we build out while we will test and then scale them in India, we will also deploy them internationally in international regions. And that will help us in terms of expanding our overall rates both in domestic as well as in international markets. So to answer your question, I don't think that there would be map -to-map, but we'll keep on with some minimal latency, we'll

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open up. For example CCAvenue TapPay, we are opening it up in international regions in UAE as well simultaneously as we are doing it in India. So we will keep on deploying all the platform and the frameworks for payment infrastructure that we build out, we are doing it at a global level not just at the India level. That's how we have been architected.

To your second point in terms of operating expense, we are continuously evolving. We will invest ahead of time in anticipation and I think that we are careful in terms of how we want to plan and project and we monitor how we are performing at a regular basis. So I think it's just ahead of our business expansion. We want to continuously evolve our frameworks and build out a very strong ecosystem and when we talk about ecosystem, it's platform, payments and finance. And that ecosystem will enable our merchants to be able to perform better, have more stickiness and get into very deep product -based approach so things like analytics, which potentially allow merchants to do a lot more than what they're doing today. And merchants across sectors will be able to utilize those kind of services, which will enable them to create more demand, generate more volume and through that, we will also get an improvement in terms of what we're working on.

Moderator: Thank you. The next question is from the line of Anuj Narula from JM Financial. Please go ahead.

Anuj Narula: So my question is how many Payment Aggregator licenses are already given and how many do you think RBI will give? As per some media reports, close to 200 applications have gone to RBI. So even if RBI gives license to 50%, will the competitive intensity remain high and the industry can never expect to be profitable?

Vishwas Patel: I'll take that, Vishwas here. So from what we -- the RBI has not officially put out the number of licenses given or the applications received. But from our industry sources and what we hear from the press, 150 -odd licenses were applied for and there were many, many rejects. And what we know and what certain persons who have got in -principle approvals, the count last that we could get who have confirmed because they're very prestigious license.

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There is something around eight to 10 parties only who have confirmed to have

ave got the

licenses, so out of the 150-odd who must have applied. So that is our sources not to be this thing. But I think formal announcement by RBI will clear the thing that is there. In any sense what you are looking at here is that we are not aiming at a small market. We are aiming at a \$2 trillion digital payments market.

Today only 27% of the market is digital. There's a long way of almost 73% which still have to be tapped. We're looking at millions of merchants like there are like 1 million schools in those four states, which are still not accepting online payments of fees online. So there's a huge takeaway. We are still battling INR 32 lakhs of cash that is there in the market. So going digital and with this is only eight, 10 people looking at such a broad-based opportunity to encourage digital payments. I think we are well-positioned and well-placed with our platform payments and finance business model.

Moderator: Thank you. The next question is from the line of Rahul from Lucky Investment Managers. Please go ahead.

Rahul: Just one. First question was on the substantial difference that is existing in the reported PAT in the consol and the stand alone number. The stand alone number is close to INR 47 crores, the consol number is about INR 40 crores. I just wanted to know this level of difference didn't exist before so just wanted to get a sense of what is this?

Vishal Mehta: So the expectation should be that it won't be so such a large difference. This particular quarter, we had a divestment and as a result, there is a slight differential that you will see. But typically, you will not see such a large difference going forward.

Rahul: So it's basically a function of the divestment and not much else?

Vishal Mehta: That's right. Correct.

Rahul: Sir, how much was the profit that we kind of booked due to this divestment?

Vishal Mehta: For the quarter, it was INR 25 crores.

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Rahul: INR 25 crores. And sir, lastly, the question I had was the guidance that we have given, I'm assuming that doesn't include this divestment profit. We are purely talking about operational guidance there in terms of INR 125 crores?

Vishal Mehta: That's correct.

Moderator: Thank you. Next question is from the line of Vinod from ICICI Securities. Please go ahead.

Vinod: Sir, my question is what's the expected contribution from the offline in the next two years, three years? What's the current status since launch in July?

Vishal Mehta: So basically, we had launched this in July of '22 and in the last quarter, we have already deployed 15,000 implementations terminals in merchants. And our expectation is that we will get to at least 100,000 terminals by end of FY '23. So our expectation and this is for the India market. So, we think that our target for the offline merchant is at least 1 million by end of '24. And so, I think from a current state of 15,000, we want to reach 1 million merchants by end of '24. That's our guidance as far as what we'd like to accomplish in India. The second thing is that in terms of the base, we have several million merchants who use us for the online payment. So that becomes a very ripe base to also offer offline solutions and payments to them and couple that with ready with our licenses of Payment Aggregation, it becomes a very credible solution for merchants to be able to utilize our solution across. So if that answers your question, I think that's our perspective going forward.

Moderator: Thank you. Participants who wish to ask a question, may press star and one.

The next question is from the line of Monami Manna from KRChoksey Shares and Securities. Please go ahead.

Monami Manna: I have few questions. Like you say that you are now having around 7.3 million of merchants under your belt, and it is growing at a rapid pace. In Q2 you have

seen around 8,500 per day. And you were also saying that other than domestic market, you were also foraying into the international market especially UAE, which is a lucrative market. Sir, just wanted to get a sense, this net take rate, how will it differ from the domestic

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market to international market? Whether in the international market the margins, the DPS

basis points are higher ? I'm not asking for the exact number, just to get a sense because here there is a delicate play on the volume against the and on the basis point. So as a company, we have to balance it quite well so that our margins also increase and at the same time, we also don't compromise on the volume . So is it possible from the international market to have a better margin from the domestic are na?

Vishal Mehta: So I'll tell our perspective and then Vishwas can add in. But international, typically the margins are better in the international markets compared to the domestic markets. It's a general statement. The competitive intensity of course is there both in international as well as domestic markets. But India is far more evolved in digital payments than many of the other markets . So the solutioning that we build out for India has finds a lot of propensity and applications for the international market. So talking about UAE, UAE is a very interesting market for us and we have kept on expanding in that market as well. The point is that we are only doing online payments there. Now with the offline solutioning that we have with TapPay, we expect to add tens of thousands of merchants in the international market. For example in UAE, I'm sure you're familiar, but a lot of merchants are offline in UAE. There's a lot of offline selling of products and services in UAE. Online has picked up with Amazon and Noon and many others. But the intensity and the diaspora there is a huge opportunity for offline payments in UAE and if we are able to deploy our solutioning with the omnichannel approach in that region, we think that there is a significant opportunity to build upon. So to answer your question, no one that we know of today offers the omnichannel solution for payments in UAE. People offer offline and online and they're two different solutioning. And so we are experimenting with large merchants and if we are able to tap into that large merchant base where the processing volumes are larger, I'm sure that we will find a lot of affinity even in the smaller base. And so I think even today our processing volume is significantly large in UAE and we expect that that will keep on growing. To give you an example, I think the net take rate for UAE business will be in the -- practically just shy of 10 bps, 10 basis points. So even today it is slightly higher than what India take rate is. But we expect that that will keep on updating and changing as we keep on building up in that region and just so that international net take rates -- and if you look at some of the other publicly Infibeam Avenue s Limited
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traded companies, you will find that take rates are better in some way. So we would want to get there and we think that we'll keep on scaling up our solutions, getting the cost advantages in some ways through scale and be able to offer the savings to our merchants to allow them to grow their business.

Moderator: Thank you. Participants who wishes to ask a question, may press star and one. The next question is from the line of Gautam Gosar from Perpetuity Ventures . Please go ahead.

Gautam Gosar: I basically have two questions. Firstly, on your international business. So you have recently ventured into Australia and launched the payment business there. So what sort of revenue or margins and growth you are expecting from there? And what are the other countries you are planning to enter this fiscal? And

what are your expectations from the overall international business for FY '23 if you could?

Vishal Mehta: So international, UAE is our largest market at the moment and you're right, we've expanded into Australia. We are also into Saudi Arabia as well as in the US. With this approach of being able to offer payment infrastructure as a service, we are also giving it to Oman , Bank Oman, Bank Dhofar, they are all using our payment infrastructure. So you know that CCAvenue is a brand and then we also have a payment infrastructure that we open up for banks to be able to give to merchants. So in smaller geographies like Oman where we don't see an immediate value for us to go as CCAvenue brand, we will provide the entire payment infrastructure to a bank and allow them to acquire merchants and gain from that. So the approach that we have taken is that for certain countries where we don't find merit in going immediately there as a brand and set up offices and set up the infrastructure under CCAvenue brand, we will offer it as a payment infrastructure to such large banks. Just so that you know, 90% of the volume of Oman goes through our payment infrastructure. We find in certain regions in MENA, which are attractive for us to go. UAE and Saudi will account for 60 % of the volume. But what I talk about is Middle East and Africa, there are some opportunities because there's a lot of opportunity to evolve there and we think that those will be interesting for us to explore. And in Southeast Asia as well, we do want to explore Infibeam Avenue s Limited
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some of the countries. If we've taken up Australia, we'd also explore some of the other Southeast Asian countries to be able to build up our payment network. So I think that's pretty much. We haven't of course formally announced where else would go, but Southeast Asia and Middle East are interesting opportunities for us to explore going forward. In terms of countries and we'll go after larger countries where we see a lot of opportunities to build out our brand and go directly there. And in smaller countries, we'll offer it as a payment infrastructure much like we have done in Oman.

To answer your question about our volumes, I think we think that UAE is of course the largest at the moment. And we expect that in the next two years, international will contribute to 30% of our revenues. So I mean from less than 5% of revenue today, International should contribute to about 25%, 30% of our revenues.

Gautam Gosar: Secondly, though it might be our highest ever quarterly TPVs, but TPVs this quarter again hasn't seen a great sequential growth given the industry growth happening in the last couple of quarters. So is the competition taken the payments growth and what are your expectations in terms of overall GMV growth for FY '23?

Vishal Mehta: See, our expectation and we have communicated our guidance for this year where we said that we would accomplish transaction processing volume of INR 4 lakh crores, gross revenue of -- and if you go to Slide 12, you will have some indication of that. We've given guidance on gross revenue, EBITDA, PAT as well as transaction processing volume. I think we are sticking to our guidance and we think that we will of course have more information to talk about as we go through the quarters.

Typically, you will know that in the festival quarters the TPV we expect to continue building up because in Q3 is typically when we have the festival quarter. A lot of transactions we think happened in Q2 for festival quarter as well. So you'll see an effect where you will see Q2 to Q3, you won't have massive growth in Q3 because a lot of festival transactions took place in Q2 as well from our experiences. But yes, the TPV should continue to build up and grow. And we think that going forward expect that with the strong economy and the sectors which we talked about where there

is significant amount of traction especially in the entertainment

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and hotels and many others, we expect that that should continue building up for us. And second is that our growth from an offline payment perspective, we are going after smaller merchants for acceptance.

We want that if you go to anywhere in the Northeast as well that you would be able to pay. Because of our payment solution which is CCAvenue TapPay not only accepts cards. It can accept any kind of payment instrument including UPI and others, including QR code through QR code or even LinkPay and many others. So I think that there's a lot of -- fundamentally we want that anyone who wants to make any kind of digital payment to any merchant across the country, they should be able to do it and not be limited by point-of-sale machines. And the thesis comes from the fact that every merchant has a mobile phone, but every merchant does not have a point-of-sale device. So if you're able to convert the phone into a point-of-sale device without actually incrementally adding any expense to the merchant whatsoever, it becomes a huge opportunity. So you can talk about crores of kiranas being audience for potentially using such solutions. And we want to be able to go and deploy it across at least 100,000 implementations by this year and then scale it to one million or more next year.

Gautam Gosar: Got it. Thank you for that elaborative answer. Sir, one more question if I may ask. So EBITDA margins have declined sequentially so if you could tell us what will be the incremental cost coming from and what would be the margin range for FY '23 we should look at?

Vishal Mehta: So we're sticking to the guidance of what we have given. We expect EBITDA to come between INR 170 crore to INR 190 crores and a PAT of INR 110 crores to INR 125 crores

Moderator: Thank you. The next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: Just I wanted your...

Moderator: Sorry to interrupt you, Rahul, but your voice is coming muffled. We are unable to hear you clearly.

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Rahul Jain: Is it better now?

Moderator: Yes.

Rahul Jain: Just wanted management's thought on this TapPay opportunity. Of course you shared lot of input in terms of your target touch point reach. Anything you could share in terms of what are the true revenue potential over the next two to three years?

Vishal Mehta: Sure. So in terms of our expectation, we think that a good 25% -odd should come from offline payments that is typically CCAvenue TapPay in the next two years. And so as we scale up our business, we talked about our merchant base that we'd like to reach one million merchants next year. We think that in the next two years of the total payment processing 30 %, 25% minimum should come out of the CCAvenue TapPay which is the physical part of the physical payments and very likely there will be an overlap of merchants who uses both for online and offline both. But there's a massive opportunity in India to be able to go after merchants who don't accept digital payments.

UPI has created one evolution. But unfortunately, those ways don't work with cards. And so if you have a single solution and with the growth of 5G, which is expected also in the next two, three years, these kinds of solutions will potentially mean that practically every merchant will be able to utilize , obviously now today majority of the merchants have smartphones. So to download the app and starting to use it becomes very interesting. We have a total transaction processing volume guidance of \$100 billion by the end of FY24 and you can imagine that we expect that about 25% of that should come from CCAvenue TapPay. Does that answer your question?

Rahul Jain: Yes. So I was saying that why you think this

TapPay could be far more revolutionary

given the fact that UPI has already significantly reached both in terms of consumer acceptance, merchant acceptance and also in terms of ease of doing thing and lower cost of transaction?

Vishwas Patel: Okay. Let me take this. Vishwas here. So if you know UPI, UPI is a debit mechanism. Today UPI is cannibalizing bank transfer, check payments, NEFT, RTGS and other Infibeam Avenue s Limited
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things so any kind of a direct debit account if you have a balance in your account. So UPI is a debit mechanism that is there , right, and that is constrained to only people who have gone on to the UPI platform. Credit is a big market. The credit card spends if you have seen is more than INR 1,10,000 crore a month and it's growing very fast. The RBI numbers say that . So it (UPI) does not do credit, it does not do even a debit card.

So there are like more than 500 million RuPay debit cards in the market so if a person goes and wants to pay through his RuPay debit card, the payment cannot be accepted. If he wants to pay through his MasterCard, Visa or any other credit card; it does not accept. So what this technology brings in is that today with a clunky \$100 point -of-sale terminal -- \$150 terminal, it's very difficult to deploy in Tier 3, Tier 4 cities. And in small merchants where like say a food cart in a village outside Guwahati in Assam . So if you have to give him \$150 or INR 10,000 -INR 12,000 terminals; then there are battery problems, training that merchant and then you have to keep him sending printer rolls to print the charge slip and other things, right ! So it becomes difficult, that's why the acceptance base is not there today. Even if a tuition teacher wants to accept payments through this, then they write a check or a draft or do all this stuff. So what it helps is that if any kind of payments you want to do, this is a very simple one.

You just go to the Play Store, download the CCAvenue app and on your own phone you start accepting payments. You just tap the card at the back of this thing. So ours is India first pin - on-glass certified solution where even for higher amounts of more than INR 5,000, the payments can be taken, it depends on the credit limit of the card. So this kind of a transformative technology, which can be marketed online and gone to merchant anywhere in the country just download and start accepting payments on credit card, debit cards, netbanking, wallets, cash card and UPI plus UPI QR code with payment links and all that stuff. So it's a very transformational technology , the expenses of \$150 for a terminal versus a zero cost terminal , is huge for a merchant . And every merchant has a smartphone or any smartphone above INR 5,000, it should work . So that's why it's a very transformational technology, which will change how payments are accepted in the next three or four years in India. That's why we are very bullish. And we think that whatever the acceptance base, anybody can just do an online signing and start accepting payments through any kind of Infibeam Avenue s Limited
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payment options. We have 200 plus payment options and not just a UPI debit to a bank account, but even a credit card or lot of other functionalities also transaction enhancing like payment links and dynamic QR and all that stuff.

Rahul Jain: Just one more question. When you said that the capex intensity of the business is behind us. What I wanted to understand when you want to roll out to so many merchants and of course although the technology wise it is very transformative. For us to make people habitual and also in terms of reaching out to very, very large audience merchant base which we want to, don't you think there would be significant investment that would go to make it happen or you are seeing that as a more of an opex than capex and

that's why you're saying it differentiates?

Vishal Mehta: Yes, you're right. It's more of an opex we believe will be there. We are also going to, in India we have realized that channels will work and so we'll tap into some large channels, channels that work with a lot of kiranas, channels that have potential to be able to reach out to the masses. So we will have a combination of direct and indirect approach. And direct meaning going directly to merchants, but indirect meaning going through channels to be able to offer solutioning. And so a combination of that will happen. It will involve some amount of capex, but not a whole lot. I think majority will be in operating expense.

Vishwas Patel: Also we have already an existing huge ecosystem of merchants already live on our platforms and payments. So those are the early adopters and it's like 22 years of merchant base that works with us. We already announced that we are onboarding more than 8,000 merchants every day. So those merchants will also be going in for this TapPay solution from my existing ecosystem.

Rahul Jain: I mean yes, I can understand the early adopters will, but still the real challenge comes to scale beyond a point. But I understand your context. And those are my questions. Thank you.

Moderator: The next question is from the line of Anil Nahata, an Individual Investor. Please go ahead.

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Anil Nahata : My question to Vishwas is -- the first question is that the India payment TPV and while the NTR is sort of a very smart improvement to 7.2%, but the growth in the TPV somewhat subdued at like a year-on-year growth of 18%. I believe the debit card plus credit card growth is also subdued, but it is still in the range of 30% year-on-year. So what is the reason for this rather subdued growth in the TPV volumes.

Vishal Mehta: So what we see is that there is already a good growth 30% year-on-year growth -- and 50% is year-on-year growth, right, and from what we had last year same quarter and I think it's growing very fast. And as I said that as we go into the holiday season, it will go even faster. So yes, I think we can still work harder and expedite the pace, but it's growing fantastically. I think if you see in the last three years, the TPV we are doubling year-on-year almost and we are already given guidance of \$100 billion by 2024, the processing value. So those things are keep growing and I think that's the normal place that it will keep growing. Of course we'll try our best with the new technology and innovations and this TapPay and others to even accelerate it further. But I think it's seen significantly good growth.

Anil Nahata : Okay. So you don't think there is something like that as a market share kind of shift that is happening. I mean in the end of last year, we were talking about an increase of market share from 8% to around 10% in the payments area. Are we on track to get that increase in the market share?

Vishwas Patel: It has increased. If you see the overall TPV, the numbers released by this thing, our market share has gone up. And as the other competitors also now looking at profitability with now the mindset also changing from earlier on those predatory pricing and cashbacks and other things. So now even those guys are completely coming and thinking of profitability, I think the share and everything will increase further.

Anil Nahata : Okay. So that is the first part. The second question is the tap on pay, you mentioned that 15,000 terminals have been done. But I don't think these have been done with the omnichannel lab that you are having. So when is TapPay going to be available on the omnichannel lab?

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Vishwas Patel: It is available on the omnichannel app, but we are doing phase wise because all these merchants, there is a complete

new diligence and what we call integration and MID

creation required because this kind of acquiring is called merchant present scenario, customer present scenario. So there's a huge demand from our lots of our merchants and existing and other things. But we are strategically going step by step right now. So we have opened it up only for around 15,000, 20,000 merchants. And I think we've got a very healthy higher double-digit acceptance for whomever we did and slowly and steadily I think by the end of Q4, we should open up for everybody.

Anil Nahata : Basically -- and then the people could be able to just download the app and basically login, do my KYC kind of thing and be able to go live. Is that it?

Vishwas Patel: Yes. That you are already able to, but we are allowing only certain as an app to see all your existing data and your app transactions you can already do that. But the enablement of TapPay we are doing it strategically because it's a whole new process of MID generation and other things for a customer present scenario. So that we are working overnight with the banks and because of the overwhelming response, we're still in a phase of almost like last 35, 40 days we have enabled 15,000-odd merchants and I think around 100,000 we'll do it by end of this quarter.

Anil Nahata : So that's absolutely great news. And one further question on this TapPay. The solution that we have today, I think by and large it is like you can take it to any market. Is there a regulatory thing that drives you to take it to the other market or it's just your business plans?

Vishwas Patel: So yes, it's a global certification from the Master, Visa card companies and that's what we are launching in UAE also. But each market with a new acquiring bank, we need to do a Level 3 delta. It's a slight delta recertification in that market so that cross-border acquiring is not allowed for merchants. So sitting here I can't acquire merchants in UAE, I need to do it through my local entity. So slight recertification is there and step-by-step process.

Hence we are very careful in the market that we are selecting. So as you said, UAE is the next Infibeam Avenue s Limited

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market for TapPay launch and then Saudi and then Australia and of course US also will work simultaneously together.

Anil Nahata : That's wonderful. And just if I may ask one more question. On this 15,000 kind of terminals that we are having right now, would it be possible for you to give a rough kind of TPV we are doing on a monthly basis or something like that?

Vishwas Patel: I think too early to disclose right now because these are going on in the last 30, 35 days, these all activations going on and the things. Too early to disclose. But I think the -- will start doing about right now.

Moderator: Thank you. The next question is from the line of Ashish Kacholia from Lucky Investments. Please go ahead.

Ashish Kacholia: And congratulations on a good set of numbers. My question is basically can you talk a little bit about the recent announcement that you made regarding some payment gateway? I couldn't understand the importance of that. Could you just talk a little bit about that?

Vishwas Patel: You're talking about the Payment Aggregator license?

Ashish Kacholia: Yes, that's the one. What is the significance of that?

Vishwas Patel: Okay. The significance. There are three covered licenses that we need from RBI. One is the Bharat BillPay. Second was this aggregator. Aggregator license in the sense that earlier anybody can just start work with a bank and launch a payment system in India. Today it becomes -- with this license, there are a lot of restrictions, positive network and lot of other things that are put in by RBI to get this license. So what happens is that nobody can come in the country, either a new start-up or an international guy, and just launch a payment gateway

way in the country. So it's like a moat, but it also gives a lot of confidence to the people and it's given to only experienced guys who have done this business with a positive network and other things. So what it helps is that any kind of a payment infrastructure or a payment gateway business we can do in the country, where the money can be settled into our account of all the merchants and then we can do the payment. That means we can handle the money.

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So for doing any kind of payment business, this license is required. Otherwise, other players will have to work with licensed players like us if they want to do payment business. So right now what we understand is that only 8 or 10 licenses given.

Ashish Kacholia: 8 or 10, these are the existing major payment gateway operators today who have been given this license?

Vishwas Patel: Yes.

Ashish Kacholia: Okay. So as of now, there won't be any major shift of market share? I understand that the 100% of the payment gateway market would be...

Vishwas Patel: But lot of smaller ones will be closing down because lot of smaller ones, the payment gateways who are there might have to shut shop or move merchant to this line. Say a large player's license is rejected, right, or many other PGs are rejected. So what happens is that those merchants who are already there on their payment gateway, there will be a radical shift. And going forward also it gives us lot of certainty, it gives us lot of seat on the table with RBI and it gives us a lot of power to work with different banks. It's a very coveted license to do payment business in the country.

Ashish Kacholia: How much -- what is the market share of the players whose payment gateway license has been rejected?

Vishwas Patel: We don't know because those final -- as we said earlier, those licenses and other things are not announced yet formally by the RBI. So we don't know how many applied. But from the market sources, those who got the license have been tomming and saying it out that we've got it. What we've done the whole math is only 8 or 9 guys who have said that they have got the license and 150-odd had applied.

Ashish Kacholia: So 8 or 9 guys would control what percentage of the payment gateway market then, the guys who have got the license?

Vishwas Patel: Yes. So almost they are the ones who will be powering all the payments.

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Ashish Kacholia: Existing market share I'm saying?

Vishwas Patel: Existing market share if you're looking at 100% so all will be divided into different parts. That is how we do it. So different kind of numbers come out. So there is no authentic source because how much they process some of the startups report even the payouts that they do. So even if they are like -- they give a payout service so they call that as a processing. We don't count all that stuff. So real payment collection through e-commerce is counted. So those are the things that are there. But overall, what we judge is I think we have reached double-digit market share, 10% plus of the overall rate.

Ashish Kacholia: You have said 10%, 12% market share in your estimate, okay? I'm just trying to get some sense. And the other seven, eight players also who have announced that they have been given a RBI payment gateway license. So these eight, nine players put together, would you guys be controlling 40%, 50%, 60% of the market or you would be controlling 80% or 90% of the market already?

Vishwas Patel: No, we all work with the banks. If you're not counting the banks, then we all control around 100% of the market.

Ashish Kacholia: These 8, 9 players who are given the licenses.

Vishwas Patel: Yes.

Ashish Kacholia: So now the market share will switch between these players, is it?

Vishwas Patel: Could be. Let's

see when the formal announcement of RBI comes in, who comes in, who is going away. So lot of things will happen going forward. Let's see how it evolves when the announcements come in. As I said, this is the second of the third licensing. We applied for three licenses. So Bharat BillPay and this Payment Aggregator license is in place. Last is the NUE part so NUE we are keenly awaiting from RBI.

Ashish Kacholia: So NUE, what has been our thing? We have submitted our application. What is the contents of the license application that we have made out there? Can you share a little bit on that?

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Vishwas Patel: That's a network license like NPCI kind of work that we can do. We can have

our own brand of MasterCard, Visa this thing and let's see, it's too premature. But it's a network license like a Master, Visa through which we can go global. We can have our own kind of UPI that we can launch through our brand and this is a consortium of 4 players that we have announced earlier that we have applied for.

Moderator: Thank you. The next question is from the line of Ayushi Shah, an Individual Investor. Please go ahead.

Ayushi Shah : Congratulations on a strong set of numbers. Sir, just two questions. One continuing from the question that Mr. Anil had asked guidance before me. Sir, one is on TapPay and the second is on ONDC. I'd like to take my first question on TapPay. So your press release states that we have deployed around 15,000 TapPay terminals. But considering that we only have like 1,000 downloads of the TapPay app on the Google Play Store, does this mean we have tied up with a big retail merchant or is it divided across certain merchants? And continuing with that, like are these terminals the same as the CCAvenue card readers? And are there any updates about the patent that we have filed for consumers to tap their own phones with their card to make online payments?

Vishwas Patel: For TapPay, we have given our SDK at certain places, not necessarily through our CCAvenue app. One example I can give you quickly is the "Chalo" app that is there in India. So if you are going for a BEST bus ticket and few other things, an SDK has been given that is integrated into the "Chalo" app where when you are buying the ticket when you enter the BEST bus in Mumbai, you just tap there. That is our solution. So all this kind of SDK implementation certainly I can't say because of confidence in the integrations that are going on with merchants, but these are the kinds of integrations we have done.

Ayushi Shah : All right. And sir, with respect to TapPay, what kind of income profit are we expecting like what kind of margin numbers you would think that they will probably achieve on....

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Vishwas Patel: We have already given guidance on the entire thing of processing volume of around \$100 billion. The gross revenue has already been given. So it's there on slide 12 of our presentation. So you can go by that forward-looking guidance.

Ayushi Shah : And your guidance about the payments on the same?

Vishwas Patel: Right now, no. I think it's too early. I think next quarter we will get those numbers.

Ayushi Shah : All right. And sir, my second question is on ONDC. So it's very interesting as we forge into the field right now. So sir, I wanted to understand that was the business order is for ONDC and like will payments in this segment be a percentage based thing or a fee-based model? And like what kind of revenue do we expect from this segment going down the line? And sir, like what percentage of our already strong 7.3 million merchant base do you think that we'll be able to employ for this ONDC venture and are we looking at other venues as well?

Vishal Mehta: See basically -- I'll take this. ONDC is a framework and it is evolving. The pilot

happened in Bangalore and there's a lot of encouragement for merchants to be able to start selling products and for buyers to be able to start offering these products on their own portal. And so ONDCs basically, you'll have a buyer app and a seller app. And you essentially enable sellers to be able to control their inventory products and orders using that app. And think of ONDC as basically a framework that enables catalog and products to be pushed in and orders to be pushed out.

And stand-alone we can also join in as a payment gateway to be able to offer to merchants and we can also offer software frameworks and applications for existing merchants to be able to push their inventory into ONDC with other APIs. So there's again protocol, which has been set up and that back-end protocol will enable you to integrate with ONDC, which is public information. So the whole idea is that given that we have a very large merchant base and the potential, we would like to offer them an opportunity with a single click to be able to join ONDC which is the understanding that we've communicated in the call today.

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And if you look at the number of seller apps, there are 5 or 8 or 10 seller apps that have been integrated with ONDC. And in terms of buyer apps, there are not many today. But the expectation is that the number of seller apps and buyer apps will grow tremendously once

the framework is established and scaled up and that is where we will offer all our merchants to be able to -- enable them at a single click to join ONDC as and when the evolution happens. And I think it's happening on a daily basis by the way. So we see an opportunity for us to offer the same solutioning to merchants where payments will be integrated as part of it.

Ayushi Shah : Right. And sir, just that was a very comprehensive answer. But I didn't receive an answer for my question about the update about the patent we have filed and what the situation is like?

Vishal Mehta: Sorry, I didn't catch that. What is the question on that?

Ayushi Shah : The patent. You had mentioned in the last earnings we have filed for the first patent where basically consumers could tap their own phone with their cards to make online payments.

Vishal Mehta: Vishwas, you want to talk about the patent on the TapPay solution?

Vishwas Patel: What we are doing is a unique one in the sense that this tap-on-glass or pin-on-glass where we can do any kind of amounts and there are certain new functionalities that we have worked, which is not there in the world. So we applied for patent. The patent application was filed -- I don't have the current status right now. It's something unique that we have done within the ecosystem of tap and pay on phone.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Vishal Mehta: Thank you all for joining the call and we look forward to interacting with you during the next earnings call. Thanks for being part of this call.

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Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

INFIBEAM AVENUES LIMITED

Regd. Office: 28th Floor, GIFT Two Building, Block No. 56, Road-5C, Zone-5, GIFT CITY, Gandhinagar,
Taluka & District - Gandhinagar – 382 355, CIN: L64203GJ2010PLC061366
Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@ia.ooo | Website: www.ia.ooo

February 09, 2023

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai - 400 001 Company Code No.: 539807 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex, Bandra (East), Mumbai - 400 051 Company Symbol: INFIBEAM

Dear Sir / Madam,

Sub: Transcript of Earnings Conference Call for the quarter and nine months ended December 31, 2022

In compliance with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor/ Analyst conference call on financial performance of the Company for the quarter and nine months ended December 31, 2022 conducted on Monday, February 06, 2023, after the meeting of Board of Directors, for your information and records. This transcript is also available on the website of the Company i.e. www.ia.ooo.

Kindly take the same on your records. Thanking you, Yours faithfully, For Infibeam Avenues Limited
Shyamal Trivedi
Sr. Vice President & Company Secretary
Encl.: As above

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"Infibeam Avenues Limited
Q3 FY2023 Earnings Conference Call "

February 06, 2023

MANAGEMENT :

Mr. Vishal Mehta – Managing Director – Infibeam Avenues Limited
Mr. Vishwas Patel – Executive Director - Infibeam Avenues Limited
Mr. Sunil Bhagat – Chief Financial Officer - Infibeam Avenues Limited
Mr. Purvesh Parekh – Head Investor Relations - Infibeam Avenues Limited
Mr. B. Ravi – Strategic Advisor - Infibeam Avenues Limited

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Page 2 of 15 Moderator :

Ladies and gentlemen, good day and welcome to Infibeam Avenues Limited Q3 FY2023 Earnings Conference Call, hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rajat Gupta from Go India Advisors. Thank you and over to you, sir.

Rajat Gupta :

Thank you, Li zann. Good afternoon, everyone, and welcome to Infibeam Avenues Limited Earnings Call to discuss the Q3 and Nine Months FY2023 results. We have on the call with us today Mr. Vishal Mehta - Managing Director; Mr. Vishwas Patel - Executive Director; Mr. Sunil Bhagat - Chief Financial Officer; and Mr. Purvesh Parekh – Head -

Investor Relations. Also joining us on the call today is Mr. B. Ravi who is advising Infibeam on Corporate and Financial Strategy as an independent consultant.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that the company faces. I now request MD, Mr. Vishal Mehta to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for Q&A. Thank you, and over to you sir.

Vishal Mehta :

Good evening and welcome everyone. On behalf of the entire Infibeam family, I wish you all a very happy and prosperous 2023. To start with, I am very confident that 2023 will be a great year for our country, and more importantly, this decade will see India reaching new heights where the GDP is expected to cross \$5 trillion putting us at number three spot globally. One of the studies that have been done across so many nations on use of electronic payments, what has

been coming out of this study is that nearly \$1 trillion have been added to GDP of various countries and it has been able to raise consumption. So digital payments is expected to play a very important role in terms of our country achieving certain GDP expectations. Digital payments in India grew more than 70% in FY2022 and it is estimated to grow by 45% to 50% in FY2023 to approximately Rs.54 trillion, or \$675 billion.

Between 2021 and 2026, industry is expected to grow in the range of 30% to 40% annually. The government and the regulator are also very supportive given the vision to make India digital and also turn India into a cashless economy. To capture the massive growth we have charted very clear strategies and we are working on certain initiatives like our omni-channel payment solution that we will deploy across more than a million devices by end of FY2024. The next is industry-specific vertical solutions for deep industry penetrations, like what we offer to the hospitality industry or the hotel industry to build their revenue. Bill payments for utility and recurring payments through Bharat Bill Pay. We have certifications for processing airline transactions covering more than 20 plus airlines, solutions for auto insurance, payment infrastructure, as well as B2B payments and payments for banks. We are constantly solving industry problems through payment solutions that really matter to the consumer and merchants, and now, we have achieved another milestone of being the industry-first to process digital Rupee transaction for online retail payments. We are ready to go-live with any bank that offers or that wants to offer digital Rupee. We are in discussion with several banks and we are also getting inbound requests from many banks to partner with us.

As government and RBI looks to curtail cash of 32 lakh Crores, which is almost \$400 billion also the addressable market, we believe they are promoting the use of digital rupee to avoid certain cash costs like printing, avoiding currency manipulation, ability to track the currency, etc.

RBI has requested banks to quickly make the technology infrastructure and onboard new merchants to proliferate India's own digital currency across the country. We are currently among the only few to be able to onboard new merchants. This will enable us to build a very strong pipeline for future to upsell and cross-sell, while also giving us a lead position in processing digital rupee transactions. We believe just like UPI commuted a revolution in digital payments, in the same way e-rupee will create the next revolution for India. As it is in true sense a real-time money transfer with instant settlement to merchants. One of the reasons why we believe so is because it is exactly the same as cash, but in a digital format. Even UPI today is not instantly settled, and follows the same process, like any other payment options of T-plus N number of days' settlement. The use-case for digital Rupee can be many-many and this will create new opportunities in the digital payment space.

With that said, last quarter was very strong for us. We on-boarded more than 0.5 million merchants in Q3 alone in the payment gateway business alone, which is we have a history of more than 20 plus years and we have overall added a record 1.1 million merchants in a single quarter across all our offerings, reaching 8.4 million merchants, an increase of Infibeam Avenues Limited

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Page 3 of 15 72% year-over-year, and our daily merchant addition averaged 11700 for last quarter, which is hovering around 7000 to

8000 in the last few quarters. Number of merchants in the payment gateway business in Q3 grew by 385% year-over-year. As the digital payment industry looks right for growth in India, with strong entry barriers and strict compliance, we plan to take the most advantage of being able to onboard new merchants.

As

mentioned in our call last quarter about international launches in the second half of FY2023, payments in Saudi Arabia is now live. We are literally one of the top two providers for payment gateway in UAE and Saudi Arabia being live we have on-boarded several merchants and will subsequently provide updates to other geographies in coming quarters. If you look at going into FY2024, we will expand these geographies and talk about other launches as we build more tie-ups and onboard more partners. GeM continues to remain strong. GeM, achieved a processing volume of 1 lakh Crore of order value in November in just eight months of FY2023 versus achieving the same number in 12 months of FY2022. As per GeM announcements, GeM is expected in targeting to touch order values of 200000 Crores by FY2023 which is twice that of FY2022.

By end of January 2023 order volume and value on GeM has already crossed 1,50,000 Crores. GeM has done Rs. 50000 Crores in just two months of December and January. Apart from GeM, we continue to explore more opportunities in our software platforms business to widen our offerings and expand partnerships. We will keep you updated on the developments.

To sum-up, I am extremely confident and happy with the progress that we have made in the business, including

improvements in the net take rates in our payments business, which we intend to take to double -digits by FY20 25. We see very strong tailwinds for digital payments industry and believe that the game is still not over. There is so much innovations and opportunities that constantly a rise and we feel that with prudent policies, compliances, safeguarding the consumers and merchants and all these profitable business models, we will be able to pay -off in the long -term. I will now hand over the call to Vishwas who will give you an update for our payments business, Vishwas, over to you.

Vishwas Patel:

Thank you, Vishal, and good afternoon everyone. Q3 is a strong quarter for Infibeam Avenues for payments business, being a festival travel -related quarter. We experienced a strong merchant pipeline during the quarter. In Q3, we focus ed on quality rather than quantity to build a long-term sustainable business whereby we were able to increase our take rates and hence profitability in the business. Change in payment mix towards non -credit payment options led to a lower gross take rate and hence moderated gross revenue, but the net take rates increased as non -credit payment options, net banking, debit card contribution increased, which are more profitable for the company leading to better profitability. Merchant seems to have chosen more debit in this quarter to save on the MDR costs. This resulted in higher earning for us as we provide 60 plus net banking options to direct integration with the bank's core banking solutions, highest globally and over 100 plus debit card options. Contribution from 0 MDR payment options in the quarter have gone up from nearly 6% to 7% to roughly 10%. The subsidy incentives that are announced by the government on 0 MDR or non-chargeable payment options like UPI and RuPay debit card in the current fiscal. The government has increased it by two times to Rs.2137 Crores from the previous 1040 odd Crores in the previous year. We hope to receive our share in Q4 or Q1 of next financial year.

The industry demand, however, remains at Rs.8000 Crores from the government. Today, Fintech and PG's, have not received anything from the government, what the government has shared with the banks, inclusive of previous years. Now let me give you a quick update on our investments in Go Payments that is instant global Capex. Infibeam Avenues has invested Rs.16 Crores in Go Payments increasing its stakes to 54.80% from the current 52.38%. Go Payments has an offline business model targeting the unbanked and the under -bank. The business was significantly impacted during

the two years of COVID in it is four years of operational history. However, the company has managed to quickly turnaround and scale the business last calendar year and turn EBITDA -positive in December 2022. We are extremely proud of the management, we have turned into profitability in such a short spend during the challenging environment, both in terms of the pandemic and the competition by focusing on our core philosophy to generate profitable revenue and offer quality services. Our investment in Go will help to scale further and achieve profitability while scaling the business. This will help Infibeam achieve higher return on investment and benefit all the shareholders of Infibeam Avenues.

As far as the international operations are concerned, UAE is still going very strong. We have commercially started operations in Saudi Arabia, and we will scale this from next financial year. We are also in the process of rolling out our CC Avenue all -in-one app that starts pay in the DCC soon as it is a ready market for tab -based payments. According to Visa study, contactless payments are among the highest in the GCC region as out of total digital payments 94% are contactless in Saudi Arabia, and 92% in UAE. Finally, a comprehensive set of payments and software payment Infibeam Avenues Limited

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Page 4 of 15 solutions, platform solution supports all the digital payment acceptance requirements of the merchant be it in -store,

online or omni channel payments, along with the tools for the merchants to enable e -commerce.

With this, I now hand over the call to Sunil Bhagat, our Group Chief Financial Officer. Over to you Sunil Bhai.

Sunil Bhagat:

Thank you, Vishwas Bhai. Good evening everyone. We are extremely pleased with our performance in Q3 as we work towards improving the quality of our earnings. We were severely impacted during COVID from lower business volumes, low -margin businesses like utility, education, insurance etc., and severe pricing competition. However, Infibeam focused on profitable revenue growth by ensuring quality customer onboarding, strengthening ties with ecosystem partners, expanding high -margin bill payment businesses, growing the infrastructure services, strengthening international markets, etc.

If you look at our standalone performance for five years from FY20 18 to FY2023 comprising Infibeam India payments and software payment businesses, including the GeM portal. The growth in profit -after-tax is approximately 10x. The company will continue to focus on its core business philosophy of profitable revenue growth and strive to bring the same in the next 10x in this decade from various strategic initiatives and we will undertake that. Q3 this a seasonably strong quarter for Infibeam.

The payments business net take rate grew by 63% year-over-year to 8.9 bps. The company is taking steps towards growing its net take rate across payments vertical and reach double-digit take rates in FY20 25. Improvement in net take rate led to higher net revenue -generating better operating and profitability margins during the quarter. On a like -to-like basis, consolidated PAT for the quarter was Rs.27 Crores, up 11% year-over-year and highest among the three quarters reported PAT, and like-to-like standalone PAT for Q3 was Rs.24 Crores, up 28% year-over-year. Overall, we are on -track to process transactions worth Rs.7.5 lakh Crores for FY20 25.

With this, I will now hand over the call to the operator for starting Q&A. Thank you.

Moderator:

Thank you. Ladies and gentlemen we will now begin with the question -and-answer session. The first question is from the line of Rahul Bhangadia from Lucky Investment Managers. Please go ahead.

Rahul Bhangadia :

Thank you for taking my question, sir, congratulations on a very good set of numbers. Sir, you have mentioned in the previous call also and j

ust a while back you mentioned that you intend to take your net take ra te to double -digit by FY20 25. Gi ven that GeM will be one of the bigger driving factors in the PPV growth of the company and there the take rates are of the order of, let us say, seven base, how does the math work -out, or where will the double -digit kind of number come from.

Vishal Mehta:

There are three things that we are focused on. Internationally, our debt rates are 15 basis points compared to India. So if you look at our projections for the next up to 25, we expect that today a single -digit percentage o f our revenues come from i nterna tional. We expect that to go into double -digits. So based on what we believe we should get to 20% to 30% of our revenues in the next two years to come from international growth as well , and international take rates are far better today compared to ou r take rates in India. That is one part.

The second thing is that we expect to actually introduce offline payments that is TapPay . So we believe that if we are at 8.1 merchants, we should get to 10 million merchants , and over the re since the card is prese nt, we expect that the take rate should be better in offline setup compared to the online setup where the card is not present . We have also filed certain patents around those areas and we expect that with certain kinds of SDK that we open up where you lite rally do not have to do anything, you just plug -in the SDK into the existing payment setup of yours and it starts processing payments. So our expectation is that going to a million, that is more than 10% of merchant base, you will see perhaps some im provem ents i n that area as well, a nd the third thing that Sunil just highlighted, which is we are focused on profitable sectors. So we have taken -up sectors where we believe the value is pretty strong. Today the overall growth in paymen ts is expected to increase signi ficantly. So a combination of those factors, we believe that we will be able to get to a better take rate.

Today we are at 8.9, we are not calling up saying that, we can do it next quarter. What we believe is that, let us make sure that we have buil t out the strong phases on how we can get to double -digit, which is what we are focused on today.

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Just to add, the double -digit, that we are talking about is for the payment business. GeM is a single customer where the take rates are alread y contr acted. So we are not including GeM as part of the double -digit. It is only the payment business where we are talking about double digits.

Rahul Bhangadia :

So then, let us say on a weighted -average basis we might still be aro und the 8 or 9 bps number only, right.

Purvesh Parekh :

That is depende nt upon what is the weightage of our TPV coming from payments and coming from the GeM business .

Rahul Bhangadia :

Thanks for that clarification. That was important , and just a ques tion on the GeM portal. When doe s the process start and by when will we know the end result?

Vishal Mehta :

Basically, the R FP has been out and the current positioning is that by end of this month that they will be taking the bids. So very likely in the nex t few weeks, we will know , and so that you know, it is 18 months until you actually build -out the new framework. So, this contract will c ontinue into 2024.

Rahul Bhangadia :

Sorry, I did no t get the last part, sorry 18 months bit, I did not get that.

Vish al Mehta :

The new RFPs states th at you need to build -out the framework in the next 18 months, before existing opportunities will move on to the new framework. So the existing contract which we have will go on until 2024.

Rahul Bhangadia :

So does that mean that when you shift to a new fra mework, whatever work you have done in the last five years does that mean it is a build -up on that or it is a

separate thing altogether, how does that work?

Vishal Mehta :

Yes, it is a separate thing. So in other words, there may be some base that can poten tially be common. I think a lot of systems, processes, integration, so on and so forth are in place. But there are certain requirements that government have, which is additional functionality, on -top of whatever we have prov ided so-far. Also, if you go to the RFP, you will see that there is a payment of R s.135-odd Crore s towards buildup up of the new framework. Then there is a fixed and a variable that goes on every quarter.

Rahul Bhangadia :

And should we expect your consorti um to bid as it was in the previ ous tenure?

Vishal Mehta :

We still have three weeks left, so there may be a few changes, but, y es, we expect that definitely we are bidding.

Rahul Bhangadia :

Sir, just one final question if I may squeeze in. We do not have a non-transaction revenue recorde d in this quarter, has

that been clubbed with the transaction -based revenue , just trying to get a n understanding the re?

Vishwas Patel :

There is the platform revenue include GeM revenue and the non -transaction revenue . So the entire platform, revenue has two parts, one part coming from GeM , which is the transaction revenue, the other part is non -transaction.

Rahul Bhangadia :

So, you have a net take rate of 85 Crores this quarter that we have declared. A part of that will also be non-transaction revenue, that is how it is?

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Page 6 of 15 Vishwas Patel :

Sorry, 85 Crores, I did not get that?

Rahul Bhangadia :

85 Crores is the transaction -based revenue, right. The net take rate.

Purvash Parekh :

85 Crores, can I take this offline with you , because I think you are mixing up something.

Rahul Bhangadia :

Yes, I will take this offline. Thank you so much for answering these questions. Thank you very much .

Moderator :

Thank you. The next question is from the line of Akshay Doshi from InCred Capital . Please go ahead.

Akshay Doshi :

Yes, hi sir, thanks for the opportunity and congratulation on the good set of numbers. Sir, I had around three questions. So first question is that you had guided for TPV of 4 lakh Crores for the year -end FY2023 . In nine months, we were able to achieve around 2.75 lakh Crores . So sir going ahead, how confident we are to achieve the balance 1.25 lakh Crores , and also, if possible you can share the January numbers of TPV.

Vishal Mehta:

Sure, so if you look at our numbers for the last quarter, on a consolidated basis we do about 95000 odd Crores in transaction processing volume. So the question is that are you able to gap the 95 000 to 1 lakh Crores to 1.25 lakh Crores. Generally, we see Q4 being very strong in certain verticals and GeM being one of them, because a lot of buying, government buying happens in the last quarter. So we are tracking it up. If you look at just the normal transactions of applying Q3 to Q4, we expect that even Q4, so far has been very strong for us. So while we do not talk specifically about months , what we know is that today we are tracking to the number closer to 4 lakh Crores , and then, as and when of course like I said, the last three months for GeM typically are very strong months. So what you will see is that government spends a significant amount of capital in the last three months of the year. So we expect that, yes, you will see numbers which are closer to 4 lakh Crores. Today, we believe that we are tracking to that number.

Akshay Doshi :

Sir, my second question was like, what is the update on TapPay, like how many merchants have we on -boarded? How is the progress going on there and what is your target for the next financial year?

Vishal Mehta:

Yes, so I will start and Vishwas can add in. What we had communicated last time was that we would like to reach 100000 odd merchants by this year

year end, which is March 2023, and next year we would like to get to a million merchants. Which is 10 lakh merchants by end of 2024. So we have laid out our strategy in terms of how to achieve it. We believe that 1 00000 we will be on track to achieve by end of this year, which is FY2023 . You will start seeing hopefully, next year offline QR codes and many others, which is CCAvenue QR codes in offline payments. Because once we reach a critical mass of 1 million merchants then that is where wherever you see certain QR codes which are more UPI related, you will start seeing CCAvenue TapPay QR codes as well for merchants. So I believe that this year we will definitely reach 100 000 merchants , and next year we should be tracking for one million merchants.

Vishwas Patel :

I think it is a combination of both. CCAvenue Tap Pay as well as allowing our SDK. I do not know whether you are aware but even if we give out our SDK, which is the software development kit for someone to integrate into their existing payments, it requires a set of approvals from card networks. Because one needs to actually ensure that security has been taken care of, which is the utmost importance , and we know anyone and everyone who actually uses an existing payment provider can actually allow people and consumers to tap and pay. So we are happy to announce that we have been approved by card networks for our SDK to be integrated into existing payments network, which means that the million looks very doable for us for next year.

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Page 7 of 15 Akshay Doshi :

Sir my last question was on your gross revenue, so if I look at the quarterly numbers from Q2 to Q3 it has been reduced from 477 Crores to 415 Crores. So any reasons around that?

Vishwas Patel:

So essentially we have like 100 plus payment options various credit cards, debit cards, net banking and others. So credit cards, typically the usage, the MDR is high, merchants are more -and-more pushing towards net banking, and Master,

Visa debit cards and other options. Our earnings on credit card is less than what we earn on net banking and other options. So merchants have started pushing, even if you see on many checkout pages of websites, they are pushing up the debit options more so that their cost goes down, MDR cost is down. For us it is better if it moves towards net banking and debit cards and other things. So hence you will see that though the gross revenue has come down marginally to 415 Crores, but take rate and profitability has increased considerably this quarter. So even our take rate now has gone from 7.5 bps to 8.9, so our take rate and profitability has improved.

Akshay Doshi :

Thank you, sir. That was very helpful and all the best.

Moderator :

Thank you. The next question is from the line of Meet Rachchh from Anubhuti Advisors. Please go ahead.

Meet Rachchh :

Hi, thanks for the opportunity. So first question is in terms of the TPV guidance. So sir, what percentage of TPV do you expect coming from GeM portal in the guidance of 7 to 7.5 lakh Crores for FY2025?

Vishal Mehta :

So we believe that today, if you look into it approximately close to 1.6 to 1.7 lakh Crores comes from payments, and that is expected to continuously increase, in fact, we expect that payments will significantly be larger in the coming few quarters. But if you look at the perspective or forecast that we have developed, we think if it is 2 lakh Crores for this year, we will be conservative for the next two years and we expect that maybe that 2 will be 3.5. So payments will get to about 4 lakh Crores.

Meet Rachchh :

At the time of renewal of this contract, are we expecting any reduction in the take rate from 7 bps to, let us say 5 or 6 bps, considering the strong increase in volume of GeM?

Vishal Mehta :

Yes, absolutely. If you look at how the contract is structured there is

fixed and variable, this time around. If you

remember, last time when we bid for the contract, it was all variable. So in other words, there is a fixed component that comes every quarter post-deployment. So there is an amount that comes pre-deployment which is the onetime amount which is about close to 135-odd Crores and then there is post deployment amount that comes every quarter and then there is a variable component on-top of it.

So if you look at the blending of that and depending upon the number of transactions, the kind of transactions, one can make assumptions and come up with certain take rates. But we would expect that based on the volumes as the volumes increase, we have taken a very conservative approach. I am sure that there could be aggressive approaches as well, but we plan for a conservative set-up and we think that there may be marginal impact to the take rates that we get from GeM today versus what we will achieve given that the volumes will be higher. But it is slightly calculus formula, because it is based on number of transactions, the value of transactions, and a few other parameters.

Meet Rachchh :

The third question. Sir, can you please explain our revenue model in processing the digital Rupee transaction?

Vishwas Patel :

So as of now, there is no revenue model in the digital Rupee. It is just coming out. So just like now only test pilot period is going on and there will typically option is available across merchants and the volume comes in, so that kind of regime it is up to the Reserve Bank of India to put in a mechanism where there is some money to be made by the services providers who are going to activate this across the country.

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Page 8 of 15 So, right now, is just the test pilot. So it is like it is 32 lakh Crores of cash in the market. So this is the UPI movement to

disrupt cash. Right, so in a digital format it comes like in a notes currency it transfers, and in real-time a check-out mechanism is online, where we have enabled, how does the state pay cash to the digital Rupee. So all those mechanisms it is all quite innovative and let me tell you it is the first in the world right now. So going on to the MDR and this mechanism on revenue, it is too a little early, maybe the next one or two quarters, there will be more clarity on all the pricing, mechanism and even impact processes of charge-back, is another thing that will come in place.

Meet Rachchh :

Okay, thanks, sir. Thanks and thanks for the answering questions. All the best.

Moderator :

Thank you. The next question is from the line of Prakshal Jain from Lucky Investment Managers. Please go ahead.

Prakshal Jain :

Thank you for the opportunity. I wanted to ask that this change in transaction mix from credit base payment options to non-credit based payment options, which has led to lower gross revenues for us this quarter, so was there some special trigger this quarter because we are seeing, I mean, we have recorded lower gross revenues Q-on-Q for the first time this quarter. So was there some special trigger this quarter?

Vishal Mehta :

So thanks, yes, there was one figure, which is lot of competitors, they started giving portfolio rates to clients, portfolio rates, meaning a single rate across different payment options, and so whether your mix is X or Y that you get a single rate and there are several clients where the shot can add to it more, but the point was that there are certain take rates for credit is different than debit and other payment options, and so what has ended-up happening is that wherever the

payment options of credit it were lower for a merchant base it makes sense for them to start sending transactions there, and then we were perfectly fine with that approach, because obviously the rest of the volume came to us. Because we were better than those. So there is a slight impact

there. The second one as Vishwas said the merchants started pushing non-credit options because in credit, they would lose a lot more compared to other payment options so they are non-credit payment options. So for the merchant also, it made sense to start pushing the non-credit options because it is more lucrative for them compared to credit, and so combination of those two triggered the gross revenue a bit.

Prakshal Jain :

So just for clarification sir, on the first factor that you mentioned, you said that the volume came to us because we offered better rates to the clients and as compared to our competitors. Is that right?

Vishal Mehta:

When you offer a single window across payment options, so for the sake of argument based on the mix, you would want to if somebody approaches, let us say here is the single take rate merchants are smart enough, they will start sending the options where they are getting benefits and of course for non-credit based option even if we keep and maintain our same rates obviously they will prefer us. So I think, it was not about getting better rates, it is just a better option for the merchants to send volumes to us. That is one, and second is that merchants also have started pushing a lot of non-credit options to us, given that it is more lucrative for them to process those for customers compared to credit-based options.

Vishwas Patel :

Yes, just to simplify it. So typically, some of the competitors are offering a merchant rate of say 1.85% across all options the credit card, debit card, net banking and all those things. So 1.85% across merchants. Now, we typically use to give credit card at 1.92% and net banking at 1.25% at the rates that we have. Our earnings on net banking are anyway higher than what we used to earn on credit card. So what merchants started that to do, some of the bigger ones that we had, there credit card to add 1.85% to them, but all the net banking, which is to go earlier with the same, since we are at 1.25% and the other take rate carries at 1.8% for them, they started pushing all their debit options of net banking and others on to us. Hence, you see a spike in the volumes, you see a spike in the take rate, but yes gross revenue will come down a little bit. Because of the payment mix change.

Prakshal Jain :

Okay, all right, thank you for the elaborate clarification, thank you.

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Page 9 of 15 Moderator :

Thank you. The next question is from the line of Deepesh Sancheti from Maanya Finance. Please go ahead.

Deepesh Sancheti :

How much percentage of credit and non-credit volumes coming?

Vishal Mehta:

Credit is about 1/3rd about 33% to 35% percent and non-credit will be which is ongoing CI, debit card, net banking, etc.

Deepesh Sancheti :

Going forward, do we see these volumes of non-credit going, I mean, increasing?

Vishal Mehta :

So primarily, if you look, look India is a diverse society like unlike the people in the West who live off on credit, right India, China, and other Asian regions are more debit societies, where if you have money, only then you spend. You will not go overboard on credit and other things, right. So that is why the credit card off-take has been stagnant. If you see the overall credit card numbers also for every month it is always segment between 95000 Crores a month to 1 lakh Crores a month. So last three-four months it has been stagnant there, right. But the other side, the debit and others is growing massively. Net banking, debit cards, and other usage is growing massively. So that is the trend that you can look overall even from RBI figures also, right. So that is where it is there, but for us, it depends, if tomorrow credit makes a comeback and as youngsters and adults, go more in for credit, maybe the credit transactions will also do. From our prospective we are offering all 200 plus opt

ions credit, debit, net banking, wallets, SIs, EMI everything. So it depends on the customers, and merchants. We will track overall from a macro perspective, how the payment option changes, but yes, let us see. But it is something which is on the macroeconomic front, and how the payment option the consumers are choosing whether then on to us payment progresses, where we are just an enablers of this transactions.

Deepesh Sancheti :

And right now, what is the market share?

Vishal Mehta :

In what?

Deepesh Sancheti :

In this payment processing.

Vishwas Patel:

There are various ways to look at it, so credit cards for example, I already told you what is the kind of processing, we are doing. You can just compare that with the volumes that RBI gives out you will get a rough idea. We do not give out the entire mix, like how much is debit, how much is credit, how much is net banking, but our credit, like I said, is about

33%, 35% for the last quarter. The rest is debt, you can just take a look.

Vishal Mehta :

But if the numbers out that you add, we think that we are in, I mean, depending upon how you look at it, we only record what is processed, successfully processed transactions, and not necessarily transactions, which have been attempted, and in that we believe that we will definitely be in the 10% to 15% of the consumer to merchant side, we should be at least higher or almost there.

Vishwas Patel:

Plus we only count, the e-commerce volume. We do not count the payout. So I think some of the companies also count the payouts as their processing volume. So that makes it a bit difficult to compare between the companies.

Deepesh Sancheti :

And are we also planning to build platforms just like we did for Jio Mart? Are we planning for PVR, AJIO, which is part of Jio Mart or Tata Neu where these kind of places have, there is maximum credit card transactions, especially in the travel business?

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Page 10 of 15 Vishal Mehta :

Yes, we are like, if you see in our revenue a venues in hospitality more than I think 2500 are already using that platform, and with the new challenges of tokenization of cards non-storage of the credit cards and they are property management systems and others. So a lot of innovation and new technology is being built in and partnership with some of the biggest hotel chains in the country. That is with the hospitality platform. We also built a platform on the B2B perspective. Today, Hindustan Unilever, Bisleri, a lot of guys are using this entire vendor management along with their credit payments and other things, where there is card issuance as well as acceptance so card issuance platform it is something through our subsidiary Go Payments we are building. A lot of CUG, debit or credits have gone out for their systems.

So lot of as you said, if you see the whole overall our company solutions its payments and platforms. So it is like a horse and a cart. Both go together and pull each other. It gives us enhanced margin. This gives us stickiness with the merchant where new competitors cannot just give a one part of the solution and trying to take because of this is tightly integrated together between our platforms and payments.

Deepesh Sancheti :

Okay sir, thank you. Thank you so much.

Vishal Mehta :

For this, that could be in the hospitality solution that more than 1 million room nights in a year, bookings for our hospitality partners.

Vishwas Patel:

1.4 this quarter.

Vishal Mehta :

1.4 million room nights, 14 lakh room nights is what we have booked for our business for our hospitality partners including some of the biggest names.

Deepesh Sancheti :

That is in this quarter?

Vishal Mehta :

No, for the full year.

Deepesh Sancheti :

Full-year, okay. Yes, thank you sir. All the very best.

Moderator :

Thank you. The next question is from the line of

Ayushi, an Individual Analyst. Please go ahead.

Ayushi:

Hi, sir, congratulations on great set of numbers. Sir, I wanted to understand the breakup of other income, and because we can see that on a consolidated basis, like other income has reduced from 32.76 Crores to 13.3 Crores. So sir, what is the reason behind this decrease and what are our sources of other income?

Vishal Mehta :

Sure, so. Basically, last quarter we have talked about this. It was a one-time income last quarter. That was recorded, because of the mark-to-market on certain investments that the company has made, and that is primarily the reason why you saw the other income grow last quarter. This quarter it is interest income that we accrue. As well as the slight M2M gain that we recorded this quarter as well on our investment.

Ayushi :

Okay, okay, sir, and another side guidance of 110 to 125 Crores for FY2023, that is considered as other income or is it excluding the effects of other income?

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Page 11 of 15 Vishal Mehta :

Basically, we had given the guidance with the objective that we will attempt to actually achieve the targets without the

other income. We think that we see visibility on numbers within the 10% range. But again, like I said, Q 4 is typically a very strong quarter for us. So we are tracking it and we think across the board, the guidance that we have given for revenues are definitely on the higher -end for EBITDA will be in the higher -end of the range , and for PAT we will see how the performance is in Q4 and come back to you on this.

Ayushi :

All right and sir, the final question, how many cash pay s have we installed so far? And sir, in the management commentary in the beginning, you said we that are among the only few to process EDC transacting. So who else are in the market and what kind of competition are you seeing there?

Vishal Mehta :

Okay, let me get the first question. Can you repeat the first question?

Ayushi :

Sir, how many POS or like TapPay terminals or the LTE have been distributed? Sir have you tied -up with any major merchants and what is the update over there?

Vishal Mehta :

Right now, TapPay is mostly focused on the smaller merchants. So we have in this quarter, we already announced around 50000 to 100000 installations of Tap Pay done across the market and it is growing fast , and as I said it is revolutionary because it takes away the clunky point -of-sale terminal, which costs around 10000 to 12000. Here any kirana shop even in the deepest village of Manipur or Assam or Odisha can just go to the Playstore and download the app and start extracting payments on his own phone, the credit card, debit card payments on the customer payment scenario. So all those things perspective it is growing very fast and it just needs a little bit more push and training and other things that we are focusing on , and as we mentioned earlier, we aim to take it up to 1 million up to 9 merchants shortly. But even the bigger merchants a lot of things where we are working with hospitality, they were forward -looking can not say, but lot of high -end, good technology is being coded to make the use cases within the hospitality where they can live room, check-in, check -out instead of going to the counter and checking out to lot of delivery boys can have their individual Tap Pay thing where they can collect payments, when they deliver the goods instantly through credit, debit and other things. A lot of other things has been coded and being built. So it is evolving technology.

As far as CBDC is concerned, we have built a lot of high -end technology to enable RBI mission to make the CBDC, the Central Bank Digital Currency, the e -Rupee available right now. We have done a proof -of-concept with five or eight merchants where we did the first online CBDC transaction for retail payments in the country. So we

are the first

to do it. A lot of coding effort and lot of, since it is totally new in the sense that many aspects of this kind of currency option has not been given by the Central Bank. So it is a continuously evolution process and I think once all those processes and other things comes in place, it will really take -off. But right now, it is just in a pilot phase, and we are still working out on lot of modalities and lot of use cases and lot of enabling to make it as strong and as innovative as UPI for debit this kind of system that can disrupt cash. So it will take some time and effort, but we have been the first and we are still working and building a lot of new technology and use cases for this also. It will evolve in the coming quarters and we will see the growth, we will report it as well as also the press is also very keenly following it.

Ayushi :

Just to confirm. So, sir if we look at like the CCAvenue the app downloads right now , there are like 100000 downloads plus. So all those downloads are by small merchants only, right. There are not any big merchants over there?

Vishal Mehta :

There is a mix of both, mostly we are focusing on the smaller merchant, when there is an immediate need , and then definitely there are some middle merchants also. But as this thing will give out the client names in the coming quarters. Then you make bigger use cases and uptick and get deeper integration to the bigger names in the market.

Ayushi :

Okay sir, sir thank you so much for that comprehensive answer.

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Page 12 of 15 Moderator :

Thank you. The next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain :

Just wanted to understand the perspective regarding this payment aggregator issue where we are seeing that the competition is not getting the approval, but we have got the license, so any shift in the market -share is something that we might have observed and how you see the competitive landscape shaping up out again.

Vishwas Patel :

Vishwas here. So basically, look, we have been a long -term player over two decades growing this entire digital payments system, right , and we have done it step-by-step block -by-block, building compliances, building the next level of security, and even more importantly not being greedy in giving access to the Indian payment systems to the unstop less merchants, right , and many, we have seen many we have seen now where because of the complexity of this compliance issues or giving access to merchants to Indian payment systems there today now, RBI has told them to clean -up their act, right. So today, yes four of our biggest competitors cannot onboard any new merchant, as of now, as of today, and yes, it has impacted them. But it also shows to our shareholders that the value that we delivered on building the next level of security and the compliance that we follow a top -notch, that is why we are active and we displayed a record number of new merchants that we onboarded in this quarter and many of these comes because of

the reputation and the goodwill and the strong compliances that we have demonstrated to our RBI as well as all our banking partner and to our merchants, that is now paying off.

So yes, it does affect the market, it does affect many other players where they cannot onboard new merchants. So this is our long-term strategy of playing real long-term value-driven game, and it is paying off now.

Rahul Jain :

Yes, so of course, I understand the long-term aspect of it, which is very, very relevant. What I was also trying to understand is, anything, you know, it is likely from a near-term advantage perspective also, if we are able to onboard some relevant scalable merchant in the interim which could have given us the advantage of taking market share in the near term.

Vishwas Patel :

If you have seen, we have been c

onstantly doubling our TPV over the years. So we are not dependent on this opportunity, but on a long-term goodwill and other things that is there, right. Merchants do trust us and definitely the current onboarding of any new merchants by the four top other PG's is definitely helping the case, but we do not look at it that way as then opportunity in someone's despair. We stand by our feet, and I think 22 years is good enough time to develop an application where people and merchants do trust us, because this is ultimately money that we are handling and it is a record of 22 years, that it is every day thousands of Crores are paid out by us, and we have not a single penalty by any car company or RBI or anything. So that value system somewhere there is a premium and there is a credit given. So that is paying-off, and we will continue to grow that reputation and quality and technology and compliances that we always have been known for.

Vishal Mehta :

In the short-term, you may see it, you will see, if you look at the daily merchant addition averages, we used to have in Q2, we were averaging about 7000 merchants we have gone to 11700 from there on a daily average business. So the number of merchants who are signing-up for this has significantly increased. That is a small short-term blip that you will see because of this uncertain events and perspectives.

Rahul Jain :

Just last one clarification, and sorry if this has been a repeat question regarding the GeM, what we saw is one of your consortium partner has seen a revenue impact, because of the repricing on the volume-led basis, is that already factored in our revenues also or it is yet to add them?

Vishal Mehta :

It is factored in, absolutely.

Rahul Jain :

Sure, thank you so much. That is it from my side.

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Page 13 of 15 Moderator :

Thank you. The next question is from the line of Anil Nahata, an Individual Investor. Please go ahead.

Anil Nahata :

Thank you for the opportunity. The first question I have is that, Vishal can you give an update on the Trust Avenue initiatives that we had launched some two or three quarters back?

Vishal Mehta :

Sure, so the platform was launched for merchants to avail loans from banks and NBFCs. We had two different ideas of actually growing that framework up. Now, basically, the whole idea was a tech platform where we own a tech platform and there is a spread between give-and-take. So it is similar to what the DSA or a super aggregator DSA looks like from a revenue model perspective for us, and the two opportunities that we were wanting to build upon is our own merchant base and then working with a very large marketplace. Significantly, large marketplace, because finally, the market this has a lot more data and information about how to utilize the framework, so that we know when products and services are being offered that there could be factoring, there could be certain kinds of loans that can be provided to merchants. So we are actively working on building up the pilot for very large merchants to be able to utilize Trust Avenue.

So while we have launched it, I think the margin needle mover for us would be to be able to give out. Because this is a technology framework, and when you provided tech framework to maybe one of the top-five marketplaces in the country then potentially that will become a very interesting opportunity for us because automatically it gets to scale, and that is the one that we have been working on, and we will be talking about that maybe in coming quarters.

Anil Nahata :

So can you give us some sort of timeframe that you are looking towards the integration of course you said that you will talk more in the coming quarters...

Vishal Mehta :

Next, it will be in the first-quarter to the second-quarter of next year. So that is the timeframe when you can expect to hear from

us about Trust Avenue more.

Anil Nahata :

And secondly, about the tie-up with the bank site, the loan disbursement site.

Vishal Mehta :

Yes. There are many aggregations as well, and there is a lot of value chain that is associated with that. So generally speaking, when the volume is significantly larger than the economics of that changes significantly as well, and so I think it is a combination thereof. You must have seen some of the loan disbursements of other fintech companies and how they have worked out. We have taken an appropriately conservative view in terms of how to enable such activities. If you look at factoring of course, the spread is not as large as unsecured loans and I think fintechs and banks and financial institutions, they are somewhat getting acclimatized as well as not being shy about giving such loans based on data. So success rates across-the-board will improve, and I think given that you know a large market base can utilize it, it becomes a very interesting opportunity for us to be able to act as a technology partner in this. We have made it very clear, we are not putting up the balance sheet on this, and we will continue working like a TSP, which is a technology solution provider.

Anil Nahata :

The second question to Vishwas, why Tap Pay, in the last quarter I had a question as well. The key question that comes to my mind is, what is inhibiting the rapid scale-up of this? I mean, is it something that it is a technological limitation is a market learning issue or what? I mean, suppose if I want to take Tap Pay tomorrow can I go and take it from a business?

Vishwas Patel :

Yes, of course, you can. So we are live in that prospect. So you can download the app and even do online registration and start accepting payments. So that is live and I think we have almost 1000 merchants now who is doing back. The thing is any introduction of any new kind of acceptance mechanism, right for that it takes little time to push up. Word-of-mouth has still not started, right. The moment it picks up and moment when they see the convenience, the use cases Infibeam Avenues Limited
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Page 14 of 15 and other things, then it will take off like anything. So right now we are just working on lot of different use cases. Like

for example, let us say, if it is a restaurant and they have 12 delivery boys, so they can not have 12 point-of-sale terminals in their hands, right. But within one merchant account of the restaurant, can we have 12 user management's right with each delivery boy's mobile number mapped, so whenever they collect the payment the main account gets a notification that this payment has been collected and all that stuff.

So building on that, still it is continuous development, a lot of other things that is there, but rest assured, you all can see the benefits. Rs.12000 clunky point-of-sale terminal with battery issues and supplying printer rolls to say a Tier 4 city or town, deep out in village, deep inside a state like Manipur or Orissa, is much easier to just download the app and do everything on your existing phone. So those are all things that there, many used-case, you will see the qualification. It is just a matter of time. World has already recognized that contactless payments the Tap Pay is the future where all these existing terminals will be eliminated in the next two or three years. So we have the right trim. We are the only ones which are certified with pin-on-glass where transactions, any transaction above 5000, you can enter your pin on the phone of the merchant. So that certification exclusively with us, and pin-on-glass for higher or bigger amounts more than 5000 is only with us right now.

So all those things are there it is a matter of time, till it fully goes out. We will see a lot of deployments, where we are having an integrated solution where we put, not only the Tap Pay also, our

QR code along with our marketing efforts

now. In the coming few quarters, you will see a lot of traction and changes coming there, and we will be leading the whole effort of this contact-less payment in the market.

Anil Nahata :

So basically we can think about seeing some meaningful revenues coming on to this from Q2 FY 2024?

Vishwas Patel :

I think some of the revenues have already started. It is a merge thing because ultimately at the back-end it is still the CCAvenue Payment Gateway that is just the form factor. The Tap Pay is just a form factor. So you use the CCAvenue Payment Gateway, it is an Omni-Channel payment gateway. That means that you can use Tap Pay for your offline in the store, customer present scenario, you can use it for your own company app, if you have to collect payments in that, you can send out WhatsApp Payments Link, other things like that, you can use it on your website, along with the existing shopping cart and all those transactions are reflected into one CCAvenue Payment Gateway. So this is just another form factor that we have added, to specifically cater to this offline and other merchants, whom we were not catering all these years because we never believed in the point-of-sale terminal business, because that is very expensive difficult, and not revolutionary. This is something which is different and can disrupt the whole thing.

Anil Nahata :

Absolutely. I mean, that is why I think lot of participants have the question on Tap Pay, because this is really a disruptive thing. So if I can just ask you a question that, I know it is all ultimately aggregating into the payment gateway business, what kind of transactions, you are seeing on this and have we crossed a lakh transactions per day, some sort of order of magnitude that will give us an idea of...

Vishwas Patel :

As I said, it is a merge transaction I cannot divulge right now. So overall, on the transaction volume all these transactions are also reported. We are not segregating because as we said through the phone app the CCAvenue app which has Tap Pay you can send the payment link also, and the transaction will commence, and in that app only of them and others also there. So that with an intricate level of detailed reporting that these transactions for a particular merchant came via tap on phone or on their website or in their app, or through a payment thing or through QR code,

those details I think are too detailing to disclose. On the overall volumes, it is reflected, this is all I can say.

Anil Nahata :

Okay, thank you for that, and the final question on GeM I heard a previous participant asking a question that there has been some repricing on volume basis. Can we get the sort of idea on what kind of repricing has happened? And since then, this has been applicable?

Vishal Mehta :

If you are referring to GeM repricing, is that your question?

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Page 15 of 15 Anil Nahata :

Yes, right sir.

Vishal Mehta :

Yes, so. Fundamentally, what it means is that beyond a certain threshold of volume on a particular order that there is a capping. So in other words at a certain threshold of a value that, because if you remember and recollect, we had a variable fee, and so, in other words, if there are multiple orders for a single setup that you have done that it continues exactly the same way, but you know, for a very large order, there is a capping that government has introduced and that is the repricing that we talked about, and second is the G2G order, government-to-government order. So if there is any government-to-government order, then there is repricing on that. So, I think if I had to summarize the two impacts that you would see. There also a slight change in terms of the, if you recollect that beyond a certain volume that bps for the consortium goes down. So there has been a marginal change in that. But the two major changes are these two, and that has been factored in, in all of our revenues.

Anil Nahata :

And this has been applicable since like which quarter?

Vishal Mehta :

This has been applicable since the last two quarters.

Anil Nahata :

Thank you very much. That answers my question. All the best.

Moderator :

Thank you. Ladies and gentlemen due to time constraints that was the last question. I now hand the conference over to the management for their closing comments.

Vishal Mehta :

Thank you all for joining the Q3 investor call and we look forward to keeping in touch with you. So thanks again.

Moderator :

Thank you. Ladies and gentlemen, on behalf of Go India Advisors, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2023

INFIBEAM AVENUES LIMITED

Regd. Office: 28th Floor, GIFT Two Building, Block No. 56, Road-5C, Zone-5, GIFT CITY, Gandhinagar,
Taluka & District - Gandhinagar – 382 355, CIN: L64203GJ2010PLC061366
Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@ia.ooo | Website: www.ia.ooo

May 30, 2023

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai - 400 001 Company Code No.: 539807 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex, Bandra (East), Mumbai - 400 051 Company Symbol: INFIBEAM

Dear Sir / Madam,

Sub: Transcript of Earnings Conference Call for the quarter and year ended March 31, 2023

In compliance with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor/ Analyst conference call on financial performance of the Company for the quarter and year ended on March 31, 2023 conducted on Thursday, May 25, 2023, after the meeting of Board of Directors, for your information and records.

This transcript is also available on the website of the Company i.e. www.ia.ooo.

Kindly take the same on your records. Thanking you, Yours faithfully, For Infibeam Avenues Limited

Shyamal Trivedi

Sr. Vice President & Company Secretary

Encl .: As above

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"Infibeam Avenues Limited

Q4 FY '23 Earnings Conference Call "

May 25, 2023

Management : Mr. Vishal Mehta – Managing Director – Infibeam Avenues Limited

Mr. Vishwas Patel – Executive Director – Infibeam Avenues Limited

Mr. Sunil Bhagat – Chief Financial Officer – Infibeam Avenues Limited

Mr. Purvesh Parekh – Head Investor Relations – Infibeam Avenues Limited

Mr. B. Ravi – Independent Consultant

Moderator: Mr. Rajat Gupta – Go India Advisors

Infibeam Avenues Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Infibeam Avenues Limited Q4 FY '23 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchstone phone. Please note that this conference is

being recorded.

I now hand the conference over to Mr. Rajat Gupta from Go India Advisors. Thank you, and over to you.

Rajat Gupta : Thank you Andrew. Good afternoon, everyone, and welcome to Infibeam Avenues Limited earnings call to discuss the Q4 and FY '23 results. We have on the call with us today, Mr. Vishal Mehta, Managing Director; Mr. Vishwas Patel, Executive Director; Mr. Sunil Bhagat, Chief Financial Officer; and Mr. Purvesh Parekh, Head, Investor Relations. Also joining us on the call today is Mr. B. Ravi, who is advising Infibeam on corporate and financial strategy as an Independent Consultant. We must remind you that the discussion on today's call may include certain forward-looking statements and must be, therefore, viewed in conjunction with the risk that the company faces.

I now request the MD, Mr. Vishal Mehta to take us through the company's business outlook and financial highlights, subsequent to which, we'll open the floor for Q&A. Thank you, and over to you, sir.

Vishal Mehta: Thank you and good evening to all of you, and a very warm welcome to the earnings call of Infibeam Avenues. I hope you have all had a chance to go through the presentation, which has been uploaded on the site as well as the exchanges. For Infibeam, FY '23 has been a really iconic year. We've registered the best ever performance with a total income for FY '23 going beyond INR2,000 crores for the first time in the history of the company. Our transaction processing volume reached INR 4.5 lakh crores, upwards of \$50 billion during the year. If you compare year-over-year, the transaction processing volume has grown by 52%.

We've added 3.5 million merchants during the year, approximately 9,500 merchants every day, taking the total merchant count to 9.2 million. It's been a very successful year, which has led to an increased business. The company's EBITDA for FY '23 full year increased by 24% to INR 180 crores. And like-to-like PAT was up by 21% crossing more than INR100 crores mark for the first time. We are exceptionally delighted with the overall business performance.

Our strategy of having a globally winning combination of digital payments and a software platform with a wide variety of different payment options and mix has been very rewarding. Our philosophy of going after profitable revenue growth and our central focus on offering exceptionally robust technology to merchants and banks have really helped the company scale to new heights and we have achieved record milestones during the year.

The combination of payments and platform has aided us in gaining a very strategic advantage and a competitive advantage to stay ahead in the business compared to peers. You can refer to Infibeam Avenues Limited

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slide 14 in the presentation, which gives you slightly more details. We've invested across the payment ecosystem to offer comprehensive payment solutions to both merchants and the banks. We offer payment acquiring, payment issuance, remittance through Infibeam's CCAvenue, Go Payments and other investment in Fable Fintech. These offerings comprehensively cover payment industry, allowing us to build a very strong business and technology partnerships. We have extended our payment platform to manage payment infrastructure for top banks in India as well as in our international markets. This leads to a very strong

and long-term sustainable

partnership with these banks, providing us with a very good pipeline of merchants and a much better pricing. The same is evident from the growth of the merchant as well as the rise in the net take rate per transaction.

We have pioneered many industry firsts in the payment business over the last two decades. The company has maintained a very frictionless relationship with both banking partners as well as the regulators and the merchants since inception. The company's robust bank-grade technology makes it merchant and bank's preferred payment partner.

The company has also received two coveted licenses from RBI in payments. One, which is the in-principle approval to operate as the payment aggregator in India. And the second one, which is a perpetual license to operate as a Bharat BillPay infrastructure unit. This has helped us gain an edge in the digital payments industry by being able to gain market share in the utility space, where the company has made a lot of inroads in terms of gaining market share.

It also signifies to merchants and bank partners, of a robust, safe and secure payment platforms thus giving us continuous and consistent business. In fact, since the receipt of the license the daily number of merchant registrations have significantly increased, new banks have partnered with us to provide them the acquiring as well as the bill payment infrastructure. There is a lot more in the pipeline that we are working on. The company also has micro services architecture and software frameworks as we build and that allows us to build highly scalable technology frameworks. This has allowed the company to provide this e-commerce infrastructure to large merchants in both India as well as international markets.

Along with that, the company also offers e-commerce suite for merchants to jump start their online journey as well as host their data and offers a wide variety of value-added web services all under one roof. Our aim to build a very long-term scalable business, centred around offering rich technology experience to merchants by simplifying their online business requirements will lead to a superior business as well as shareholder value.

With this, I hand over the call to Vishwas to give you updates on the payments business.

Vishwas, over to you.

Vishwas Patel: Thank you, Vishal. Good evening, everyone. In FY '23, the payment industry continued its growth despite fears that the industry might see a slowdown. The payment industry grew by a massive 61% in FY '23, higher than the 56% growth seen in FY '22. The P2M, person to merchant payment industry size in FY '23 is estimated by us at around INR 74 lakh crores or

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around \$900 billion, which comprises of credit card, debit cards, PPIs, UPI P2M payments and net banking.

Various industry research, estimates the industry growth in the range of 20% to 30%. We have assumed a 25% annual growth rate for the next five years until FY '28 valuing the industry size to grow to around INR 225 lakh crores or approximately \$3 trillion, generating a revenue opportunity of over INR 1 lakh crores from the current estimate of INR 44,000 crores for the FY '23, a CAGR of approx 20% over the next five years.

The digital ecosystem is expanding and the total addressable market continues to grow; refer to slide 11. With increasing digital revolution, the role of digital payments will be at the centre. Infibeam Avenues aims to be at the centre of this revolution by providing payments across the board and be a preferred partner for the merchants and the banks.

Infibeam Avenues credits a substantial increase in total income to the tectonic shift occurring within the credit card commission space. The Payment industry is undergoing a significant transformation as it has been increasingly regulated. The implementation of govern

ment policies

to oversee the payment sector and protect consumer right has undoubtedly played a crucial role in managing the fair play in the payment space.

Added to that the VC and PE-backed payment aggregators are witnessing transformation as they are confronted with three formidable challenges. Firstly, funding winter; secondly VC and PE investors prioritizing profitability above growth; and thirdly, the company's payment business CCAvenue, which has consistently avoided offering such heavy discount and commissions, thus maintaining profitability since its inception.

During the year, we scaled up payment business in India and international markets. The India TPV increased 25% year-on-year, while international TPV doubled. In India, we experienced growth from the COVID-impacted profitable sectors like airlines, hospitality, entertainment, etcetera.

We extensively work with the banks to provide them a robust payment infrastructure with high SLAs to ensure seamless payment movement. We onboarded new banks. We work for better pricing with our banks. We raised prices up for merchants for our premium products and services as well as we invested in newer technology and expansion initiatives in India and international markets, like the launch of our mobile payment solution, the CCAvenue TapPay that converts any smartphone into a point-of-sale terminal.

The company's commitment to improve its unit economics that is a net earnings in the payment business is expected to increase to double digit in FY '24 and beyond and it's now starting to take shape.

All these initiatives that I mentioned earlier helped us in improving our unit economics in payment business to 9 bps in Q4 2023 from 6.3 bps in Q4 of FY 2022, which is up 43% year-on-year. All these initiatives will help us in reaching our double-digit net take rate target by the end of FY '24. Please note, our international net take rate is already in double digits, and contribution from international business in future will further aid our net take rate. Additionally,

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we scaled our express settlement business that is lending to the merchants who want early settlement of payment funds. This will further increase our net take rate per transaction.

In India, we have a 9% market share of online credit spends as per RBI data. Credit options, including Credit cards, EMI, BNPL contributed 52% to the India TPV in Q4 and 46% for the full year FY '23. We are particularly excited with the growth shown in credit card spend in April

and May 2023. Credit card spends in April '23 increased 26% year-on-year. The total spend in April '23 was highest compared to all the months of FY '22 except March 2023. We analyzed RBI data until 22nd May, and we are expecting 30% year-on-year increase in the credit card spend.

This can also be attributed to the rising number of credit cards, which has reached 8.7 crores in April from 7.5 crores in April 2022. Our online debit card market share is 7%, and we have estimated our net banking share at 3%. Given the number of payment players, including the banks, we think the market share in credit and debit card is commendable. It also allows us to earn good margins compared to UPI, which contributes only 7% to 8% of our India TPV.

We anticipate our payment income growth trajectory to continue going forward as we continue to invest in building superior technology solutions for merchants and banks, have a profitable balance of payment and industry mix within our TPV, build tie-ups with banks for providing them a premium infrastructure globally, continue to onboard new merchants, offline expansion through CCAvenue Tap Pay, the international expansion and undertake such initiatives to create value for business and for the shareholders.

I now hand over the call to our Chief Financial Officer, Sunil Bhagat, for his

quick comments

on the financial performance. Over to you, Sunil.

Sunil Bhagat : Thank you, Vishwas Bhai. Good evening to all of you. Throughout the year, we worked extensively to expand business activities through multiple business tie-ups to gain higher revenue share and improve operating performance to generate higher cash flows, which we can use for further business expansion. I'm pleased to state that in FY '23, the company has registered the highest ever total income of INR 2,033 crores, a 56% year-over-year increase. And sequentially, the total income went up by 81% to INR 674 crores, a very significant growth. Our annual transaction processing value was INR 4.5 lakh crores, an increase of 52% year-over-year. And the quarterly transaction processing value was INR 1.5 lakh crores, a growth of 61% year-over-year. Our gross take rate increased to 120 basis points in quarter four FY '23 on the back of 52% contribution from credit card payment options.

A high combination of profitable and high-margin credit and debit options has laid payment net take rate to improve 9 basis points in Q4 FY '23. That is up 43% year-over-year. With several initiatives in place, we are confident to take it to double digits by the end of FY '24.

With this performance, we registered an EBITDA increase year-over-year of 45% to INR 180 crores, and profit after tax increase of 63% to INR 136 crores for FY '23. On the cost front, with zero debt, we do not have large interest burden and the other expenses, be it employee costs or other administrative expenses have been kept under control, resulting in the above mentioned

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numbers. This has resulted in ROE of 7% in FY '23 compared to 6% in FY '22 and ROCE of 10% excluding goodwill. Buoyed by this performance, the Board has recommended a full year dividend of 5%. As we step into FY '24 and beyond, we will continue to pursue profitable growth.

I now hand over the call to the operator to open the floor for Q&A. Thank you very much.

Moderator: The first question comes from the line of Rahul Bhangadia from Lucky Investment Managers.

Rahul Bhangadia : Okay. Okay. Sir, first question, is there a methodology change in the way the TPV has been calculated? Because generally speaking your take rates and your net revenue, they generally match out with the TPV. But this time, the TPV is almost INR1.5 lakh crores, and you are saying the take rate is almost 9 bps. But the net revenue of INR92 crores doesn't match that. So just trying to understand the math.

Purvash Parekh: Rahul, this is Purvash here. So Rahul, our INR1.5 lakh crores of TPV is a combination of what we do as GMV on the GeM platform as well as what we process on the payments platform through the CCAvenue payments portal. So between the two, payment contributes roughly about INR 51,000-52,000 crores, and roughly about INR 83,000 crores comes from GeM. And then there are other platforms like BillAvenue and Go Payments, which are also our other business payment platforms. So our payment platforms have done the 9 bps that we have done in the quarter.

Rahul Bhangadia : And how about GeM then?

Purvash Parekh: GeM is on a per transaction basis, but we've also mentioned in the past that as the volumes keep increasing, there is a volume discount as well. And our MD had mentioned in the previous call that this year onwards, on the G2G transactions, there is no revenue for the MSP.

Rahul Bhangadia : Okay. So how do we model with GeM then? While we talk about the volumes going up and we have touched about INR83,000 crores in Q4 on GeM. How do we model the revenue on that particular line item?

Vishal Mehta: Basically, we'll need to give you some indication on removal of G2G transactions, which are not

remunerative. That's one. And I think overall, if you look at the perspective, I think there is a slightly

diminishing curve as you go through Q4 because in the beginning of the year up to a certain threshold for the year, the numbers will stack up. But once you exceed a certain amount and a threshold, then the overall bps go down. So there are slabs that are there. So what we can do is we can give you some indications of the slabs, and that may be a good way to model it.

Rahul Bhangadia : Yes. That would be really helpful. That would be really helpful. Okay. And the second question I had before I go back to the queue was I'm assuming, sir, this other income is purely all from the cash that we have on the balance sheet, whether it is interest or dividends or whatever it may be.

Vishal Mehta: Other income is mainly cash, Yes. And there is some mark -to-market and interest on certain securities held by the company.

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Rahul Bhangadia : Okay. But broadly, it is deriving from the cash, not operational at all -- nothing operational?

Vishal Mehta: Correct. That's correct. That's right.

Moderator: Thank you. Next question comes from the line of Gaurav Sharma from HSBC Securities.

Gaurav Sharma : So two questions. First is related to the -- you have seen that there is a slight decline in the share of platform revenues. So just wanted to understand like going forward, what will be the steady state of contribution from this segment? And also, if you can provide the steady state breakup of the payment contribution going forward for next two to three years, that is one.

And second question is related to your Tap Pay payment services. So just wanted to know what are your expansion plans on this? I understand that you have given the download targets of 1 million for FY '24, but how it will contribute to the revenues? And what will be the contribution against the various other services like QR Pay, LinkPay . So, what contribution it will have in these services? These are my two questions.

Vishal Mehta: Sure. So if we look at slide 7, where we've actually given some indications on the gross revenue on a segmental basis. And if you look at the platform revenues, of course, on a sequential basis, on an absolute basis, it has gone up but since the revenues, and this is net revenue, typically whereas in payments, we do have a gross revenue as well as a net revenue. So if you look at the sequential '22 versus '23, we have done about close to INR 170 crores. In terms of the platform it is more than what we have done absolutely in the FY '22 . So that's one.

And the second piece is that as far as the platform framework and business is concerned, we believe that we'll see, of course, improved absolute number this year compared to last year as well. There's about a 6% to 10% increase from year -over-year. We believe the platform has a lot more capability to be able to offer to more clients. We have built out quite a bit of service architecture this year and reengineered to be able to offer to more clients. And so we believe that there will be some level of expansion that you would see this year compared to what you would have seen year -over-year from '22 to '23. So that's the platform story.

I think as far as the payments question is concerned -- payments, of course, because of the growth in the payments which we have seen, which is exponential because sequentially, we have seen more than a 50% jump. We believe that in percentage terms, the platform revenue will, of course, be lower because today also, if you look at the platform revenue, it's up 15 % of the overall revenue because it's net revenue versus gross the one that you're comparing to. But in payments, Tap Pay is going to be a very important part of what we will be offering to our clients. Currently, we still believe that we'll go after the 1 million odd merchants that we would offer Tap Pay solution to.

We think that in the next three to six months, you will start

seeing certain merchants that you

would be transacting with on an offline basis to utilizing the Tap Pay solution from us, which is CCAvenue Tap Pay. Of course, we've got plans aligned to be able to offer it to about 1 million merchants because that will give us a combination of online and offline. We have not segmented our numbers yet.

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We have not communicated how much we are generating out of Tap Pay. But we believe that once we get to a certain scale and size, we will provide more information on how much Tap Pay is providing to us. But to your question, 1 million merchants is definitely what we are targeting this year. And we hope that maybe in the next quarter, the quarter after, at least you would have

transacted through merchants who you see CCAvenue Tap Pay.

Moderator: Next question comes from the line of Mayur Liman from Profitmart Securities.

Mayur Liman: Congratulations on a great set of numbers. I just want to ask that recently you have entered into the strategic partnership with PayPal for global payment acceptance. Can you provide more details in terms of how would this partnership help us scale our international business? And what would it mean for our business growth in those geographies?

Vishal Mehta: Okay. Vishwas here. Okay. We have tied up with PayPal for allowing PayPal as a payment option in the markets of UAE and Saudi Arabia, where we are present. We dominate the UAE market, but the payment options are limited to Mastercard, Visa, American Express and local net banking there. PayPal is an additional option where on every transaction we will have revenues, but you understand the MENA region, specifically UAE, there are a lot of foreigners or expats who live there, and they necessarily have PayPal accounts from their home countries there. So this kind of tie-ups help us increase the bouquet of payment options that we can offer to the merchants and earn on every transaction that we can do. PayPal has around 700 million, wallets across the world. To be able to pay to our UAE merchants, those are additional payment options. Of course, transactions will scale. We don't report payment option-wise numbers, but it will count in our overall transaction growth in that region.

Mayur Liman: Yes. Okay. And second one is lastly just wanted to understand that in six months of launch, we have only onboarded 150,000 merchants. What makes us confident that we will achieve the 1 million in financial year 2024? And what are we doing to tap and onboard another 850,000 incrementally?

Vishwas Patel: Okay. So Vishwas here. We have seen exponential growth across merchants in India, right? And if you've seen, we have onboarded an average of more than 8,000 merchants every day, including the TapPay merchants and online merchants. This is particularly because RBI gave out licensing. And we are considered the gold standard in payments, just like what HDFC Bank is in the banking sector, we have a premium on it. And secondly, most of the major PGs were not able to onboard online merchants. So the load was so much. So the focus, again, went into onboarding all these merchants.

In TapPay, you'll see increased adoption in the coming months. We already have feet on ground through our subsidiary company, Go Payments. And through that, we are going to be able to scale it to 1 million merchants. I think the numbers will come. As of now, if you see they're already 2.5 lakh app downloads of Tap Pay in the market. So it's growing significantly. We're pretty confident in the next two or three quarters, we'll achieve the 1 million number.

Vishal Mehta: To add to what Vishwas said, we have also opened up our SDK, which is the software development kit. So in other words, you can use whatever payment options that you want, but Infibeam Avenue Limited

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Tap will only h

appen through us. And that also requires a huge set of licenses and approvals from card payment networks, which I think we are one of the only ones who have it in the country. So if you open up the SDK, you don't have to replace the payment gateway. So of course, first initial part would be to offer it as a bundling solution with our payments. And then we'll also have an option to open up the SDK so that any merchant can enable Tap onto any of the existing devices that they have.

Mayur Liman: Okay. And sir, just you have already achieved the INR4.5 lakh crore in FY '23. How do you see the FY '24 TPV movement and take rates? And also how confident are you to get the GeM renewed given the latest development as that will also define the TPVs in coming years?

Vishal Mehta: Sure. So as far as our growth is concerned, we are still seeing very strong growth in April and May of this year. Year-over-year, we are looking at more than a 40% growth, 40% to 50%. So I think so far, the business looks strong. And of course, we'll keep on updating you in terms of how that rewards us. But Yes, we expect that we're targeting a growth of about 40% year-over-year this year. That's one.

And as far as GeM renewal is concerned, we made certain voluntary disclosures. We are currently not an MSP. We are part of a consortium in GeM. GeM is a national procurement portal and of national importance, in which we are not the main service provider currently. We are a consulting partner. We bring our expertise on software components and in specific, the whole e-marketplace framework for the GeM implementation. This implementation was for a period of five years and it can be further extended to two more years. So basically, from the go-live, we have until December 2023, and that engagement will continue and it can be extended for two more years. Now the new GeM RFP, which you are referring to, that has come out, gives 18 months for someone to develop a completely new framework from scratch from the time of award. So we expect that even if the new RFP is out there, it will take 24 months for a new framework to be established, from now. And that gives us enough reason to believe that up to

December 2025 we will have a lot of work to be done for GeM. So that's the first part. And the second part is that while we have provided that in our clarification in terms of the status of the bid to become an MSP because, in the past, for GeM implementation, we were not an MSP. We were a partner vendor. Similarly, in the new GeM RFP we had applied for being a MSP, which we have disclosed as part of our voluntary clarification that we are not in that race. So we will pursue the opportunity to continue being a provider to the new MSP or we will look at the options of responding back to GeM in terms of being able to qualify us to become an MSP. But at this time, we don't have more information to provide to you. So in a nutshell, we believe that for the next foreseeable couple of years, we will have a role to play in GeM no matter what the outcome is.

Moderator: The next question comes from the line of Pranay Jain from Deal Wealth Securities.

Pranay Jain: Over the next two years, what is the improvement that we are penciling or aiming in the net earnings per transaction from 9 basis points that we've exited in Q4? Can it be mid or high teens, say, by FY '25?

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Vishal Mehta: We've publicly communicated that we will look for a double -digit by end of '24. I think the payment industry, like Vishwas had mentioned prior to Q&A, it's going through transitions, established companies and funded players, they are looking for profitable growth now, which has always been the DNA of our company since the inception. And because of that, I think that's one dimension of why take rates are improving.

Second dimension of our take rate improvement will

be Tap Pay because we believe that offline transactions where card is present has a different take rate compared to online transactions, given that the risk profile is different.

And so a combination of those two, we believe, will have a good impact in terms of how take rates will improve; we've seen quite a bit of progress. While competition has been extremely heavy and funded players would want to take up business even at a discount, we have always maintained our position that we will take profitable business and grow. So if you continue that path, we may be able to achieve what we were talking about, much earlier than that.

Vishwas Patel: And to add to what Vishal said, the international processing like in UAE, we are doing in excess of around AED 10 billion, that's already in double digits and international business will also continue to grow, which is already a double -digit net take rate.

Pranay Jain: So on a blended basis, I mean at 9 basis points if you are exiting Q4, double digit is around the corner. I was looking if we have an aspirational number, say, two years down the line? FY '24, I've already understood, but given our investments in infrastructure and all the partnerships, I'm sure we would have some more visibility for FY '25. I was therefore looking. Do we have a range at least?

Vishal Mehta: See, in international, we will do 15 bps to 18 bps, easy. And so I think that we believe that because of the funding arbitrage where India is somewhat discounted by many of the players, which is coming to rationality, that would be a good aspirational number to go with.

Pranay Jain: And with regards to the government thrust on, let's say, the RuPay card and how the MDR dynamics are, how do you foresee the growth of RuPay cards and possibly lower revenue from that versus other merchants like Visa, Mastercard and so on and so forth? So as a market and as a player, how are we understanding this?

Vishwas Patel: Okay. So from RuPay credit card perspective, RuPay credit card has the same MDR or the earnings that is there from a Mastercard and a Visa credit card. So that is sorted and that's where the government focuses. As far as RuPay debit card and UPI is concerned, today, both are under zero MDR. And the government is now paying the MDR on behalf of the merchant. So there is earnings that will come in for processing UPI and RuPay debit card. If you have seen other players already now booking that payment that is coming from the government. Till today, we have not claimed those, but we will be claiming in the coming quarters the MDR that the government incentivizes to process RuPay debit card and UPI.

Pranay Jain: Okay. So the framework from government side is pretty clear for us to claim. There is no ambiguity on that front you're saying.

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Vishwas Patel: There's no ambiguity. The government had sanctioned INR 2,400 crores for this financial year as incentive for processing UPI and RuPay debit cards.

Pranay Jain: Okay. That gives quite some clarity. And with regards to international business, while you have

given a range, I just wanted to understand what more partnerships like PayPal are we looking at in other geographies, whether it is Australia or MENA or U.S. for that matter because you have indicated in your road map that more geographies are being actively considered. So other than our direct presence, what other kind of major partnerships would we be working on?

Vishwas Patel: Okay. Yes. So for every country has its own sets of domestic payment options and international payment options. So right now, when we go into Saudi Arabia, 'mada' is the payment network there, which works for all the local debit options. So that partnership is already in place. We're working on the last bit of certification. Similarly, Australia has its unique and lots of local domestic network

players as well as BNPLs like Affirm and others.

So the local partnerships in each market will continue, like in India, we work with almost 200+ plus payment options that includes almost 100 net banking options, credit card, debit cards, all kinds of wallets of Paytm, Airtel Payments Bank, to lots of, buy-now-pay-later like Simpl and many others. So those partnerships will continue. And for us, we are intermediaries. The more options we offer to our merchants for them to offer to their customers to pay, we make money on every transaction.

Vishal Mehta: To add to what Vishwas said an aspirational partnership would be something like an Apple, in international territories.

Moderator: Next question comes from the line of Meet Rachchh from Anubhuti Advisors.

Meet Rachchh: So first question is in terms of gross revenue from platforms so if I look at Y-o-Y growth, it's only 6%. That revenue has grown from INR160 crores to INR169 crores while our GeM TPV has almost doubled from INR 1 lakh crores to INR 2 lakh crores. So what is the bridge to this? I understand that majority of the gross revenue from platform business is via GeM portal.

Vishal Mehta: Correct. So two things. One is that there is some G2G contracts, government to government contracts. So the government to government contracts, they are not remunerative to the provider.

And so that is one. Second is that there is slab-wise diminishing curve. So what that means is that as you process more, the revenues will not be the same. And what we'll do is we'll attempt to actually share that information with you as well so that it gives some more clarity in terms of how this can be modelled.

Meet Rachchh: Okay. So out of INR 200 lakh crores, how much will be from G2G contracts?

Vishal Mehta: I will double check if the client provides the specifics, but we'll find out a way to communicate that information in some way, which is compliant with the client disclosures.

Meet Rachchh: Okay. And one thing, in some previous question, one of the management members has said 40% Y-o-Y growth in FY '24. So I missed that part, what was that about?

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Vishal Mehta: In May and June of this year, we have seen a 40% growth vs the same quarter last year. So we continue to track it -- we are seeing traction -- 40% growth in revenues and transactions with the same quarter last year.

Moderator: The next question comes from the line of Pranay Jain from Deal Wealth.

Ayushi: So basically, I had two questions. First, Sir, you said the GeM license there is a possibility that it gets extended to two more years. Right now, we haven't really complied with the qualification according to the e-procurement site. So if the GeM license gets extended for two more years with similar terms and the engagement is extended to December 2025, but Sir, after that point, the major contributor to the platform business will cease to exist for the company. You did mention that we'll probably be a service provider, but I wanted to understand in what capacity? And what kind of hit will the company's profitability take once the GeM license expires? Because, Sir, currently the platform business contributed INR 169 crores of revenue and INR 76 crores of profit. So Sir, how much of this contribution is from GeM and how much is contributed by other platform? Sir, I know that you said that you probably wouldn't share the bifurcation right now, but Sir, we need to know as investors because it is a big contribution to our profitability and without that, we are left uncertain.

Vishal Mehta: Sure. So the reference that you made to -- in terms of our voluntary clarification of the bid was about us being part of -- us being an MSP, which is the main service provider. So to my clarification on the earlier question, today also in our current GeM contract, we are not an MSP and we

aspirationally wanted to apply in terms of being an MSP, which is where you are seeing the public procurement portal says, what it does.

And we have of course reached out to the client for a clarification on the same. Having said that, that does not preclude us from being part of a partner consortium, which means that we will look at the opportunities that are available for us post '25, whatever the decision may be in terms of participation in GeM.

The second part of your question what could be the impact post '25. See, the thing is that the framework that we've also started building up on is extremely robust. In other words, we have many other clients who have approached us in the past as well to be able to take our services. And so depending upon what the outcome is, we don't believe there will be a significant change in terms of the opportunities available to us with or without GeM. We will track it. We will communicate what we are going to do in terms of participation.

I think there are many international clients, given the scalability of the platform, the service orientation of the framework and the opportunity to open up APIs so that you can build out in the way you would want, we feel that there could be significant opportunities, perhaps some of them even more remunerative in certain cases than what we have right now. So we will evaluate our options and keep you updated. We don't expect a sudden change in terms of how we get compensated in terms of our platform business with or without the award. So we have certain options that we have thought through in place and we will be changing and updating clients and communicating as and when required.

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Ayushi : Okay. Sir, just as a follow -up on that, basically, can we take the capabilities that you've developed for GeM to other countries and other clients, is that possible?

Vishal Mehta: So of course, it would be a different framework, not the GeM framework. But to answer your question, I mean, can we actually build out complete micro services architecture framework and give it to some other country? Absolutely yes.

Ayushi : Do you think there is a lucrative an opportunity in the MENA markets that you are currently exploring a lot?

Vishal Mehta: I won 't go specific, but we see an opportunity both on countries and clients, large conglomerates.

Ayushi : The TPV guidance of INR 7.5 lakh crores by FY '25, will that change considering that we have like GeM that is like diminishing revenues from GeM, as you mentioned?

Vishal Mehta: Currently, we don't see that changing. So we think that we -- the opportunity is in front of us in both international markets are significantly large. So we will pursue them, and we don't see that number changing as of today.

Ayushi : Okay, sir. Sir and my second question is regarding a news article that was published in the Economic Times about basically Vavian International may offer around 25% of its equity stake and will be probably raising \$25 million to \$50 million. So I wanted to confirm the validity of this piece of the news.

Along with that, I wanted to understand like what do you think about the valuation? Because if you are raising around, say, \$25 million to \$50 million, that is at around INR 260 crores to INR 410 crores approximately. So if you think that is a fair value for the subsidiary , so if you could shed some light on valuations as well as like plans for future?

Vish al Mehta: See, our international business specific, our UAE business has grown significantly. We are number 2 in that region. We processed more than AED 10 billion on an annualized basis across more than 6,000 clients. And of course, we believe that with the Tap Pay Solution also opening up internationally, we can add tens of thousands of merchants in that region. So of course, that there's a separate entity and they can answer

for certain other questions much better. What I can tell

you is that they would be looking at growth opportunities from time -to-time even investment opportunities from time -to-time. And I think that's how much we can talk about at the moment.

Ayushi : Okay. And sir, just the last question I had. Last time I had asked the question to Mr. Vishwas about the patents that we have filed regarding Tap-on-Phone former payments. At that time, you had mentioned that you did not have an update on the applications that we had made. So I wanted to enquire if you have an update as of now because it 's been like a complete quarter?

Vishwas Patel: Yes, Vishwas here. So you are talking did we upload the patent for Tap Pay, right?

Ayushi : I think the patents were filed for paying on the customers mobile, like a customer can pay on their own phone for the e -commerce transaction. You can correct me if I'm wrong, but this is as per my understanding ?

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Vishwas Patel: Yes, I think I have to confirm with my legal, but I think the patents that we were talking about has been filed, but it stands for confirmation. I right now don't have insights but our team were filing patents around 6 or 7 months back. I don't have patent update for that application.

Moderator: Next question comes from the line of Krishna an Individual Investor.

Krishna : Yes, it has been answered. Thank you.

Moderator: Next question comes from the line of Chandan Singh, an Individual Investor.

Chandan Singh: Okay. So I just wanted to know, sir, that though we have been talking about a lot in terms of percentage in transactions and money being made and into various geographies we are expanding. But as an investor, I do not see that it is getting transformed into stock price rising in the market. Do you think there is any reason associated to it or do you think there's any perception which has been built over the past and that's the reason it's not really picking up well?

Vishal Mehta: I think what we do is we control the inputs into what we do. In other words, we control the business and we control what we drive in terms of our goals and numbers. And we can talk very fluently about those businesses. As far as the market and the market dynamics are concerned, in the past, we were the opening batsman. We did not have peers, now there are peers like Paytm one of the fintech companies.

And as more fintech companies come in, there will be more understanding of the market and of the business and the scalability will perhaps create more understanding within the community in terms of how to think through such companies.

So I think that if you look at how fintech has done overall, I think that we're looking at the private markets versus how public markets are traded. We definitely think that there is a big gap, how private companies get valued compared to publicly-traded companies. Having said that, we think we will continue to focus on execution. And that execution focus will lead to shareholder value. But I think we don't find a specific one particular reason. We think that as long as we can keep on executing, you must have looked at our performance for last year, for the first time, for a company of the size and scale that we operate, getting to total income of INR 2,000 crores is a big achievement, we believe.

And even this quarter, we are seeing strong numbers, we see more than 40% growth quarter-over-quarter compared to last year. So, I think we see the year being strong with our focus on international markets, because international is a single-digit percentage of our overall number. We think that international can have the potential to be at least 25%, 30% of the overall transaction processing volumes. So we think that we'll continue focusing on that.

And with Tap Pay being a very large opportunity to be able to reach out in the physical world,

we think that '23, '24 is a year where you would want to walk into a shop and you would see CCavenue Tap Pay as one of the payment option. I think if you are able to achieve those specifics, we believe that we'll deserve the investors through execution and that the value will also show up.

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Chandan Singh: I got it, sir, but I personally feel that some kind of attention is not paid in this area this is not really going to progress. I definitely believe that you're putting a lot of hard work on execution, but we also need to monitor what is really happening in the external world. Whereas I can see that there are many companies which I see post a lot of information to SEBI websites and they keep on coming out with updates, which really helps the share value grow in a better way. So I think some of your marketing team needs to concentrate in this area as well. Otherwise finally down the line, if it keeps dwindling down, you would not be able to raise a lot of money from public if required?

Vishal Mehta: Sure, it's good feedback. We'll take that.

Moderator: Next question comes from the line of Ayushi an Individual Investor.

Ayushi: Yes, sir. Sir, basically, my follow-up question was that as you had given guidance earlier, so I wanted to understand what are your projections based on profitability, volume of transactions in that space for the different segments that we have been looking at for FY '25 FY '26.

Vishal Mehta: Yes. So Ayushi, what we have done so far is that we are tracking a 40% growth in the first two months of this year. And maybe in the first quarter, we'll be having more information to share with you. But I think we would definitely look for a 40% improvement year-over-year across our metrics for this year.

Ayushi: But sir, 40% in each metric?

Vishal Mehta: The metrics that we talk about is typically the revenues, EBITDA. So we believe that if you are able to track to that number, then I think we will be able to, at the end of the quarter, we'll have much better guidance for the full year. So we'll keep you updated, but Yes, we'll be looking at a 40% growth year-over-year.

Ayushi: Okay. And sir, can you throw some light on regular operating expense increase that we had, [inaudible 0:56:57] increase in operating expenses, what exactly did we use this for? And sir, currently, as you mentioned that some of our competitors such as RazorPay are not onboarding new merchants. So I wanted to understand what you're doing about customer stickiness? And sir, I wanted an update from you about the NUE license that we are applying for. There has been no update on your end about what happened to that consortium?

And like are we going on and like are we applying? I think there were some news about RBI not continuing with the NUE applications at all because we didn't repeat any good quality applications. So what is the status about NUE specificity? And where do we stand as a company? Are you looking at other consortiums or how do we go about it? Please throw some light on the NUE part?

Vishwas Patel : Okay. Yes, so from the NUE perspective, officially, none of the players have heard anything from RBI . They have communicated there were 7 or 8 consortiums to put up the application, and these are some of the best, not only in India but from global scale . And everybody from Reliance to Tata's to even international big tech and everybody has participated and put in a lot Infibeam Avenue s Limited
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of effort. So of those 7 or 8 applications till now RBI has not officially communicated any thing nor called anybody for any presentation or anything.

One or two comments by some of the RBI officers is what we hear from the press. But unless and until at least we are hear from RBI, until then we can 't comment on the NUE application that i

s there . So I believe NUE is a very progressive step by RBI and a lot of players have put in a lot of effort to build a network which is like Visa and Mastercard . And can help India gain that global domination. So that's part of the NUE update that I can give at this juncture.

Ayushi : So sir, you basically are saying that the person that mentioned on the press release is not to be relied on as of now because that is unofficial communication.

Vishwas Patel: As I said, so w e have officially submitted with a lot of paperwork and a whole lot of effort have gone over a couple of months with the four consortium partners , Reliance Industries, Facebook and Google. And we had applied officially to RBI. Sim ilarly 7 other consortiums were there. Till now on that application, neither has been called for any hearing nor any response from RBI on that application until now. When we formally hear, we'll definitely communicate to you what is happening.

Ayushi : Okay sir. Sir, and the reason behind why GeM wasn't considered like basically your applications as per for the MSP position in the new GeM RFP why we weren't considered, some news articles mentioned that we didn't have a particular CMMI report , a certifica tion for IT projects. So is that the reason or can you throw some more light on why we weren't selected. Is there any incompetencies on our end?

Vishal Mehta: There were a lot of prequalification criteria to being an MSP, and t hat is being a main service provider. You can be a partner and a vendor, but there were a significant number of criterias for companies to be able to become an MSP. And as part of being an MSP, there are certain specific requirements that had to be met. So I think short of actually going and saying that we've submitted our positioning. Today, also, we were not in MSP in the current consortium. But aspirationally, we wanted to look at potentially being an MSP, and that is a clarification that we have issued on a voluntary basis to all. So we have made the representation, so we don't have too much to share beyond that at the moment, Ayushi.

Ayushi : Okay. Sir, I actually wanted to congratulate you on the fact that all the guidances that you have been given so f ar has been , actually, they have been met with these results that you just posted. So sir, I wanted to know your profit guidance for the next year.

Vishal Mehta: So Ayushi, I think that we will be able to provide much better guidance in the first qu arter for this year but we believe that a 40% growth on revenues and perhaps even in certain cases, EBITDA is possible for this year, which is what we target. But the exact guidance we'll provide after the first quarter.

Moderator: Ladies and gentlemen, th at was the last question for today. We have reached the end of question - and-answer session. I would now like to hand the conference over to the management for closing comments.

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Vishal Mehta: Thank you, everyone, for joining our annual call and we look forw ard to having all of you participate in our first quarter. Thank you.

Moderator: On behalf of Go India Advisors, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

INFIBEAM AVENUES LIMITED

Regd. Office: 28th Floor, GIFT Two Building, Block No. 56, Road-5C, Zone-5, GIFT CITY, Gandhinagar,
Taluka & District - Gandhinagar – 382 355, CIN: L64203GJ2010PLC061366
Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@ia.ooo | Website: www.ia.ooo

August 11, 2023

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai - 400 001 Company Code No.: 539807 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex, Bandra (East), Mumbai - 400 051 Company Symbol: INFIBEAM

Dear Sir / Madam,

Sub: Transcript of Earnings Conference Call for the quarter ended June 30, 2023

In compliance with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor/ Analyst conference call on financial performance of the Company for the quarter ended on June 30, 2023 conducted on Tuesday, August 08, 2023, after the meeting of Board of Directors, for your information and records.

This transcript is also available on the website of the Company i.e. www.ia.ooo .

Kindly take the same on your records. Thanking you, Yours faithfully, For Infibeam Avenues Limited
Shyamal Trivedi
Sr. Vice President & Company Secretary

Encl .: As above

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"Infibeam Avenues Limited Q1 FY 24 Earnings
Conference Call"

August 08, 2023

MANAGEMENT : MR. VISHAL MEHTA – MD, INFIBEAM AVENUES
LIMITED

MR. VISHWAS PATEL – EXECUTIVE DIRECTOR ,
INFIBEAM AVENUES LIMITED

MR. SUNIL BHAGAT – CHIEF FINANCIAL OFFICER ,
INFIBEAM AVENUES LIMITED

MR. PURVESH PAREKH – HEAD, INVESTOR
RELATIONS , INFIBEAM AVENUES LIMITED

MR. B. RAVI – INDEPENDENT CONSULTANT

MODERATOR : MR. RAJAT GUPTA – GO INDIA ADVISORS

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Moderator : Ladies and gentlemen, good day and welcome to Infibeam Avenues Limited Q1 FY24

conference call hosted by Go India Advisors .

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajat Gupta from Go India Advisors. Thank you and over to you sir.

Rajat Gupta: Thank you, Salvin. Good afternoon, everyone and welcome to Infibeam Avenues Limited Earnings Call to discuss the Q1 FY24 Results .

We have on the call with us today , Mr. Vishal Mehta – Managing Director, Mr. Vishwas Patel – Executive Director, Mr. Sunil Bhagat – Chief Financial Officer and Mr. Purvesh Parekh – Head, Investor Relations. Also joining us on the call today is Mr. B. Ravi who is advising Infibeam on Corporate and Financial Strategy as an Independent Consultant.

We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risk that the company faces. I now request the MD, Mr. Vishal Mehta to take us through the company's business outlook and financial highlights subsequent to which we'll open the floor for Q&A. Thank you and over to you sir.

Vishal Mehta: Thank you and welcome to Infibeam Avenue's first quarter FY24 earnings call. I'm very excited to present the outstanding quarterly performances of our business .

I'd like to share that some of the achievements that have cemented our position as a trailblazer in the digital payments industry. Last quarter we achieved the highest ever gross and net revenues. Gross revenue was INR 742 crores which was up 77% year-over-year while the quarterly net revenue is about INR 99 crores. Adjusted or excluding the mark -to-market loss which is included in other expenses, consolidated adjusted EBITDA was INR 56 crore, up 31% YoY while adjusted PAT was INR 32 crore, up 40% YoY.

Our profitable revenue business strategy has shown successful results and we should be very confident of being able to create better value for our shareholders going forward. I'm also very confident about achieving this year's guidance that we have shared with you in our presentation on slide #8 of the presentation and in our press release. We think that this is achievable, and we should be able to set the path for our next level growth and instill confidence in the shareholders. We expect revenues to come in between INR 3,000 to INR 3,300 crores which is the gross revenue and net revenue for the year at about INR 410 to INR 415 crores. Gross revenue growth will be about 50% to 70% year-over-year whereas net revenue will see anywhere between 25% Infibeam Avenues Limited

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to 27% year-over-year growth. The EBITDA that we expect for this year will be between INR 230 to INR 235 crores, which will see an increase of around 30% year -over-year, and PAT between INR 130 to INR 150 crores, which is about 40% to 60% year-over-year increase. Over the past few quarters, our company has experienced an unprecedented growth in our payments business. Our relentless pursuit of excellence and innovation has allowed us to capitalize on the ever-expanding digital landscape revolutionizing the way merchants conduct business transactions. One of the key highlights of our performance has been substantial increase in merchant adoption for our digital payment gateway, CCAvenue . Yet again this quarter we added on an average 9500 merchants daily and now we have 10 million merchants. We've seen a surge of demand for our TapPay solution that we launched about two quarters ago. Thi

s surge

is a testament of the trust and confidence that our solution is optimized for the experience that merchants request and our payment gateway as well as our brand is a gold standard in the payment gateway business .

At Infibeam Avenues , corporate governance lies at the heart of our business conduct. We strongly believe that adherence to ethical principles, transparency and accountability are essential pillars for our long-term success and trust. Our commitment to strong corporate governance permeates every aspect of our business, fostering a culture of trust and reliability that resonates with all our clients and stakeholders.

We've made certain leadership appointments as we evolve our business. Vijay Subramanian, who has been with the company, has been appointed in the role of CEO for our platform business. Vijay comes with a degree from IIT Madras (Chennai) , and he's worked at Amazon after doing his Masters in Urbana -Champaign and he's worked on several of the key projects at Amazon prior to joining Infibeam. He will now lead the entire platform business for our company in taking it to the next phase. Vishwas Patel , who was the Executive Director , he will join the role as a Joint Managing Director and will focus on improving and deepening our payment experiences both in India and international markets . In international markets we've already announced that we've launched and started our business operations in many of the

countries, including UAE, Australia, US, as well as some GCC markets like Saudi Arabia. I will be deeply focused on building our recently announced AI Fintech Hub. This AI Fintech Hub is a horizontal layer on top of our existing businesses, which is including both platforms and payments. Change is always around the corner and sometimes you proactively invite it and sometimes it comes knocking. But when we look at the potential of what artificial intelligence and machine learning can accomplish, we think that this is the right time to embrace it. It's a bold bet but it's one worth taking. The companies that do well in the long term and succeed are the ones that are able to create intelligence within their systems and processes and focus on productivity as well as other aspects of what we can accomplish for our clients. I'll be serving as the Chairman and Managing Director of Infibeam Avenues and both Vijay as well as Vishwas Infibeam Avenues Limited
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will be taking over some of the functions that enable us to grow both platform as well as payments business.

The world is experiencing an unprecedented digitization across various sectors, revolutionizing the way we transact, the way we work, the way we live. Digital transformation has also brought in an alarming increase in cyber fraud and security breaches as well as posing significant challenges to both individuals, businesses, and governments worldwide. In this era, artificial intelligence will emerge as a very powerful ally in combating such frauds, managing risks as well as ensuring secure authentication process. Infibeam will establish India's first artificial intelligence hub headquartered in GIFT City and we will initially focus on fintech and financial sectors. Building solutions in these three areas which we acronym as F.A.R., which is fraud detection, authentication, and risk. To bolster our play Infibeam will also be hiring some well-known industry experts to build the business vertical under my leadership. This will create more value for Infibeam going forward.

We are also doing some structural changes to sharpen our focus on the core business which is payments and enterprise software. We're listing our wholly owned subsidiary Odigma which is into online digital marketing and run by professionals. The CEO of the company is Mathew, who got a degree from IIM Bangalore and has been with us for several years and they

have

certain marquee clients with them. They're profitable and they will also be running the business called "Odigma". While "Odigma" earlier was in the standalone Infibeam Avenues financials, that business will be transferred to Odigma as we believe it is complementary to them in offering domain infrastructure, domain services along with marketing solutions.

Infibeam Avenues will also increase its stake in Fable Fintech Private Limited. If you recollect Infibeam owned 16% of this business, it was into remittances to and from India, primarily focused on bank grade software bringing remittances from different countries into India. When somebody had to send small amounts of money from international to India, they would not be able to afford a \$25 SWIFT. And rather than using alternative channels, this particular company provides bank grade software so that individuals can send even small amounts like \$50 and \$100 into India while paying a very small fee. Technology enables it to actually make it extremely competitive and productive. While we were looking at this business and while we're looking at payments and the globalization of payments, we'll be adding an additional 25% and increasing our stake in the company to 41%. We'll also be subscribing into compulsory convertible debentures worth INR 1.4 crores into the company along with other investors. This particular company has a marquee list of investors including ICICI Bank, Paytm and many others. What we plan to do is to increase our holding and make it an associate company of ours whereby Infibeam Avenues will own 41% of the company.

Overall, our aim is to seize the maximum opportunity in the growing digitization era that is complementary to our business, and stay ahead.

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I will now ask Vishwas to give you updates on our payment business. Vishwas, over to you.

Vishwas Patel: Thank you, Vishal. So, over the past months we have worked relentlessly to enhance our technology and strengthen our operating metrics and I'm thrilled to share the results of our efforts with all of you. Our mission has always been to revolutionize the way transactions are conducted and I'm proud to say that we have delivered on that promise. We have developed state-of-the-art infrastructure that ensures security, scalability, and lightning-fast transaction processing. Our upgraded technology stack will not only bolster our offerings but will also provide a seamless and a delightful experience to both the merchants and the consumers. Our CCAvenue TapPay solution, which is a revolutionary mobile application, is a step in this direction which holds a lot of promise to change the way payments are done in our country and beyond. It offers 200 +

payment options to merchants in a single integration which is by far the highest number of payment options in the offline mode in India. Since we started rolling it out, we have achieved 150,000 downloads in 7-8 months of FY2023, 50,000 higher than we had anticipated. This has doubled to now over 300,000 by the end of Q1 FY24. We are seeing an accelerated demand from the merchants. Our aim is to reach the hinterlands of India, offering merchants our SoftPoS, which is a very sophisticated app-based payment solution yet very simple to use and it's relatively cheaper than the competition and is portable.

Internationally, UAE continues to grow as expected and continues to maintain a stable double digit net take rate. In Saudi Arabia we should receive our data localization compliance certificates in a month to be able to start rolling out digital payments. In bill payments through BBPS our volume-based payment share has improved by 80 basis points to 11.1% in Q1 from 10.3% in Q4. In Q1 which is typically a seasonally weak quarter during the year, the net take rate was around 8.4 basis points, which is up 16% year

-on-year but was slightly down compared

to 9 basis points in Q4 due to the change in business and payment mix. An increase in transaction from certain low MDR industries and a spike in less-value credit card transactions, have slightly lowered the take rate compared to the debit options resulting in net take rate going down during the quarter. But we are hopeful that Q2 onwards with the onset of festivities and later followed by the travel season, the take rates will improve and move towards our guided double-digit figures by the end of the year.

I'll now hand over the call to Sunil to give you the financial updates.

Sunil Bhagat: Thank you, Vishwas sir. Our dedication to prudent financial management, strategic investments and operational excellence has yielded results that are a testament to our collective efforts.

Financially, we have achieved impressive growth driven by a steadfast focus on efficiency and innovation. Our revenue has surged by 77% year-on-year to INR 742 crores driven by higher contribution from credit card payment option. Credit card, like the previous quarter, contributes more than 50% to overall payments processed in India. This number for us is about 80% in the UAE market. The growth in revenue is complemented by an equally robust increase in

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profitability with a rise of 31% in EBITDA and 40% in PAT, adjusted for M2M gain or loss, which is a notional value and not part of the operations, strictly speaking.

Operationally, the number of merchants has touched 10 million, which is a great future potential for us to cross sell through lending i.e., express settlement and other models that we have. Our net take rate for the quarter was 8.4 basis points up 16% year-on-year. We continue to work towards taking our net take to double digits. We have highlighted on Slide #9 short to medium term key focus areas on how we are planning to take it to double digits. As we speak, we are already working with banking partners on pricing and we are seeing positive outcome for some of these initiatives already.

International expansion is on track. We'll share more details once we go live over the next few months. UAE continues to be in double digit net take rate zone. With the launch of TapPay UAE, we will be able to garner higher market share in the region and will also launch it in Saudi Arabia and other GCC markets. Offline CCAvenue TapPay as a strategy will start bearing fruits for us over the next 12 to 18 months. We have a focused strategy to scale our international business.

As we look to the future, we remain committed to our vision of sustainable growth, innovation, and unwavering financial integrity. Our accomplishments this quarter, coupled with our guidance for the year, pave the way for an even brighter journey ahead, one in which we will continue to create value for all our stakeholders.

With this, I will now handover the call to the operator to open the floor for Q &A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Jonathan Fernandes from Whitebridge Capital Private Limited.

Jonathan Fernandes: I had a doubt, most of the new age internet companies are currently diversifying into lending, is it because there is more money to be made in lending or is there something else? What would be your take on this? And secondly if you could throw some more light on the TapPay expansion plan, like how many downloads have you seen, what are the performance goals and how do you plan to compete with the established players in the offline space, whether it's the PoS players or the new age UPI companies with QRs. So, how do you plan to compete with them because they're more prevalent in the offline space?

Vishal Mehta: I can answer the second question first and then I'll

pass it on to the other person. As far as TapPay

is concerned we think that there's a big potential for TapPay to get into the services business, not just products, whether you're a small-time consultant or whether you provide some services.

Typically, these merchants don't have point of sale solution. So, to be able to offer solutioning

not just to merchants but also to service providers is a big opportunity that we believe is in front of us. While we have not segmented the numbers and we have not provided numbers in terms of how TapPay will grow, one thing I can tell you is that we expect that we will hit a million merchants this year itself. That's almost 10% of the population of merchants that we hold today.

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So, if you're at a 10 million number, I think we should at least have 10% of our merchants on TapPay. That's the internal metrics that we are working on. The take rate for these merchants are better than what we see in the online front. Directionally we have said that we want to go to double digit take rates. While we are at 8.4 basis points, we'd like to get the take rate to go into double digits with a combination of international expansion and TapPay, and focus on certain verticals which are high yield, will allow us to get there. I think this is in a nutshell what we can share at the moment.

But one thing I can tell you is that TapPay is not meaningful at this moment in our overall structure that we can segment out and be able to talk about it specifically. 10% of the population is not a small number we believe in one year. So, we think that it's a very important one. It's an acquisition we've made, and we feel more confident about the success of this acquisition going forward, given that we'll not just open up in India, but also international locations. Vishwas just mentioned that in UAE also we'll open up TapPay and we should be able to increase our merchant count by multifold there because the base there is smaller compared to what we have in India. This is as far as TapPay is concerned. Can you remind me what was the first question? You were not audible; I was not able to follow the first question.

Jonathan Fernandes: The first question was mainly about most of the companies are diversifying into lending. I just want to know what would be your take? Is it because there is more money to be made in lending or is there some other component in it?

Vishal Mehta: If you look at some of the global peers, you will find that the revenue streams come from payments, lending, and advertising for some of the large internet companies. I think that's a proven thesis that these three verticals are potentially ones that can provide profits to companies and that too at scale. And what we believe in is that if you're in the technology business and if you're not at scale, then you're not doing anything important. So, in whatever we are doing, whether you talk about payments where we have scaled up or whether we think about enterprise software that manages scale, I think that becomes the core mantra for us that whatever we need to do, we need to actually scale up. As far as lending as an opportunity is concerned, I think it's evolving. India, you would have noticed that there are a lot of regulations that have changed around lending in the past few quarters and compliance to those regulations become very critically important, that is one. Second is that we think scale through processing, lending through having merchants sign up for payment gateway and be able to offer them lending solutions become an extremely attractive proposition. I think that we already have discussed in the past what we are doing in terms of instant settlement or express payment whereby the merchant can receive payments immediately as opposed to waiting for 2 days or 5-day settlement period. We think the

ending is more about collection and not about giving. So, we think that as long as you're able to optimize your process in such a way that you can have visibility, transparency and have the cost of collection go to or tend to practically be zero, then I think that in such cases it becomes a very attractive proposition and Indian market is right for it. We think

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that lending is a very important facet of what we'll end up doing and we think that as we build up, you'll hear more about what the company will end up doing.

When we talk about artificial intelligence and a few things that allow us and enable us to back test our models and be able to deliver on performances, those are decision making models. When we discuss our AI hub, opportunities of fraud, authentication, and risk, these are risk models and if we are able to build out such models that potentially allow us to be able to externalize them and offer it to others, I think it becomes an attractive proposition. First, we will try on ourselves before we do and provide to others. But we think express settlement is a big opportunity right now for us and with the cash reserves that we have, we'll double down on that this year.

Jonathan Fernandes: Lastly, I just wanted to know, what are your thoughts on how do you see the business evolving in the next 3 to 5 years in that kind of a timeline?

Vishal Mehta: I'll tell you; we've discussed that we want to get to a point where we get to \$100 billion in processing in the next couple of years. We think that potential does exist. We want to get to a double digit take rate. It will be a combination of domestic and international growth. International is less than 10% of our rollout, single digit percentage. We would like to allow it

to grow to a 30% number. While India also grows and India being the beachhead and we'll be able to while we build out all the solution for India, fortunately payments in India is far more evolved than other countries. So, that gives us an edge and an advantage. We think that we'll continue building out the business in that front. We are getting into the entire discussion and conversation around artificial intelligence. That becomes a very critical factor for any company. I'm very optimistic about it and the way we see the response and the things that are evolving around us. I think while we look at different aspects of artificial intelligence, the ones that we'll focus on are the ones that go horizontally between commerce and payments. One being data models because a lot of companies have data but it's not in a perfect shape where you can model on top of it. Second is the models themselves and being able to test and tune them. And then the third thing are the decision models, the ones that allow you to actually make decisions and those are the three fronts. I think any problem that you'll see in AI, you typically have these three areas that one has to work on. We are very solutions focused on this and within that solutions we build our products.

Moderator: The next question comes from the line of Anuj Narula from Makrana Capital.

Anuj Narula: I have three questions, so this foray into artificial intelligence that we have announced with our Q1 results, can you give us more details on what exactly are we planning here? And even though this is a bit too early but given that AI seems to be everywhere now, how big are we planning to take this business going forward? So, this is my first question and another one is I just wanted to have a bit more understanding about your bill payments. Can you share some more statistics in terms of where we are, our performance and how we plan to grow in this business and who Infibeam Avenues Limited

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will be our major competitors in this business segment? Lastly, just one more thing. Any plans to go

into B2C business in the future?

Vishal Mehta: I'll take the AI question and I'll have Vishwas take the bill payments question that you have. I know that a lot of people have heard about artificial intelligence and machine learning has been a technology with very high promise. It's been around for decades. But it's only in the last 5-10 years that you will have seen that companies have pervasively started utilizing it. The shift that has been because of access to such high volumes of compute capacity, which is available at such a low price and extensive data being available to be able to go and process and get some predictive frameworks out.

I think whether you talk about large learning models or generating, they've been around for quite a bit. I think a lot of innovation have happened in the past at least few years that we've seen. We think that we are going to focus on solutions which are going to help both of our platform as well as payments business. We think of AI as a horizontal layer which will enable it. To give you an example, while Infibeam Avenues has a lot of data, but the first place where one must maybe start thinking about is that is this data in a format where you can run Algos on top of it. This is not just pure analytics. But do you have the capacity to create your own data lakes? Is it in a format and a framework that you can actually run algorithms and deep learning that you want to conduct on top of? Because India has significant amounts of data, but this data is not in a format that somebody can utilize. Putting it in Excel or putting it in some small DB, I don't think that they are in a capacity where you can utilize it and put models on top of it. I think a horizontal layer where you are able to go and extract this data and put it in a format where you can run models is one area of solutioning that the company will focus on starting with its own data. That's one. The second area that we will focus on is the modeling part. A lot of data exists with companies but a lot of companies we realize don't know what to do with it. How do you build out such models, how do you tune such models is the second area that we can participate in solutioning with, and these are not mutually exclusive. They could be either or, but they're not mutually exclusive. Then the third part in organizational structure for this is an ability to be able to drive decisions. Once you reach a certain competency with these models, are the models able to help you make decisions and when you think about it, these are the three areas that we think will be important for the company. We will be partnering with commercial as well as government for such things. In the next few weeks, we will be sharing more information about who we will be working with. We don't think that this is just India specific project or program for us. We will utilize the skill sets in the framework in our own businesses and we will look at providing solutioning to other companies. What we are not doing is building out a product that everybody will utilize from day one. I think as we build up, we expect that it will be remunerative and then within that solutioning we'll build out products, which is an approach that we have taken as we build out this framework. We will be adding more data scientists in our business and onto our payroll and we think that with the promise that AI has, we think it's completely transformative. But I'll leave that discussion for a future conversation maybe with all of you. But Infibeam Avenues Limited

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what we will do is like I said, I'll be leading that program and maybe that's all I can tell you at this moment. Hopefully that gives you some idea in terms of how we think through this business. Vishwas Patel: So, our whole bill payment strategy which is distinct from the payment strategy that we have, it runs through our Bill

Avenue solution and our majority owned subsidiary company Go

Payments. So, BBPS Bill Avenue, it's an interoperable online payment platform for all Indian citizens. We have now received a perpetual license from the Reserve Bank of India to operate as a Bharat Bill Payment operating unit (BBPOU) for both consumers and billers on both sides. So, today as we stand, some of the biggest billers that are there, be it Indian Oil, HP, GAIL, DishTV, ICICI Bank. So, we are among the top three in the BBPOU volume over the billers that we have onboarded onto the BBPS platform, almost 87% of all billers have been onboarded by us on the BBPS platform. And on the other side, when you see the agent network that we have across our AIs, more than a million touch points are there across 1300+ cities and towns in India. These are the small shops which are opposite railway stations where you can pay the bill and book train tickets and other things. So, more than a million touch points are there across the country. If you see the volumes, they are rising continuously. If you see FY23, we did around INR 14,800 crores worth of processing, almost 11.8 crore transactions of bill payments. And this quarter, this 3 months we have done INR 4,800 crores in 3 months and processed over 3.4 crore bills. The volumes are continuously growing and under this thing as we also have our own subsidiary Go Payments giving a variety of other services. In FY23 we already did INR 12,440 crores through our subsidiary and this quarter alone is another INR 3,432 crores of volumes processed through Go Payments. The whole strategy of driving this ecosystem of the bill payments with direct connects as well as putting on the billers on the other form is going great. So, we are one of the top players in this industry. What was your next question?

Vishal Mehta: He had asked whether you'd like to go to B2C in future.

Vishwas Patel: Right now, no, there is no strategy. We always operate on the B2B principles, direct to merchants and direct to banks. Our technology including the Bill Avenue solution and the CCAvenue solution is used by variety of banks whom we provide the technology. So, the whole idea has always been B2B. The reason we don't go B2C is because of the high costs in consumer acquisition and the kind of solutions that are already there. BNPL and others does not excite us. We will focus on lending and other things. Like even our new app that Vishal just talked about, that whole app is different from what Google Pay or a PhonePe is offering in the market. Those are just a QR printout. What we are offering is that you can just download an app and you can start accepting cards on your own phone. There is also static QR where you can just show the QR and UPI payments can also come in. There is dynamic QR and has link-based collections to the same app. It's the world's most advanced omni-channel app where even a kirana (brick and mortar) shop in any hinterland in India can just download the app just like he's downloading a YouTube app or any other app and start accepting payments. It is not just restricted to a UPI payment. Here it is in his own phone. So, he's not spending anything extra in buying a soundbox or paying monthly rentals on that soundbox. It is differentiated from the others in the market.

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And the kind of certification that we had being able to take pin-on-glass which is like among the first in India definitely but also among the first in Asia Pacific where even a transaction amount of about INR 10,000, maybe even a INR 2 lakh if the card is valid, can be taken on the phone itself. So, it's a very disruptive, different thing from the existing guys who are deploying hardware, who are deploying soundboxes and others. As we said, we are among the only few where we are just not deployin

g a QR, but we are giving them mechanism through a mobile app, the entire credit cards, debit cards and other things. That's the differentiation.

Moderator: The next question comes from the line of Deepish Sancheti from Maanya Finance.

Deepesh Sancheti: I just wanted to understand what will be the role of Mr. Malav Mehta in the new company which will be demerged and what will be his holding? I mean his holding directly is 1.29%. What is his indirect holding in Infinium Motors Private Limited, and will there be any selling seen from him?

Vishal Mehta: Yes, there's no role per se, which is your first question. There is no new company that we are establishing. It's a business vertical that we're setting up as an AI hub within the company. And as far as the initial core focus is concerned, we are going to keep on building up, both in terms of the payments business as well as the platforms business. So, to answer your question, I don't think there's any role and neither it's a separate company. It's within the listed company itself

that we are building out the AI hub as a vertical headquartered in GIFT City. We do have plans to expand the hub across multiple cities in India. While the headquarters will be in GIFT City, we will expand across other larger cities within the country as well. As far as the holding is concerned, you are right 1.29% and the other group companies where you are talking about where they hold equity in the listed company, they continue to be having independent directors in their own setups, whereby he is not involved in those companies.

Deepesh Sancheti: So, no holding in Infinium Motors Private Limited?

Vishal Mehta: No, no holding.

Deepesh Sancheti: Do you see any selling from him after this exit?

Vishal Mehta: It'll be too hard to say because everyone has their own decisions to make. But I think that as and when required by the regulatory authorities, we will be announcing whatever is out there. So, I'd not be able to comment on that at this time.

Deepesh Sancheti: My second question is regarding the AI enabled fraud detection. Are we looking at setting up our own team or are we looking at any acquisitions in the space? There are many companies in the space also available. So, are we looking into anything there?

Vishal Mehta: Our internal bias is to build and not to buy. So, in other words, we will be having an internal team of data scientists who will become part of us to build out and we'll continue evaluating

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opportunities as they come our way. So, in other words, while we are not averse to looking at an acquisition, but our internal bias is still to build and not to buy.

Deepesh Sancheti: And just the last question regarding the TapPay. Very exciting to listen to you about TapPay, that every phone can become a POS, if I understood it from your explanation of the last question.

Firstly, how do you download this? Is there any link or something? And secondly, is the understanding right that every phone will become a POS and we can accept payments on that. So, effectively for 140 crore people, there will be a lot more POS without any actually creating hardware for that.

Vishwas Patel: Vishwas here. So, the app available is 'CCAvenue For Business' on the Google Play Store. You can download it from there. All the merchants and everybody, it is there on our CCAvenue website also, link is provided. India is an Android market, so any Android version 9 and above can accept it. And the phone should have an NFC. So, every smartphone, I think about Rs. 3,500 is already having an NFC chip, right? So, that is all the two requirements that is there. Android phone with NFC, which almost every smartphone of Rs. 3,500 -4,000 and above has along with an android version 9 and above which can accept it. And just go on CCAvenue, even the sign up a

nd online onboarding is also through the app itself.

Deepesh Sancheti: It effectively becomes a POS, right?

Vishwas Patel: Yes, your phone becomes a POS because that's where the whole thing is to align with the Prime Minister's vision of Har Bhartiya Vyapari. So, it's an ability to pay which we have been focusing till now. Everyone will be able to pay without cash. Now we are changing the whole 360 degrees and now we are saying ability to collect. So, anybody and everybody, be it even a coolie at the railway station, after doing his job, he can just collect it or a tuition teacher at a student's home can collect the payment by just taking out a phone. And the payment options are not restricted, not just UPI scanning and doing it but also credit cards, debit cards. Credit card volumes are growing at over INR 1,50,000 crores per month along with growth in debit cards and then there are also different wallets that are there in the market which can be accepted through it.

Deepesh Sancheti: Can you explain what will be the revenue model for this?

Vishwas Patel: It is the same CCAvenue model. We earn on every transaction, the bps part we discussed in the first part of the call, that's where it does. But in the offline world the bps are a little higher. So, the margins are in double digit bps.

Moderator: The next question comes from the line of Garima Shah from Envision Capital.

Garima Shah: I am curious to know what's happening to the GeM 2.0 platform. I mean, are you in the process of building it or is it still some time away.

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Vishwas Patel: So, I'll give you some background. We've announced that as well in one of our public announcements. The GeM 2.0 is a completely new platform. It has no relation with the current existing platform. There is an RFP which was floated by the government of India whereby there is a definition called MSP, which is the Main Service Provider, and that they would have to build it from scratch. The timeline for that is about 18 months to deploy. And within that time frame, you also would need to migrate the old platform data and many others to the new platform. The current contract which we have is up to December 2023. And there is an option to extend that

contract . Even in the existing contract Infibeam Avenues is not the MSP. We provide the core technology infrastructure for the marketplace. And in the past as well, we have announced that we will be working with companies, whether it's a current MSP or whoever is the new MSP, in this case TCS, to be able to go and offer our core solutioning frameworks. So, other than that, I don't have too much to share. But we expect that we should hear something in the next two to four weeks . That is regarding the extension of the existing contract and how and when we would participate in terms of building out the new program. And as we have more information available, we'll share it with you.

Garima Shah: So, the processing volume of say INR 53,000 crores that we've done in this quarter, we earn some margins on that.

Vishwas Patel: That's correct.

Garima Shah: And if everything goes well and whatever is the contract, that kind of , can continue going ahead.

Vishwas Patel: That's correct.

Garima Shah: And the other question that I had was on this entire Go Payments . So, the transaction value of INR 3400 crores. What does it mean? It means all these services together which you highlighted on the slide or what was it?

Vishwas Patel: So, it includes all the services provided by Go Payments directly to the consumers . So that's the services they offer to the agents who further give all these services like money transfer, recharges, insurance, cash collections, BBPS , bill payments, Aadhaar enabled payment systems and all that stuff. So, the total volume done through that processing via those agent network

s last

year was INR 12,440 crores. And this quarter in 90 days alone, it's around INR 3432 crores.

Garima Shah: And this has higher take rates or what's the take rate that we are on.

Vishwas Patel: There are variety of services, some are flat fee, some are percentage and other things. But at individual level, it has already gone into profitability from this month itself.

Moderator: The next question comes from the line of Ashish from Infinity Alter.

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Ashish: Just a couple of questions from my side. One, there's a substantial cash in the balance sheet .

What is the thought process in terms of capital allocation going forward on that?

Vishal Mehta : So, basically, we talked earlier about express settlement s. And express settlement is such that rather than doing a settlement with a merchant on T +2 or T+5 days , we do the same day settlement. When you pay a merchant, generally it takes a settlement time before we would remit the amounts into the merchant account, but instead we would do it the exact same day. And for that, we get extra bps. It's technically not lending, but it's essentially part of our rate contract and structure whereby we are able to do same day settlement. What it does is it changes the cash flow of the merchant significantly. And through that, by design, our cost of collection practically isn't there because the money is coming into our Escrow. And then at the end, we would ensure that we would submit it to the bank and take the amounts . And for that, we today put our own balance sheet. So, rather than taking any loans, we will put our own balance sheet into it because we've done, integral wise, more than \$1 billion last year of express settlement with zero NP As. So, now that we can do \$1 billion, we think that we can go to \$10 billion. And rather than doing and scaling it up without actually understanding the dynamics, we took an appropriately conservative approach. And that's one place that we'd be positioning.

And the second area that we'll focus on is international growth. So, we think that international can potentially become 30% or more of our overall payment revenues and we think that somewhat raising capital as well as investing capital into the international markets, in each of the markets, there will be different dynamics, but we think , that becomes a potential opportunity for us to grow.

And the third area that we'll be looking at investing into, and we've already announced that, is artificial intelligence, the AI/ML frameworks that we'll build up. And that is more of a solutioning framework, not a product framework. So, we think that as we build up, we'll continue receiving revenues as well while we're building through. And eventually it'll transform into a product because we are solving large problems either for the government or commercial use and potentially building out products that help the industry build up further.

These are the three areas that we're spending capital in.

Ashish: And in terms of the adjusted PAT , what are the MTM? Why did we have an MTM loss this quarter? Is it part and parcel of our business?

Vishal Mehta : The MTM loss is basically because of the investments that we've made in companies. So, it's a notional loss.

Ashish: Which one, is this the Middle Eastern company, is that the loss?

Vishal Mehta : No, it's DRC Systems. It is a software services company .

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Moderator : The next question comes from the line of Biju Nair, an individual investor.

Biju Nair: I would like to know when we can have Nasdaq listing . Since the share price is not moving and it is around 14 . We know that we don't have any control on the market but what is the company doing to create value for shareholders? What is the plan for Nasdaq listing? There was a report in Economic Times

, that's why I am asking.

Vishwas Patel : Currently , the Indian company has no plans to list in Nasdaq , that much I can tell you .

International opportunities that we have whereby we own 100% subsidiary in other countries, one of them being UAE , UAE processes AED 10 billion right now on an annualized basis across 7000 odd clients. So, if you go to the top of Burj Khalifa, if you look at Emaar property tax, DAM AC Properties, and many others, and hopefully some of you may have talked to your friends and family in UAE, they would have used CCA venue .ae. And with TapPay from a few thousand merchants, we'll go to tens of thousands of merchants. Unlike India, UAE is not a very large geography . And the article that you refer to is where there are opportunities to raise capital in each region and that is the reference that you may be alluding to. Currently we don't have anything more to add other than the fact that they'd be raising capital and as in when we hear from our subsidiary, we'll be able to announce it to you as well .

Biju Nair: Are we planning any corporate action like bonus issue in near term to create value for shareholders ?

Vishal Mehta : We have given dividends , full year dividends for last year. We will continue evaluating and having our board advise us in terms of what we should be doing this year. We've given guidance for this year. We think we are very confident about achieving the numbers that we've stated in our guidance. And the first quarter being a soft quarter , we still had 77% growth in terms of gross revenues. We've announced some kind of structuring where we are listing one of our subsidiary companies into the market and giving shares of that subsidiary company to our shareholders, which is Odigma which is the one that we've announced recently. So , as, and when the opportunity is right and the businesses have scaled up and mature and then they have an opportunity to grow, we will continue doing this.

Biju Nair: So, will it be separate listing?

Vishal Mehta : Yes, it will be separate listing.

Biju Nair: When it will happen, sir? This year end.

Vishal Mehta : It's pending regulatory approvals, but we think it should be this financial, this fiscal but of course it has to go through the process .

Biju Nair: So, by next year we can think of a bonus issue and not this year .

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Vishal Mehta : While I will not be able to comment specifically on your comment, what I can tell you is that as soon as Odigma is listed, our shareholders will be receiving shares of that company.

Biju Nair: Because share is not moving too much. That's why.

Vishal Mehta : Like I said, we've also announced our AGM dates . And the cut off for dividend as well, along with that.

Moderator: Due to time constraints, that was the last question. I would now like to hand the conference over to the management for closing comments.

Vishwas Patel : Thank you all for attending our first quarter conference call and we look forward to keeping in touch and providing you with the latest updates of the company and look forward to having you again back in our subsequent calls. Thanks all.

Moderator : On behalf of Go India Advisors , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

INFIBEAM AVENUES LIMITED

Regd. Office: 28th Floor, GIFT Two Building, Block No. 56, Road-5C, Zone-5, GIFT CITY, Gandhinagar,
Taluka & District - Gandhinagar – 382 355, CIN: L64203GJ2010PLC061366
Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@ia.ooo | Website: www.ia.ooo

November 06, 2023

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai - 400 001 Company Code No.: 539807 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex, Bandra (East), Mumbai - 400 051 Company Symbol: INFIBEAM

Dear Sir / Madam,

Sub: Transcript of Earnings Conference Call for the quarter and half year ended on September 30, 2023

In compliance with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor/ Analyst conference call on financial performance of the Company for the quarter and half year ended on September 30, 2023 conducted on Thursday, November 2, 2023, after the meeting of Board of Directors, for your information and records.

This transcript is also available on the website of the Company i.e. www.ia.ooo.

Kindly take the same on your records. Thanking you, Yours faithfully, For Infibeam Avenues Limited
Shyamal Trivedi
Sr. Vice President & Company Secretary

Encl.: As above

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"Infibeam Avenues Limited
Q2 and H1 FY '24 Earnings Conference Call "
November 02, 2023

Management :

Mr. Vishal Mehta – Chairman and Managing Director – Infibeam Avenues Limited
Mr. Vishwas Patel – Joint Managing Director – Infibeam Avenues Limited
Mr. Sunil Bhagat – Chief Financial Officer – Infibeam Avenues Limited
Mr. Purvesh Parekh – Head Investor Relations – Infibeam Avenues Limited
Mr. B. Ravi – Independent Consultant – Infibeam Avenues Limited

Moderator:

Mr. Rajat Gupta – Go India Advisors

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Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY '24 Earnings Conference Call of Infibeam Avenues Limited, hosted by Go India Advisors.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajat Gupta from Go India Advisors. Thank you, and over to you.

Rajat Gupta: Yes. Thank you, Yashashri. Good afternoon, everyone, and welcome to Infibeam Avenues

Limited earnings call to discuss the Q2 and H1 FY '24 results.

We have on the call with us today: Mr. Vishal Mehta, Chairman and Managing Director, Mr. Vishwas Patel, Joint Managing Director, Mr. Sunil Bhagat, Chief Financial Officer, and Mr. Purvesh Parekh, Head, Investor Relations. Also joining us on the call today is Mr. B. Ravi, who's advising Infibeam on Corporate and Financial Strategy as an Independent Consultant.

We must remind you that the discussion on today's call will include certain forward-looking statements and must be, therefore, viewed in conjunction with the risk that the company faces.

I now request Mr. Vishal Mehta to take us through the company's business outlook and financial highlights, subsequent to which we'll open the floor for Q&A. Thank you, and over to you, sir.

Vishal Mehta: Thank you. Good afternoon, everyone, and welcome to our second quarter FY '24 earnings call.

By far, this quarter has been the strongest quarter for Infibeam Avenues. Transaction processing volume, gross revenue, operating and net profits are all at an all-time-high this quarter. Even the net take rate from payments, they've come in at 9.3 basis points as our India payments and international payments both showed a rise in the net take rate.

We are committed to increase our take rates to double digits by end of this financial year. At the same time, we're also focused on growing our international presence. In this context, it is worthwhile to mention that Vishwas Patel, who is our Joint Managing Director, and his family, through Vybe Ventures, has infused a capital of INR1.6 billion into the company as his commitment to take payments growth to the next level and the funds will be applied for overall payments business of Infibeam Avenues.

The company has also made a capital investment of INR1.2 billion in the first half of '24 towards international markets with a strategy of country-in-a-box. The investments were largely towards procurement of data localizations, scaling up of our businesses, intellectual property rights for networking as well as security licenses. And they're all subject to internal accruals.

We are committed to growing our international footprint, where we are seeing rising demand and growing opportunities. Our monthly payment transaction processing volume in UAE grossed AED1 billion a month, achieving a historical milestone. Currently, our transaction processing volume is consistently more than AED1 billion and growing month-over-month.

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We also debuted the UAE market with our offering QR codes to allow customers to make card payments through their mobile phones. UAE is largely a credit card market. About 80% of all payments we process in UAE is done through credit cards. Later this year, we will also be launching TapPay, CCAvenue TapPay, and other features in the UAE market.

Additionally, the company aspires to emerge as a key player in the AI-based fraud detection and prevention market. To quicken in scale of other AI opportunities, the company has made an investment of INR1 billion by creating a new AI hub as an extension to wards GIFT City Hub.

And this is funded through our internal accruals. Overall, our payments and platform business is now firmly established. And they have become growth engines for the company.

I will now hand over the call to Vishwas to give you an update on the payment business and finally, our CFO, who will talk about our financial performances to all of you. Vishwas, over to you.

Vishwas Patel: Thank you, Vishal. Indeed, the Q2 was a great quarter for Infibeam Avenues. Payment has been at the center of all our execution strategies. I would like to highlight a few developments specifically in the payments part from the financial performance of payments that is already shared with you.

So during this calendar year, that is nine months ending September 2023, we have on-boarded close to 1 million merchants. That is over 3,500 fully KYC merchant every day on an average in the Indian payment business, taking the total count of merchants using the CCAvenue platform, our payment gateway, to 2.7 million merchants.

We are working towards a plan that can make payments lucrative for our merchants so that they will start accepting credit cards from consumers. This will lead to the higher sales from them as the consumer spends more when using a credit card versus a debit option that reduces consumers' cash balance instantly. This will benefit the company with higher card usage and hence, MDR-based TPV, and in return, will allow the company to earn more as well as profitably.

In the first half of this financial year, the credit card spend has seen a continued growth. Online credit card spend constitutes 65% to 67% of the total spend. With the increasing online spend, CCAvenue also has increased its market share to double digits compared to 9% in FY 2023. So the usage of the credit cards in India about three decades ago, the number of credit cards in India were about 58 million by January 2021, but it is almost 93 million, an addition of 35 million cards in less than three years. The usage per card and spend per transaction has also increased phenomenally in this period.

We think number of credit cards and the spends will keep increasing despite growth of the non-MDR payment option, UPI. This is because the credit card remains a very lucrative option with several benefits at purchase outlets, online and offline, and the inherent ability for the consumer to buy high-value products or services by deferring payments. And with the large contributions coming from credit cards and other debit options, like net banking and debit cards, it allows Infibeam Avenues to earn profitably.

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In UAE, at least 80% of our TPV is through credit cards and the rest through wallets. With our debut in the offline payments in the UAE this week through the introduction of QR codes, and later in the financial year through the TapPay, we will see further rise in TPV in UAE and, hence, our earnings. Soon, we'll implement a similar strategy in Saudi Arabia. And by the way, our take rates and business margins are very high in the GCC market compared to India. With a capital infusion of INR1.6 billion through my family's venture fund, we plan to grow the payments business in India as well as in the international market. Directionally, focus area of payments is to further improve the unit economics or net take rates and through various initiatives that we are undertaking at the merchant and at the bank level. And second is to grow the international payments business. TapPay will certainly be one of the catalysts in both our focus areas.

That's it from me. Over to you, Sunil.

Sunil Bhagat: Thank you, Vishwas Bhai. Good afternoon, everyone. Let me take you through key parameters of our strong performance in Q2. The rise in the total transaction processing volume can be attributed to both the rise in payments as well as the

platform TPV.

While payments TPV rose 28% year-over-year to INR769 billion, the company's largest software platform implementation customer recorded a growth in TPV by 155% to INR1-plus trillion in a single quarter. Higher growth in gross revenue was led by 28% growth in TPV and an increase in gross take rate by 36% to 112 basis points. A high contribution, that is 51% from credit payment options, led to an increase in the gross take rate in the payments business. A total of 0.6 million merchants were added in first half of FY '24, of which 0.27 million merchants were added in quarter 2 of FY '24. That is an average addition of 2,900 merchants daily in domestic payment aggregation business, also recognized by the brand name of CCAvenue.

The company's payment net take rates experienced a significant increase in quarter 2 of FY '24. That is up by 25% year-over-year to 9.3 basis points and primarily due to substantial influx of small merchants, who in turn made the most substantial contribution to the surge in the Infibeam Avenues' payment business and net take rates. Payment net take rates is now inching closer to the targeted double-digit take rate by the end of FY '24.

For the first time, the company recorded a net revenue of more than INR1 billion due to improvement in net margins, which in turn led to strong operating performance. Both EBITDA and PAT grew sharply, that is by 70% and 191%, respectively. Also, EBITDA and PAT margins improved sharply.

The cash and cash equivalents stood at a strong INR4.2 billion after INR1.2 billion capex in the first half. Further, the capital infusion through Vybe Ventures is going to keep the cash position very strong in the company, which will be used for further expansion initiatives.

The company's growth remains in line with the financial guidance issued for FY '23, FY '24 during the first half of this year. We are optimistic about achieving better business growth in the Infibeam Avenues Limited

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upcoming third quarter results on account of festival and travel season, typically a strong quarter for the company.

With this, I now hand over the call to the moderator for question-and-answers.

Moderator: Thank you very much. We have our first question from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: Congratulations to the team for a strong performance. I have a couple of questions. Firstly, what you could attribute to significant improvement in the take rates, of course, you mentioned some of the things on the overseas market. But what is essentially driving this up and how we have to see it from a sustained basis, especially when you keep talking about double-digit basis points? So what is the road map there?

Vishal Mehta: So Rahul, this is Vishal Mehta here. Earlier in the year, we had actually given a guidance that

the company wants to achieve a net take rate of 10 basis points and specifically in the domestic market. In domestic markets, we'll go with lower take rates compared to international. International take rates are much larger and higher. We'll go at about 18 basis points to 20 basis points in the international market. The domestic markets were competitive and continue to be competitive.

Given a lot of things that we're doing, including addition of small merchants, whereby we are able to enable the ecosystem and bring financial inclusions, we are also seeing that we are able to get slightly better take rates on smaller margins. That is another example where we believe that the take rates are much bigger because the card is present. And when the card is present, we had much better take rates compared to card not being present, given the risk profiles by the card network. So a combination of that, we have guided the investors that we are looking at achieving a double-digit take rate by end of '24.

We are happy with the take rates. We believe

that we should be around the take rates of double digits of 10 basis points by end of this year. We do have many programs that we have established, where we can try and see how it creates more take rates and we can increase take rates, one of them being the instant settlement framework that we have come up with, with the fast-tracking of settlements. I think that increases the take rate for us. That is another example of where we believe we can actually improve our take rates so that between instant settlement and that, we believe that there's good room for us to continue building up from here onwards.

Rahul Jain: Sure. That's helpful. Secondly, on the platform revenue perspective, what we have seen that there is a significant, almost doubling of the transaction on a Q-o-Q basis while the revenue have compressed. I understand the bulk of the decrease would have happened on GeM Portal. So what is the traction in the non-GeM part of it? And also, why the significant jump in the GeM TPV not leading to any revenue acquisition? Is it that slab rate would mean that this run rate would imply a similar or lower revenue for us?

Vishal Mehta: Sure. So if you look at the earlier GeM contract that we have, in that, our take rates don't increase linearly with the TPV. So in other words, there are -- it's not a linear increase. And so there are parameters whereby if it's a government-to-government contract, then we don't get take rates.

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And if it is government-to-business contracts, then some of the other activities that are also there as part of TPV, which don't reflect into our take rates. So that is one observation, which is we don't increase linearly with both.

And in specific, I think this quarter, the quarter in question, so Q2, we crossed INR1 lakh crores in TPV on the GeM Portal itself. So the portal has been able to manage and handle that kind of capacity. But given the non-linear increase based on -- if you look at the TPV-value, we can actually give you specifics. It's public information about how GeM computes the TPV. But the fact is that it's not a linear increase where our take rates continue to be building the same as the TPV increase also. So that's one.

And second is that there are a few exceptions, like government-to-government deals, which may be part of GeM but which does not translate into TPV. So that's one of the reasons why you don't see the full expansion of what you would expect if TPV had increased so much. As far as the traction of the framework on implementations outside of GeM, they continue to be strong. We continue building up some -- we have not added additional clients. We are reaping the benefits of what we have built out for the other clients. We are adding a lot of interesting modules within our framework through other new initiatives on artificial intelligence.

We believe that once we add those modules, and we expect that we'll have more to announce in the Q4 timeframe of this year, that we will be able to pick up implementations, which are potentially much larger than what we have done so far, adding multiple facets to our framework, which perhaps were not there before. So to answer your question, we have not added additional clients in the first half of this year. But we continue reaping the benefits of what we've already implemented and going deeper into the ecosystem of existing clients.

Rahul Jain: Right. And you said what could be the growth in the non-GeM part of it? And what's the plan out here? What is the real potential out here? Because eventually, at some point, we may have to possibly forego the GeM revenue.

Vishal Mehta: So we constantly think about it. We think that when we do have certain options to implement, we have not taken up those options yet. We've got a good amount of traction on what we have and a lot of derivative work that keeps on

building up and going deeper into the ecosystems. So

we've taken a conscious approach of going deeper into the ecosystem of what we have as opposed to keeping on adding new clients.

As far as the concentration of GeM and trying to go and figure out what are the other options that the company holds, should at some point the revenues from maybe a particular concentrated platform dries out, we have a couple of options as of today also to implement. And we are calibrating that approach. By end of this quarter, which is Q3, we will have more to share. Rahul Jain: Sure. That's interesting. And if I see in this specific quarter, when we look at any other cost line item, be it cost of services for platform business or the other expenses, which is the non - employee expenses, those have taken a very sharp dip and is at a multi -quarter low. So is there any specific reason why this number is pretty low in this quarter or there is significant cost efficiencies or rationalization measures that we might have taken?

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Vishal Mehta: I think there is one line item which can be shared, and I think it's there in our presentation, which is the mark -to-market -- notional mark -to-market loss and gains on securities held by the company. So last year, there was reportedly a larger expense due to the last quarter mark -to-market being lower. And this quarter, it's recovered. So that's why you see that dip.

Rahul Jain: Okay. So you're saying that this mark -to-market thing, which you're talking about, is part of the expenses and not in the part of the other income?

Vishal Mehta: That's right.

Rahul Jain: Okay. And lastly, if I may, despite a very strong Q1 and...

Moderator: I request you to join back the queue, please, as there are other participants waiting. We'll take our next question from the line of Anuj Narula from Makrana Capital. Please go ahead.

Anuj Narula: So I have multiple questions. So first of all, with the exceptional performance of the international payment sectors in the UAE this quarter results primarily from a shift in market share and expansion also of business operations? Or is it a broader trend of the robust growth in the payments industry within the UAE? And looking on into FY '24, what is our outlook for international business? And what is the anticipated overall revenue contri bution to be? So this is my first question.

Secondly, what's the progress in TapPay? And how many more merchants have we onboarded this product? I think, sir, one of your competitor is also going big here. And what's your take on this? Lastly, I just wanted to take an update on the AI business. What kind of progress have we done on this? That's all for me.

Vishal Mehta: Sure. So Vishwas will tell you a little bit more specifics about the UAE business. But let me answer the -- maybe the second half of your first question, which is what is driving our UAE business? And what is also potentially the contribution of our intern ational expected to become as we scale up the businesses? We gave the guidance maybe a year ago, 1.5 years ago. And we have said that international should be 30% of our business. Today, it's less than 10% of our business. And we believe that international expansion is -- we have much better take rates in international compared to domestic.

Our agreements with merchants as well as card networks enable us to go internationally. Our deep integrations into local and international ERP systems enable us to actually not just be a payment processor but actually become slightly more involved in the e cosystem build -up as well. So we think of ourselves as more of an infrastructure player, not just a payment gateway. I think we'll continue building up on those lines. So to answer your question, in the next few years, we expect that international should b e 30% of our overall contribution. And that's the path

that we'd like to take going forward.

As far as the UAE business is concerned, we've had a few 1,000 merchants on the platform. We need to scale that up. We need to build up more visibility and presence. Through the QR code - based implementation that we've initiated, we believe that at least th e brand will potentially become slightly more visible compared to what it is at the moment. Today, people and

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customers, they only use us online, they don't use us offline. And we also believe that there is a potential for TapPay to build up in that region as well.

While we've not implemented TapPay in that region, when we do, we will let you know. But we think that the digital transformation is happening not just in India, it's also happening in other places. And Middle -East is very ripe for such opportunities. And given that we are a strong brand and we've got a head -start and we have spent quite a bit of time, effort and resources on building that out, we think that we can propel this much quicker and faster going forward. Vishwas can add a little bit more about UA E per se and then I've got code AI. Vishwas?

Vishwas Patel: Yes. So UAE per se, it's been a very good year. And I think there's been a couple of things that have added to the factor. One is our deep tech integrating with a lot of local platforms, right, like Emirates auctions went live so the entire platform, we integrated deeply into it. Similarly, a lot of hospitality businesses, we'll be able to do by directly integrating into their property management systems and other things.

And a lot of maintenance of all the top builders there in the UAE, Emaar, Nakheel, Damac, so maintenance of all the apartments, a deep integration, which is growing this transaction substantially to today now AED1 billion a month, right? So these things, now coupled with now further growth we are looking at, is going totally offline, which we had not focused until now in the UAE market. So with the partnerships with the local banks there, we're going to attract around 100,000 local outlets in various modes across the UAE, these QR codes, that is the TapPay implementation and channel and other kind of tech stuff.

So UAE is quite exciting. And we're replicating the same in Saudi now very soon. So Saudi, that is 8x to 10x bigger market than UAE. And it's like the world's largest with Saudi government targeting 30 million a year, religious tourism and 100 million for normal tourism. So I think that market is also very exciting. And we should go live in the next couple of weeks. So that's the target. So UAE will continue to grow as we go more -- focus more now on the offline world also. And that is it. So from an AI perspective, Vishal, do you want to give an update?

Vishal Mehta: We've announced the establishment of AI hub. And we said that we'll focus on the verticals of fraud authentication and risk framework. The thing about AI is one of the things that we are doing, we will share more as we build up, is, first, we are making software developers in our own company as customers to our AI models. We have to think of AI more like software development and not -- you still have model diagnostics, unit testings and you need to build out a framework and a process to be able to deliver. So unless we do that, it doesn't work. And we have to treat our developers as customers.

So to give you an example, while we think about fraud authentication and risk, we are thinking about, first, also work on the basis of productivity within our organizations. To give you an example, and this is not unknown to many, but this building out basic model that potentially allow you to code in one language and then translate into another language. If AI models are smart enough to transliterate from English to Hindi, they can also be very smart in terms of literally translating your coding into --

from one language like Python to a Java and vice versa.

So you don't need to have specific software developers working on specific line items.

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And you don't need to hire for a particular language, all the way from there to actually building out foundation models across billions of transactions that we hold. We have access to so many transactions. So we can build out our own foundation models, which is restricted to payments and transactions.

And based on that, if we are able to allow, whether it's a bank or a financial institution, to plug - in their own data and tune their models for their own requirements while preserving their IP, which is keep the data that you hold within your own firewall frameworks that work with our foundation model so that no data becomes compromised in any way, shape, or form.

Those are the directions that we are taking. Today, it's too early to tell you more about these initiatives. We need to -- because I don't think we should be talking about pilots, we should be talking about implementations of pilots at scale. So once we get to that point, maybe in the Q4 timeframe, in the Q1 of first year, we'll be able to share more information about the AI hub.

One thing I can tell you is that we're rolling out a whole ecosystem, we're not just building out pilots, which means that we want to work with companies who can actually work with the application layer while we provide the foundations of those transactions model.

Moderator: Thank you. We have our next question from the line of Gaurav Somani from Korman Capital. Please go ahead.

Gaurav Somani: I have two questions. So first one, the promoter stake has come down by 2% in the last two quarters. If you can comment on that and if there are any further shedding down the line?

Vishal Mehta: Sure. So in the last quarter, about three months ago, we had talked about the disassociation within the promoter family. And so the reduction that you see is as a result of that. I think there's not much more to add beyond that. As far as the promoter is concerned, we are continuously building out for the long term. But given the disassociation, which has been made public, the numbers, that drop in 2 percentage, is due to that event.

Vishwas Patel: Reclassification, that's all.

Gaurav Somani: Okay, got it.

Sunil Bhagat: So there is reclassification plus the number of shares have also increased because Mr. Vishwas Patel through Vybe Ventures, he also converted all these warrants into equity. So the number of

outstanding shares has increased, which has resulted into overall reduction in percentage. So that's a very natural arithmetic kind of stuff.

Gaurav Somani: Got it. Sir, next question was any sense on the capex for TapPay, etcetera, for FY '25 and the growth which you're expecting for FY '25?

Vishal Mehta: We will be sharing guidance for FY '25 as we go through the holidays. So traditionally, we've been sharing guidance in the Q1 of the year, for the remainder of the year. And we'll continue the practice of sharing the same going forward. This year's guidance will be also provided in the first quarter of this year, so we're expecting '25, you can do the same. I think what you can do is

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you could assume that international is going to be our focus. We talked about international being a percentage of our revenue to go from sub -10% to 30% of our revenues.

We think that just the fact that we're getting into express settlement, that is going to be our focus and that will help us in terms of maintaining our take rate as we are expanding our take rates.

And we'll go into verticals, where payments -- and today, we are into certain verticals where we are not active in those verticals.

Like hospitality, travel and many others, we are active. But there are a few verticals

is we have

identified where we are not active. And we believe that with the initiative of AI as well as being able to go and figure out how we can partner/build those verticals out, we believe payments can be significant in that space.

Offline, just being one component because I told you we are not into offline today. Every single transaction short of TapPay, we were only online. But TapPay is also going out. So that's a vertical we've identified which is offline payments without actually -- and that is a greenfield opportunity for us we can build up. So those kinds of opportunities, we'll continue investing into. We've doubled -- in some ways, we disclosed that we're growing at 60%, 70% year-over-year in terms of revenue. So we need to identify those opportunities and prioritize them based on a similar growth rate that we should focus on going forward as well.

Moderator: Thank you. We'll take the next question from the line of Mayur Liman from Profitmart Securities. Please go ahead.

Mayur Liman: Congratulations on a good set of numbers. My first question is capex of INR1.2 billion we did during the first half internationally. Can you elaborate more in terms of what all verticals have we invested and how we aim to reap benefit or probably contribution expected in top line from this going forward?

Vishal Mehta: Sure. So be aware that we're into naturally Middle East as a geography. We are into Australia and US, we've opened up. One of the things that have happened in the past few quarters is that data localization as well as licensing has become a requirement for all the geographies. For instance, if we are in Saudi, if we are in UAE, there is now a license requirement. And that license has stringent requirements on what you can and cannot do outside of that geography. And in order to satisfy such requirements, which we broadly classify as data localizations, we need to build out our own set of intellectual property, IT infra, software-driven switches, being able to go and figure out how we can scale it up and cross the scale hurdle as well. So for example, in UAE, we are at AED1 billion. We need to be able to invest into those areas which allow us to scale up internationally significantly. So in our setup of countries above, it's reasonable to assume that as we scale up, we will have a INR3 million to INR5 million capex per geography. And we'll calibrate that approach and build up as we go through.

What it will do is it will allow us to do two things. One is we will continue to expand the international participation from sub -10% to 30% of our revenues. That is one. Second is that the take rates in international are much bigger compared to what we have in India. We are almost doubled in what we see in India and even more. And there are many things that we need to work

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on in international that enable us to scale up further. So I think that while we'll continue investing in those opportunities, we don't want to create a situation where we have variable cost for everything. It's much better in certain cases to build up a fixed cost and then reap the benefits as we scale up.

And so I think that we've taken a conscious call on the areas. Vishwas has mentioned about Saudi. We have not completed the whole data localization in every requirement for Saudi. And we'll keep on building up further, going from almost no transaction to perhaps what you see in UAE. So Saudi is 10x the market of what UAE is. We continue building up Oman. So I think

those are the areas that we'll keep investing in, US and Australia being next. So this whole process of being able to enable and to get activated in those geographies, so we'll continue following that approach. But you can expect the returns to show up in the next couple of years.

Mayur Liman: My second question is the INR1 lakh GMV in a single quarter on GeM. Where do you see this

going? I mean, what would be the sustainable growth numbers here once all the departments are onboarded? And how do you see the FY '24 and FY '25 in terms of GeMs and GMV?

Vishal Mehta: See, I can't talk on behalf of the client, obviously. But one thing I can tell you is that there has been a lot of news around in terms of what to expect. In fact, as of today also, there is some news about potentially what GeM can and cannot achieve. So I think if we're doing about INR1 lakh crore a quarter and Q4 still being a large quarter, potentially it's significant. But it would be a disservice to talk about specifics for clients, short of that being public information.

You're also aware that GeM has been awarded the contract for GeM as an MSP has been awarded to TCS. And TCS has about 18-odd months to be able to build out a new GeM platform. So while we don't have much information today to share with you in terms of specifics, we do believe that we'll continue providing services since e-Marketplace is something that we specialize in, and that is the core and the heart of the tech framework that we provide to GeM. But we'll have more information to share with you in the next four weeks to six weeks.

Moderator: Thank you. We have our next question from the line of Rohan Parikh from OHM Stock Brokers. Please go ahead.

Rohan Parikh: So congrats on a good set of numbers. And my question stands that the current EBITDA, which you guys do, which is INR70 crores, can I have a breakup of how much of this coming from GeM and how much of this is from your core business, CCAvenue space?

Vishal Mehta: We do provide segmental. But beyond that, we don't specifically dissect it up to the client level, so rightfully so, only because I think that, that becomes pretty specific in certain cases. But if you look at the segmental results between platform and payments, you will get some idea.

Rohan Parikh: Okay. And one more question is that the INR70 crores EBITDA, which you guys have currently done, so with the GeM contract going to TCS and after that, do you expect this INR70 crores of EBITDA to become the next -- the new base for the growth? And will you continue to grow from here on?

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Vishal Mehta: Like I said, we do have certain opportunities in front of us that we can pick-up and we can build up upon. So what we look at doing internally is, while there is some concentration on a client in the platform business, how do we get into more opportunities that potentially enable us to switch and grow, given the situation? I think for most companies, they would think of a familiar way, which is how do I reduce the concentration? That is one.

And through that strategy, what we know is that we have got opportunities to sign up and to provide such frameworks to certain companies, institutions. We have not taken them up so far. Our strategy so far has been to go deeper into our existing client base. But like I said, in the next four weeks to eight weeks, we'll know a lot more about how the engagement will work up. We will share that information with you. But one thing I can tell you is that we'll take up other assignments. And we'll be able to share that with you in the first quarter of next year.

Moderator: Thank you. We'll take our next question from the line of Hemal, an individual investor. Please go ahead.

Hemal: Congratulations on a good set of numbers. I actually want to go a little bit deeper on the AI-based fraud detection. I was just trying to understand, like who are your competitors right now in the marketplace, whether AI or non-AI? And what kind of moat will you be able to deliver through AI? Like what would be your differentiator, what they don't have?

Because I'm assuming most of the financial institutions, payment systems, network players, fraud and detection is actually not mentioned

as a huge market, and there will be a lot of servicing players. So how will you differentiate on that? And why your current competitors, and what do you see as your differentiation factors? If you can share some line of sight, it would really be helpful.

Vishal Mehta: Sure. So you're right, I think AI is a very large field. And the pace at which it's evolving is much quicker than you think. What we realized is that an engineer can pick-up a problem and come back in two days with a solution. And it works with 80% accuracy. And so the evolution of how solutioning also evolves and the way AI is evolving is pretty rapid. And the clock speed is much different in terms of what we have seen. What would have taken traditionally really months, we can perhaps get it in days.

So productivity is one place where know AI works very well. And every company can

potentially see what they can do. And if you try it on your own employees, to be able to aid, and it's like a co-pilot, on whatever they're doing, that becomes a fundamental starting point for anyone to be able to adapt. So it's not a forcing function, but it's more of an adaptation. That's one. The more important part is it starts with data in our mental model. And once you have billions of transactions and data across that, then I think we can try to figure out what are the models that we need to build up, so in other words, being able to create.

There's a whole system and a process that you need to build out your own data lakes and figure out what you can do with it. But more importantly, what are models to build up so that it is able to identify things which computers can do much better than humans in frequencies and scale.

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So I think that, that's the place that one needs to work on. And once you have those, then how do you append data of third-party companies and provide them that framework as a service. So what we are not doing, I'll tell you, is we're not doing LLMs, which is what ChatGPT and others do.

What we are doing though is anything which is going to be relating to commerce and payments, both online and offline. And that's the vertical that we choose to build up. So I wouldn't be too surprised if we go and say that, listen, these are normal features. But are you guys working on visual AI?

If it is going to be important to commerce, we will work on visual AI as far as commerce is concerned. Because with fraud, that happens even in the offline world in retail, not just online world. So I think anything which is online/offline in commerce and payments, that's where we'll work on fraud authentication and risk.

With this concentrated effort, which is actually quite narrow compared to the whole realm of what perhaps AI and AI companies can do, and given the scale at which we operate, we think that we may have an advantage compared to everyone else. So we will have a product as well as we'll build out AI as a service. And both of them become interesting because I think, and this question came from yourself, I'm assuming you know a little bit more compared to traditionally what people would know. But we will have differentiators. The differentiators will be eventually people and scale and data. So once you have that three aspects together, I think it becomes interesting.

In terms of competitors, I mean, I think in fraud, you have seen international companies like Ravelin and others also provide such frameworks. I can name not one, but 50 competitors in the space. So a lot of companies provide such fraud framework at point of sale in many other areas. I think it's evolved. And unfortunately or fortunately, companies that started a long time ago, they have a lot of legacy to deal with. And with what we have learned, and we are also very candid and we are reading a lot of research papers.

Because it's not something that we know offhand, Generative

AI, we've never known. So we are

reading and the teams also learning as much as we would tell you that we know exactly what we're doing. We are also learning about all the different opportunities that are coming up and gaining our own knowledge. And we do have a thesis on how we differentiate. But in the natural, I think it's with access to data and being able to deliver something at scale.

Hemal: Okay, sir. And one last question. Do you believe second half is always better than your first half, right? You should do better, as you have mentioned, with better revenues, better net payment take rates than first half, is that a good understanding?

Vishal Mehta: I mean, second half usually has festivals. And in terms of payments and many other activities, they kind of scale up in the second half compared to the first half. So we're usually, we don't have a typical Christmas holiday effect that you would see in the US. But we typically see much better business opportunity in the second half compared to the first one, so you're right.

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Moderator: Thank you. We'll take our next question from the line of Ayushi Shah, an individual investor. Please go ahead.

Ayushi Shah: So basically, I have questions on two different aspects. First is the GeM. Sir, in your investor presentation, it is mentioned that transaction-based revenue model with GeM and license, annuity and subscription-based with the other enterprise customers is on a -- is basically on the revenue model. And basically, other customers, we are working on a licensing fee model. So does this stand through for post renewal of all contract with GeM as well?

And sir, in your last conference call, you also have said that you'll give information about

whether or not we go with GeM and other core solutioning framework in the next two weeks to four weeks. Two weeks to four weeks is the guideline you had given last time. And that's the timeline that you're giving this time again. Sir, I want to understand where we're going with this GeM or like what is the status of this? First.

Vishal Mehta: Sure. So a fair comment. I think unfortunately, I don't have too much to share beyond what I've already told you on GeM, which is that we have the contract. We are providing the core pieces of the framework. We expect to know more as we go through the build-up. There are some moving parts. But we believe that the core of what GeM currently holds, the new framework has a time delay before it gets built up, designed, implemented, so on and so forth. But until that point, we believe that our solution will always be in place.

GeM, whatever solution that we have deployed, it is their intellectual property, but that solution belongs to us. So post the renewal, two possibilities will exist. One is that, yes, it's continuously being utilized in the way it is or it gets utilized in a slightly different commercial model. That particular specifics, I'll only be able to share with you once I have that information. I don't have that information as of now.

But the usage of that is definitely a given. So that much, we can tell you. The other implementations, you are right, its licensing, is other -- opportunity to license and to grow GeM may not look very different than what we have right now. So I don't see, sitting where I'm sitting today, we don't see a step change. But like I said, I don't have more specifics to share with you beyond what I have just said so far.

Ayushi Shah: All right, sir. So the second like area of question was about the listing of the UAE subsidiary. Sir, you mentioned that right now, what you're doing is in one month, we're processing around AED1 billion today. And if you convert it, you'll get to around \$350 million per annual. After the valuation of the UAE business, should we -- like if you are taking into account the valuations of Laserpay as well

as comparable fintech, we should be around \$300 million, \$400 million, \$500 million. So this is what -- like back of the paper calculations that I can do right now. So what is your plan about the listing? Would you be able to see a similar valuation? Because otherwise, we don't want to go for that undervaluation, right?

Vishal Mehta: So I wish to be very candid, we don't think too much about -- I mean, we track and we monitor. But we are more focused on building value and not just valuation. Now with that said, yes, you're right, valuation is very important. And one thing I can tell you is, our commitment so far is we Infibeam Avenue s Limited
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want to scale up that business by a factor. That's what we can tell you. If you are going to go from a sub -10% to 30% for our international business, that will mean that a substantial growth. Because it's just not a 30% shift in revenue from domestic to international, it's really domestic growing at a certain pace, international growing and then being able to see some step changes there. So yes, we will be looking at scaling that business up. And we will have some more information to share on it as and when it becomes available to us. But one can expect that you should hear more from us in the second half of this year.

Ayushi Shah: So that is very helpful. And I had some follow-up questions regarding, three follow-up questions regarding what we discussed in the previous earnings call. So one, what is the update regarding the patent that we had filed for TapPay. I haven't received a reply about since Q4 FY '23? That is the first part.

The second part is that in the investor presentation, you just mentioned that the company is yet to receive UPI dues from banks. Like I want to understand what is the quantum of this amount? Will it be a one-off payment? Or will it be a continuous receipt going forward?

Vishwas Patel: So regarding TapPay, the necessary application for the intellectual property rights registration has already been made. We have yet to hear. It usually takes a year or two for the final brand or a license, if approved, to come through, so -- but we have made the application along the intellectual property side for the TapPay application omni-channel and certain functionalities around that.

On the second part, on the UPI, yes, the government had provisioned two years back, INR1,350 crores and then last year, INR1,500 crores, which subsequently around -- was increased to INR2,400 crores for UPI and RuPay debit card benefits to be passed on to the ecosystem. But we are -- right now, we have not received anything from the banks, though we are talking with our banks to whom we process our UPI transactions. But the clarity still remains on the way and the methodology, how MeitY is distinguishing it.

As and when we receive it, it will be a one-off payment for the transactions processed for the last 24 months or so. We have not booked it in our books nor have we claimed it until now. But if and when it does happen, then we assume that it might happen if the banks with whom we -- passes on some of the benefits to us, then definitely we'll book it in the coming quarters. And

until now, we have not made any provisions or booked any of those profit in our books.

Ayushi Shah: Okay, sir. Sir, and what you said about...

Moderator: Ms. Shah, I request you to join back the queue because we have other participants waiting. We have our next question from the line of Biju, an individual investor. Please go ahead.

Biju: I have one question. Actually, previous to that, during 2020, our operating margin was around 20% with lesser revenue. Now our revenue increased, but operating margin is hovering around 2-odd percent. So what we are doing to achieve 20% operating margin? Thank you.

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Vishal Mehta: So the mix

between the payments business has scaled up, digital payments business. To give you an example, year-over-year, also it's scaling up to almost 70%, 80%. And as we scale up our business, you will see changes to operating margins. We have been talking about net take rates there as a barometer, which will help us improve our operating margins. If you look at our net take rates last quarter, it was 8.25%, 25 bps, basis points, which means that on a like-to-like comparison this quarter, we went from 8.2 bps or 8.25 bps to almost 9.3 bps.

And we've given guidance that we'll increase it to double digits through a series of activities that we believe can potentially help us scale it up in this competitive environment. International, of course, has much bigger take rates. And so part of the argument is how do we scale up international as well. So you will see that with scale, you will have some compression in operating margins. The mix of business as it builds up, that will have an impact to the operating margin. We are actually focused more on absolute cash and not just percentages alone. So if you ask us internally, I think we look at what is the absolute cash generation in the business.

And percentages are important, and we want to perhaps get some operating leverage. But see, in a competitive world like this, for all practical purposes, we don't work like a monopoly. We have a lot of competitors in the space. And in terms of size and scale, if there are number one, number two, number three in India, we will be one of them. So we think that as far as our business is concerned, let's focus on the absolute cash generation and not just percentages while we keep on working on the operating metrics that will help us improve our margins. I hope that answers your question.

Biju: Could we achieve that level around one year, within one year or soon, 15%?

Vishal Mehta: We will give you guidance. We'll give guidance for this year. We'll give you guidance for next year.

Biju: Just a second small question is when will demerger will happen, sir?

Vishal Mehta: We filed for the demerger. So we expect to hear back from the regulators. But as soon as we hear back, we will update you on the same.

Biju: Okay. We are waiting that our EPS will be increased because it's now below INR1. So we are hoping that it will increase above INR1.

Vishal Mehta: Sure. No, we'll work hard for that. Thank you.

Moderator: Thank you. We have a follow-up question from the line of Ayushi Shah, an individual investor. Please go ahead.

Ayushi Shah: Yes. So basically, what you said about GeM, about deciding whether we want to like continue focusing on our existing base or take up new opportunities. Is there like a contrast of interest?

Can we not use our IP for other commercial customers? If you're using it for the Government e - Marketplace? Or is it -- I want to understand a bit more about that?

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Vishal Mehta: Ayushi, it's very clear that whatever marketplace framework that we have provided is intellectual property, it belongs to Infibeam. So if that clarifies your question, I think I stand clear.

Ayushi Shah: All right. Well, basically, I wanted to understand whether it impacts the new customers that we onboard?

Vishal Mehta: No, I think the intellectual property belongs to base intellectual property of what we have. And the one that we are providing to many clients, that continues to stay with us. Whatever we build for the client, which is we spoke of derivative work in some ways will belong to the client. So as far as the direction is concerned, it's clear. I don't see any reason why it would have an impact on what we do with other clients.

Ayushi Shah: All right. And sir, what is the reasoning behind the reduction in current investments from INR37.5 crores to INR2 crores?

Vishal Mehta: That's a liquid investment.

Sunil Bhag

at: Could you elaborate on that, Ayushi, what exactly you're trying to understand?

Ayushi Shah: So basically, where has these funds being redirected? Like is it reducing those investments? And it's substantial between INR37.5 crores to INR2 crores. So I wanted to understand the nature of those investments. And so...

Sunil Bhagat: Ayushi, Sunil this side. The investment that you are talking about, the INR37.5 crores versus INR2 crores, that is a current investment that we have invested in the liquid investment. And the actual amount of investment is non-current investment, which is INR423 crores last year and INR442 crores this year.

Ayushi Shah: All right. And sir, so basically, the proceeds from Vybe that we've got recently, where does that exactly will be used? Will it be used for the new AI or basically the Sintex plan that we acquired? Is it over there?

Vishal Mehta: Yes, some portions will be used for building out of the AI ecosystem. Fortunately, we do have good cash flows. So we build out international and building up of the AI ecosystem. We'll also be deploying some capital in terms of express settlements. So we believe that there is also an opportunity to explore further. And we will continue making those allocations based on what the returns potentially end up looking like.

Ayushi Shah: So the acquisition, the INR1 billion that you spent on this particular acquisition of property, will that be as under the IT/ITES policy that capex support that we are getting? Will it be arranged that way?

Vishal Mehta: Yes, that's the perspective I provided in the call earlier, which is now we will look at the potential of the IT/ITES. Gujarat government has built up quite a bit of opportunities for IT companies to be able to locate and build up business here. So we'll certainly look at that.

Moderator: Thank you. I would now like to hand over the call to the management for closing comments. Over to you, sir.

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Vishal Mehta: Thank you all for joining our second quarter, half year earnings call. And we look forward to keeping in touch with you and keeping you updated on the progress. And Happy Diwali to everyone in advance.

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2024

INFIBEAM AVENUES LIMITED

Regd. Office: 28th Floor, GIFT Two Building, Block No. 56, Road- 5C, Zone -5, GIFT CITY, Gandhinagar,
Taluka & District - Gandhinagar – 382 355, CIN: L64203GJ2010PLC061366

Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@ia.ooo | Website: www.ia.ooo

January 25, 2024

BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001

Company Code No.: 539807 National Stock Exchange of India Limited

Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051
Company Symbol: INFIBEAM

Dear Sir / Madam,

Sub: Transcript of Earnings Conference Call for the quarter and nine months ended on
December 31 , 2023

In compliance with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ,
please find enclosed herewith the transcript of the Investor/ Analyst conference call on financial
performance of the Company for the quarter and nine months ended on December 31 , 202 3 conducted
on Tues day, January 23 , 2024 , after the meeting of Board of Directors, for your information and records.

This transcript is also available on the website of the Company i.e. www.ia.ooo .

Kindly take the same on your records.

Thanking you,

Yours faithfully,

For Infibeam Avenues Limited

Shyamal Trivedi

Sr. Vice President & Company Secretary

Encl .: As above

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"Infibeam Avenues Limited
Q3 FY202 4 Earnings Conference Call "

January 23 , 2024

Management :

Mr. Vishal Mehta – Chairman & Managing Director – Infibeam Avenues Limited

Mr. Vishwas Patel – Joint Managing Director – Infibeam Avenues Limited

Mr. Sunil Bhagat – Chief Financial Officer – Infibeam Avenues Limited

Mr. Purvesh Parekh – Head , Investor Relations - Infibeam Avenues Limited
Mr. B Ravi – Independent Consultant – Infibeam Avenues Limited

Analyst :
Mr. Rajat Gupta – Go India Advisors

Infibeam Avenues Limited
January 23, 2024

Page 2 of 23 Moderator : Ladies and gentlemen, good day and welcome to Infibeam Avenues Limited's Q3 FY20 24 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rajat Gupta from Go India Advisors . Thank you and over to you Sir!

Rajat Gupta : Good afternoon everyone and welcome to Infibeam Avenues Limited Earnings Call to discuss the Q3 FY2024 Results. We have on the call with us today, Mr. Vishal Mehta – Chairman & Managing Director, Mr. Vishwas Patel – Joint Managing Director, Mr. Sunil Bhagat – Chief Financial Officer and Mr. Purvesh Parekh – Head, Investor Relations. Also joining us on the call today is Mr. B. Ravi who is advising Infibeam on Corporate and Financial Strategy as an independent consultant. We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risk that the company faces. I now request Mr. Vishal Mehta to take us through the company's business outlook and financial highlights subsequent to which we will open the floor for Q&A. Thank you and over to you Sir!

Vishal Mehta : Thank you Rajat, good evening everyone and a very warm welcome to our 3Q FY2024 earnings call. I am very proud of the performance of Infibeam Avenues in 3Q achieving several historical highs. We added an impressive Rs. 1.2 billion or Rs. 120 Crores quarter -over-quarter in gross revenue which is a historic feat by the company as we focus on scaling our business to new

heights with each passing quarter . Our digital payments business through CCAvenue led the way for the increase in revenue. Operating or EBITDA margins and profit margins continue to remain strong as we take advantage of steadily improving leverage as we scale up . Especially if you look at our standalone financials , the standalone business which now constitutes almost 94% of our consolidated gross revenue compared to 92% a few quarters earlier comprises of India payments in our platform business which has an operating margin of 67% and a profit after tax margin of 42.4%, which is the highest historically excluding the market-to-market impact of our investments . The movement of course in terms of market-to-market is notional, which does not impact company's cash flow and hence if we find it prudent to be excluding it from our operating performance for a like -to-like comparison . Consolidated EBITDA margins were at 61.2% and profit margins at 37.3% on a consolidated business basis respectively . The reason for the lower margin in consolidated business is on account of our focus to scale our subsidiary businesses internationally where we are currently focused on gaining market segment share. Yet the consolidated operating and profitable margins are among the best in the industry and better than some of the top international players .

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Page 3 of 23 I want to focus on India payments , our India payments business continues to show strength as we added almost a billion rupees in gross revenue in a single quarter . In CCAvenue we added more than 200000 merchants . On an average we added 2500 merchants on a daily basis during the quarter keeping the merchant addition pace consistent . We were able to incrementally add Rs.50 billion to our India transaction processing volume in this quarter . Total India payments transaction processing volume rose to Rs. 663 billion growing at 34% year-over-year while the TPV of the payments business as a whole including India , international and Go Payments was Rs. 709 billion for the quarter growing at 32% year -over-year . In the third quarter India payments business net revenue has grown 34% year -over-year crossing Rs.500 million mark for the first time . Net take rate for the India payments business remains stable at 8.5 basis points sequentially . As you will notice we are not compromising growth or compromising one metric while compensating on the other and yet we are able to grow profitably registering the highest ever PAT in a single quarter . On our international business while India payments business remains strong we will

continue to grow in Amrit Kaal. We are also focusing on growing our international payments business and working towards scaling the business from here onwards. You will hear more from us about our plans to scale the international business in the coming few weeks to months.

I would now like to give you an update on our contract with GeM which is the government e-marketplace. GeM continues to use our marketplace platform for all the buying and selling happening on the platform. To give you a brief idea December 14, 2023 was the last day of our contract as per the old RFP and we have recorded revenues and taken a conservative view so far in recorded revenues only up to December 14, 2023. The intellectual property of the e-marketplace platform belongs to Infibeam Avenues and we are in discussions with GeM on the protection of the intellectual property along with the commercials associated being the same as the new MSP has taken over. The resolution of the same is expected within this quarter and we will provide the right accounting treatment to record the revenues accordingly. We will update everyone about the same once we hear back.

As far as our recent announcements on artificial intelligence

in the third quarter including

the month of January we took multiple strides to build artificial intelligence business in Infibeam to bolster both our payments and the platform business both from inside out as well as outside in. We believe that AI will take the center stage not just in the world but also across all businesses as well as with its infinite use in various facets of our business India stands to gain hugely through implementations across multiple areas. Our central focus will be on the retailers and how we can grow sales for the retailers and improve the experience. We have made investments to create an AI hub. We launched India's first AI hub at GIFT Infibeam Avenues Limited
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Page 4 of 23 City Gandhinagar and christened it as Phronetic .AI. We have signed a MoU with the Gujarat government for Rs. 20 billion at the Vibrant Gujarat Summit held earlier this month in January for building and developing a state-of-the-art AI hub and we have also appointed Rajesh Kumar as the CEO of Phronetic .AI. Rajesh comes with a wealth and experience more than a decade of experience in building out his own company called Streamoid as well as being the chief architect in some of the products at Yahoo.

We think apart from the payments business where we have established and growing customer base including our expansion in international markets it becomes crucial for us to build futuristic capabilities this time through artificial intelligence for the rapidly expanding Indian sector to achieve several objectives, enhance operational efficiencies, improve security measures, improve customer experience of the retailers and also to advocate for policy development tailored to meet the needs for small and medium retailers. Additionally, the company anticipates that through the gig economy and full-time employment AI can add a lot of employment opportunities across.

I will now hand over the call to Sunil Bhagat who is our CFO to quickly give you a synopsis of our financial and operational performance for the third quarter.

Sunil over to you!

Sunil Bhagat : Thank you Vishal bhai. Good evening everyone. I am pleased to state that gross revenue for the first time crossed US \$100 million in a quarter reaching at Rs. 9120 million that is approximately US\$111 million in third quarter of FY2024 which is growing at 120% year-over-year. The robust increase is on account of strong growth in India payments gross revenue which is growing at 147% year-over-year. This is largely due to rising contribution from credit payment options which is now reaching at 53 to 55% levels across 9 months of FY2024 compared to under 50% levels in FY2023. Our market share in online credit card spends has increased from 9% in FY2023 to over 10% in the span of nine months of FY2024. Not only has the TPV increased but the gross and net take rates have also increased leading to such high performance. Even the net take rate has remained stable at 8.5 basis points which is due to our deep relationship with banks and many large merchants over the last 25 years who pay for superior quality of our service and for our robust and secure payment options.

Now on the financial performance for Q3 of FY2024 against Q3 of FY2023, our TPV has reported 75% increase year-over-year. Our gross revenue has increased by 120% to Rs. 912 Crores. Our net revenue increased by 33% to Rs. 113 Crores. Our EBITDA for the quarter increased by 45% to Rs.69 Crores. Our PAT increased by 64% to Rs. 42 Crores in this Infibeam Avenues Limited
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Page 5 of 23 quarter. If we consider the financial performance of nine months ending on December 31, 2023 on consolidated basis our TPV again increased by 61% year-over-year basis. Our

gross revenue increased by 87% to Rs. 2400 Crores plus. Our net revenue in

creased by 36%

to Rs.322 Crores. Our EBITDA increased by 48% to Rs. 193 Crores. Our PAT increased by 82% to 112 Crores. Just to appraise you we have almost achieved the same net revenue in the span of nine months of FY2024 as that of the entire FY2023 while we have already surpassed the entire FY2023 EBITDA and PAT in the first nine months of FY2024.

It gives me immense pleasure to state that this year has been the best year of Infibeam on a comparable basis since we have been listed and we are bearing the fruits of a sustained philosophy of going after profitable revenue and not chasing growth at any cost.

I will now request the moderator to open the floor for Q &A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Pranay Jain from DeaWealth Capital.

Pranay Jain : Thank you for the opportunity and congratulations on a robust quarter and nine month performance. Just wanted to understand how is 2024 year looking based on early trends at the start of this year, what are the milestones we can look forward to in terms of TPV margins and profitability because we have now resolved to grow profitably instead of just growth at any cost so wanted to understand with our stance at present what milestones are we aiming ahead?

Vishal Mehta : Typically we generally give out guidance for the next year in the first quarter looking at the trends post Q3, Q3 being a seasonal quarter because a lot of holidays and festival seasons happen in Q3 so far Q4 has been strong for us, so in the first three weeks of January we still continue to see strong performance, so as we actually approach towards the first quarter of next year we will have more indications on 2024. If you look at our growth year-over-year since last year we have grown upwards of 60% in terms of gross revenues and in terms of overall performance also we have kept on looking at profitable growth which is what we mentioned earlier so the three drivers of growth we believe for next year would be one our continuous focus on adding merchants, we have added quarter of million merchants. While adding merchants is not linear with our growth we bear the fruits of adding merchants over quarters. There is a latency between the processing versus the addition of merchants so we believe that we should continue adding merchants. Even this quarter we added quarter of million merchants so we will continue that track in India. Second is we will offer TapPay solutions. TapPay has shown very good promise. What we have done is we have white labeled the solution for several providers, right now fortunately the Chalo App which is Infibeam Avenues Limited

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Page 6 of 23 used in Mumbai and many of the other locations we white label it for partners while the underlying processes are all the same and more than two-and-a-half million passengers will benefit out of the same so we believe that such implementations and partnerships will add to our overall transaction volume and growth and we also believe internationally we have only scratched the surface. Currently in UAE we process a billion Dirhams a month now. While in terms of revenue our overall revenue from international is less than 6 or 7% of the overall we believe that it has a potential in the next two years to get to 25-30% so while we will be focused very much on India we believe International can also add significant growth opportunities for us so we will of course tell you a little bit more in terms of the overall guidance in the first quarter of 2024.

Pranay Jain : So three things from what you said one not just from a yearly point of view but say over the next two to three years what is the size that we are aiming to be in UAE basis of partnerships that we are doing, basis of conversations that we

have had, basis the traction in

transactions we have had since it was earlier mentioned that our profitability rates are already superior compared to some global peers so how do we see that in UAE that is number one, number two what is the net take rate we see in terms of trajectory going forward and three with regards to the partnerships in India I mean GeM has been fantastic for us but otherwise what kind of partnerships have we struck and the investments that we are making for example So Hum Bharat is one what kind of investments we are doing in India to increase our opportunity size here?

Vishal Mehta : Sure I will answer the second question and then the third questions first. In terms of our presence in UAE we have grown significantly. We have crossed billion Dirhams a month and if you look at the number of clients we have in UAE, so basically for UAE we have double digit BPS and we process it in the teens and we have been able to grow significantly. We have about 7000 odd clients in UAE and we have been able to process a billion Dirhams so we believe that we would like to grow the trajectory from 7000 merchants to 70000 merchants in the next 12 to 24 months that is the kind of growth that we would like to see in UAE. As far as India is concerned we have guided everyone but right now we are

at 8.5 bps, we would like to reach double digit bps in terms of take rates, so I think that is the India business and to answer your question about GEM and we have added two clients this quarter, so we expect that in the next one or two quarters even if there is a deficit we are able to come back overall in terms of our platform revenue, so I think we have mentioned the same earlier as well but we believe that going forward given that the artificial intelligence layer that we have built out and you will hear more about it in the next few weeks including the products that we have built out. We believe they are transformational, they are very interesting and just so that you know it is thought about in two ways one is how do we increase productivity within the company for everything and every task that we

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Page 7 of 23 do and second is how do we work on high impact opportunities and today we are working on both but we will have more to share with you in the coming months.

Pranav Jain : Thank you so much for the detailed response. I will get back in the queue.

Moderator: The next question is from the line of Kunj Lalka from GoldenTrunk Capital Venture. Please go ahead Sir.

Kunj Lalka : Sir my question is could you please share your strategy behind acquiring Pirimid Fintech what do we see future from here?

Vishal Mehta : If I heard your question correctly what was the strategy behind the investments in Pirimid Fintech and how does it benefit us at Infibeam so Pirimid is a company that focuses on building out capital market software as well as they build out a lot of frameworks for lending and I think they have been able to give such frameworks not just in India but international companies they know how to build out zero latency frameworks and the two opportunities that we think are interesting in that is we think that we can introduce payments as an integral part of whatever we look at doing. I think you must have heard a lot of information in conversations about real-time settlements not just payments but settlements. We think there is a role to be played there so that is one thing that we think we will want to explore with them further on. The second thing that we would also explore is how the AI works on transaction volumes. A lot of things that we can actually work on in terms of shifting through all these transactions become interesting and then the third opportunity that they are working on which we think is also interesting is the lending frame

works. As you think about fintech while there are a lot of discussions we have been appropriately conservative in terms of how we think through lending. We are building out a thesis, a stronger thesis by the day in terms of what that looks like and we expect that in the next few weeks you will hear more from us in terms of what we would like to do in that space as well.

Kunj Lalka : Sir my second question is the number of investments we are making into the international avenue so how do we see this like what is the targeted capex for the coming years?

Vishal Mehta : See we will have more to share with you in the next quarter for FY2024 and we will give you guidance but one thing we know is that we will be wanting to grow in the earlier question I mentioned that we would like to grow from 7000 merchants today using our payments framework to 70000 so we would like to grow 10x and we have done some capex, you see there is a lot of compliances on data localization in every international country. There are a lot of GDPR guidelines in terms of what you need to comply with and

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Page 8 of 23 every country is also coming up with the payment aggregation license just like India RBI has given payment aggregation license every country is going through the same and one needs to comply not just from a regulatory perspective and compliances but also ensuring that the data privacy and many other components of that have been met and only after the audits do such licenses come through so in Middle East we have routed ourselves, we would want to make such investments, compliance-related softwares and frameworks also need to be in place and so I think one can expect that as we build up more and more international regions the two regions in Middle East today that we are focused on is UAE and Saudi, but we have also opened up our framework to banks and institutions in other regions like Oman and others, so as we build up each country at a time we will incur that level of capex. The good thing about that is that it is incrementally highly accretive for the company so we believe that if we can scale up and if you have an aspiration to scale our international business from a single digit percentage to a two-digit percentage number in the coming 24 months we do the appropriate level of capex funding for the same.

Moderator: So the next question is from the line of Pranav from Dolat Capital. Please go ahead.

Pranav : So just one thing from the net take rate so sequentially they have dipped from about 9.3 to 8.4 is this currently attributed to international business?

Vishal Mehta : Yes we have tried to scale the international business so you are right ; it is attributed to the international .

Pranav : So we face some higher processing cost over there ?

Purvash Parekh : So in our international business and one of our subsidiary Go Payments we are scaling up the business significantly because we see there is a lot of opportunity to grow , as our Chairman was just speaking in the previous question. We have a lot of opportunity there to scale and even increase our market share, so currently we are in a mode to grow in these areas where we have seen a slight dip in our take rates but we also mentioned that our India take rates are at the same level like we had in the previous quarter and we are profitably growing in India so international is probably just a little bit of blip maybe for a quarter or two as we keep scaling and we expand in the international geography so you will see the overall take rate maybe has slightly come down but the future prospects are very bright in these markets .

Pranav : Second one will be on the AI piece so if you could just elaborate what kind of opportunities would we see in terms of enhancing our core business I understand we made an acquisition but for our

own transaction business how can we use AI to grow up the next leg of growth?

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Page 9 of 23 Vishal Mehta : Sure so the way we look at AI is there are two ways in terms of abstraction , one is how can we use AI to improve the productivity of everything that we do within the company that is one and second is how do we use AI to make transactions more efficient better , security - related issues , fraud -related issues so on and so forth and how do we do it across billions of transactions that we do so that we can make it smarter better over time and what we find is that as far as the productivity is concerned and if you look at the overall ecosystem 80% of the people we believe who are working in the ecosystem are working on productivity-related solutions . In other words we believe that AI has an opportunity to make every job within the company more productive and what you could do maybe in few hours you can perhaps do it in minutes and for each of the productivity-related metrics you can have tools that can come up but these productivity-related tools will not be a competitive advantage in our opinion in the long term because we believe that that option of productivity-related tools will be pervasive it will happen across the Board not just in one company . What will be really defensive and which will be extremely thorough would be the framework that we develop which potentially allows us to make our business smarter , better , more productive and that is where we believe that AI plays a role . We have already started implementing the training frameworks for the same. We believe there are two aspects of this training and inference for everything that we do and we are trying to get more and more better by the day and I think you have to go multimodal in this case it is not just transactions it is authentication as well for the user that essentially originates even before a transaction because a fraudulent transaction happens because of authentication failure as well or a spoofing of an authenticated agent, so you may have heard that we have launched something called Theia which is a tool which is in data mode for visual AI, it identifies quite a few things visually when you want to do video KYC and many others, all the way from there to transaction processing , how we process transactions , how do we look at not just checks and balances , fortunately we have got significant amount of data that we sit on top of because finally you see we were sitting on a lot of data and a lot of people say we are sitting on data but it basically feels gold if you do not use it properly, so in order to make it gold we need to actually make sure that we are using those right frameworks that give us very high level of accuracy in terms of what we would like to accomplish and remove all the false positives and negatives so we believe that these tools and frameworks that we build out are not just going to be utilized by us it will be used by several financial institutions across and we think that maybe in the next one or two quarters we would be publishing a few frameworks out there for people to utilize for the greater community to utilize and there will be enterprise level products, which will be utilized for financial institutions , banks and others which we want to publish . While we will use it for ourselves we will also open it up for others .

Pranav : I do have a few other questions. I will get back in the queue.

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Page 10 of 23 Moderator: Thank you. The next question is from the line of Mayur from Profitmart. Please go ahead .

Mayur : Thank you for the opportunity and congratulation on good set of number . Sir my first question is regarding your AI advancement and the MoU signed with the Gujarat government , co

Could you please provide more details about the AI hub that we are envisioning?

Vishal Mehta : See fundamentally what we realized is that retailers have two major problems first is being able to when you look at the entire framework and when you think about smaller retailers not everyone has an ERP solutions, not everyone actually works with ERP larger retailers definitely they do but when you think about small and medium sized retailers they do not, so one of the things that we are looking at doing is visual AI, which means that through a simple camera how do I identify small objects inventory within the retailer . A lot of companies if you think about retailers they use CCTV cameras and the CCTV cameras are not used only when there is an issue it is more like insurance . Whenever there is a theft or an issue they actually go and look at what is the frame-by-frame what happened so what we can do is we can actually use that same framework and use a software framework on top of it to be able to identify every single small object which is there , quantity of inventory, the kind of inventory which is out there and that becomes the basis of being able to I would not say share but through a single click be able to publish that inventory across multiple places including ONDC and others, so I think that becomes the first element of how one can utilize visual AI frameworks to be able to help retailers and then to be able to offer payments to all these retailers using TapPay because one would want to actually accept any kinds of payments in artificial intelligence not going to technical but there is something called supervised learning, so through these supervised learning frameworks you can actually identify whether the models are communicating properly and being able to identify objects properly and be able to assist the retailer in terms of being able to communicate and do whatever they want to do so this is just one example of what we would want to accomplish . There are three phases in which we would implement this project . I think the world is very close enough where you can actually start talking to the video cameras rather than actually going and looking frame -by-frame you can start talking to them every event of a consumer can be mapped out using artificial intelligence in terms of what they are doing and you can give elevated levels of customer experience based on what each of the individual is performing so I am just leaving you a very abstract concept but when you actually look at implementation there are thousands of training frameworks and things that you would want to do to be able to accomplish the same and the MoU that we have signed up is the one that enables these activities and we will be implementing that in phases .

Mayur : Could you please give me the details about the three phases ?

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Page 11 of 23 Vishal Mehta : I think we will share more as we come through but it is essentially the level of participation it is actually to be come statistically significant in accuracy you do not want to do it on five or 10 retailers you want to do it on a few thousand retailers and what you want to do is work on statistical significance in terms of proving the accuracy and not necessarily just showing a few implementation saying that it is accurate so I think the phases are really about getting comfort on statistical. See one should know I have yet to see any artificial intelligence model that does not hallucinate as of today I can promise you that . Even open AI will hallucinate so the hallucination means that it will give you wrong results and so what you want to do is actually increase the accuracy of each of these models to a point where they become important , they become relevant, so just going and communicating saying that we have a model with a very low level of

accuracy will not help . You want to get to a very high level of accuracy to give you an example someone who is actually driving self-driving cars you need an accuracy of 99 .59 you do not want to have an accident but sitting with a retailer identifying objects you may be okay with 96, 97% accuracy of small object identification and detections, so one needs to actually come up with the right kind of set of metrics and the more the process and the more we do the models become smarter because the only way to actually make them better is with some human reinforced learning as well as being able to have more data, so I think for us rather than going all out we need to get it into phases . To answer your question it is just about the number of retailers that participate .

Mayur : Thank you Sir and my last question is what key strategies are we implementing to gain market share in the payment space and maintain the competence especially in the face of emerging market player across this space?

Vishal Mehta : One thing you should know is that RBI has been very proactive and they have been very selective about who to grant the payment aggregator license to, so in some ways you read out the bad actors and make sure that you allow everyone to become compliant so that is one. It is a competitive business let us be honest about it and we think that the pieces that we have is very easy to compromise a few BPS in payments to make more BPS in lending . We have always taken the approach it is not either or . One should be able to make money in payments as well as make money in lending and that thesis means that you have to extremely optimize your framework to a point where you know that you squeeze out every

penny every BPS out of it so I think that has helped us in terms of being able to remain competitive. I think with scale and with the network that we operate we continue being competitive and then we have to work on innovative solutions which are AI driven solutions that potentially allow us. We are very bullish on AI just to let you know. I think that it has the potential to somewhat overhaul quite a bit of whatever we are doing in the next five years and the thesis while it is very hard to borrow somebody's conviction but we are convinced that that is the case. So as far as being able to make more efficient

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Page 12 of 23 frameworks, being able to identify and predict activities before they happen, being able to ensure that we can become productive, all of those things will have an important participation in keeping us competitive in my opinion.

Mayur: Thank you Sir. Thank you so much for your clear answer. That is all from my side.

Moderator: The next question is from the line of Deepesh Sancheti from Manya Finance. Please go ahead Sir.

Deepesh Sancheti: I just wanted to know the GeM gross merchandise value has experienced the quarter-on-quarter decrease dropping from over 1 lakh Crores in the previous quarters to around 91,000 Crores in this quarter. Is it the first time that the quarter-on-quarter decline and GeM gross merchandise value has happened and what is the specific reason for this and also going ahead in Q4 and other quarters how do you see the GeM GMV?

Vishal Mehta: See of course we can not comment specifically on the reasons why GMV went down or up but sequential quarter-on-quarter has happened in the past also so this is not the first time. For the first time what I can tell you is that what happened in the full last year GeM has accomplished more of that in the first nine months of this year compared to what they did in the full last year so I think overall the value has gone up significantly so that is the one part. The reasons behind that so on and so forth very hard to figure out because they are a client and they would know more about

it than we would. Historically Q4 is a big quarter for

GeM and given the election year and given that there is a lot of incentive and commitment to actually make GeM successful, we expect that should continue building up from here.

Deepesh Sancheti: The second question is can you provide me an update on your business in UAE what kind of growth and revenues contribution are we currently experiencing additionally could you also give me the TPV we are processing there and do we have any other plans, also the plans what we are doing in the new geographies you mentioned in the investor presentation but what are the capex which we are doing in the other geographies?

Vishwas Patel: On the numbers part Purvesh you take and the business side I will answer.

Purvesh Parekh: I will give you the numbers and then I will hand it over to our Joint Managing Director,

Vishwas Patel to answer this. We do not separate out UAE but I can tell you that UAE has been growing at more than 50% CAGR as in Q3 also we have grown by more than 50% as far as GMV is concerned. Our take rates have always remained in the double digits. As I just mentioned in the previous question that we have been expanding in the UAE geography and soon we will be launching in Saudi as well. Due to promotional activities and in the last

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Page 13 of 23 quarter also we mentioned that we have launched the offline business in UAE so we are seeing an extremely good response. Q3 you will know that even in the UAE market there are a lot of travelers, there are a lot of people from various part of the world traveling to UAE especially in the months of November and December where we saw a very good uptake of our offline as well as the online which is why we went a bit more aggressive on the promotional side to push our UAE business and we have seen an extremely good response to that which is why the take rates slightly came down but they still continue to remain in the double digits and whatever we are building with the partnerships that we have in the whole of the GCC region I think from FY2025 onwards in fact from Q4 onwards you will see a much better performance there. I hope Deepesh I have answered your question.

Tushar wait we have not completely addressed Deepesh. Deepesh numbers are okay with you?

Deepesh Sancheti: Numbers are fine, if you can just answer that how much of capex are we planning to do for the other geographies?

Vishwas Patel: On the business part on the UAE and Saudi, so on UAE part we have grown almost all the GMV is from the online businesses that are there. The focus is 7000 odd merchants so all the top merchants there in UAE, Emaar, DAMAC, Burj Khalifa everybody is primarily from the online business so now we are expanding the scope as Vishal said earlier how do we go from 10x merchant from 7000 to 70,000 so that is where we are focusing right now on totally offline solution. The QR code is already deployed in many of the establishments

there in UAE and now this TapPay will be getting into TapPay and our revenue solutions both we will be getting into a lot of fine businesses for processing offline through our CCAvenue app there. Of course we are also working on the platform side with multiple banks that we will announce subsequently in the quarters. Same way for the capex part is already built out in UAE over the last five years that we are operational there so it is just incremental operations that we are doing on certain specific solutions that is there. Saudi we are just starting off because of the licensing norms. We have got the in-principal approval from SAMA the Saudi Arabian Monetary Authority to start business. The next quarter even Saudi market will also be reflected in our business. In Oman we have opened up our platform to three of the biggest banks there

that is Bank Muscat, Bank Dhofar, and Bank Sohar another one bank so they are using our entire platform as a service there and other things so this kind of growth pattern in the Middle East very quickly we will cover other one or two small markets before we move on to another geography. On the capex part as I said Purvesh you want to take that on.

Vishal Mehta : Typical capex that you see one can reasonably assume that for any geography you light it up and completely localized and so on and so forth it will be \$2 to 3 million cap ex.

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Page 14 of 23 Deepesh Sancheti : That will be for each and every country?

Vishal Mehta : Every country depending upon the rules and regulations because if you want to have localization in every country and become compliant we expect that that will go that route if not today tomorrow so while we can operate centrally depending upon because every country will have certain rules and regulations around payments and over a period of time you will need to become compliant to these rules and regulations.

Deepesh Sancheti : Right so if any AI module also which we develop that will be also be expanded throughout the geographies right?

Vishal Mehta : Yes that is correct.

Deepesh Sancheti : The AI module that is developing self or are we also talking to companies like Open AI or Microsoft or Enterprise Bot or something like that are we open to that or we are doing everything ourselves?

Vishal Mehta : See fortunately we are not working on large language models LLMs that we talk about. To do LLMs is going to require in my opinion a and that is open information 16000 GPU's billion dollar capex, a very large investment. What we are looking at is training and inference and when we look at video analytics we work with companies to be able to build up. Everything that we building out right now would be proprietary to us but if you wanted to actually go and say that listen I want to start talking with videos and not look frame-by-frame then we will look at partnerships where you would need a base framework base foundation model and then you actually allow the video to be able to talk to you in certain specific ways so whatever LLVA that we talk about or what I talk about is large language video analytics framework or when you think about LLMs you would need to think about foundation models and what we realize is that there are several foundation models it is not just one foundation model and those foundation models will go through their own ups and downs and turbulations but the thing that we realize is that each of these foundation models need applications for monetization, otherwise these foundations model do not have monetization opportunities, so getting into the details of it will be hard right now but you can think about us as we are building out our proprietary, it is all internal proprietary and then we will partner with the right companies to be able to build up feature sets and functionalities that potentially make the entire offering very rich.

Deepesh Sancheti : So you will be partnering with this foundation model and then over that you will be layering it up with what exactly is good for your application have I got this right?

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Page 15 of 23 Vishal Mehta : Most likely yes.

Deepesh Sancheti : Perfect thank you so much.

Moderator: Thank you. The next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain : Just wanted to understand your thoughts on two aspects firstly the transaction that we did with the Pirimid lending solution what is the kind of synergy that we are seeking out of this transaction for our business and secondly on the investment that we have done to acquiring the minority the rest of the stake in So Hum what kind of

investment it will entail and what

are the next two, three year objective that we plan to achieve from that?

Vishal Mehta : Sure to answer the second question first So Hum is 50.5% owned by Infi and this announcement is about acquiring the remainder 49.5%. So Hum is the entity that was utilized to be able to apply for the new umbrella entity license for retail payment systems . So Hum had applied as part of a consortium and we discussed this in the past there are several consortiums that have applied for the new umbrella entity license with RBI . So far we have not heard back from RBI but we believe that payment aggregator licenses were first evaluated and with due time we will hear more from RBI in terms of the overall perspective. The amount of investment is Rs. 45 lakhs so we are requiring the remainder part for Rs.45 lakhs given that the entity is a conservative partner and it has to go through the process of RBI vetting. There are several consortiums that have applied. It is all public information of who has applied with whom and we are yet to hear so that is the part in terms of So Hum. Once we hear back and once we are awarded as a consortium any specific license from regulator at that point we will be sharing more information in terms of what it requires and what it entails, but as of now we have taken over 100% of So Hum so it will become 100% subsidiary of ours and the amount of investment is about 45 lakhs so that is So Hum. What was the second question Rahul regarding Pirimid , so basically as far as the rationale for Pirimid is, Pirimid builds zero latency software frameworks , they have frameworks for account aggregation , they work out, they have framework that they have built for lending applications , many of the clients they include large companies including the likes of Lendingkart and others who utilize the m and they have given trading frameworks , capital markets trading frameworks to international companies as well some very reputed ones , so our objective was twofold one is how do we integrate payments because payments and settlement in capital markets will become very important facet in the next few coming quarters and we believe that there is a place to inject payments as a core competency into that so that is one place that we will explore which we do not exist right now in that space at all and we believe that by the capital markets and given that one needs

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Page 16 of 23 to look at real-time settlements I think there will be an important facet of how one can participate in that setup so that is one area that we would like to build out . Second is when you provide such high zero latency, high performance frameworks to company's role of artificial intelligence data become very important and we will be exploring frameworks . We have already started exploring frameworks in terms of how we can inject the frameworks that we build out into specific offerings to clients and I think Rahul to answer your question see data is everything , data will actually allow you to train it . Over a period of time models is important but without data you cannot actually do much and so what that does is for every client we make it specific to the client and they can learn from the generalized model as well as specific data for their own models . In some ways Chat GPT -4 Turbo where you can customize it based on your data but rather than actually doing your generalized data given that it is verticalised for fintech you can actually do a much better job in terms of overall performance compared to any generalized model so we will work on those kinds of opportunities to be able to build up from there . We see good synergies in that space. Lending is important to us this is the third facet of it. We think that we have been appropriately conservative

. We did settlement funding that is express settlement that we talked about in the past but we have also built out our thesis in terms of what we would like to participate in because that is a very large opportunity in the number of merchants that we hold and maybe in this quarter itself you will hear more from us in terms of what we would like to do in that space .

Rahul Jain : Right and just last bit on the GeM side of the business you said you have this billing till this point which you have accounted for this quarter and since they continue to use the IP is it safe to assume that till the point they use it the revenue has to come, it is just that it is not contracted at this point or you see a risk of not getting paid for that part as well?

Vishal Mehta : Our internal bias is always to be appropriately conservative much like an investor would think and make sure that you expect the best and account for the scenarios that you do not expect them to unfold, so we have accounted for revenues only until December 14, 2023 and there is a difference between a cup and the lip until we have a contract will be hard to actually comment on it . One thing we know is that you it is our intellectual property it is being utilized for every transaction that happens today .

Rahul Jain : Just to reconfirm that so essentially we have booked revenue for 74 days and cost for the full 90 days in this quarter ?

Vishal Mehta : Sorry 74 days and what I am sorry I did not hear the last part ?

Rahul Jain : So in a way we have booked revenue for 74 days .

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Page 17 of 23 Vishal Mehta : 100% true .

Rahul Jain : Understood. Thank you. That is it from my side.

Moderator: Thank you. The next question is from Hemal . He is an individual investor . Please go ahead .

Hemal : Very simple question I do not know if you publish this if you do is how much is our revenue this year of 9 months from like what percentage of revenue will be from GeM ?

Vishal Mehta : We do not publish that but one can assume that it is low single digit percentage .

Hemal : Thank you. That is it for me.

Moderator: Thank you. The next question is from Ayushi Shah. She is an individual investor . Please go ahead .

Ayushi Shah : Yes Sir so basically my question was that regarding the jump in of 120 Crores in the operating expenses so what does it pertain to like what are we spent on?

Vishwas Patel : Ayushi the rise in operating expenses is basically the payment processing charges .

Ayushi Shah : Payment processing charges so can you elaborate a bit more on that nothing from like D RC, mark-to-market , or anything like that that has come in over here right ?

Vishwas Patel : Operating expense cannot include mark-to-market right so mark -to-market losses for this quarter have been recorded in the other expenses . This quarter we have processed a lot of credit cards whichever CFO was mentioning somewhere around 53 to 55% is the contribution from the credit cards . As you are aware we have been saying in every call that credit card cost to the company is on a higher side say around 180-185 basis points for example and we give it to the merchant as 200 basis points so the operating expenses get recorded at this 180 or 185 basis points because the volume of credit card has increased so the payment processing charges have increased in proportion to the contribution from credit options .

Ayushi Shah : Sir where do we stand on UAE like we are in?

Vishal Mehta : We have not announced anything of that sort so maybe you are referring to whatever you may be referring to but one thing we know is that it is a fully owned subsidiary of us and we are building up the business and as and when we have more information we will share with you.

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: Alright Sir and regarding the patent regarding TapPay is there any update on it I have been asking since a while now and it has almost been a year since we applied for the same?

Vishwas Patel : We have applied for the patent . We are waiting further response from the respective trademark copyright patent office . We have not heard anything for it so application is done so if we hear anything from the office then we will definitely update in the next few days.

Ayushi Shah : Sir on slide 14 of the investor presentation it is mentioned that we are awaiting a retail payment network .

Vishwas Patel : Ayushi sorry to interrupt . Today we have lot many people in the queue could you please come back .

Ayushi Shah : Yes sure thank you.

Moderator: Thank you. The next question is Pranav from Dolat Capital . Please go ahead .

Pranav : So just on the tie -up with Bandhan Bank so how does this expand our opportunity for our payment business and what kind of partnerships can we expect going forward ?

Vishwas Patel : Bandhan Bank is a tie -up for different cards of instant EMI that we can give on cards and offering to the end customers of the merchant, so if you are a Bandhan Bank customer and shopping on any of the websites that are powered by CCAvenue you can instantly convert your transactions into EMI giving you more flexibility to buy higher ticket items for yourself, so these kind of tie-ups we already have with almost 17 or 18 of the banks but we are the only player to be able to give instant EMI with the agreed rates for specific periods so that is one part of course there is some processing and there is also platform usage with Bandhan Bank relationships . As we say we have almost 75 plus banks relationships going on with various services , utilization from acquiring to others Bandhan Bank is one of them .

Pranav : That is all from mine.

Moderator: Thank you. The next question is from the line of Pranav Jain from De alWealth Capital .

Pranav Jain : One I just wanted to understand when are we expecting the retail payment network license that is on the retail side and on ERP could you give us a flavor of some of the clients we could see in the presentation by the end of the year other than the big names we are seeing on a regular basis ?

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Page 19 of 23 Vishal Mehta : Sure so in terms of the retail payment license the NU license which is the one that you are referring to ISO and so for that particular license we have heard as much as you have heard

from the news in terms of when RBI is expected to pick up , not pick up so on and so forth but we will hear more from the regulator as soon as we hear we will let you know . The thing that we know is that several consortiums have bid on the NU license. It is a very large license because it enables you to do a lot more and not just payment aggregation but a lot more in terms of coming up with your own in some way competing framework to NPC and many others possibly so when we hear more about it we will let you know . Our consortium we believe is a strong consortium that we have established and we think that as soon as we hear back from the regulator we will update you in terms of the next steps process so on and so forth . The application was made several quarters ago if you recollect but in terms of the priority the focus was really about payment aggregation on license first and we believe that since payment aggregation license has been awarded and continues to be evaluated we think that hopefully we should hear back shortly but we do not have any confirmed timelines on the same.

Pranay Jain : On the ERP side we generally see examples like Ge M, Jio, Sony ?

Vishal Mehta : We will be talking about that very shortly so by the end of the year you will have more information .

Pranay Jain : The second part was inte

nationally what are we penciling for US, Australia next couple of years as we are making a foray there and on a consolidated basis anything that we are aiming on ROA and ROE it is single digit at present so just wanted to know what is the path we have ?

Vishal Mehta : Sure so internationally I think for each geography in Australia and US also they are very large geographies and we have mentioned earlier that today international business is single digit percentage of our overall revenue and we expect in the next two years it should be good 25- 30% of our overall business so while India will also grow international should grow and that is the pieces that we want to work with and that will involve for us to actually build up quite a bit of frameworks in international . Fortunately we have seen success with UAE geography. We know the thesis we have tried it out , we have been present it is growing significantly well for us so we believe that we can replicate the same model . We call it country in the box which means that we can actually build up a team within the country and then we can actually make it work for you to set up from ground zero it involves good amount of capex but with incremental capex we can actually build out a country and countries where we believe that we do not have huge opportunity or maybe the volume is not as high we actually work on the CGPA solution which is where we provide Infibeam Avenues Limited
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Page 20 of 23 our framework to a bank so that they can give it to clients . For example Oman may be a small geography today for us to pick up but we gave it to a bank who eventually on-board clients, so it comes as a bank white label solution and not a CCAvenue solution let us put it this way, so it will be like a pick and choose approach in certain geographies we would like to work with a bank because we do not think that that geography is large enough for us to actually get a team out there or in terms of our priority of the countries that we want to pick up that is not very high up on the list . If you go to anyone in UAE and maybe if you asked if you have processed through CCAvenue payment gateway maybe most of the times they would say yes they would have recollected us and I think with the QR code solution that Vish was brought up where we are introducing TapPay it will become even more pervasive in that geography and we believe that is a good base for us to start building up on top of .
Pranay Jain : UAE thesis I understood for US and Australia I was asking what kind of partnership we see as vital whether with the financial players or fintech players we have solutions which are tested but like you said these are very advanced large financial economies and perhaps the strategy needs to be tweaked a little bit we must have identified collaborations and partnerships over there that we are working on so any light you can throw on that ?
Vishal Mehta : Sure to give an instance in the US we think that just going as a payment infrastructure provider may not work we need to work on solutions and payments together . Vish was brought up something called railway avenue in the past where we provide frameworks to hotels and so when we provide solutions along with payments to such aggregators then it makes it very interesting and fortunately on a lighter note most of the hotel owners are Patels in US so we think that there will be some chemistry out there that we can perhaps work our magic through but having said that I think you need to work on your strengths and we think that the strength is that we vertically focus ourselves where the margins are significantly higher . In the entertainment business the margins are very high and the inventory is perishable so if we are able to make it a win-win situation for someone who is utilizing us by providing infrastructure with payments and also on

the other hand allowing them to monetize better I think that becomes a good combination where we can take over quite a bit of other volumes and on the partnership side you need to work with acquiring banks so large enough acquiring banks who have a huge set of margins where given the efficiency and the promise with which we have our framework built out and the solutioning capability that we are looking at including the frameworks in AI that we bring up that they would want to migrate the merchants onto our framework .

Pranay Jain : Alright and the consolidated numbers on ROA and ROE?

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Page 21 of 23 Purvesh Parekh: If you notice we had just mentioned in the beginning of our opening remarks the standalone constitutes about 94% of the consolidated revenue that you see . Majority of the business comes from our India payments and the platforms business the marketplace software and the entire suite around this marketplace that we have sitting in our standalone business where we are generating about 66% EBITDA margin. This business is the core of Infibeam Avenues which we have been doing for past couple of decades since we began . This business if you see has been generating an ROE of somewhere close to 25% . how 25% and not the single digit as you were mentioning? We have made investments in a lot of subsidiaries just about a year or two before the COVID and these were start up kind of businesses so when they just started in about a year or two we were hit by COVID and there was a slowdown in those businesses but the investments were already made so you will see a large chunk of investment in our standalone balance sheet as well so temporarily if you keep those investments aside which are for the long -term prospects of the investments that we have in these subsidiaries and we have a large part of goodwill also sitting in the books . You will see that the standalone business itself is generating an ROE of somewhere close to 25%. You will also notice that in our presentation on the last slide the way we have shown it so the ROE is not single digit it is actually somewhere close to 25% for the core business that we are into .

Pranay Jain : The last page shows 19% ROE for stand alone.

Purvesh Parekh: That is FY2023 , I am talking of first half of FY2024 when we already had a balance sheet and the cash flow published.

Pranay Jain : So this is going to look like what over the next one to two years?

Purvesh Parekh: So we plan to sustain it or grow it in future . We also mentioned that we are getting the benefit of operating leverage because of the scale that we are into, so going forward we will try to sustain or increase our ROE levels from here .

Pranay Jain : Anything on the assets ?

Purvesh Parekh: On the assets can you touch base with me offline because I will have to work that out . I do not have it readily available but I think it is somewhere in the range of 5 to 6% if I am not wrong .

Pranay Jain : Alright Purvesh. Thank you.

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Page 22 of 23 Moderator: Thank you. Due to time constraint the management will take one last question . The next question is from Souvik Kumar Ghosh . He is an individual investor please go ahead.

Souvik Kumar Ghosh : Thank you for the opportunity and congratulations on the great set of numbers so I primarily had two questions for the AI domain one is when do you see the AI offerings start to contribute meaningfully to the topline that is first question and second question is what has been the operating expenditure relating to the AI vertical in this quarter and what could be the run rate going ahead?

Vishal Mehta : So basically we do not dissect as a segment and then publish the numbers in terms of the opex and so on and so forth on the AI business, but as far as

the overall opportunity is

concerned we think that the first question is that when will AI significantly contribute to the numbers . The framework is built horizontally which means that our existing businesses both the platform and payments business will continue to grow . AI will support those businesses by being a horizontal layer as far as the core business is concerned which is what I was talking to you earlier it will make that business more smarter , intelligent , optimal , and be able to and as well as in some cases productive and marketable so we think that that becomes the core competency for us. The second piece on the impact of it you see the moment you actually go into retail stores and what I talked to you earlier about was the visual AI component of it . In our opinion not many people work on those frameworks but if you are able to actually make it very meaningful and you provide some security solutions , payment solutions and inventory tracking solutions , customer experience solutions and if you are able to make it statistically significant and make a big impact then those solutions become very critical because without data nobody can build out such solutions and I think

that is where we feel that there will be a significant impact. My expectation is that you start seeing impact in our numbers both for payment and platform business in the coming quarter and as far as AI business specifically is concerned which is outside you see we have introduced TapPay where it goes into physical retail stores so if we have a solution where we are offering visual AI with TapPay we always think of combinations that sort which actually makes our model more productive and also allows us to increase our core business, so I do not know whether it answered your question but we will not segment out AI as a separate line item until it becomes business that we offer as a standalone to third party at which point we will.

Souvik Kumar Ghosh : Understood Sir. Thank you.

Moderator: Thank you . That was the last question . I would now like to hand the conference over to management for closing comments .

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Page 23 of 23 Vishal Mehta : Thank you all for visiting our third quarter earnings call and we look forward to keeping in touch with you and update you on the latest from the company. Thanks again.

Moderator: On behalf of Go India Advisers that concludes this conference. Thank you for joining us . You may now disconnect your lines .

Call: May 2024

INFIBEAM AVENUES LIMITED

Regd. Office: 28th Floor, GIFT Two Building, Block No. 56, Road-5C, Zone-5, GIFT CITY, Gandhinagar,
Taluka & District - Gandhinagar – 382 355, CIN: L64203GJ2010PLC061366
Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@ia.ooo | Website: www.ia.ooo

May 20, 2024

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai - 400 001 Company Code No.: 539807 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex, Bandra (East), Mumbai - 400 051 Company Symbol: INFIBEAM

Dear Sir / Madam,

Sub: Transcript of Earnings Conference Call for the quarter and year ended March 31, 2024

In compliance with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor/ Analyst conference call on financial performance of the Company for the quarter and year ended on March 31, 2024 conducted on Thursday, May 16, 2024, after the meeting of Board of Directors, for your information and records.

This transcript is also available on the website of the Company i.e. www.ia.ooo.

Kindly take the same on your records. Thanking you, Yours faithfully, For Infibeam Avenues Limited

Shyamal Trivedi

Sr. Vice President & Company Secretary

Encl .: As above

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"Infibeam Avenues Limited Q4 FY-24 Earnings
Conference Call"

May 16, 2024

MANAGEMENT : M R. VISHAL MEHTA – CHAIRMAN & MD, INFIBEAM
AVENUES LIMITED

MR. VISHWAS PATEL – JOINT MANAGING DIRECTOR ,
INFIBEAM AVENUES LIMITED

MR. SUNIL BHAGAT – CHIEF FINANCIAL OFFICER ,
INFIBEAM AVENUES LIMITED

MR. B. RAVI – INDEPENDENT CONSULTANT , INFIBEAM
AVENUES LIMITED

MODERATOR : M R. RAJAT GUPTA – GOINDIA ADVISORS

Infibeam Avenues Limited

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Moderator: Ladies and gentlemen good day and welcome to Infibeam Avenues Limited Q4 FY24 earnings conference call hosted by GoIndia Advisors.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity

for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajat Gupta from GoIndia Advisors. Thank you and over to you sir.

Rajat Gupta: Thank you, Manav. Good evening, everyone and welcome to Infibeam Avenues Limited earnings call to discuss the Q4 and FY24 Results.

We have on the call with us today, Mr. Vishal Mehta – Chairman & Managing Director, Mr. Vishwas Patel – Joint Managing Director and Mr. Sunil Bhagat – Chief Financial Officer. Also joining us on the call today is Mr. B. Ravi, who is advising Infibeam on Corporate and Financial Strategy as an Independent Consultant.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risk that the Company faces. I now request Mr. Vishal Mehta to take us through the Company's business outlook and financial highlights subsequent to which we'll open the floor for Q&A. Thank you and over to you sir.

Vishal Mehta: Thank you Rajat. Hello, everyone and welcome to our Q4 2024 and full year FY24 financial results conference call. I'm very pleased to report that the Company has built a very strong liquidity position holding cash and cash equivalent of INR 837 crores versus 365 crores that we reported in 2023. Our cash and cash liquidity position has increased by 129% year-over-year. Today we reported the quarter with revenues of 727 crores, EBITDA of 60 crores and a PAT of 36 crores. While we've made meaningful progress in our financial measures what we are most pleased about is our continued improvements in our take rates and margins on the CCAvenue payments business put simply a take rate is how much money we make from a payment transaction, so higher the take rate higher the profits. We increased our take rates from 8.5 basis points in the beginning of the year in Q1 FY24 to 9.2 basis points in Q4 FY24. This increase in take rate is a result of discipline, execution, optimization and reimaging a lot of digital payments. So, it comes across the teams of Infibeam.

Looking back at Q4, our CCAvenue payments business we continue to have the broadest range of payment options in the industry with deep payments integrations across thousands of third-party merchant systems. Being sharp on pricing payments to merchants is always important but Infibeam Avenues Limited

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merchants are careful about how much they spend for acquiring payments, particularly as more and more transactions are moving digital.

Alongside our payments business our platform business remains strong which is also up more than 29% year-over-year, primarily driven by large enterprise clients. We have not reported any income from one of our client GeM which is called Government e-marketplace in the fourth quarter of FY24. In spite of our continued utilization of our e-commerce platform by GeM, we have extended a commercial offer to GeM for licensing our base marketplace platform, intellectual property. But the matter has not been concluded. Since we have not been able to reach conclusions, so we have not reported any revenue from GeM in Q4 FY24 onwards.

2024 also was a very significant year for starting our journey in the field of artificial intelligence under our brand Phronetic.ai. During this period, we proudly announced a revolutionary video AI platform that we introduced called THEIA which is poised to redefine how business

ess

institutions and governments harness AI for increased productivity and efficiency. In an age where AI locks insights from so many data types, video understanding emerges as the next frontier. THEIA leads this charge empowering organizations to extract valuable information from videos optimized workflows and enhance operational efficiencies. What customers have learned in the early stage of AI in our opinion is that there is meaningful iterations required in building a production application with the requisite enterprise quality at the cost and latency which is required. Customers want practical scalable and multimodal frameworks. They want different models for different types of applications and different size models for different applications.

Our team continues to rapidly iterate, deliver capabilities including guardrails to safeguard with retrieval augmented generation and real time queries, agents to complete multiple multistep tasks and fine tuning to keep teaching and refining the models, all of which will help customer applications be higher quality and have better customer experiences. We are already in pilot phases with many customers at this time.

In 2024 we delivered solid financial operating results across our key performance metrics. This was accomplished during a challenging period of dynamic competitive environment in which we operate. We ended the year with (+10) million merchant accounts, revenue increased by 62% to more than 3,000 crores compared to 2023 and in 2024 we processed more than 2.5 lakh crores in payments value, not including the RuPay debit cards and UPI payments. For full year FY24,

I'm happy to report that Infibeam has achieved full year FY24 financial guidance. At the start of the year, we had a gross revenue target of 3,000 to 3,300 crores and net revenue target of 410 to 415 crores respectively. We closed the year recording gross revenue of 3,171 crores and net revenue of 429 crores which is at the high end of the estimates.

Both EBITDA and PAT also reached and exceeded the high end of our guidance. We closed the year with EBITDA of 253 crores compared to the target of 235 crores and PAT came in at 148 crores.

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crores versus our estimate of 130 to 150 crores. Yet I think this is just the start of what's possible.

We have a very long way to go and there is a considerable upside in each of the business. With that I will turn on and give the call to Vishwas.

Vishwas Patel: Thanks Vishal and good afternoon to everybody on the call. So, our CCAvenue payments business is built on a strong foundation, designed to drive growth and differentiate us from the competitors. A critical element of our overall growth strategy involves increasing the engagement of our merchant accounts which we expect will contribute in growth to the payment transactions, total payment volumes and net revenues. During this past quarter Infibeam Avenues received the final authorization from RBI for the payment aggregator license, so this will enable the Company to further expand its payment brand CCAvenue. This authorization enhances the credibility and trustworthiness in the digital payments industry, allows us to attract more merchants onto our platform. With an already substantial merchant base exceeding 10 million, the ability to operate as a payment aggregator will facilitate seamless and secure digital payment transactions at a scale. This is in turn expected to drive increased adoption of CCAvenue among merchants, leading to accelerated market share growth and further expansion opportunities in the payment gateway and the bill payment space.

We are also focusing in growing our international payment business and working towards scaling the business. This past quarter we announced to invest USD10 million for a 20% stake in XDUCE, a leading US based enterprise application and AI development Company. This strategic

move is aimed to enhance Infibeam Avenues Phronetic.ai solutions and CCAvenue payments business in the US market by integrating AI capabilities and expanding CCAvenues presence there.

Furthermore, in the Kingdom of Saudi Arabia, we achieved a significant milestone by being the first Indian payment gateway player to secure a EMSP payment technical service provider approval from the Saudi Arabian Monetary Authority, also called SAMA. Saudi Arabia is experiencing rapid economic growth driven by the government's 2030 vision and of targeting 130 million tourists annually. With this certification CCAvenue is poised to become a leading player in digital markets within the Saudi Arabian market. A payment gateway solution has been localized, data storage and hosting within the kingdom of Saudi Arabia and obtained the approval from the authorities.

We believe our competitive strengths include the following;

One the merchant network. Our payment platforms connect merchants and consumers, enable CCAvenue to offer unique end to end product experiences while gaining invaluable insight in how the clients use our platforms. A payments platform provides for digital and in store CCAvenue, TapPay point of sale, transactions while being both technology and platform agnostic.

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Payment choice; a payment solution supports an open ecosystem that provides choice to both merchants enabling flexibility to receive payments, using a wide variety of payment options and digital wallet solutions.

Scale; a domestic and increasing international scale helps us to drive organic growth. As of March 2024, we had (+10) million merchant accounts with more than 200 payment options and in this FY24 we processed transactions in excess of 2.57 lakh crores.

Trusted brands; we have built and strengthened well recognized trusted brands like our CCAvenue, for online CCAvenue TapPay, for offline ResAvenue and BiilAvenue for the bill payments.

Our communications and relationships with banks across multiple geographies demographic groups play an important role in building brand visibility, usage and overall preference among merchants.

Risk and compliance management; our enterprise risk and compliance management is designed to help secure merchant information to help ensure we process legitimate transactions around the world while identifying and minimizing illegal and high risk or fraudulent transactions.

Regulatory licenses; we believe that our regulatory licenses which enable us to operate in India

and international are a distinct advantage and help support business growth. In the past decade, we have partnered with our merchants to help grow and expand their businesses by powering all aspects of their digital checkout. We offer maximum number of payment methods, provide best in class fraud prevention and risk management solutions, reduce merchant loss and offer tools and insights for utilizing data analytics to attract and engage customers and improve sales conversions. We employ a technology and platform agnostic approach intended to enable merchants of all sizes to quickly and easily provide digital online payment acceptance as well in store using TapPay across all platform and devices and to secure and simply receive payments from their customers. Our diversified suites and products is tailored to meet the needs of merchants regardless of their size or business complexity. We aim to offer a seamless omnichannel solution that merchants manage and help grow their business. In FY25 we will focus on international growth and our international subsidiary has announced a pre-IPO round of up to USD25 million to accelerate our growth in the Middle East region. We have doubled in all our metrics over one year in that region and with express settlement to merchants, rollout of tap as well as international expansions in the neighboring countries there, we believe

there is a tremendous potential to grow. We also plan to offer access to merchants with financial products through the business loan products, insurance product, as well as wealth management under a new brand name which will collectively refer to as a merchant finance offering. We believe that a merchant finance offering enables us to deepen our engagement with our existing small and medium sized merchants and expand services to new merchants by providing access to financial products that were not available to them.

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Within the next four quarters we'll be focused on providing affordable, convenient and secure consumer financial products and services, intent to democratize the management and movement of money. We'll continue to update you on our execution throughout the year and be transparent about our process. I'm confident we are taking the right steps to build a long-term profitable growth. Now with all that I hand over to Sunil Bhagat, our CFO to take you through our first quarter and final full year results. Over to you Sunil Bhai.

Sunil Bhagat: Thank you, Vishwas sir. Good evening to all of you. For the full year 2024, we had a meaningful improvement across our financial results. Revenue came in at 3,171 crores. Our PAT, we have reported 148 crores which is increased by 56% year-over-year and our cash flow from operations stood at 720 crores which is up by 537% as against last year. These financial outputs are a result of a lot of improvements in our key input metrics such as take rate which increased year-over-year and our ability to onboard merchants. I want to thank our merchants, partners and our team members for continuously innovating and building cutting edge platforms for a very strong 2024 performance.

Focusing on the fourth quarter, revenue was 727 crores which is an increase of 11% year-over-year. We reported net revenue of INR 106 crores which was also up 16% year-over-year and our EBITDA we reported up INR 60 crores which was up by 21%. We continue to invest in our AI business which have tremendous synergies to both our platforms and payment business and will have more to share in FY25. Our return on equity for FY24 stood at 9% as compared to 7% in FY23 while our return on capital employed excluding goodwill which reached at 12% compared to 10% in FY23. Finally, we are pleased that board has proposed a final dividend of 5% for FY24, subject to the approval of the shareholders.

Now allow me to present our financial guidance for FY25. We are setting our sights on achieving a gross revenue in the range of INR 3,900 crores to 4,200 crores. Net revenue between INR 450 crores to 500 crores, EBITDA within a range of 275 to 300 crores and profit after tax at 175 to 200 crores. To realize these ambitious goals, we are committed to amplifying our strategic initiatives that were set in the motion during FY24. In the next 2 years our focus will be intensified as we elevate our international business to new heights, aiming to contribute 30% to our total income. Presently our international operations account for less than 10% of our total income. As we enter FY25 we remain committed to pursuing more profitable growth initiatives. I will now request moderator to open the floor for question and answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Kunj Nandwani from Concept Invest Wealth.

Kunj Nandwani: How significant is it for CCAvenue to be recognized as the first Indian payment gateway to secure this approval from Saudi payments? And what are the specific objectives or benefits expected from this collaboration in the Saudi Arabian market? Could you provide insights into the potential impact of these developments on our market positioning and revenue growth?

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Patel: Saudi Arabia is a very interesting market. It is the most populous nation there in GCC countries and from the religious tourism perspective, it is one of the I think the largest civil visitors from anywhere in the world. So, from that perspective which the kingdom has 130 million a year visitors target and the kind of changes happening there, Saudi Arabia attains a very significant thing. At the same time the government there has built a local network called Mada, similar to NPCI and they want data localization there. So that makes it very difficult to do a primary hosting within Riyadh and we are also within the kingdom so that all and then get the license and certification through SAMA. So, we have invested quite a bit CAPEX there to do all these things and with that and the certification and the final approval from SAMA to operate. Now a lot of our merchants were in UAE where we are doing in excess of a billion dirhams a month are also present in the Saudi market because joining brother country. So, from that perspective for us, the initial growth momentum should come through that and a lot of our solutions and other things since it's a difficult market for the westerners but for us we are quite adept at it. So, we're looking very aggressively towards this and we intend to do in the mid-term better than what we have done in the UAE market. So that's the perspective that we have on UAE. And I think growth numbers in the coming quarters will reflect on that.

Kunj Nandwani: And what is our current monthly processing volumes across the UAE digital payments? And could you elaborate on Infibeam's UAE subsidiary and its recent fundraising and listing plans?

Vishal Mehta: Basically, we process upwards of a billion dirhams a month in UAE across more than 6,000-7,000 clients. So, UAE is a market we've been around for more than 3 years now. And we see a lot of growth prospects. Vishwas mentioned that we have doubled year-over-year in UAE and we expect that we have not even yet rolled out TapPay and some of the other solutions that we talked about in that market which we intend to do in FY25. So, while we see a lot of uptick in terms of our performance in UAE, we see that there is also a very large opportunity there. As far as the fundraiser is concerned, we've been reporting that the subsidiary has raised a pre-IPO round of up to 25 million which we expect to close this month. And that capital will be used for multiple reasons. One is merchants always want their payments faster. So, in other words, rather than having a settlement period if we can process faster, it also drives more volume to us. Second is geographical expansion. We'd like to go beyond UAE to other geographies, neighboring countries. And third is rolling out of TapPay and some of the other opportunities as well. We think that the opportunity will be right for us to take on significant role. If you had been to UAE, you would have asked and you would have seen our QR codes also now being present in UAE.

So, if you want to make a payment it will be through a QR code and CCAvenue QR code will start appearing in many of the communities and many others. I think we've got a very confident and strong plan in terms of growth in that region, and we'll pursue that.

Moderator: We have our next question from the line of Shivam from SBI Securities.

Sweta Padhi: We have seen that the take rate has improved from on a yearly basis from 8.2 to 8.8. If you could give a guidance on FY25 basis, how are you seeing this number moving ahead?

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Vishal Mehta: Basically, we had announced in the past that we want to get to a double digit take rate. And in international geographies we already have a double digit take rate but in India it's competitive and we need to optimize significantly to build out that kind of a take rate. So, we've continuously worked on that. From a guidance perspective,

all I can tell you is that we would want to get to our goal of a double digit take rate in India.

Sweta Padhi: If you could give us your initiative on like which would help in augmentation of this.

Vishal Mehta: What would help us achieve that? Is that the question?

Sweta Padhi: Yes.

Vishal Mehta: So, I'll tell you three things. One is, we have announced that we are expanding our presence through TapPay into local commerce. TapPay is the version where you can download the app on the phone and you can tap a card or in fact you can do even an online transaction, send a link to someone to make payments so, a lot of facilities open up. Some of those transactions become card present which have a much better economics compared to card does not present which you see in an online format. That becomes an opportunity for us to gain market segment share. We are definitely not going into devices. We are going to because we think phone is a very ideal mode for merchants to download an app and to be able to accept payments. And so rather than going and focusing on devices and investing CAPEX on devices we will open up our TapPay framework. And with more and more cards becoming somewhat NFC enabled and, in some ways, even phones accepting such cards from an NFC perspective, that we see a lot of potential there, that's one. Second is, we think that in some ways settling faster with the merchant helps

us in terms of our take rate which means that rather than allowing a merchant to get payments later after a few days maybe a day, two days, three days, we would like to offer faster payments. So that's second and third is significant amount of optimization in terms of being able to identify a transaction and to be able to deliver that transaction through merchant and through card networks and rather than going to specifics but you can imagine that it's a very complicated problem because every transaction is a different type. And to be able to drive that across these billions of transactions in a format, so that it's completely recognizable, traceable and be able to attach to the right code. There's significant amount, of optimization and you can imagine that a lot of artificial intelligence will play a role in terms of optimization on those as well. So rather than getting into specific programs that we have we think that optimizing that whole entire card framework, routing frameworks and others will become important moat. It's very defensible because doing it across the scale, very few companies in the world may have even attempted to do it but we are going to try.

Sweta Padhi: On the RBI front, we have received the payment aggregate license. If you could give a quantum of what is the total processing value of that we can expect from this front in addition in FY25?

Vishal Mehta: In terms of our guidance for next year FY25, Sunil mentioned, that in terms of the revenue we'd be targeting close to 4,000 crores in revenues and that's upwards of 30% year-over-year. Our

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guidance is 3,900 crores to 4,200 crores. We do not report the transactions which are UPI transactions through us and RuPay card transactions because they don't have any take rate for us. But yes, that in terms of the overall perspective, international is expected to double for us year-over-year through expansion in geographies and other places and India also we see a very strong digital presence. But I think if you can imagine, we'd be targeting anywhere between 30% to 50%.

Moderator: We have our next question from the line of Pranav Mashruwala from Dolat Capital.

Pranav Mashruwala: I was asking about the enterprise business, now that we don't have any revenue from GEM, which are some of the client's enterprise plans that are contributing to this revenue this quarter?

What would be the outlook going forward and can we expect a similar kind of run rate, some co

lor on that piece?

Vishal Mehta: We have international clients, the ones that we have announced are Saudi Telecom. We've signed up a couple of more international clients as well onto our enterprise business. So, what we did last quarter which was important is to secure our intellectual property with GeM. Now we have very clear that there is no gray area on where the intellectual property belongs. We mentioned in our call earlier also that we have not concluded all of our relationships. GeM continues to use our intellectual property. But we wanted to ensure that it's very clear in black and white that all intellectual property belongs to us. And one of the reasons is because given that we are giving our frameworks and platforms to other clients also, that it exposes us to that risk. So, I'm very happy to tell you that at least from the perspective of both GEM as well as Infibeam, we are clear that intellectual property for the entire platform belongs solely to Infibeam. So that's one. And second is that GeM continues building up using our platform. Even today it is being utilized. So, the conversations around commercials are somewhat disputed/being able to figure out how to close that, that's one of the reasons why we've not reported any revenue out of GeM in Q4. In terms of given that now that it's very clear, just last quarter, in a couple of months back that intellectual property only belongs to Infibeam and not to anyone else, then we plan to sign up one or two very large enterprise clients this year. So, one can expect that 25 would look similar to 24 or slightly better. And that is assuming that GEM is also not lighted up in terms of the numbers into us.

Pranav Mashruwala: Sorry I didn't hear the last, FY25 looks better than FY24?

Vishal Mehta: '25 should look equal or better than '24.

Pranav Mashruwala: And regarding the question pertains to the XDuce acquisition. So, we required about 20%, would we be the upping our stake, how are you planning to utilize this acquisition?

Vishal Mehta: XDuce has many Wallstreet clients on their roster, clients who have been signed up with a master service agreement and these are all name brands that they've been working with for several years. And in order to give any kind of a framework, including artificial intelligence frameworks or

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payments framework, so anyone, requires you to initially have an MSA. An MSA typically takes a long time to close. So initially the conversation and the relationship for us would be to use that funnel to be able to expand our presence in US and to be able to start working with clients, Wallstreet clients in specific. So, you would have imagined even companies like Pershing

Capital and others which are very large in that region, they're all clients of XDuce. There'll be a bilateral engagement, essentially, they have presence, there are a few hundred people in markets in New York City where we think that we would like to expand both of our artificial intelligence framework business as well as payments business. As we build up and grow into a relationship then we'll be able to tell you more in terms of our interest. But this investment is a strategic interest for us. That much I can tell you.

Moderator: We have our next question from the line of Akshat Shah from Niveshaay Investment Advisory.

Akshat Shah: I have the question on the side of THEIA platform. So how does the Company foresee THEIA platform revolutionizing business operations?

Vishal Mehta: THEIA is a visual AI platform which means that what we think is important in the AI world is data. And we realize that cameras is data and whenever we think about fraud authentication risk also, including video devices and many others and deepfake and we name it, it's all video based.

So, in terms of the use of AI, we think they can be used on text, audio and video. And there are a lot of models that have been

been there, general purpose models which have been there for text as well as in some cases audio. But video general pop-up is models somewhat are missing now with GPT 4.0 and many others that potentially those will also maybe there on some roadmap somewhere. But I think that's where we think that we want to spend our opportunity on. As far as how it increases efficiency, if you look at the world and say that AI will replace all desk jobs which is very possible, given the proximity and many things that we are looking at doing in that front. And when I say replace meaning existing the way people do it and not necessarily the job specifically, we think that the role of the manager if you train the framework to be able to start looking at how things get done and then it is already happening in software development but even in other places, I think security, cleanliness many things that potentially are facilities as far as the supervisory of the manager role that potentially is somewhat replaceable in some ways we feel. So, for us, we think that if we are able to open up the platform and allow more and more, so CCTV camera is just security if you will. But if you look at anything and everything that people do everything is about management of a facility. If it's a retail store, it's facility and whether it's a coffee shop, it's a facility. And in that facility, you've got customers, you've got inventory and if you're able to go and train the models to understand several of these activities, then it can bring significant amount of efficiency and just follow in some ways, allow you to follow the SOPs that have been prescribed. So that's very interesting to us. We think that our models are learning by the day. We've opened up the pilots and we are continuously working on those pilots. And you have to iterate a lot in this and the faster you iterate the better. But I think that we've got a much better handle in terms of perhaps how we need to think about it compared to what we because earlier we were solving technology problems now, we've gotten to a point

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in pilot where we are looking at business problems and I think that's a big shift. We are getting a much better handle in terms of how to think through this. Hopefully this helps.

Akshat Shah: What you think that make it different from other platforms like THEIA?

Vishal Mehta: THEIA is a general-purpose model. Many of the platforms, you will find some open-source framework which will only identify faces. So facial recognition is the only thing that the model will do. And similarly, you have other models that potentially only perhaps look at attributes in some ways of certain things. THEIA is actually general purpose. It does all of that. So, it's a single model, single framework and we've opened up the APIs to software developers. So theoretically you can utilize it and build out your own expert model on top of THEIA that potentially allow you to do a lot more than what you're doing before. You have to think of platforms and applications. What I'm saying is that we are building out the platform. THEIA is a platform and there'll be applications and you can have a number of applications sitting on top of THEIA.

Akshat Shah: On platform revenue perspective, what transactions are we seeing in non-GEM segment?

Vishal Mehta: We have signed up international clients on the platform, number one. We already have many international clients using it and we are working on large Indian client as well. So, I just mentioned earlier that we cleared out the fact that intellectual property belongs to us. Without that clearance you would not be able to give such similar frameworks to many clients. So, I think with the clearance from both GeM as well as with us, there is no dispute about that anymore. That IP solely belongs to us and not to GeM.

Moderator: We have our next question from the line of

Majid Ahamed from Smart Sync Investment Advisory.

Majid Ahamed: What will be the primary driver for improving the ROA and ROE considering they are currently in single digits and additionally how impact (Inaudible) (40.03)?

Moderator: We are unable to understand you. I would request you to come again in the queue. We have our

next question from the line of Grishma Shah from Envision capital.

Grishma Shah: Wanted to know how was the competitive intensity in the Indian payment market given that we had one major player experiencing a series of problems? So how did we see the competition on the ground and were we able to gain more market share therefore?

Vishwas Patel: We have already reported very strong numbers and from regulatory perspective and others, definitely we have the gold standards that come in even from the regulator's mouth that we are the gold standards when it comes to compliance and norms. So, from that perspective, we have always scored and always been on the right side. And that definitely if you see even on the online

space, 2-3 of the biggest competitors or 4 of the biggest competitors could not onboard

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merchants for over a year and same happened in the offline speed. But our growth continues, as

I said initially in my comments I always said about the viability and the respect over the last 20-

22 years the CCAvenue brand has, that builds a goodwill and brand recognition to all the new merchants as well as the existing merchants. So that has helped us on the growth and as we see

regulator becoming more and more aggressive, it is on the existing incumbent to scale up and

go on. So, from that perspective, I'm pleased to report that your Company has always been the front leader as far as on the compliance and risk and every other thing completes it. So even we

have let this go if we have an iota of doubt on the merchant credentials and other things. So yes,

that has contributed while others have faltered and that should give us a premium everywhere

where we go on the best practices and other things that is there. So, it has helped us. You've seen

the numbers, so need not comment more on what has helped or not.

Grishma Shah: What's the market share right now?

Vishwas Patel: Market share is a very this word, what we can say is that what is a digital transaction or what is

the fintech also definition you've not been able to get in. So, market share there are 200 different

options. There are different things. People reporting, people doing like we said that we are not

reporting RuPay or UPI transactions. Others are expanding that numbers and other things that is there. So the reason is that profitable transactions is what we are reporting. What we actually

make a revenue on every transaction is what we are reporting and other things. So, market share

is a different thing. People who are just doing a mass payout by uploading a file counting it as

process transactions. So, market share is a very analogous word as far as the payment system is

concerned. So, you cannot give an exact tilt that this is 8%, 10% or 12%.

Vishal Mehta: But our thesis, to add to what Vishwas said, our thesis is that it's anywhere between 10% to 15%

based on our understanding of the market.

Grishma Shah: And wanted you to elaborate on our partnership with PayPal. What's the kind of partnership that we have and how is it going to unfold?

Vishwas Patel: So, the PayPal partnership is restricted to the Middle East region. As of now Middle East PayPal

did not have any presence and since we had significant market share in the UAE region, so they wanted to tie up with us to offer PayPal as options there and also give services to local markets

there. So, we have given our merchant base the option to accept PayPal via these partnerships

which gives us some good revenues also, be it on transactions also and some other marketing joint initiat

ives also.

Grishma Shah: But we have our own products as well, right?

Vishwas Patel: Yes, we have our own product. But then PayPal has some (+500) million PayPal wallet across

the country. So that adds as an additional option to the Master, Visa and the other option the

American Express and the options that we have, to have an additional PayPal and make revenue out of it. So that helps. And specifically, UAE being such a global financial center, so a lot of

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payments coming through and that through PayPal wallet. So, an additional option is also good

from the merchant perspective that it gives all the reasons for their customers to make payment to them.

Moderator: We have our next question from the line of Deepesh Sancheti from Maanya Finance.

Deepesh Sancheti: Firstly, the projections which were given in FY25, can we can you repeat those projections where you mentioned that 175 crores PAT, if we can have that projections again?

Sunil Bhagat: We have given the estimate of gross revenue in the range of 3,900 crores to 4,200 crores. The

net revenue in the range of 450 crores to 500 crores. EBITDA in the range of 275 crores to 300

crores and our PAT in the range of 175 crores to 200 crores.

Deepesh Sancheti: And how do we plan to increase our ROE?

Vishal Mehta: I think so in terms of our positioning, one thing is that we are going to figure out, currently our

ROE if you look at year-over-year in FY23, it was 7% and in FY24 it is at 9%. And so, I think

that we've done a lot of steps to optimize our network. Our take rates have gone up in the

business. I think in a very competitive world, we have been able to extract and then generate profit. So, since our profit after tax is expected to increase, we expect the ROE also to increase along with it.

Deepesh Sancheti: So, you expect double digit for FY25? Will that be a fair estimate?

Vishal Mehta: Yes, that's a fair estimate, double digits.

Deepesh Sancheti: And the next question is regarding the promoter shareholder. Now since your brother has already been out of the promoter list, the promoter shareholding has gone down quite significantly. So how do you plan to increase or do you have any plans to increase or raise capital by preferential or any other route to increase your shareholding into the Company?

Vishal Mehta: So, much like every promoter, we'll of course be doing the right disclosures at the right time. I don't have too much to tell you at the moment unfortunately. But promoter shareholding traditionally would have been increased through many methodologies including creeping acquisition and many others. So having said that and that would also require capital to be able to deploy. So, to answer your question I don't have too much to add at this time. It's the beginning of the year for us. We've focused more on the business and how to grow that and how to build it up for the next year. But as and when I have more information, I'll be glad to tell you.

Deepesh Sancheti: But going ahead the promoters, you as a promoter want to increase your stake into the Company, right?

Vishal Mehta: Would that be common for most of the promoters? It's a rhetorical question.

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Deepesh Sancheti: It is just for intention of the promoter, that's it.

Vishal Mehta: Yes, absolutely.

Moderator: We have our next question from the line of Sanjana Shah from RRS Shares and Stock Brokers.

Sanjana Shah: My question is with regards to THEIA, your video AI developer platform. Has this product been pitched to any government to use on airports or any other facilities for further monetization as of now? And if not then are there plans to pitch it in the future to any sort of government, maybe India UAE or any other government?

Vishal Mehta: So, a great question and I'll tell you, it's not being piloted today at an airport but there are

multiple

pilots going on across other facilities. And from a positioning perspective, government is very important because what video AI platform does is security becomes core to that and solving security related issues and visual AI can play a very important role. So, the short answer is yes, we'd love to offer that to the governments but today we don't do the airports. We don't have a pilot at the airport. That much I can tell you.

Moderator: We have our next question from the line of Pranay Jain from Delweath Capital.

Pranay Jain: First one is, with the measures such as a merchant finance that we are implementing, how much do you think it can really move the needle on the return ratios a couple of years down the line? I understand we are taking a lot of effort on expanding our merchant base and also partnering with networks. So logically it is going to do it but just wanted to understand how much needle it can move on the return ratios.

Vishal Mehta: The size and scale of the opportunity is tremendous. So, you are right, we have a base of merchants and the products we don't need to define because products are also there. So, we need to actually drive those products into the entire network and we understand aggregation very well as a Company. So, aggregating these products and being able to offer it is somewhat core to our philosophy of aggregation in some ways. So, from our perspective, express settlement was just one piece of what we did. We were able to get a lot of value because merchants accepted that. There'll be some products that merchants will just use off the cuff because it actually helps them expand and gain business. There'll be other products that in some ways certain credit-based products, they'll have certain propensity to be accepted very quickly. There will be others that potentially will take a little bit of time. For example, any insurance related product or some other products will have a certain take rate along with it. So, to answer your question, size of opportunity is significantly big, significantly large and what we need to do and what we announced today is that we will build out a separate brand for it and going forward we'll talk about in some ways merchant services and much like in artificial intelligence we build out a brand called Phronetic. Similarly in these kinds of activities, we will talk about it in terms of building out a separate brand and it will fall under personal finance services. So, I don't have a number for you right now in terms of what that means in the next 2 years. But once we'll

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announce the launch and talk about the brand, we will of course give slightly more indications in terms of what we expect in the next few quarters.

Pranay Jain: That would be sometime next quarter, we'll be able to hear more on this?

Vishal Mehta: Yes. End of this quarter early next quarter.

Pranay Jain: And with the kind of authorization, we have on the payment aggregator as well as BVPS, your presentation says that we are awaiting the retail payment network. So, all of that put together when do you think it's going to start making a material uptick in our numbers?

Vishwas Patel: I think the payment aggregator we are already doing it and the numbers what are reflecting today is due to that payment aggregator license. The BVPS numbers also we are there and pleased to report that now we have got a perpetual license, not a time bound license from RBI on the Bharat Bill Payment System. So, those numbers are already reflected in the current numbers that you have before you. The NUE network is a similar to a network license like a Mastercard or a Visa or a NPCI. So those were applied a year or two back and they're still sitting with the central bank. So, there have been different news coming in but no official uptake. But we do expect that a lot of effort had gone in by the 7-8 consortiums to

put that license to apply for the NUE license.

And somewhere down the line there is a thought that increasingly everything is being relying on the single network that we have currently. So there needs to be multiple networks just like US, there are four or five networks like Mastercard, Visa, American Express, Discover. In India there is only one network currently, so dependency on this thing, there will be licenses opened up. But when is the question mark. As it is we have already formed the consortium with three other players. I think it is already reported with Reliance Industries, Meta and Google. And if whenever RBI comes out, I think we'll announce it. But anyway, before us the press is the first ones who will carry it.

Pranay Jain: Also, since we've already decided on foraying in US, Australia and also Southeast Asian markets, would you be able to offer visibility by when we are going to do this in the year and what kind of CAPEX or investments will be required for the same?

Vishal Mehta: So, right now the focus is on the Middle East. We already announced that we are present in UAE, Saudi Arabia and Oman. So, Oman even just this month the third major bank in Oman also went live with our systems, that is Sohar International. So that is already there and in Saudi and UAE, once we have a good grip on the GCC markets and definitely we also said in a today presentation that USA is very interesting for us looking at enhance the investment into XDUCE and other things and putting our next gen AI capability along with payment processing. So focused on doing those markets like US and Australia next. But right now, this quarter and this is using on the funding round for this thing in UAE and Saudi and making significant dent in the Saudi market. So that's the immediate focus.

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Pranay Jain: I understand that is our priority. And these new regions of US, Australia perhaps would be late into the year. I get that picture. But overall, what are the total investments and CAPEX that we are planning for building our payments as well as platforms and any other initiatives that we are taking over the next 12 to 24 months?

Vishwas Patel: I think the large investments in CAPEX, it's reasonable to assume that it's about \$5 to \$6 million per region as a rule of thumb.

Pranay Jain: And also, the adjacencies we are building around our core, it would take care of that or is that going to be separate on the platform side, on the AI side all those things? I was asking cumulatively as a Company what are the investments and CAPEX planned?

Vishal Mehta: So, a lot of things go because of every country wanting to issue a license and every license has a lot of requirements on data, data security, data localization. There are N number of boxes to check and then beyond that also putting all the compliances and stuff in place to be able to report them on a basis, I think when we talk about the framework that we build for each region we believe that there will be revenue generating when we build that out for clients. They will less of a CAPEX but more of revenue generation for us. But I think this is all combined. It would be only for one and not the other. And it's reasonable to assume that's one, with scale there'll be slightly incremental additional CAPEX but that would be a good rule of thumb to use.

Pranay Jain: And my last question is on the potential dues and receivables that we have estimated. Such as the UPI dues from banks. And while I understand on the GEM side things may be a little grey but what seems to be a reasonable estimate which we think could come our way, maybe 3 or 6 months down the line or if you really think it would take longer than that?

Vishal Mehta: We expect that it will come within 6 months.

Pranay Jain: And the potential dues or receivables at least as a safe estimate would be around?

Vishal Mehta: A few hundred

crores.

Moderator: We have our next question from the line of Rahul from Dolat Capital.

Rahul: Firstly, just wanted to understand slightly more deeper into your guidance outlook. If you could double click and share us the reason, the key factor that would be driving the growth for you going into next fiscal? I clearly got the input that international could be the biggest driver of it.

But if you could explain by pieces of the business that where you have the highest confidence from the growth driver perspective?

Vishal Mehta: You're right, international has growth potential. We expect to double our international business. We have doubled it last year. Hopefully we can increase it even further this year. And with some capital in future opening up new geographies and so on and so forth will potentially mean that

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we'll be able to expand. So, Suni I in his positioning mentioned that we plan to make the share of international to 30% of our revenue in the coming years compared to less than 10% that we have right now. So that becomes a growth driver. But more importantly for the coming FY25, positioning that we have, we think that this whole combination of in some ways merchants that we've added in the past year and being able to continue building up from there, becomes an opportunity for us. That's one growth driver which is additional merchants. Second growth driver for us is being able to offer certain financial products that we have talked about in our presentation today. So financial products meaning in some ways credit insurance and many others that we already do express settlement with merchants but we can actually expand that portfolio. And so that we are not just looking at merchants who are currently on our network we'll open it up to ones who are not on our network. TapPay is the third one. We think that that the growth of TapPay we will amplify it out this year. We've got some plans in terms of how we'd want to do it and maybe we'll talk about it in the coming few weeks. But we think that has a potential and while we have not counted on it but there is a positive upside on our ongoing matter with GeM. I think with these 3 or 4 things we think appropriately conservatively that we'd be able to achieve these numbers.

Rahul: And on the platform business if you could clarify a little bit, of course this was a very bumper quarter despite the GeM impact. Do you see is there a seasonality to the numbers that we have reported in Q4, how you expect? You said annual it could be flattish but will it be like heavy on the Q4 and softer through the year building up into Q4? Is that the trajectory that you expect? And lastly on the XDuce when we expect it to consolidate, will it only be a minority interest or will we intend to consolidate line by line by taking bigger stake in it?

Vishal Mehta: So currently of course we're building out the business with them and so it is a strategic interest and as the business builds out, we'll be able to talk more. This is not a financial investment for us. So, it's a good question and we'll see how the progress is in terms of the synergies and based on those we will act accordingly. But it is a strategic investment and we'll talk about it as we go through in the coming quarters. That's as far as XDuce is concerned. Your first earlier question was platforms. Platform is if GeM was there that was seasonality in that business because GeM had some seasonality associated with them. If we don't have that we've just figured out and we have taken acknowledgement because there was a little gray area in terms of intellectual property, the ownership of intellectual property which was in some ways 'disheartening' for us because intellectual property is what we live by as a Company. But fortunately, with the progress that we have made, it is very clear in black and white and acknowledged by GeM that all pla

tform

intellectual property for infi product is belonging solely to us and not to anyone else. So that is one. And that was a big in some ways achievement in terms of having that clarity in place. Once this clarity is in place now, we will open up the platform to one or two very large clients this year. So, we don't expect a lot of seasonality. We do believe there'll be an upside if a few other things click in. But we expect that it will be flat to higher. But we don't want to forward talk about because we have zero agreement in terms of the commercials with GeM yet. And until we have that we will not report any revenue.

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Rahul: Just clarification. Since you have mentioned this particular aspect couple of time. I do understand the IP importance of having the complete control and assurance on it. But as far as the Q4 is concerned, we don't have booked any revenue even potentially from the new system integrator or it is taken as a part of a non-GeM revenue in the current number.

Vishal Mehta: No, we have not booked it yet. So, we have reported zero revenue in Q4.

Rahul: So, the 57 crores revenue in Q4 comes from our erstwhile client and any new client that we have added during the quarter. And since you are not building any GeM and expect that to be a potential upside if that has to click for you. And outside of it you expect 220 crores odd which we did this year should give or take be around that number. So basically this 55 crores kind of a run rate with small movement here or there should be the usual run rate for all your four quarters.

Vishal Mehta: I think so. So, you'll have plus or minus 10% quarter-over-quarter. Yes. So. But yes, within that reason one would expect that would be the case. And that will have an impact in terms of the net revenue will be plus or minus 10% in that.

Moderator: We have a next question from the line of Karthik Boggarapu, our shareholder.

Karthik Boggarapu: You have already mentioned that the Middle East is your priority market. Just wanted to know what are your plans to expand to Africa which is like the second fastest growing regions in terms of developing world?

Vishal Mehta: So, I'll talk about it and perhaps Vishwas can join in. But whatever our thesis is that we are not important if we don't have scale in any region that we operate in. And so, our internal bias is always to scale up because otherwise we are not important. We are not making a difference.

Much like we have scaled up in India, Middle East becomes a priority and focus because we already have scale and we need to scale up even further. And so, between going and covering more territories versus scaling up in certain specific regions our bias is to scale up in regions first. And that defines our priority and we are not saying that we are shy about evaluating Africa or any other territory but if the question is either/or then we prefer scale compared to expansion across horizontally expanding across geographies. Now the good thing is digital does not have boundaries. And so, the other bias that we have is we follow our clients where if we find that our clients operate in more than one geography then we find out where they operate in. And given that they trust us to operate in one region then we can expand with them in other regions faster. So that will also define our prioritization in terms of where we would expand next. And the third factor being of course external which is that, there is an opportunity that came up somewhat passive not active which allows us to open up, so much like what we have done in Oman where we have given our framework to a bank and the bank gives it out to others. We don't have a physical presence in Oman today, but we partner with bank and we in some cases white label our solution for the bank so that they operate. That does not preclude and exclude us from being able to go directly also. The perspec

tive is that if such opportunities come up then it makes it much easier for us to open up and offer it to them as opposed to not taking up the
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opportunity because we think that we are somewhat focused on scaling. So, the platform is scale agnostic. It can potentially go to a bank and can be offered to them. So, we have done that in Oman. We may end up doing that in some other the other regions also. I can tell you that in FY25 Africa is not on the horizon.

Moderator: We have our last question for today from the line of Satheesh Kumar, our shareholder.

Satheesh Kumar: My question is regarding our very recently somewhere in Gujarat. So, all the 100 crores investment that is already completed.

Vishal Mehta: Yes, you're talking about the AI hubs.

Satheesh Kumar: Yes.

Vishal Mehta: The AI hub investment has been made.

Moderator: Thank you. We will hand over the call to the management for the closing comments.

Vishal Mehta: Thank you all for your participation in our call and we look forward to keeping you updated on all the progress about the Company. And thank you all once again and have a good evening.

Moderator: Thank you. On behalf of GoIndia Advisors that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

INFIBEAM AVENUES LIMITED

Regd. Office: 28th Floor, GIFT Two Building, Block No. 56, Road-5C, Zone-5, GIFT CITY, Gandhinagar,
Taluka & District - Gandhinagar – 382 355, CIN: L64203GJ2010PLC061366

Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@ia.ooo | Website: www.ia.ooo

August 06, 2024

BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001

Company Code No.: 539807 National Stock Exchange of India Limited

Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Company Symbol: INFIBEAM

Dear Sir / Madam,

Sub: Transcript of Earnings Conference Call for the quarter ended June 30, 2024

In compliance with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find enclosed herewith the transcript of the Investor/ Analyst conference call on financial
performance of the Company for the quarter ended on June 30, 2024 conducted on Friday, August 02,
2024, after the meeting of Board of Directors, for your information and records.

This transcript is also available on the website of the Company i.e. www.ia.ooo .

Kindly take the same on your records.

Thanking you,

Yours faithfully,

For Infibeam Avenues Limited

Shyamal Trivedi

Sr. Vice President & Company Secretary

Encl.: As above

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"Infibeam Avenues Limited
Q1 FY '25 Earnings Conference Call"
August 02, 2024

MANAGEMENT : MR. VISHAL MEHTA – CHAIRMAN AND MANAGING
DIRECTOR – INFIBEAM AVENUES LIMITED
M R. VISHWAS PATEL – JOINT MANAGING DIRECTOR –

INFIBEAM AVENUES LIMITED
M R. SUNIL BHAGAT – CHIEF FINANCIAL OFFICER –
INFIBEAM AVENUES LIMITED
M R. B. RAVI – INDEPENDENT CONSULTANT - INFIBEAM
AVENUES LIMITED

MODERATOR : MR. RAJAT GUPTA – GO INDIA ADVISORS

Infibeam Avenues Limited
August 02, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the Infibeam Avenues Limited Q1 FY '25 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajat Gupta from Go India Advisors. Thank you, and over to you, sir.

Rajat Gupta: Yes. Thank you, Neha. Good evening, everyone, and welcome to Infibeam Avenues Limited Earnings Call to discuss the Q1 FY '25 Results. We have on the call with us today Mr. Vishal Mehta, Chairman and Managing Director; Mr. Vishwas Patel, Joint Managing Director; and Mr. Sunil Bhagat, Chief Financial Officer. Also joining us on the call today is Mr. B. Ravi, who is advising Infibeam on corporate and financial strategy as an independent consultant.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be, therefore, viewed in conjunction with the risk that the company faces.

I now request Mr. Vishal Mehta to take us through the company's business outlook and financial highlights, subsequent to which we'll open the floor for Q&A. Thank you, and over to you, sir.

Vishal Mehta: Thank you, Rajat, and thank you to everyone for joining us this afternoon. As mentioned by Rajat, for this earnings call today, joining me to walk you through the quarter is Vishwas Patel, our Joint Managing Director; and Sunil Bhagat, who is our CFO. We are also providing a slide presentation to accompany with our commentary, which is available on our site.

Before I delve into the business performance for the quarter, I'm pleased to share that the company has recently appointed Mr. Narayanan Sadanandan as an Independent Director on our Board. With extensive experience in finance and banking, Mr. Sadanandan will play a crucial role in guiding our strategic direction. His appointment strengthens our leadership team, and we are confident that his insights will significantly contribute to our growth and success.

In the first quarter, we delivered a very good set of results. And the year is off to a great start in our opinion, with year-over-year double-digit growth in net revenue, EBITDA as well as profits. Our team is operating at full throttle, and we are really starting to get our arms around the growth for this year. You will see in our numbers in the presentation that our efforts are beginning to make a difference.

We also see a substantial need for reimagining our company in the medium to long term, especially on how we execute in the world of artificial intelligence and how merchants and customer payment processes get impacted with artificial intelligence. We are encouraged by the progress to date, but remain realistic that we still have a lot of work to do and a lot of opportunity to drive growth ahead of us.

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I believe that this is a transition year where we are focused on execution and making critical choices that will set the business up for long-term success. Some of the initiatives that we have undertaken like CCAvenue TapPay, which we launched will have an immediate impact. And other investments may take slightly longer to bear fruit, where we believe these investments will ultimately contribute to the sustainable and profitable growth of the company. As such, we need to maintain flexibility throughout this year to make important decisions to drive the long-term growth of the business. This includes decisions about where we prioritize and reinvest. Are we go to market and actions that can be taken to sh

arpen our value proposition for consumers and merchants.

With that in mind, we do expect the full year EPS to grow much similar to what we have given

in guidance. Primarily, we feel confident driven by our better-than-expected start of the year in the first quarter.

Today, we also announced that the Board has approved an investment in Rediff.com for a majority stake. Rediff.com with its diverse services, including cloud-based enterprise e-mail storage, content distribution and related commerce services offers a broad digital platform. Infibeam plans to synergize its various digital payment services and platform business offerings and AI solutions with Rediff.com services creating a very comprehensive digital environment where financial transactions and content consumptions can coexist.

This integration is expected to enhance our user engagement and open up new revenue streams, in particular, Rediff's substantial user base and data assets with over 55 million monthly visitors provide a very valuable insight for cross-selling financial products using artificial intelligence.

Coming to our recent business developments and strategic front. I'm pleased to announce that during the quarter, Infibeam Avenues' Board has approved acquiring remaining 26% in Infibeam Digital Entertainment, making it a fully owned subsidiary. This strategic move aims to leverage opportunities in digital media technology in live events.

Additionally, the Board has also sanctioned creation of a new subsidiary for artificial intelligence operations focusing on AI-enabled fraud detection and prevention, particularly within the fintech sector. These initiatives highlight our commitment to innovation and expansion, enhancing our market position and driving future growth. We have entered into strategic partnerships with EDII to advance our AI adoption, and Infibeam will also introduce AI Facility Manager for enhanced campus operation.

Finally, I'm pleased to announce that Phronetic.AI, which is our AI vertical has filed for a patent with US patent office regarding system and methods to implement activity-based management using artificial intelligence.

Turning to key financial highlights for the quarter. I'm delighted to report that the company has registered a quarterly gross revenue of INR753 crores, net revenue of INR119 crores, EBITDA of INR70 crores and a PAT of INR50 crores. Our take rate in payment has been consistently improving, standing at 11.2 basis points in Q1 FY '25, which is a growth of 33% year-over-year. Infibeam Avenues Limited

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We had previously guided for a double-digit take rates in '24, and we have already surpassed that during this quarter. This improvement is due to our disciplined execution, optimization and innovative approach to digital payments, reflecting the collaborative effort across Infibeam's teams.

Looking ahead to achieving our financial guidance for FY '25, we will amplify our strategic initiatives established during '24. Over the next 2 years, we will intensify our focus on elevating our international business, aiming for it to contribute 12% to 15% of our net revenue income, up from single-digit contribution currently.

In 2025, we have projected revenue growth of approximately 25%, 30%; EBITDA of around 10% to 20% and a PAT of 20% to 35%. Given our strong performance in Q1, I'm confident that we have reached the guidance. Moreover, our ongoing innovations and commitment to excellence ensures that we are well positioned to capitalize on market opportunities. We believe that our strategic initiatives will drive sustained growth and create significant value for shareholders.

With that, I will turn the call and give it to Vishwas. Vishwas, all yours.

Vishwas Patel: Thanks, Vishal, and good afternoon to everybody on the call. We had a solid start to the year. The first quarter results that will be about our expectations. As Vishal ment

ioned, it's still early

in the financial year, and we are looking forward to the holiday and festival consumer spends in the coming quarters.

So at a macro level, digital payments in India grew more than 70% in 2023 and is estimated to grow by 45% to 50% in 2024 to approximately INR54 trillion. Between 2021 and 2026, the industry is expected to grow in the range of 30% to 40% annually. The government and the regulator are also very supportive given their vision to make India digital and make it a less cash economy.

Our goal for 2025 is to fundamentally set up the business for the future by making key decisions and aligning our investment part for growth. And to do so, we are laser focused on strategic analysis and decision-making, driving innovation back into the business and executing with excellence.

While it will take time and efforts to substantially flow through results, the speed at which the team is encouraging -- is moving is encouraging, we are making steady progress. We are getting deeper in understanding both our challenges and opportunities with great clarity.

In the second quarter, we added 2,30,022 new merchants, averaging more than 2,550 merchants

every day. We increased our net take rates in payments to 11.2 bps from 8.4 bps same last -- same quarter last year, which contributed to growth in profitability.

Additionally, we were granted a payment aggregator licensed by RBI as the digital payment industry in India is poised for growth, with strong entry barriers and strict compliance requirements. We plan to take full advantage of our ability to onboard new merchants.

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Furthermore, we are incorporating a company in the GIFT City to start the payment aggregator business within that jurisdiction and look aggressively to do cross-border payments through our subsidiary.

For our BillAvenue business, which is the utility payments business, there has been an 87% growth in the transaction value on the customer operating unit side quarter-on-quarter. The total transaction value from the agent institutions this quarter was INR1,506 crores compared to INR805 crores last quarter. We have also seen a 2% growth in the transaction value on the biller operating unit side for BillAvenue quarter-on-quarter. The total transaction value from the billers this quarter was INR1,679 crores compared to INR1,640 crores last quarter.

Through our ResAvenue hospitality solution, we delivered 4,67,248 room nights to our hotelier clients this quarter, amounting to a value of over INR310 crores. The hoteliers benefiting are over 2,000 hotel clients across India and the Middle East. We are constantly developing new cutting-edge solutions, including the new AI-driven revenue management tools for our hotelier clients.

Embedded within our guidance outlook for the year is the flexibility to make key strategic decisions to invest and reintegrate profitable growth within the components of the portfolio and accelerate go-to-market efforts.

For the full year, we expect our other value-added services include distribution of our financial products to contribute 2% to 4% of our revenue this year, going to around 7% to 10% in a couple of years.

We have clear opportunities to lean in further, and we are doing the hard work now to position Infibeam Avenues for profitable growth in the years ahead. And it has been this incredible energizing to see the team's commitment to this goal.

With that, I now hand over the call to our Chief Financial Officer, Mr. Sunil Bhagat, for his comments on the financial performance. Over to you, Sunil bhai.

Sunil Bhagat: Thank you, Vishwas sir. Good evening, everyone. For the first quarter of FY 2025, we have witnessed significant strides in our financial performance. Consistent with the approach, our guidance includes minimal impact from the new innovations and investments rolling up this year. Our focus

is on execution as well as being moving from test and pilot phases into the launch. We continue to expect our guidance for 2025 as we are off to a solid start.

Now moving on to the results for the quarter. While our gross revenues increased from INR742 crores in Q1 FY '24 to INR753 crores in Q1 FY '25, registering a marginal growth. However, our net revenue increased from INR99 crores to INR119 crores, which is up 20% year-over-year. Our higher-than-expected net take rate has significantly increased from 8.4 bps in quarter 1 FY '24 to 11.2 bps in quarter 1 FY '25, registering an increase of 33%. And this has resulted in our higher net revenue, higher EBITDA and higher PAT.

Our EBITDA grew by 25% from INR56 crores in Q1 FY '24 to INR70 crores in Q1 FY '25. The EBITDA margin as a percentage of net revenue stood at 59%. Our profit after tax came at INR50

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crores, showcasing a 59% increase year-over-year as compared to the same period of last year.

We remain dedicated to pursuing profitable growth initiatives and driving further value for our stakeholders.

With this, I now invite the moderator to open the floor for questions and answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Pranav Mashruwala from Dolat Capital.

Pranav Mashruwala: So one question was on the gross take rate. So we usually share the data where we provide TPV for calculation of payment take rate. In Q4, it was about INR652 billion, and we had a payment gross take rate of about 102.7 bps. So could you please share for this quarter?

Sunil Bhagat: If you can refer the slide number 10, we have already provided the breakup of payments TPV as well as platform TPV for the quarter.

Pranav Mashruwala: And second question is on platforms business. So any reason for decline on a quarter-to-quarter

basis? So now we don't have the GeM revenue. So is there still seasonality element in the Q4 to Q1?

Vishal Mehta: Yes. So we've not recorded GeM revenue, much like what we did not do in Q4 of last year and even Q1 of this year. So there's a marginal decline because of that. We believe that by end of this quarter in Q2, we should have a pretty good idea in terms of what it means with GeM if initiated friendly arbitration. And we expect that we should be able to get some insights and provide more feedback to you in the next -- in this coming quarter.

Moderator: The next question is from the line of Rucheeta from iWealth Management.

Rucheeta: Sir, my question was on the side of TPV, which is excluding the GeM platform. So as per the calculation, this quarter, it has grown only by 4%. So what is the reason for this? And how do we see this going ahead?

Vishal Mehta: We report 2 TPVs. One is for the payments business and second is for the platform business. So while we have not recorded any revenue from GeM, the TPV that we report has GeM because GeM continues to use our platform. So we've not recorded any revenue from the platform, any -- from GeM platform, which is highlighted in the slides as well as in our numbers. And there's some Ind AS impact, but I believe that from a platform perspective, GeM is about INR1.2 trillion, and payments is about INR0.7 trillion.

Rucheeta: So if I exclude that, so a year before that, it was around 65,024, and now it is 67,691. So effectively, the growth is only 4% in the payments business other than the GeM. So what was the reason for the same is what I'm trying to understand.

Vishal Mehta: Yes. So payments, Q1 is normally a slower period compared to the other quarters in terms of payments. Normally, our festivals in our country, they happen in Q2 and Q3, so that is one. And second is that it's also a mix impact. So in other words, we are not reporting any UPI transactions as part of our buildup. So we also see that UPI transactions are gaining tract

ion. But much like
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platforms, we don't revenue, but we -- we'll continue to incur expenses, whatever those expenses are.

So similarly, we have told the shareholders that depending upon the outflow, we'll have a onetime gain, should there be a positive impact. Similarly, in payments, Q1 is low compared to the other quarters. But the good thing is that given our take rate and given also that we have not been aggressively going after growth in payments, we are focused on profitable growth, and we had also guided that we need to reach a higher take rate. Fortunately in Q1, we were able to achieve a much larger take rate compared to what our expectations were. So our focus is going to continue to be on net revenue and not on gross revenue.

Rucheeta: Right. So what is the kind of volume growth do we expect invest going ahead?

Vishal Mehta: In terms of the revenue guidance, we have given the revenue guidance for the year. So in terms of the revenue guidance, we have given that the lower end guidance in terms of gross revenue will be -- and if you look at Slide #12 -- 11, sorry, 12, you will see the guidance for gross revenue, net revenue EBITDA impact that we have given for this year.

In terms of transaction processing volume, TPV, we expect that there is going to be an increase -- we hope that this coming quarters will be much larger compared to what you have seen in Q1.

So we expect that in Q2 and Q3, you will see a substantial increase in TPV.

Rucheeta: Okay. And sir, just one question on the other income side. So there has been a substantial increase. So what does this consist of INR28 crores of other income?

Sunil Bhagat: This is an Ind AS impact, which is on account of changes in fair value in case of equity shares. This is not...

Rucheeta: Okay. Okay. And the same was there for March '24 as well?

Sunil Bhagat: Yes, it was there.

Rucheeta: So the whole amount is Ind AS impact?

Sunil Bhagat: Yes, this is Ind AS impact.

Moderator: The next question is from the line of Grishma Shah from Envision Capital.

Grishma Shah: I want to understand our GMV. Is it largely coming in from the merchants? Or it is a mix of merchants and consumers? That's question number one.

Vishal Mehta: All GMV that we report is basically consumers paying to merchants. So it's basically we provide our CCAvenue payments framework to merchants and consumers pay using our aggregation framework to merchants. It is not peer to peer, if that is a question. We don't have the consumer side of payments.

Grishma Shah: Okay. And are there any new markets or segments you're targeting with your expansion in the financial services?

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Vishal Mehta: We've said that there are certain financial products with our recent investments in Rediff. Rediff will become a subsidiary of the company. Rediff is in the top 1,000 most visited sites globally. They've got 55 million visitors in a month. And distribution of financial products become important area that we focus on. .

So -- yes, I mean, we believe that, that is going to be important for us in financial products, including insurance and many of the other products, including lending and others. So we believe that, that will be, we call it, value-added services. And through that value-added services, we expect that we should be able to generate 2% to 4% of the revenues of this year through value-added services, which would substantially increase to 7% to 10% in coming years.

Grishma Shah: If you could elaborate a little bit what does Rediff do? I mean, is it -- are you also acquiring what we used to use at Rediff mail? Or this is a very different company compared to the mail services that we used to use like many years ago?

Vishal Mehta: No, it's actually all the work you actually see. So it is Rediff mail as well and it is Rediff.com as well. So it is pr

etty much everything that you've known about Rediff, which includes all the cloud-based enterprise e-mail storages all content distribution frameworks or related commerce services and all the digital platforms that it offers.

Grishma Shah: So what is the revenue of this company?

Vishal Mehta: It's INR360 million last year.

Grishma Shah: INR36 crores?

Vishal Mehta: That's right.

Grishma Shah: And profitability?

Vishal Mehta: It is a marginal loss. So it reported a INR4 crore -- INR4 crores to INR5 crores loss for last year.

Grishma Shah: Okay. So basis the customers that it has and the platform that it has, you plan to scale this business?

Vishal Mehta: Yes, we think there is a lot of synergies that we can work on. I think cloud is a very important component of that. If you look at payments also, it's a very large cloud framework that we use, and you will see a different avatar of Rediff going forward. I think clouds -- if you look at payments, if you look at e-mails, there's all very large cloud services. And with a significant amount of content, that with some synergies with what we are doing in terms of AI, we also believe that with payments at core to us.

Payment services that we talked about, which is insurance, lending and some of the -- some base trading activities are significantly large opportunities. And with a large client base, potentially we can work out the synergies and promote them, which increases the product update as well as, in some case, generate new revenue streams for us.

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Grishma Shah: Okay. If the consumers are paying to merchants and largely what you report your GME, MDR generating, how is it that also -- so is it fair to assume that you also have less than INR2,000 transactions and therefore, your UPI payment is outstanding?

Vishal Mehta: Sorry, I did not get the question. Could you repeat?

Grishma Shah: Why is your UPI payment outstanding from banks?

Vishal Mehta: No, UPI payment is not outstanding. Typically, MeitY has a certain amount that they give to banks, and banks have to potentially keep for themselves or give it to aggregators. And so far, we have not received any amount. So neither we have reported in revenue, or neither we will report in any accruals. What we are positioning at is that we have an opportunity to still ask for that capital because it was for the entire ecosystem. Vishwas, do you want to elaborate?

Vishwas Patel: Yes. So UPI volumes today, there is a mandate from the government to make a 0 MDR. So nothing on the MDR like what we earn from credit cards and debit cards and net banking and other options, right? So -- but -- however, to promote that transaction of UPI, the government does give out incentives to do transactions. So last year, they gave INR3,500 crores to the ecosystem. But till now, since you have not received it from the bank any of that incentive or what we have processed, right, so that we have not recorded any of it. Though we do process a lot of UPI transactions, but it's not counted either in GMV or nor have we recorded any revenues on it.

Grishma Shah: Okay. Sir, but they would have given it in quarter 4 itself, even in quarter 1, they've not given?

Vishwas Patel: They're not given right now. We are in talks with the banks it will come.

Grishma Shah: Okay. So who are your partner banks, if I may ask?

Vishwas Patel: Yes. So I think we should give other guys also a chance to ask questions.

Grishma Shah: Yes, this is my last question.

Vishwas Patel: Okay. What was your last question again, can you repeat?

Grishma Shah: I just want to know who are partner banks?

Vishwas Patel: Our partner banks is HDFC, ICICI and Kotak Bank for UPI processing.

Moderator: Our next question is from the line of Aryan Oswal from FinTrust Capital.

Aryan Oswal: So sir, can you provide some more details on the factors that contributed to the increase in net take rates and

how sustainable are these improved net take rates in the upcoming quarters?

Vishwas Patel: Yes. Okay. So as Vishal already said that, that our whole focus is on net revenue rather than gross revenue. So there's a continuous increase in the take rate that is there, right? Specifically the UAE take rates have increased to almost 19.5 bps. The Indian take rates has also increased from an earlier 7.8, which was there in last quarter to 9.9. So all these factors have contributed

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in growing the take rate to 11.2%. And as I said, as more TDR-intensive businesses go online, which is entertainment, travel, those businesses, the take rates automatically improve, right? . So from post pandemic, it was a good recovery from where we were at that time at 7.8. So it's continuously increasing and you can see the difference. When we always guided the ecosystem that will be going to a double-digit take rate. So currently, this quarter, happy to report 11.2 bps as take rate.

Vishal Mehta: We just add to what Vishwas said, we optimize every layer of our payment infrastructure stack. So I think there's a lot of continuous optimization that we talked about early on. So you literally squeeze out every single opportunity to ensure that you are able to deliver higher take rates. So I think that includes figuring out -- there is a lot of complexity in detail every single transaction and routing it properly. And so I think those are the things that the team has worked on for several quarters, which is now fructifying above there, what just Vishwas said.

Aryan Oswal: And sir, one last question. Could you elaborate on your strategy and time line for foraying into financial services as an aggregator? And what specific services are you planning to offer? And how do you plan to differentiate them from existing competitors?

Vishal Mehta: See, basically, what we think is that we understand aggregation business very well. In payments also, we are an aggregator. And so similarly, in financial services, it is nothing like but an aggregation platform. If you think of Policybazaar, it's also an aggregator, finally, for insurance.

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So I think we understand aggregation business and payments. Along with payments, we think financial services and other categories are interesting and equally important. And we think that, that becomes an opportunity for us. Our recent investments into Rediff will enable us to reach out to a much larger audience. And it is just not financial services, maybe beyond financial services as well.

Vishwas Patel: So just to expand on the Vishal side, we are sitting in the middle of the entire ecosystem. So on one side, we have millions of SMEs and businesses, on the other side we have all the banks, right? And any financial product that is of interest mostly through all the businesses that is there, be it lending or many other things that we can do since we have high data of their business performances and everything. And since all KYC and everything is already done to onboard them. On the other side, we have working with 100-plus banks in India and integrating in the region. So sitting in the middle, a lot of cross-sell across all financial products that game plan will come out shortly.

And with the Rediff, we get that access to almost 40 million visitors who reach out to -- who access Rediff.com, Rediff Money and many other -- of their platforms, enterprise e-mail and others, like we have access to that now. So all our services on the other side, as we said, we also have the Bharat BillPay payment licenses.

So all the bill payments and recharges and all the things can be offered off to our SME customers and to that base also upgraded. So that is the whole idea of being an aggregator and distributor

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of financial products. Various products will come out time to time. W

e already started express

supplement to our merchants who want instant agreements.

So that's also a growing one. We are at \$600 million run date and that will keep growing. We've a lot of other products right now, we are starting off with bill payments and recharges and other things, but -- and tax payments, what a SME enterprise or the other B2 -- this requires. We'll be

slowly coming out with a sleeve of other financial products, which I'm not through which are the requirement of this base.

Moderator: The next question is from the line of Deepesh Sancheti from Manya Financial and Consultancy Services.

Deepesh Sancheti: Just wanted to know about your demerge -- you're planning a demerger of ODigMa. Can you mention how much sales percentage is this? Or what are the numbers of ODigMa?

Vishal Mehta: Sure. In terms of sales of ODigMa, in terms of revenue, is that the question?

Deepesh Sancheti: Yes.

Vishal Mehta: How much will be the impact to revenue, the gross revenue or...

Deepesh Sancheti: How much revenue -- if you can just mention how much is the revenue of ODigMa right now? And what is the profitability?

Vishal Mehta: ODigMa will be about INR30 crores. And about profitability would be about -- I mean these are annual numbers, and profitability will be about less than INR1 crore.

Deepesh Sancheti: Okay. And also that since we have set up the AI business into a new vertical into a new company. So should we expect that there would be a demerger of the AI vertical also, if not now, maybe in the next 2, 3 years?

Vishal Mehta: See, we -- of course, I'd love to tell you, I mean, Oracle, I can see the future, but what we know is that AI is definitely a separate company, such a talent tool. I think we've been able to work on some very interesting somewhat hard problems. I can't say they are mature because we need to -- we need to reach the level of maturity by offering it at scale. So that's -- it's an investment, and it's a bet worth making.

And we believe that we should be able to -- last time in our call, we said that we have been able to pilot, and the pilot phases are now over. We are now rolling out the second phase, which is not the full rollout, but a partial rollout with many of our clients.

And we expect that in the next 4 to 8 weeks, we'll be able to share more in terms of several contracts that get converted. But we are very optimistic about the opportunity. And we think that while we may not have an answer for you in terms of demerger, but it's definitely set up as a separate company for now.

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Deepesh Sancheti: Okay. And about the Rediff.com, are we going to leverage Rediff customer base and brand for our new products for more B2C products also? Or are we going to invest in Rediff and make it in line with the Gmail and I mean a competition for Google?

Vishal Mehta: Cloud is a very important opportunity for us. As you know -- I mean, it's very public that data localization, cloud is very important. We understand it because of payments. But I think it goes beyond payments as well. And what you know of Rediff, which is Rediff Mail that you're talking about, they definitely have some messaging services. They have mail services. While payments is also working on the cloud, so there's that framework, including the mails that work on cloud. So we think that -- we'll continue building it up. We think messaging frameworks have played a very critical role. You've already heard about WhatsApp wanting to get into payments. So some of those activities are interesting, and we will continue building it up from there. So I think we understand cloud aggregation will be like an intersection of financial transactions and content, which coexist together on a cloud.

Deepesh Sancheti: Great. And what is the date of your expansion in international markets? At what stage is the developing in Saudi Arabia? And when will we see it

contributing to our bottom line?

Vishal Mehta: Saudi Arabia is already started. And Vishwas, do you want to take this?

Vishwas Patel: Yes, yes. Saudi Arabia, we already launched 1.5 years, 2 years back, but the local rules changed there. There was a licensing by their Central Bank called SAMA, the Saudi Arabian Monetary Authority, where it insisted on a lot of changes before we get license that includes data localization within the Saudi region and even the DR, that's the recovery within the Kingdom. . So hence, that we had to -- hosted the entire applications and within a data center in Riyadh and with a DR in Jeddah. And a lot of changes that were done. And post that, we got the Saudi Arabian PTSP license, the first Indian company to get that license there to process transactions there. And post that we did a tie up with the SAB Bank, which is a big bank within Saudi Arabia, which is a merger of HSBC and a local bank.

With SAB Bank, we've just signed the agreement and other things. We earlier signed that with Bank Riyad. We had a couple of dozen merchants live. But now there is still some small little licensing formality that we need to close. Post that, we have already the agreement with the SAB Bank and everything is in place. So the transactions and other reporting, I'm sure by the end of this quarter, we should start reporting the Saudi Arabian numbers also.

Deepesh Sancheti: Okay. Sir, just wanted to clarify one thing that the previous -- in your previous calls, you had mentioned that the international business would contribute to about 30% of your total income.

But on Slide 28, I can see that you have shown about 12% to 15%. So can you please clarify on what is the stance on the international business?

Vishal Mehta: Yes, it's basically a time line issue. So this year, we are expecting that we should be able to scale it up quite a bit our international business. And so -- and we want to achieve a 30% number. As revenues scale up, so does the percentage that contribution comes from international. So the Infibeam Avenues Limited
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30% number is pretty much a 2- to 3-year time horizon. And the 12% to 15% number is in this particular financial year.

Deepesh Sancheti: Okay. So Vishal, from -- with Rediff -- I mean coming back to Rediff acquisition, with Rediff acquisition, do we inherit any debt or any previous losses of Rediff also?

Vishal Mehta: So there is marginal debt, which is what we inherit but primarily we inherit iconic brand, brand which is resonating with a very large audience, which has a pretty massive -- if you can -- if you come to think of it, it's in the top 100 most visited site in India, and top 1,000 in the world. Well processing hundreds of millions of mails daily. And we believe that with that legacy and the brand that we will inherit, I think there's a lot that we can do with it.

Deepesh Sancheti: And just one last question. Is Infibeam Digital Entertainment a part of ODigMa? Or Is it still part of Infibeam only?

Vishal Mehta: No, it's part of Infibeam.

Moderator: The next question is from the line of Rahul Jain from Dolat Capital.

Rahul Jain: Just wanted to understand the strategy out here in terms of getting into some of the newer businesses and how they are going to create another set of revenue stream, which could become much larger over a period of time. Of course, on the platform side, we had that vision and then the GeM, it's slightly different now. So if you could give me a big picture in terms of how this business is going to scale over a period of time across some of the segment that we have entered into an individual commentary out there would be of great helpful.

Vishal Mehta: Sure. So Rahul, the way we think about it is payments go to as payments scale is quite a bit in terms of how do you look into it. It's scaling to base. One is across geography, second is within the same geography. And within that, w

hat we focus on is really vertical within the payment infrastructure. How do we squeeze out every penny so that it gets back into the take rate, if you will.

And one of the things that you will also hear from us is that we are launching a device in the market as well shortly for the bank that potentially becomes more -- TapPay has already embedded into it, which potentially enables merchants to be able to utilize and you will start seeing CCAvenue in some of the merchants hopefully in the coming quarters. In fact, this quarter itself.

So I think that those are things that we think payments will hold. And within payments, if you recollect what we had done was we worked on express settlement, and that has worked out very well for us.

Now when we get -- since we have millions of merchants and with this particular investment in Rediff, we believe that Rediff has a very large brand value and a lot of consumers and merchants who utilize some or all of their digital platform. And what I mean the digital platform is whether you talk about mails, whether you talk about consumption of content, whether it means some of Infibeam Avenues Limited
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the other things including e-mails that -- and instant messaging frameworks, there is a fairly large stickiness and a position there.

So we think that when you think about value-added services, we think aggregation again and not necessarily as our own particular product. What I mean by aggregation is insurance is nothing but an aggregation. And insurance will be provided -- they will be providers of insurance. And we -- given the -- that we sit in the middle of the step-up that if you're able to connect the providers to the consumers or merchants, then I think it becomes a very large opportunity. And through that, sort of fintech company, you will appreciate that while everyone is trying to do a lot of financial services, value-added services, we also categorize this as value-added services. And in the value-added services, we think that we should be able to get slightly deeper into it. In terms of our aspirations, we think it should be 2% to 4% -- the value-add services itself should contribute 2% to 4% of our revenue, and that is very high EBITDA margins. So that's our aspiration for this year.

And in coming quarters, maybe in a couple of years, we should reach anywhere between 7% to

10%, in terms of these revenues generated out of value-added services. So while our revenues are also projected to increase year-over-year and given guidance for this year and hopefully when we reach next year, we'll also provide that guidance. We think that VAS can be a significant portion.

If you look at a vertical like insurance, when you look at Policybazaar, when you look at the traffic of Policybazaar vis-a-vis the traffic which Rediff has, you will have a much better idea in terms of -- one aspect of such aggregation is solved, which is consumers and traffic.

I think if we productize it and build it out in a way so that it scales on the cloud, we believe the second thing that we'll work on as far as Rediff is concerned is cloud. So when you talk about new revenue streams, we think about value-added services, that are revenue, revenue streams and value-added services out of financial products and other products, including cloud. And such cloud services become critical and very important in the age of regulation and artificial intelligence. So we think that if you look at that set up for the coming few years, that becomes a very large opportunity to go after.

Rahul Jain: Right. And if you could complete the part on the other stream like XDuce or platform, anything more you would like to add? And then I have one follow-up on the Rediff one.

Vishal Mehta: Sure. So in terms of some of the other investments that we've made, you'll appreciate whether it is XDuce or Perimeter whichever way you think about they will be provi

ding such frameworks

to reach out to users. But it's a trading platform and XDuce has a lot of relationships and a lot of agreements with large clients in the US, where we can provide our Phronetic products. So most of our investments -- I mean, some of them will have immediate returns, some of them will have medium to long term. But we are just building it out in such a way that it becomes profitable and accretive to the shareholders in the long term.

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So whatever we do, we will utilize it to be able to use that as a distribution channel. And once we find that there is a good amount of traction, and we feel confident about it, then we doubled down on it, which is the other requirements.

Rahul Jain: Right. Just last one from my side. You kept on referring to insurance as one of the use case, which it seems to -- is it potential opportunity with the Rediff.com transaction? So are you trying to see as an advertisement opportunity? And is all of the revenue for Rediff today is advertisement? Or you are also trying to take it to the next level, given your capability on the payment side to make it as a transaction website just like a Policybazaar is? So any perspective on that will be helpful.

And again, sorry to piggy back to the previous question wherein the platform, if you could tell us what kind of seasonality and scalability you see in the current and near future in that business that would be of great help.

Vishal Mehta: Sure. No, Policybazaar was just an example really and not necessarily vertical -- only vertical that we expect to focus on. I think there will be many. And advertising is not the only revenue stream for Rediff, a lot of revenue comes out of the platform, the digital platform that they offer, including enterprise, e-mails and others. So there's a bit of mix of revenue. I think it is like a digital journey or a digital platform where this massive consumer -- it's a consumer-facing brand. And we believe that with this kind of catering to hundreds of millions of mails on a daily basis, being able to attend to more than 55 million users, I think we'd be able to focus on monetization of those areas. That's one.

And second is that, yes, we are not focused on just building one vertical, we'll build it out as the next version of Rediff. You think about instant messaging framework that it is very large. So each of these verticals are very large. And we think that there is a digital ecosystem to build out for this country. And so we'll not work only on one vertical, we will work on the entire digital platform of Rediff.

Rahul Jain: Yes. If I may, just one last one, which is like what could be the potential 1-, 2-, 3-year capex on Rediff if things goes well on your mind?

Vishal Mehta: So beyond this investment, I think Rediff should be able to build it up from there. So I think quite a bit of capex we have already incurred so far in terms of building out scale. I think when we hit the next version of scale, I'll be able to provide you a slightly more detail because, it's very early on to be able to talk about it. Our initial focus would be to create the next version in Avatar of what Rediff will look like going forward, which we'll hopefully start seeing in the next few quarters?

Moderator: The next question is from the line of Aayushi, an Individual Investor.

Aayushi: I had 3 questions that I wanted to ask, but I want to start with 2 questions. Should I ask them one by one? So the first one is regarding your investment in XDuce, how has it enhanced the AI abilities and payment solutions in the US market? Are there any updates regarding client

acquisitions resulting from this particular partnership?
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Vishal Mehta: See, fundamentally, if you want to get into any new market, they already have -- you need to have something called a master

service agreement with large companies, pretty much like a vendor relationship. And in some ways, in some countries, it's easier in others, it's harder. . And so these MSAs can take up to 6 months, 1 year to close even a single level say. So when you work with companies who already have very large agreements, you can pipe a lot of product of yours, and not worry about new agreements in place. And so it's very common in the software industry to do that. And so that's how we will position it.

And second is that when we -- because local people presence is important and as we build out US as a payment setup, we will decide -- in US, right now, we, of course, focus on UAE, Saudi initially. But in US one can work like a tech service provider, like a DSP, where you provide internet for a bank much like what we do over here in India for Kotak, or you've actually co-hosted own brand. And in both cases, you need a lot of support services, which is where companies like XDuce can play a role.

Aayushi: Okay. Okay. And my second question pertains to your ongoing AI initiatives, particularly Kiya, the video AI developer platform. So how do you plan to scale that up in the coming quarters?

Vishal Mehta: We are very optimistic. It's a new field, as you know. And if you think about the view of our world in payments, like I had mentioned earlier, we think that Uberization of payments is perhaps the way it will work in the future. And so video AI is critical to uberization of payments. And one has to achieve a certain level of scale, accuracy, solve a lot of problems.

I mean there are a lot of things in text -- solve using TextGPT, ChatGPT, and you also feel a lot of images are solved. Video is different than images. Visual.AI, people think of images it's actually videos, which are very different than images when you have to identify the activity. And so it's a hard problem to -- I'm sure there are companies working on it, but it's slightly hard problem to solve. But I think that gives us the motivation.

We think that we can actually build it up. And so that's why we are working on these pilots and pilots also multiple phases. You complete one phase and then you go into a slightly more larger rollout and then eventually it converts into some kind of a contract. So that is what -- I mentioned that you will see from us in the next coming months on Phronetic.AI.

Aayushi: All right, sir. That is very interesting. And sir, coming to GeM, you said that we haven't recognition any revenue from GeM this quarter, but the company has some business for GeM like you have been processing their transaction. So the onetime revenue that you expect from GeM what is that amount to?

And sir, in the last call, you mentioned that even if we don't continue with GeM as a [indiscernible] you had like a few big customers lined up. So is there any update regarding that? And like what are the future prospects with relation to GeM? Are they continue -- going to be a customer? Can you give some light about that?

Vishal Mehta: What I can tell you is GeM is still utilizing our platform. The second thing I can tell you is that we were able to get a judgment on the fact that all intellectual property that we are providing to Infibeam Avenues Limited
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GeM belongs solely to us. I think those are 2 important things, in fact, but we can definitely talk about.

What we do not know and what we are not able to talk to you and tell you is how much we get paid and hence we've not been able to recognize revenues so far. But GeM continues to utilize our platform. And that's all I can tell you at this moment. The good news is, like I said that we are into arbitration with GeM, and we should be able to have some more information in coming months maybe in the next couple of months.

Aayushi: Okay. And sir, is there any update regarding the TapPay or patent that we had filed for?

Vishal Mehta: That patent i

s under consideration. So I think unfortunately it takes time. So this particular thing about the AI patent that we have filed, that's also a filing. But we expect that we should -- I mean, US patents often is slightly faster. So we expect that we should be able to get something in the next 6 to 12 months.

Aayushi: Sir, on our UAE subsidiary, when we raise money, already raised 25 million at a valuation of USD 100 million. But sir, I think the company should be valued as much higher. So would you

be able to bring out the IPO at \$300 million, \$400 million, which is a much better fair value for the company, according to the processing it does?

Vishal Mehta: See, I mean, for any company, they would want to actually get good value for their shareholders. So I mean, absolutely, we are focused. And I think having said that in that geography, it's -- UAE is just one geography. You also have a lot of Middle East geographies, which are also fairly large. So we leave the valuation to the valuation experts. What we've always focused on is let's build real value and leave the valuation, we don't work on valuations. We monitor and we track what's going on, but we leave it to the experts to decide what would be the right valuation for the company.

Moderator: The next is from the line of Pramod Pai, an Individual Investor.

Pramod Pai: First of all, congratulations for the great numbers. So I would like to know the reason for investing in the cloud solution company, mainly is it because of data localization challenges faced in Saudi Arabia? Or would that provide any value addition in the fintech business?

Vishal Mehta: Sorry, are you referring to the Rediff.com announcement?

Pramod Pai: Yes, right. Correct.

Vishal Mehta: Yes. See, both I mean if you think of it, Rediff is a phenomenal iconic brand, which has a lot of stickiness with users. Even today, more than 50 million visitors go to Rediff every month. And using cloud and cloud services, they are able to process hundreds of millions of e-mails on a daily basis. And I think that it's a pretty large ecosystem, digital ecosystem that they have created with instant messaging and mails and others.

And so what we believe is that we understand aggregation. We understand cloud. We understand AI very well as end fee. Aggregation, payment aggregation as well. And Rediff is very good in Infibeam Avenues Limited

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terms of users, cloud and others. So we think that there'll be a good synergy to be able to explore with Rediff.

And second is that it's a consumer-facing brand. CCAvenue is business-facing brand, B2B, and Rediff is a consumer-facing brand. And so we think that there's a very large opportunity to amplify that message. And whatever financial products or any other service that you would consider it can actually go to business and consumers both. Now we have an ecosystem to target both.

Moderator: Our last follow-up question is from the line of Deepesh Sancheti from Manya Financial and Consultancy Services.

Deepesh Sancheti: Just one question. What is the rationale behind this demerger which you are planning to do?

Vishal Mehta: See, in terms of the demerger, we are a payments company, and we have been very clear about who we provide digital solutions to in terms of digital marketing solutions. And there are certain areas, whatever applies to payments also apply to other parts of our company. With a lot of regulations, we believe that digital marketing will be decoupled from payments. And there's a much larger ecosystem that digital marketing can attend into. So that's the first thing that we think is an opportunity.

Second is that we have a domain called dot triple O. Dot triple O is a top level domain. And so far, we've not been able to build up a lot of monetization but the opportunity is significant. And things like using domain as UPI handouts. It's already started happening in several parts of North

America. But again, with payments, there is a question mark because there are fiat currencies, non-fiat currencies and use of domains and such can cause certain questions. And so we are very clear that this makes more sense.

There's a massive opportunity to be able to monetize on that. It's very high margin business. And we also believe that digital marketing will also expand their outreach and not be getting into the compliance framework, which are limited to payment. So there will be substantial benefit to shareholders in our opinion. And so we thought that, that is the main rationale for the setup.

Deepesh Sancheti: So who will be heading this?

Vishal Mehta: It will be headed by Matt, Matthew and he is going to drive that opportunity.

Moderator: Ladies and gentlemen, we'll take this as the last question, and I hand the conference over to the management for closing comments.

Vishal Mehta: Thank you all for joining the call, and we look forward to keeping you updated on the latest developments of the company. Thanks again.

Vishwas Patel: Thank you very much all for attending.

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2024

INFIBEAM AVENUES LIMITED

Regd. Office: 28th Floor, GIFT Two Building, Block No. 56, Road-5C, Zone-5, GIFT CITY, Gandhinagar,
Taluka & District - Gandhinagar – 382 355, CIN: L64203GJ2010PLC061366
Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@ia.ooo | Website: www.ia.ooo

November 14, 2024

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai - 400 001 Company Code No.: 539807 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex, Bandra (East), Mumbai - 400 051 Company Symbol: INFIBEAM

Dear Sir / Madam,

Sub: Transcript of Earnings Conference Call for the quarter and half year ended on September 30, 2024

In compliance with SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor/ Analyst conference call on financial performance of the Company for the quarter and half year ended on September 30, 2024 conducted on Tuesday, November 12, 2024, after the meeting of Board of Directors, for your information and records.

This transcript is also available on the website of the Company i.e. www.ia.ooo.

Kindly take the same on your records. Thanking you, Yours faithfully, For Infibeam Avenues Limited
Shyamal Trivedi
Sr. Vice President & Company Secretary

Encl.: As above

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"Infibeam Avenues Limited Q2 FY25 Conference Call"

November 12, 2024

MANAGEMENT : M R. VISHAL MEHTA - CHAIRMAN AND MANAGING
DIRECTOR , INFIBEAM AVENUES LIMITED
MR. VISHWAS PATEL - JOINT MANAGING DIRECTOR ,
INFIBEAM AVENUES LIMITED
MR. SUNIL BHAGAT - CHIEF FINANCIAL OFFICER ,
INFIBEAM AVENUES LIMITED
MODERATOR : M R. RAJAT GUPTA – GO INDIA ADVISORS

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Moderator: Ladies and gentlemen, good day, and welcome to Infibeam Avenues Limited Q2 FY25 Conference Call hosted by Go India Advisors.
As a reminder, all participant lines will be in the listen-only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajat Gupta from Go India Advisors. Thank you and over to you, sir.

Rajat Gupta: Thank you, Sagar. Good evening everyone and welcome to Infibeam Avenues Limited earnings call to discuss the Q2 FY25 Results.

We have on the call with us today Mr. Vishal Mehta – Chairman and Managing Director; Mr.

Vishwas Patel – Joint Managing Director and Mr. Sunil Bhagat – Chief Financial Officer.

Also joining us on the call today is Mr. B. Ravi, who's advising Infibeam on Corporate and Financial strategy as an Independent Consultant. We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risk that the company faces.

I now request Mr. Vishal Mehta to take us through the company's "Business Outlook" and "Financial Highlights", subsequent to which we'll open the floor for Q&A. Thank you and over to you, sir.

Vishal Mehta: Thank you, Rajat, and very good afternoon, everyone. Welcome to Infibeam Avenue's Q2 FY25 Earnings Call.

I appreciate you joining us to review our 2nd Quarter and first half performance for the fiscal year 25. This quarter has been transformational for Infibeam Avenues in many ways, as we continue to advance our strategic vision with very strong growth momentum and another robust performance, building on the momentum that we achieved in the first quarter of FY25.

I'm excited to share some updates on our recent acquisition and integration of Rediff. With over 70 million registered Rediff email users, we are transforming their experience by upgrading them to a super app that will now house RediffPay also as its primary payment solution, which will be focused on UPI. The super application that we'll build out will also include a range of other financial products, bringing seamless financial management to millions of users on a trusted platform.

Looking ahead by the end of Q4 FY25, early Q1 26, we plan to launch RediffOne, which is a complete suite of enterprise solutions. RediffOne will provide enterprise ERP solution, Infibeam Avenues Limited

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enterprise CRM, customer relationship management, as well as HRMS, human resource management systems, along with enterprise grade email services, which provides a comprehensive digital toolkit for businesses to go online and conduct their business. This initiative marks a significant step forward as we build a robust ecosystem of products that empower both individual users as well as enterprises, strengthening Infibeam's position as a leader in digital transformation solutions.

With Rediff's vast user base of 55 million monthly visitors and a registered email base of 70 million users, we are well positioned to accelerate our financial services aggregation, providing products like insurance, as well as connecting users to lenders under a trusted consumer brand, RediffPay. Through the integration of Rediff's digital infrastructure, which includes cloud-based enterprise email, storage, and content services, we are creating a unique digital ecosystem. This move not only expands our digital payment capabilities, but also enhances user engagement and opens up new revenue opportunities through cross-selling of financial products, leveraging advanced data insights, as well as our artificial intelligence framework. This new revenue stream

is expected to contribute anywhere between 2% to 4% of our total revenue this year and potentially reaching up to 10% in coming years.

As we build on our current achievements, I'm thrilled to share a few insights into the future direction of our artificial intelligence framework, Phronetic, which reinforces our commitment to innovation as well as solving real-world challenges with cutting edge technology. We are working on a new human computer interface at CI that will bring a revolutionary level of interactivity to video generation while chatting. Imagine a natural immersive human interaction that goes beyond text and voice, using video as a primary mode of engagement. With this advancement, we are setting out to elevate customer support and experience making our platform a go-to solution for premier customer interaction.

This HCI interface will mimic face-to-face communication, creating a richer, more engaging, and more personalized interaction for users. Beyond this, we are also expanding our capabilities and understanding human activities, especially in areas like sports, entertainment, hospitals, and many more, where we are envisioning AI-powered agents. If it's sports, it's going to be coaches and umpires and many others. These applications could fundamentally change the way. We receive feedback opening new doors for precision and performance enhancement. This approach leverages our model in ways that meet a unique demand of several stakeholders in every area. If it's sports, it's going to be athletes, coaches, as well as other sports professionals. And on the third front, we are enhancing what we call agentic capabilities of our models, making them more

proficient in handling software tools and even managing desk jobs. This evolution is aimed at making our AI versatile enough to serve in administrative, operational, and support roles where its decision-making and task execution capabilities will drive productivity and streamline workflow.

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Our approach in AI is always application first. This means that we are not solely reliant on proprietary models. We have developed a model orchestrator that can integrate with other LLMs also to deliver the best possible application outcomes. This adaptability positions us to continuously discover new use cases for our video AI models, providing full stack deployments tailored to our end users. To Summarize:

Phronetic AI is not just a technology company. We are building a platform that transforms interactions, powers better decision-making, and addresses challenges across industries. Our innovations in AI business manager, Theia AI and forthcoming HCI advancements are only the beginning. We will continue to lead in creating AI-driven solutions that make a tangible difference.

I'm also excited to share Infibeam's strategic vision as we expand into our data center infrastructure, complementing our artificial intelligence business. This move aligns with India's digital transformation goals and supports the rapid advancement of AI and data localization. Instead of building very massive multi-gigawatt mega data centers that many large tech companies are pursuing, Infibeam will pursue the strategic decision to focus on developing 1 to 2 megawatt data centers across multiple cities throughout India. The question is why small data centers, you might ask, because they're allowing us to bring our infrastructure closer to end users across the country. Small data centers play a critical role in mobile edge compute as well as visual artificial intelligence as they bring data processing and storage capabilities closer to the end users and on IoT devices.

This proximity is a game changer, particularly for our core digital payments as well as our e-commerce services. By reducing latency, we enhance transaction speed, reliability, and essential factors in delivering a seamless re

al-time experience for our customer demand. And it's not just about major cities by setting up smaller data centers. Infibeam can cater to growing demand in

tier 2, tier 3 cities where digital adoption is expanding rapidly. This approach supports India's push towards a cashless economy and captures the broad diverse demand that's emerging in this region. Our decision to invest forward in a network of smaller data centers rather than a large scale gigawatt facility is a strategic choice that aligns with our priorities of cost efficiency, operational flexibility, localized service delivery, regulatory adaptability, as well as scalability. Small data centers are not only more manageable from an OPEX perspective, but also allow incremental growth. As demand increases, we can scale up gradually, adding capacity where it's needed, without the significant capital commitment and operational challenges that come along with operating a very large data center. This flexibility allows us to grow sustainability by maintaining control over costs and risks. From a regulatory standpoint, this distributed model also helps us comply with India's data localization laws, which require certain type of data to be stored and processed

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within the country. Our localized infrastructure supports these regulations further strengthening our role as a trusted partner for our clients. It also aligns with the government's goal of fostering regional data infrastructure, improving data governance, and promoting digital resilience.

Moreover, Infibeam's infrastructure strategy enhances our ability to concentrate on our core offerings, which is digital payments, e-commerce frameworks, and communication frameworks now with the Rediff acquisition. We are positioning ourselves to deliver optimized localized infrastructure that meets both our needs as well as those of our clients without the operational complexity and massive investments associated with large facilities.

Finally, the Indian government has also expressed strong support for decentralized data infrastructure as means of strengthening digital resilience and supporting services across diverse regions. Infibeam's focus on smaller data center aligns perfectly with this national vision positioning us as a valuable partner in India's journey towards a digitally empowered economy. To summarize, Infibeam's approach of building smaller distributed data centers is a thoughtful forward-looking decision that empowers us to deliver better services, adhere to the regulatory requirements, and scale efficiently. We are excited about this journey and are confident that this strategy will drive significant value for our business, our clients, and our shareholders.

Another key development this quarter is the establishment of Infibeam Avenues Fintech IFSC Private Limited, a wholly-owned subsidiary in GIFT City, within the India's IFSC zone. With

an initial capital of one crore, this entity will operate as a payment system provider, expanding our fintech capabilities to target international and cross-border payments. This move is part of our strategy to provide global scale regulated financial solutions. Additionally, we acquired remaining 26% stake in one of our subsidiaries, Infibeam Digital Entertainment, making it a wholly owned subsidiary. This acquisition strengthens our commitment to digital media and live events, allowing us to leverage our fintech expertise in delivering engaging digital experiences. Now turning our key financial highlights in Q2, I'm pleased to announce that we achieved a net revenue of Rs. 134.3 crores this quarter, an EBITDA of Rs. 85.4 crores and a PAT of Rs. 55 crores. Our take rate also saw significant improvements, reaching 11.3 basis points in Q2 FY25, a 21% increase from Q2 of last year. This reflects our disciplined execution, continuous optimization, and innovative approach

across our payment solutions, showing the strength and dedication of our teams. To reach the FY25 goals, we are accelerating our strategic initiatives and prioritizing international growth. Over the next 2 years, we aim to have international segment contribute to 12% to 15% of net revenue, up from its current single-digit share. For FY25, we are anticipating revenue growth of 25% to 30%, EBITDA growth of 10% to 20%, and a PAT growth of 20% to 35% year over year. Based on our performance so far, I'm confident we can meet these targets.

Our priorities remain focused on delivering profitable growth, leveraging strategic investments like rediff.com and our AI initiatives and optimizing operations to capture the emerging Infibeam Avenues Limited
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opportunities in digital payments and fintech sector. We believe our strategic roadmap aligns with the market needs and strengthens our ability to create sustained value for our shareholders.

Thank you and now I'll hand over the call to Vishwas. Vishwas, over to you.

Vishwas Patel: Thanks, Vishal. And good afternoon to everyone on the call. We are actively shaping Infibeam Avenues for future growth. And our 2nd Quarter exemplifies a commitment to resilience, innovation, and market leadership. The Indian digital payment sector continues to be a powerhouse, expanding at an impressive rate. In 2024, the industry is projected to go to 45% to 50%. And more than 50% of the world's real-time transactions will happen in India. It will accelerate India's shift towards a cashless economy. This favorable macroenvironmental reinforces a strategic position as Infibeam Avenues is poised to capitalize on these opportunities with digital pay.

One of the quarter's highlights was receiving a approval for the RBI payment aggregator license. This license not only underscores a regulatory compliance, but also positions us rapidly to scale merchant onboarding. Simultaneously, our international expression through our GIFT City subsidiary enables us to offer cross-border payments, opening new revenue channels in the high global markets. In Q2, we onboarded 0.2 million new merchants, a testament to our commitment to simplify commerce. With an average of nearly 2,150 new merchants joining as daily, our network is expanding across diverse industries and geographies. Additionally, our net payment stake rate is also increasing to 11.3 basis points, signifying enhancing our profitability this quarter. This quarter, we also announced several strategic collaborations. The CCAvenue SoundBox Max, we were delighted to launch the first of its kind, an all-in-one SoundBox, which accepts not only UPI, but a credit card, debit card, and it enhances payment experiences with the support for dynamic and static UPI QR codes, NFC Tap, EMV dip and PIN. This will be our first physical for deployment in the offline space. LazyPay, we partnered with LazyPay to bring a buy now pay later solutions to the CCAvenue's payment gateway. This collaboration will empower thousands of merchants to offer flexible payment options, enhancing the checkout experience and boosting growth for all Indian businesses. Loyalty Rewardz, our partnership with Loyalty Rewardz will enable merchants to offer customer reward points as a payment option. Chalo: We introduced a new feature in the ChaloApp, which is the app which is used on all the BEST buses in Mumbai and 13 other cities. It allows Rupay NCMC recharges directly from the NFC-enabled phones.

TTOD solution, it is one of the world's first where we unveiled India's first PCI MPoC-Certified Tap to your Own Device Solution, now converting retail e-commerce app into secure POS terminals on NFC-enabled phones. Our partnership with Citibank India. We'll introduce eNach payment options for recurring payments through Citibank India to enable merchants for seamless, direct debit for subscription payments. Karnataka Bank, o

ur alliance with Karnataka Bank will provide their merchants with
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a white label solution of CCAvenue payment gateway with over 200 plus options and host of features. This Karnataka Bank retail branches will be able to offer payment solutions to local retailers, schools, utilities within their region.

Shopse Digital Finance. We are excited to partner with Shopse. They also offer a buy now pay later payment option from merchant network and that by expanding affordability suite. Apart from this, our BillAvenue, the bill payment platform also saw a record 1.55 crore transactions in 90 days, valued at almost Rs. 5,724 crores. This momentum reflects BillAvenue's relevance in the fast-evolving digital bill payment sector.

Through our ResRevenue, our hospitality-focused solution, which is used by over 3,000 hoteliers, we facilitated over 5,00,000 room nights for our hotel clients in this 90-day period, generating a transaction value exceeding Rs. 315 crores this quarter for our hoteliers. We are advancing product innovation by developing AI-driven revenue management tools to help hotels maximize revenue and streamline operations. This initiative is part of a broader commitment to equip hoteliers with cutting-edge technology.

Now for international:

CCAvenue entered the international, I'm glad to announce that we have done a capital raise in a UAE payment subsidiary. We have successfully raised capital from family offices and investors in UAE. We have achieved a post-money valuation of US \$100 million for our UAE payment subsidiary and raised \$20 million for expediting growth in that market. We are currently now processing AED 1.5 billion per month across more than 7,000 plus merchants in the United Emirates. We are now also establishing presence in the fast-growing Saudi Arabia market, the largest and the fastest-growing market in the Middle East. We have already invested in the presence there, along with hosting an entire tech stack there as per regulatory requirements in the kingdom.

We have been certified by the Saudi Arabian Monetary Authority as EMSP-PTSP provider and we have tied up with one of the Kingdom's biggest banks, SAB Bank, to be our acquiring bank.

We have started onboarding major merchants like VFS, Visa Solutions and Nissan Motors and we plan aggressively to scale our operations in the Kingdom. Our efforts are not just focused on current profitability, they are geared towards future-proofing Infibeam Avenues. By building on the solid foundations, we are well positioned to capture the tremendous potential of India's digital economy. A path to sustainable, profitable growth is clear, and a focus on disciplined financial management that has led us to predictable and sustainable growth in revenue, diversification of revenue streams, and continuing improvements to our bottomline.

Our platforms for years together have been offering a suite of cutting-edge financial tools and payment solutions for businesses across our country and beyond. But going forward, we're now going to expand up our platforms for consumers too across our country. We are on the verge of the most significant milestones in our journey. A transformative move in the digital payment

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space that we believe will not only redefine how transactions are made, but also set a benchmark for innovation in the industry. As Vishal has already said earlier, RediffPay, our latest venture into the world of digital payments for consumers. It is not just another addition to the digital payment landscape. It represents a bold step into the future of financial transactions and it is designed to meet the rapidly evolving consumer market. RediffPay will not be only offered to the existing loyal Rediff customer base of 70 million users, but will eventually be aimed to be the only financial tool for over

over a billion Indians. It will not only offer UPI and other tokenized card mechanisms as payment options for consumers to pay with, but it will also offer a plethora of financial products and services like real-time fixed deposit booking, mutual funds, insurance, share trading and for consumers to invest, but it will also give them access to capital for their own personal and business requirements. Fundamentally, it will redefine the way people interact with money. We are setting the stage for a more inclusive connected future where no one else, regardless of their location or technology and infrastructure is left behind.

With that, I will now hand it over to Sunil Bhagat, our Chief Financial Officer, to provide insights into the quarter's financial performance. Sunil Bhai, over to you.

Sunil Bhagat: Thank you, Vishwas sir. Good evening everyone. In the 2nd Quarter of FY25, we made substantial progress in financial performance, driven by disciplined execution and a focus on profitability. For quarter two, our gross revenue increased from Rs. 787 crore in Q2 FY24 to Rs. 1017 crore in Q2 FY25, marking a strong growth trajectory. Notably, our net revenue saw a year-over-year rise of 24%, climbing from Rs. 108 crore to Rs. 134 crore. Our net take-rate exceeded expectations, rising from 9.3 basis points in Q2 FY24 to 11.3 basis points in this quarter reflecting a 21% increase. This improvement contributed to higher net revenue, EBITDA and PAT. Our EBITDA also grew by 26%, reaching to Rs. 85 crore in quarter 2 FY25 from Rs. 68 crore in the quarter 2 FY24, with an EBITDA margin of 64% as a percentage of net revenue.

Our profit after tax also reached to Rs. 55 crore, reflecting a year-over-year increase of 43%, underscoring the effectiveness of our profitability initiatives.

As we move forward, we remain focused on achieving profitable growth and delivering value to our stakeholders. With that, I now invite the moderator to open the floor for the question and answer session. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from Deepesh Sancheti from Mania Finance. Please go ahead.

Deepesh Sancheti: Very excited to hear about your RediffPay. When should we expect the app and are we looking to become a fintech company?

Vishal Mehta: So we are a fintech company.

Deepesh Sancheti: Yes, I mean, similar to the Jio Finances and Paytms?

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Vishal Mehta: So RediffPay, if you look at, currently the application has been downloaded by a few million users, which is a Rediffmail app. And what we plan to do is upgrade the app to make it a super app, which will also house RediffPay. And so what we believe in is that communication, much like you do have communication layers like WhatsApp and PhonePay and others. Similarly, RediffPay is a communication framework and payments sitting on top of a communication framework is how we envision the app to look like. And to answer your other question, will it be a full-fledged app? Absolutely, we'll introduce more financial products along with the RediffPay framework, which will sit on top of a communication setup, which has already been downloaded by millions of users.

Deepesh Sancheti: And about your Phronetic AI, it secured a 1 million USD order and annual contracts with hospitals and a UAE gas station. Could you provide clarity on the timeline of revenue recognition from these contracts?

Vishal Mehta: It'll be this year itself. So we've already started monetizing. And so annually, we'll be upwards of million dollars in terms of run rate. We've actually expanded the relationship beyond gas stations to wing bridges and many others. So, Phronetic is being implemented in multiple areas. You see, we started out with visual AI, so it is object identification. We migrated the models to actually understand scenarios, which mean

s that not just identifying the object, but in relation to that object, what are other objects looking like and what are they interacting with? And then activities within the scenario is the third layer of the model. So we've been able to go across the two or three different versions of our framework, which have been deployed. And when I talk to you about HCI and many other agentic behavior, it just means that the model should be able to imitate the agent then. And so I think that's the path that we are going forward with.

Deepesh Sancheti: So what potential do you see in scaling similar AI solutions in sectors like healthcare and energy?

Vishal Mehta: Very large. You see, when we started out, we thought that the vision that we had was Uberization of payments. You go into an Uber, you walk out, there's no scanning of card, there's no QR code, there's nothing that you need to do. It just deducts the money from the wallet. And so I think in the world of AI, we think that Uberization of payments across multiple areas will be the future.

And for that, video intelligence, understanding visual AI will become key. And when we started out, we thought, we'll get into that payments that we setup, which is gas stations and others. But we find that the applications are diverse. And as long as the models can be trained for each of these applications, it becomes a very valuable setup. So healthcare, for example, in some ways, critical intensive care units, where it's very hard to monitor clinical patients because there is only one person across the entire facility. Visually an AI video intelligence can play a very large role. To summarize, it's not just face recognition, it's more of actually understanding the whole activity within that because face recognition may be just an object identification in some ways. So we think that there'll be many applications. We've focused on certain areas more than others at the moment.

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Deepesh Sancheti: Okay, now we mentioned that there is a projected revenue growth target for FY25 and about 25% to 30%. What proportion of the capital will be allocated towards AI and international expansions versus your core digital payments and platform development? And what is the return on investment we are targeting for the strategic investments?

Vishal Mehta: For international, we have raised about Rs. 165 – Rs. 167 crores recently to expand our international business. We think international will become 10% to 15% of our revenues in coming quarters. We currently process about one and a half billion dirhams a month in UAE across 7,000 plus clients. We have also started expanding in Saudi, we have received a PSP license in Saudi, and we're expanding into other geographies as well, Oman being one of them. So we think that international is a good opportunity and we'll continue investing in that setup and we've raised capital there.

As far as our core business over here is concerned, we think that AI is just not just going to be the software piece of it, but the Edge compute, which is the data center piece that we talked about, where you can containerize data centers closer to the clients and go distribute it in that data center. Connecting into a gigawatt data center eventually will be the strategy and the approach that we'd like to follow. In that, I mean, if you, of course, depends upon a containerized one megawatt data center, typically, in some ways, will the CAPEX of a particular one megawatt containerized center will be anywhere between Rs. 10 and Rs. 20 crores. But this will essentially allow us to get into specifics for a particular client and provide Edge compute to our clients. And that's the approach that we will go after. We typically follow the client. So in general, you'll start seeing ROI much quicker and not have that heavy CAPEX going in in one go and not being able to see monetization through. So

I think our investment in India will be primarily in people. So we'll invest in people and in data centers.

Deepesh Sancheti: Great. Coming to this quarter, we noticed that there was an amazing increase in your revenues, but there was also an increase in your other expenses compared to the last quarter. Could you give a breakdown of the key factors which is driving this rise, and are these expenses recurring or one time?

Vishal Mehta: So, we will decide. So, if you can see the other expenses, it is close to 1.5% to 2% of the total revenue. So, the revenue is increased. So, correspondingly the other expenses also increased. Yes, we have some expenses in terms of one time expenses which we have booked in this quarter pertaining to the composite scheme and other things. Other than that, there is a regular expenses that will be incurred. So, there is a one time impact on this time.

Deepesh Sancheti: Sir, can you quantify how much was the onetime expenses?

Vishal Mehta: It is close to 1.5% most probably.

Deepesh Sancheti: So then why this revenue does not come with a great margin? Because I can see the net, I mean the profit before tax and the net profit also not in line with the revenue increase.

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Vishal Mehta: Yes, but if you see the last quarter, there was a one-time impact of other income, which was not this time. So that is the impact, there is a decrease in the profit before tax.

Deepesh Sancheti: And given the excellent H1 numbers, do you plan to revisit your guidance for FY25? And what are the primary drivers that would influence this future revenue growth?

Vishal Mehta: We'll continue with our guidance. This of course is an important quarter which is the holiday quarter. We've been tracking well, we think that we are confident in achieving our guidance.

And if there are any changes to that, we'll of course communicate the right time.

Deepesh Sancheti: Okay, and any other acquisitions you're looking at?

Vishal Mehta: Nothing as of now, we evaluate opportunities from time to time. And as we evaluate, we would of course communicate to the shareholders when it materializes and should it actually go forward. Historically, we've been slightly conservative. Our internal bias is always to build and not to buy. But when you feel that the right opportunity presents itself with the right kind of people and a great brand and possibility to build out synergies, Yes, that's when we forward invest and we are able to take it forward.

Deepesh Sancheti: Also, like given that we have already de-merged one of our companies, should investors expect another de-merger coming with a Phronetic AI or you want to build it and then maybe scale it up and after that de-merge? Are we looking at that?

Vishal Mehta: Phronetic is like I said, it's a platform that we're building out which will actually help all of our businesses. And there's a lot of synergies between what Phronetic is building out on video intelligence and payments. And we think that we want to build it up. As far as the model and the framework is concerned, we'll continue building it out. As far as getting into edge compute and slightly more in some ways command centers which are closer to the clients. Because many a times clients would prefer that they would want to have their own infra and their own edge. And that business will also keep on building out, but we'll evaluate as we go along.

Moderator: Thank you. The next question comes from Grishma Shah from Envision Capital. Please go ahead.

Grishma Shah: I'm keen to understand the business model around the tie up with LazyPay?

Vishwas Patel: Just to clarify, this is regarding the IFSC subsidiary company you asked?

Grishma Shah: Yes sir.

Vishwas Patel: Okay, so the IFSC within the GI FT City zone, since we already have significant presence there, on legal terms it's a separate country on its own, right? So a lot

of Indian businesses and insurance

companies and everything who are aiming for the international audience, namely NRIs, have put

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set up base there, but as a RBI license payment aggregator, we cannot acquire the merchants based out of the IFSC zone, right? So one part of the business was there was an immediate base that we already have with our presence. So we may be among the first to get a payment aggregator license in IFSC to support all those processing transactions for all the merchant base that are there for all the banks, financial institutions, and lots of other service providers that is there. Second part is also there's a cross border thing that we can do very easily from GIFT City. So there are certain models which I cannot dwell in right now, but it is enable to tie up with international gateways and get good local rates out there and offer it to merchants here. So the GIFT City, the IFSC subsidiary, where it enables us to do 1001 this kind of businesses. That's why we have incorporated this company and applied for the license at IFSC.

Grishma Shah: No, but I want to understand the BNPL tie-up, sir?

Vishwas Patel: BNPL tie-up with the different service providers. So as I said, in the CCAvenue payment gateway, our mindset is that of us to give the maximum number of payment options so that our merchants can offer it to their consumers to consume transactions. So when we have credit cards, when we have debit cards, and we have all these dozens plus wallets, and when we have more than 100 net banking options that we can trade through their bank account, then we have standing in sections and other things. So BNPL, also there are a couple of providers who are quite active in the market. So say, if MakeMyTrip is our merchant and he wants to offer say if there is a LazyPay merchant customer who has this thing and wants to pay for a MakeMyTrip ticket. If you enable LazyPay as a payment option for MakeMyTrip on CCAvenue, that means there is more conversion, more transactions. So it gives us those BNPL customers onto this. So for us, as many options that we can offer so that our merchants can further offer to their customers to close their sales, it's better. Hence the BNPL tie-ups with all providers.

Grishma Shah: We will earn a transaction revenue?

Vishwas Patel: Yes. So on every transaction that flows through the system, we earn revenue out of it. A percentage based revenue comes across to the company. So that's the whole idea to increase the payment option base.

Grishma Shah: And is the government still using our Agri platform or now they have transitioned to the new platform?

Vishwas Patel: There is no Agri platform. As a payment gateway, we are enabled on lots of government websites. We never built a dedicated Agri platform for the government. We do add the GeM platform, but not Agri platform.

Vishal Mehta: Yes, GeM platform is still being utilized by the government. But like we'd mentioned earlier, we don't report revenues from that because we are in discussions and in some arbitration with them.

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Grishma Shah: Okay, so still no conclusion on that?

Vishal Mehta: Not so far.

Moderator: Thank you. The next question comes from Veer Vadera from Niveshaay. Please go ahead.

Veer Vadera: Could you elaborate on specific initiatives aimed at attracting larger high-value merchants? And how has our pricing strategy evolved to cater to these clients, particularly in light of our increasing stock rate in markets like India and Dubai?

Vishal Mehta: See, look, I think Vishwas will add to what I have to say, but we have gone after a lot of merchant base. We add about 2,000 odd merchants every day on the platform. So the take rates usually come from larger base of merchants and not from selected few. If you look at the top 3 or 5 sites in India, you may see

CCAvenue on a few payment options, one or two, but not all. So we normally go after merchants where we have better take rates. So take rates is a function of going wider across merchants, one. And second is that the base has to be larger. And then we also have a few merchants that provide us volume, which potentially allows us to get better rates. And so I think it's a combination of that. And as far as our take rates are concerned, we have optimized the take rates quite a bit. While majority of the other providers, they think of payment gateway take rates as actually just a means to get more volume and sell other services. We have said it's not either or, it's the end. We have to make money in payment gateway framework as well as in other services that we provide on top of it. As far as international clients are concerned, Yes, there will be certain clients specifically that we want to go after. That is where we find that so for example, like a very large geography like UAE, we have 7,000 odd merchants. Now in India, we had 2,000 merchants every day, but all of UAE, we have 7,000 merchants. So the geography is not very large from that perspective, but we also feel that going into offline payments, along with online payments, which is tap pay devices, the other SoundBox that Vishwas talked about, that should be a strategy which will adapt both in India and internationally. And that is something that is not accounting for our revenues, but the moment we get into boss devices, the cost of devices have come down significantly. And as the cost of devices comes down, if we had purchased and implemented the

device a year ago, it would have been, it's Moore's law. It keeps on, you get more processing power, you have reduced cost of hardware. So now I think we have reached a point where we believe the cost of hardware is not going to have a major impact because it's come down significantly. If you recollect, earlier it was in five digit numbers, now it's actually low four digits, or in some cases even three digits. So I think that's where we find that there's an opportunity that we'll tap into, which also helps us in increasing our volumes and improving take rates.

Veer Vadera: Okay, and given Rediff's diverse services such as cloud-based email and content distribution, what operational or technical challenges have arisen during integration? And are there additional investment required to optimize Rediff platform for Infibeam business model?

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Vishal Mehta: The second question is simple to answer. Yes, of course there is additional investment and we have invested in the company and the company will invest in infrastructure people and certain specific areas that potentially allow the brand to get recognized. So that position, because it's a consumer facing model, like Vishwas said, this is the first time we are getting into consumer payments framework and that makes it more interesting. So I think while our business, RediffOne, which is the business suite, will focus on B2B and Infibeam will focus on B2B, but the RediffPay version of it, which is the financial products and other services in RediffPay, they will be on the consumer side as well. So we're getting into that space. And so that's one. Second is that integration challenges, we don't typically talk about integration challenges. Like any other acquisition, you would of course have challenges that you would want to overcome as we build up. But like I said, I think that we'll continue evaluating what areas of technology, what areas of business do we need to optimize and we'll forward invest and keep on building up on that.

Veer Vadera: And as our international business, especially in region like UAE and Saudi Arabia continues to expand, could you share insights into the profitability of these markets? Also, are there particular regions or product lines that are delivering

stronger performance and contributing more significantly to revenue growth?

Vishal Mehta: Look, the take rates in international are much better than take rates in India. If you recollect last year, we were in single digit bps. Now we're in two digit bps. Whereas take rates internationally is as high as 18 to 20 basis points. So I think there's better take rates in internationally compared to India. But international does not have UPI and real time settlements as much as in some ways in India it does. And so what we need to do is we need to increase the number of merchants in the international business. And that will come through, like I said, offline acquisition, QR code based acquisition, online build out, and getting our brand across and then offering more products and services to the same merchant base. So I would not be surprised when we talk about Rediff Fund, which actually has things like ERP, HRMS, and CRM frameworks along with enterprise emails, we can also offer that to the merchant base who are using payments. We see a lot of cross-selling opportunities, but we can't forward communicate what we plan to do because we still have to see the adoption of it and the rollout of it. And as and when it becomes possible, and when we feel that the product maturity has reached that level, we'll update you on the same.

Moderator: Thank you. The next question comes from Pranav Mashruwala from Dolat Capital. Please go ahead.

Pranav Mashruwala: One on the net take rates. So your take rate has improved to 11.3 bps, but our credit card mix and contribution from other sources, debit card and net banking has fallen. So what leads to improvement in take rates?

Vishal Mehta : So you're talking about the slide which is slide 12?

Pranav Mashruwala: Yes.
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Vishal Mehta: Where credit card is 44% in Q2 of FY25?

Pranav Mashruwala: Right.

Vishal Mehta: And Q1 was 46%. And so the question is again, so the total, of course volume has increased in terms of the total transaction processing volumes. And so across different payment options, we've got different take rates. And then we also are able to settle faster with the merchant in many cases, which helps us in terms of the overall margins. So if you look at quarter over quarter, it's likely improved. It's 11.2 basis points to 11.3 basis points.

Pranav Mashruwala: And sir, on our platform businesses, what's the contribution from Rediff this quarter?

Vishal Mehta: There is no contribution from Rediff in Q2. Rediff will start consolidating from 1st of October, Q3.

Pranav Mashruwala: From 1st of October. So, maybe just a rough breakup of what constitutes our current platform revenue as Phronetic AI executes contributions?

Vishal Mehta: Yes, so it's basically our frameworks which we give to large companies. We've of course talked about Jio being one of our clients, Saudi Telecom being another one of our clients. We've got 5 or 7 important clients that potentially give us that revenue. Phronetic AI is now adding up to that revenue, but again, it's in the buildup phase. So we've signed contracts and fortunately, Phronetic will contribute to over a million dollars this year. So we believe that we will start seeing a larger impact from Phronetic and other frameworks next year, not this year.

Pranav Mashruwala: Okay, and just asking the data center business, any timeline as to when that revenue will start going in and that business starts be cash flow positive?

Vishal Mehta: Yes, I think data centers tied quite a bit with what we're deploying for Phronetic. And so we think it should be as soon as next year in 26. So we'll start building it up. We already have a data center today, which is active which is in GIFT City, but we'll start opening up in other cities. So you can start seeing the revenues from data center in FY26.

Moderator: Thank you. The next question comes from Nishant Gupta

a from Minerva Global Capital. Please go ahead.

Nishant Gupta: My question is just an extension of the data of Interpoint which you were talking about. So what could be the quantum of CAPEX that you would require to set up the small data center and what is expected in the sales, etc. which you can generate from that?

Vishal Mehta: Basically, these are containerized data centers, which means that we are not talking about gigawatts. We are talking about megawatts. So rather than opening up, there's always economies of scale. And most companies and larger companies, they'll invest in gigawatts. But we believe

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that in order to cover the length and breadth and be able to provide edge compute, we would need to set up smaller data centers. So the CAPEX will be, like I said, about Rs. 10 or Rs. 20 crores per location. And this includes all physical container, power equipment, cooling solutions, fire systems, and all the basic networking. And we think that we already have use cases. So we ourselves will be client to that data center for our infra, and then we'll open it up to others as well to utilize it. So we believe that it should be, while there is CAPEX involved, but it should be accretive. You're looking at an ROI within 12 to 18 months.

Moderator: Thank you. The next question comes from Anil Katyal, an individual investor. Please go ahead.

Anil Katyal: Good evening, thanks for the guidance and posting good results. I just wanted to know when this Autigma is going to list?

Vishal Mehta: So as far as the process is concerned, I think that we've given an update on slide #4. So in other words, we believe that NCLT has approved the composite scheme of arrangement. Shares have been allocated to the respective shareholders and the company has filed an application with the exchanges for the approval of listing and trading. And the same is under consideration, so we expect to hear any time from them.

Moderator: Thank you. The next question comes from Pramod, an individual investor. Please go ahead.

Pramod: So my question on the share performance of the company. Many developments like new business expansion is happening with the company, and revenue is increasing every year. But share price performance is stagnant since many quarters, with consistent selling coming from insiders. So can you please explain why Infibeam is not attracting institutional investors like D2s as their contribution in the shareholding is very negligible. How do you think investors' confidence can be improved going forward?

Vishal Mehta: See, our internal thesis is always to focus on the business, and that's what we've been doing for the past several quarters and years, if you come to think of it. We believe that we will deserve the investors through execution and not optics. And so as long as we keep on focusing on execution at the right times things should show up. That's one. Second is as we expand and as we build out the company, we believe that we need to work with what you mentioned, institutions to be able to allow them to understand the company better. I think fortunately with more companies getting listed in the digital payment space with Paytm also getting listed recently. While people and shareholders are still understanding what payment ecosystem holds and what it means, we actually work in the same ecosystem. And what we need to do is, we need to actually communicate the differentiation of what we are compared to what others are providing. So rather than getting into a cash burn cycle, we've always looked at profitable growth. And we believe that that should continue driving and guiding us as we build it out going forward. But to answer your question, we believe that as we keep on executing and if we continue doing what we are doing and giving guidance and meeting expectations, hopefully that builds our trust and that'll attract the right

investors into us. I will just add to that, the communication

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line with the investors, with the analysts and all have been increasing have been done well and therefore I believe that it will be only a matter of time by which the communication and the company's growth potential everything is recognized by the market and it's all up to the rest of the investors as well as the people who are there in this space investing in space for them to really recognize the potential of the company and I'm sure that should happen sooner than later.

Moderator: Thank you. The next question comes from Basant Bansal, an individual investor. Please go ahead.

Basant Bansal: I just have one observation that operating expenses in this quarter has increased by 3% to 4% year-on-year and quarter-on-quarter. So can you elaborate on this?

Sunil Bhagat: So operating expenses incurred as compared to the increase in the revenue from operations. So it is linked with the revenue from operations. If you can see the net revenue, the net revenue is increased.

Basant Bansal: No, my point is that if I see operating expenses as a percentage to your revenue, in this quarter, it is around 90%. Whereas in the previous quarter and last year same quarter it was around 86% to 87%, so there is an increase of around 3% to 4%.

Sunil Bhagat: Yes, so the increases might be on account of the increase in the options that the payment...

Vishal Mehta: There's some impact of payment mix and then there's also some impact in terms of the people that are required, operating expenses have gone up. We have forward invested in certain areas.

And so for example, Phronetic being just one of them, where we've invested in artificial intelligence and certain other options. So if you think of it in terms of the overall, it's essentially the card mix as well as forward investing in certain areas.

Sunil Bhagat: I see that maybe we can do the detailing offline.

Basant Bansal: Will it be investing going forward or it was just a one-off kind of thing?

Vishal Mehta: No, we'll keep on investing. It won't be one-off. Wherever we find that the opportunity is right, we'll forward invest for growth. And just so that all these investments and expenses, they are front-loaded, which means that you'll have to make those investments upfront and then you start reaping the rewards. And in places where we find that we can match and take a reduced risk, we'll do that. But in most cases, when we build out frameworks like AI and Visual AI and many others, you will have to front load the cost. And those costs will actually be necessary for our future growth. So we'll continue investing and making those choices. So to answer your question, it won't be one off. We'll continue investing every quarter in these futuristic tech frameworks.

Basant Bansal: And if benefits of those expenses are going to improve over the period of say 4 to 5 years, then can we amortize it over that period instead of charging at one time?

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Vishal Mehta: We normally charge to revenue. That's been our internal philosophy. So we'll charge to revenue and so like I said, we'll expense them out.

Basant Bansal: No, that is true. I know that it is your philosophy, but you can also explore to amortize it over the period of certain period to which the benefit will accrue.

Vishal Mehta: Yes, so we'll follow the accounting standards and we'll do the right thing as per the audit standards.

Sunil Bhagat: We can examine if that is possible, but we'll go ahead on a conservative basis as of now.

Moderator: Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to the management for closing comments.

Vishal Mehta: Thank you all for joining our 2nd Quarter half-year earnings call and we look forward to keeping you updated on the new

and exciting developments in the company. Thank you.

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

INFIBEAM AVENUES LIMITED

Regd. Office: 28th Floor, GIFT Two Building, Block No. 56, Road-5C, Zone-5, GIFT CITY, Gandhinagar,
Taluka & District - Gandhinagar – 382 355, CIN: L64203GJ2010PLC061366
Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@ia.ooo | Website: www.ia.ooo

February 06, 2025

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai - 400 001 Company Code No.: 539807 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex, Bandra (East), Mumbai - 400 051 Company Symbol: INFIBEAM

Dear Sir / Madam,

Sub: Transcript of Earnings Conference Call for the quarter and nine months ended on
December 31, 2024

In compliance with SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor/ Analyst conference call on financial performance of the Company for the quarter and nine months ended on December 31, 2024 conducted on Tuesday, November 04, 2025, after the meeting of Board of Directors, for your information and records.

This transcript is also available on the website of the Company i.e. www.ia.ooo.

Kindly take the same on your records. Thanking you, Yours faithfully, For Infibeam Avenues Limited
Shyamal Trivedi
Sr. Vice President & Company Secretary

Encl .: As above

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"Infibeam Avenues Limited
Q3 FY '25 Earnings Conference Call"
February 04, 2025

MANAGEMENT : M R. VISHAL MEHTA – CHAIRMAN AND MANAGING
DIRECTOR – INFIBEAM AVENUES LIMITED
M R. VISHWAS PATEL – JOINT MANAGING DIRECTOR –
INFIBEAM AVENUES LIMITED
M R. SUNIL BHAGAT – CHIEF FINANCIAL OFFICER –
INFIBEAM AVENUES LIMITED
M R. B. RAVI – INDEPENDENT CONSULTANT

MODERATOR : M R. RAJAT GUPTA – GO INDIA ADVISORS

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Moderator: Ladies and gentlemen, good day, and welcome to Infibeam Avenues Limited Q3 FY '25 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after

the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Rajat Gupta from Go India Advisors. Thank you, and over to you.

Rajat Gupta: Yes. Thank you, Steve. Good evening, everyone, and welcome to Infibeam Avenues Limited earnings call to discuss the Q3 FY '25 results. We have on the call with us today, Mr. Vishal Mehta, Chairman and Managing Director; Mr. Vishwas Patel, Joint Managing Director; and Mr. Sunil Bhagat, Chief Financial Officer.

Also joining us on the call today is Mr. B. Ravi, who's advising Infibeam on corporate and financial strategy as an Independent Consultant. We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risk that the company faces.

I now request Mr. Vishal Mehta to take us through the company's business outlook and financial highlights, subsequent to which, we'll open the floor for Q&A. Thank you, and over to you, sir.

Vishal Mehta: Thank you, Rajat. Good afternoon, everyone, and welcome to Infibeam Avenues Limited Q3 FY '25 Earnings Call. It is really a pleasure to connect with all of you and share our financial performance, key achievements and outlook for the future. I'm pleased to report that the third quarter of FY '25 has been a very strong quarter, reflecting our ability to capitalize on industry trends, deepen our market presence and drive sustainable growth. Our strategic focus on digital payments, AI-driven solutions and expansion into new markets continues to yield significant results for us.

We are in an operating environment where digital transactions, AI and fintech disruptions are redefining the way businesses and consumers interact. At Infibeam, leaders just don't adapt to these changes, we anticipate them, innovate ahead of the curve and drive towards achieving the results.

Let's begin with the key numbers for the quarter. I'm delighted to share that we have delivered an outstanding performance in third quarter of FY '25, achieving an 18% year-over-year growth in gross revenue. This reflects a very strong transaction volume and an increased adoption of our payment solutions. We received -- we achieved a 28% year-over-year increase in net revenues, and a 15% year-over-year rise in EBITDA and a 22% growth in PAT. This kind of reinforces our commitment to profitability and sustainable expansion as we demonstrate operational efficiencies and improve margins.

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This quarter marked a significant milestone in our strategic evolution as we moved beyond the B2B payments and deepened our presence in the consumer payments and financial services space. Our acquisition of a controlling stake in Rediff has provided us with a powerful platform to accelerate this transition. With over 65 million monthly visitors, Rediff has given us direct access to a vast consumer base, opening new opportunities to cross-sell and scale financial products.

Leveraging this, we have applied to NPCI for a TPAP license under the RediffPay brand. And upon approval, we'll be able to offer UPI services to millions of users, bringing us into the heart of India's booming digital payment ecosystem. Rediff is a pivot for us to get into consumer payments. If we layer financial services on top of RediffPay, users may naturally want to adapt. Our vision is to provide seamless access to

credit, wealth management, insurance and investment solutions, all under a single digital ecosystem for consumers.

Additionally, our Bharat Bill Payment operating unit license allows us to integrate bill payments with RediffPay, ensuring a steady revenue stream from every bill paid or mobile recharge made through the platform. With Rediff, the cost of acquiring customers can be significantly lowered as we can now monetize through multiple financial services from bill payments to insurance and cross-selling.

Beyond payments, we are also building RediffOne, an enterprise software suite designed for businesses and merchants. This all-in-one platform will be able to offer web-based ERP, CRM and HRM solutions, integrating seamlessly with CCAvenue merchants to drive operational efficiencies and digital transformation.

With over 10 million clients already using our digital payments in enterprise software platforms, our strategic expansion into consumer finance, UPI payments and enterprise solution is a natural progression. RediffPay and Rediff One are key pillars of this journey and setting the stage for a scalable, high-growth future. Further, we anticipate Rediff contributing to 2% to 4% of our revenue with the potential to grow to 10% in coming years.

Building on our success, I'm excited to outline the future road map for Phronetic AI or Nueromind, which is a legal entity that we have set up, where our focus will remain on pioneering innovation and developing

cutting-edge technology. We see AI as a game changer in transforming businesses and enhancing user experience. Our dedicated AI business under a new subsidiary will advance multiple AI-driven innovation that will contribute to 5% to 10% of our net revenue within the coming 2 to 3 years.

Just to give you an update on some of our key AI developments. We have launched AI Facility Manager solution, which is designed for sectors like health care and retail gas distributions. These AI models optimize real-time monitoring, predictive maintenance and operational efficiencies. We build agent AI capabilities where we are building AI-powered digital assistance capable of handling software tools, automating tasks and improving enterprise productivity. New human computer interfaces, which is upcoming trend in video integrated AI that will redefine digital interactions and it will more emerge the real-time engagement across customer

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service and many of the applications in fintech. And the same AI application will also be used in sports, where we are leveraging AI for sports analytics, AI-driven coaching and umpiring solutions, unlocking new possibilities in performance tracking and enhancement.

To support this AI expansion in broader digital transformation, we are also making a significant commitment to investing in data center infrastructure. As India's digital transformation accelerates, data storage and processing are becoming critical enablers of AI, cloud services and fintech innovations. Under our Infibeam Quantum Edge brand, we are establishing a network of localized small-scale data centers, starting with our first operational 2-megawatt data center facility.

And in the medium term, we'll plan to scale it to 10 megawatts with a long-term vision of reaching higher numbers. Unlike the large multi-gigawatt data centers pursued by global tech giants, our approach is to deploy multiple 1 to 2-megawatt data facilities, data center facilities across India, ensuring proximity to end users in compliance with India's data localization mandates. This decentralized model is essential for mobile edge compute and AI processing, driving improvements in real-time data analytics and user experiences. It's also an enabler to boost fintech and e-commerce applications by reducing latency in digital payments and online transactions.

Furthermore, it supports regulatory compliance

with Digital Personal Data Protection Act, which requires localized data storage. By establishing smaller data centers, we can meet the growing demand in Tier 2, Tier 3 cities where digital adoption is rapidly increasing. This initiative also strengthens India's transition towards a cashless economy while providing localized infrastructure to support the next phase of digital growth.

With India projected to become Asia's third largest cloud market, reaching \$24.2 billion by 2028, this expansion positions us at the forefront of high-growth sector. Our investment strategy with a capex of INR20 crores to INR50 crores per megawatt, ensures cost efficiency, operational flexibility and scalable growth, enabling us to adapt to the evolving market demands.

With the convergence of FinTech, AI and cloud, we are building a foundation for a secure, high-performance digital ecosystem. This enables innovation while ensuring regulatory compliance and seamless scalability. Our approach is centered around fostering long-term value for capitalizing on the growth and emerging trends and technologies.

With strategic investments in areas like Rediff and AI, we are going to enhance our operational efficiency and expand our footprint in digital payments in fintech. This proactive strategy allows us to stay ahead of the market dynamics, ensure we drive innovation and deliver meaningful returns to our shareholders. Thank you. And now I'll hand over the call to Vishwas. Vishwas, all yours.

Vishwas Patel: Thanks, Vishal, and good afternoon to everyone on the call. In the third quarter, we have demonstrated unwavering resilience, innovation and market leadership. Despite upheavals in the competitive landscape, Infibeam Avenues through the strength of its business model continued

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to perform exceedingly well in its payment space. The Indian digital payment sector continues to experience robust growth with retail digital payments increasing approximately 100-fold over the last 12 years, from INR162 crore transactions in the financial year 2012-2013 to over INR16,416 crore transactions in '23-'24.

In 2025, the industry is projected to reach an overall transaction volume of over \$1.89 billion -- trillion with annual growth rate of over 16% from 2025 to 2029, resulting in a projected total amount of \$3.46 trillion by 2029. This favorable macro environment reinforces a strategic position as Infibeam Avenues is poised to capitalize on these opportunities with agility.

During this quarter, we reached significant milestones in our journey towards revolutionizing payment solutions. We are pleased to inform that Infibeam Avenues has received approval from key card networks for the state-of-the-art offline payment POS devices. This approval enables us to roll out the CCAvenue SoundBox Max, a tap-to-pay POS device designed with simplicity, speed, security across retailers and brands and with the ability to accept all kinds of payment options, including credit cards, debit cards and of course, UPI with soundbox. As the digital -- as the adoption of digital payments continues to rise, both online and offline, our payment solution addresses the growing demand for faster, more efficient transactions in retail environments. The sound -- CCAvenue SoundBox Max POS device offers contactless payments for quick and secure transactions even in areas with limited connectivity. It offers reliability for merchants with this intuitive interface speeds up the checkout processes, reduces waste times and improves overall customer experience. Our device is active with the robust security features that meet global standards to protect customer data and transaction details, as well as dynamic QR code generation for real-time payment processing. Additionally, it comes with the integrated soundbox and multilingual that provides instant audio confirmation for success.

ul transactions, offering real-time updates and enhancing operational efficiency. This approval is a significant step forward for us as we continue to redefine payment ecosystem by providing innovative, secure solutions, we are empowering retailers and brands with the tools to elevate customer experience and boost operational efficiency.

We have worked closely with thousands of merchants over the past few months to ensure smooth integration and training ensuring a seamless transition as we deploy our CCAvenue SoundBox Max devices across a wide network of retail stores and partner brands.

Another significant development this quarter is the successful integration of the CCAvenue Payment Gateway, the Bassein Catholic Co-Operative Bank. This partnership brings BCCB's Internet banking facility into the CCAvenue payment network, offering millions of merchants on our platform the opportunity to use this valuable payment option driving substantial business growth.

The integration of BCCB's net banking mode allows the Avast customer base to process every payment via debit card and net banking, while shopping on hundreds -- thousands of CCAvenue powered website. This addition further strengthens our position in the market as the largest direct

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debit engine as CCAvenue currently processes transactions of more than 60 leading banks across the India.

We are excited about the opportunities this collaboration presents as it will provide lacks of CCAvenue merchants with direct access to BCCB's rapidly growing customer base, offering them and even greater potential for growth and success.

On the operational front, during Q3, we onboarded approximately 1.8 lakh new merchants, expanding our network across industries and geographies. That is 2,000 merchants a day, fully KYC. This growth reflects our commitment to providing accessible and efficient payment solutions. Our net payment take rate increased to 11.1 basis points, enhancing our profitability this quarter.

Our BillAvenue platform for the -- under the Bharat Bill Payment Systems processed a record 7.7 crores transactions of a total valuing around INR1,400 crores during the 9-month period of FY '25, highlighting its relevance in the overall digital payment sector. Through ResAvenue, our hospitality-specific platform, we enabled our hotel clients to book over 5.78 lakh room nights in 90 days, driving a transaction value suppressing INR528 crores.

To further support the hospitality sector, we are offering advanced product solutions by developing AI-powered revenue management solutions. These tools are designed to help our hotels optimize their revenue stream and improve operational efficiency as well as the average room rate and occupancy. This initiative reflects our ongoing commitment to provide hoteliers with innovative technology-driven solutions to stay ahead in a competitive market.

Our focus extends beyond immediate profitability. We are committed to ensuring long-term success of Infibeam Avenues. By strengthening our core capabilities, we are strategically positioned to harness the vast opportunities with India's rapid growing digital economy. The path ahead is one of sustainable growth and innovation, and it's truly motivating to see our team's unwavering commitment to driving this vision forward.

Also, as part of our ongoing efforts to enhance customer experience and expand our global reach, we have introduced multiple new payment options in the UAE market. We have successfully enabled Tamara BNPL, that is Buy Now, Pay Later and signed an agreement with BNPL set to go live soon. These 2 are the biggest Buy Now, Pay Later in the GCC market.

Additionally, we also launched Google Pay offering a faster and more secure checkout

experience for our UAE merchants. These initiatives strengthened the payment ecosystem driving higher conversion rates and improving a cces

sibility for a broader customer base. This

quarter, we also made significant strides in the GCC markets and merchant acquisitions, onboarding several renowned names across key sectors.

The government and free zones of Sharjah Media City Free Zone and Meydan Free Zone; automotive and real estate in Gargash Motors and Vanchura Real Estate; education and lifestyle in Emirates Driving Institute, Sharjah Golf & Shooting Club; property developments, Union properties, in addition to our earlier property companies that we have like Emaar, DAMAC, Nakheel already on our platform.

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Furthermore, our KSA market expansion continues to grow momentum with payment processing now live in Saudi Arabia -- Kingdom of Saudi Arabia for VFS, Saudi Mission which has 14 new projects under it, the Nissan Automobile Company, the Infiniti Motor Company in Saudi Arabia. These strategic initiatives reinforce our market leadership and position us for sustained growth in the coming quarters.

With that, I'll now hand it over to you to Mr. Sunil Bhagat, our CFO, to provide insights into the quarter's financial performance. Sunil, over to you.

Sunil Bhagat: Thank you, Vishwas sir. Good evening, everyone. In the third quarter of FY '25, we achieved a significant progress in our financial performance, driven by a disciplined approach to execution and a sharp focus on the profitability. For quarter 3, our gross revenues saw an impressive growth increasing from INR907 crores in quarter 3 FY '24 to INR1,070 crores in quarter 3 FY '25. This is reflecting a strong upward trajectory.

Our net revenue also showed a notable year-over-year increase of 28%, rising from INR109 crores to INR140 crores. Our net take rate surpassed expectations, rising from 8.4 basis points in quarter 3 FY '24 to 11.1 basis points in quarter 3 FY '25, marking a 32% improvement. This positive trend in take rate has been a key driver behind the growth in our net revenue, EBITDA and PAT.

Our EBITDA saw a robust growth of 15%, reaching INR78 crores in quarter 3 FY '25, up from INR68 crores in the same period last year, with an EBITDA margin of 56% as a percentage of net revenue. Our PAT stood at INR54 crores, reflecting a year-over-year growth of 22%, further validating the effectiveness of our profitability-focused initiatives.

Looking ahead, we remain committed to maintainin g our focus on sustainable, profitable growth and creating long-term value for our stakeholders. With this, I would like to hand over the call to moderator to open the floor for question and answers. Thank you.

Moderator: The first question is from the line of Divya Kothari from Ventura Securities.

Divya Kothari: Sir, given the large audience you have due to Rediff, but it is not necessary the tech-savvy audience you have. But how will you convert that audience into your financial services customers?

Vishal Mehta: Yes. So if I understand the question, the question is about the audience and the relevance of the audience to make financial transactions. The good thing is that you have a lot of daily active, unique users coming to Rediff in millions, and if you look at Rediff after millions of downloads

as of today as well. So a lot of customers are using Rediffmail app. And I think there is a mechanism to build out the super app on the same app.

And so the approach would potentially be that we would be migrating customers to a super app that also hand out payments and other financial services. So that's as far as being able to make it seamless for the customer who is coming to Rediff on a daily basis to transact. And while I think we are awaiting certain licenses that are required for the same given that it becomes a financial

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services transaction, the good thing is that even for enterprise e-mails and regular e-mails, it's very important that safety s

ecurity comes first.

So this is highly secured application that enables people to actually communicate with each other. And so I think while maintaining that level of standard in safety, we will be adding many more layers to be able to enable the same consumer to do financial transactions. And so I think

the good thing about the whole activity is that we'll experiment a little bit. But the thing is that we have a user coming in every day.

And we don't need to actually burn the kind of capital that maybe you would have to get the

consumer back on to the application because it's a communication app. So whatever we have built out will be around the pillars of mails and being able to enable the same consumer to transact on multiple payment financial services -- payments and financial services, and that would be our goal.

Divya Kothari: So I had one more question. Sir, the growing demand for Buy Now, Pay Later solution in Saudi Arabia. Sir, are you assuring to like deeper integrate with established players? Or do you like plan on building something of your own?

Vishwas Patel: Vishwas here. So look, CCAvenue as a payment platform is neutral to any kind of payment options that are there in the market, right? So we integrate not only all the credit cards that are there or debit cards or the local payment options in GCC like Mada and other things. But any kind of Buy Now, Pay Later options which are very prevalent in those markets, we do integrate as a payment option.

So our whole model is to give all possible payment options to our merchants so that they can collect the money and we make money on every transaction that we process, be it through credit, debit or Buy Now, Pay Later. There's a percentage of the MDR that comes to us that we make our money on. So that is the whole idea is to be very neutral and integrate all kind of payment options that are there in the market.

Moderator: The next question is from the line of Grishma Shah from Envision Capital.

Grishma Shah: I have a couple of questions. I wanted to understand the implications of the government reducing the UPI incentives for the payments ecosystem, so if you could share your thoughts on the same?

Vishwas Patel: Are you alluding to the budget announcements of opening these financial centers that government is trying to promote or, I didn't get the context of the question.

Grishma Shah: Alluding to the UPI incentives, which is budgeted in the last -- this latest union budget, which has come down from INR2,000 crores to INR437 crores for this financial year, FY '26?

Vishwas Patel: Sure. Right now, from our perspective, as far as UPI, we are still offering a zero MDR and it's a very -- this thing. So we have not budgeted any income from UPI for the last 2 calendar years, right? And as far as the budgeting of the government is concerned, what the budget and the budget as -- and what they finally rolled out is a totally different figure.

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It's from my experience from last year when the budgeted was something close to around, I think, INR1,200 crores, but the final disbursement went well over INR2,500 crores, that was then in March of 2024 to the ecosystem players.

Grishma Shah: Okay. And what's the time line that you have in your mind while you are rolling out the TPAP?

We have applied for the TPAP license. So once you get it, how do you -- how quickly will you be able to roll this out?

Vishwas Patel: See, I think from an implementation perspective, we have to follow the regulatory standards to ensure that we get the approval. Sometimes the approval is quicker, sometimes it takes a few weeks. But we expect that we'll be able to roll out this quarter.

Grishma Shah: Okay. And what are your thoughts on the take rates given that the competition has in general increased in the digital payment industry? So your take rates have improved significantly. How do you see this going

ahead? And I believe it is only because of the merchant transactions. So if we could throw some light on the GMV mix as well?

Vishwas Patel: So transactions are -- yes, Vishal, take this.

Vishal Mehta: Yes. See basically, the way we see this is there are a lot of downward pressure because of competition, as you just mentioned, because it's a very competitive industry. And so there will be pressures on margins, downward pressures in margins. On the other hand, there are many initiatives that we have undertaken that actually help us in terms of expanding the margins as well. And that's how we've actually achieved from a single-digit take rate to a double-digit take rate.

So things like being able to work on express settlement, which enables us to get better yields which is rather than doing a T+2 settlement, we try to settle the same day. Second is we introduced SoundBox, which is offloading point-of-sale device, the MDS and the rates that you get in the offline point of sale is rates are much better because there is card which is present as opposed to online transactions where card is not present.

So while this is a very new initiative from us, but we've integrated our entire capabilities of tapping as well as the whole infrastructure as a firmware that enables us to actually drive such transactions. And this is an area that we have not entered before in the past. So we are actually already deploying tens of thousands of devices in the market in terms of being able to drive adoption in the offline business. Because as of now, most of the transactions that we do, almost all of the transactions are online transactions in India. So I think that is another one.

And the third thing is that we are adding a lot of merchant base, you see small merchants.

Because I think for the long -- the opportunities is the long tail. So if we actually pick up, if you

look at the top 10 processing transactions in the country, then you may see Amazon or Flipkart, they don't use CCAvenue, even many of the quick commerce players. So what we need to do is go after the long tail, which has been our underlying thesis. So while we will not ignore the large, medium and the large merchants, we think that going across and play in that field will potentially give us much better results.

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Grishma Shah: And I'm just shifting the markets from India to UAE. Curious to know how do the economics for this BNPL and introducing GPay work there? And -- I mean, I'm understanding that we have a payment gateway solution, but we don't have a consumer, and that's why you are supporting GPay. So if you could give help me understand this a little better?

Vishwas Patel: Okay. I'll take that, Vishal. So basically, historically, the UAE has always given us more than double the take rate that we enjoy here in India. We were first movers there, and we have significant market share in terms of all the big merchants to small merchants there, right? And market is limited to around, I would say, 1 crore people, max at -- in UAE, right? So providing solutions and platforms and building that stickiness is a model more so.

Doing consumer wallets and other things in a small market does not make economic sense for us, right, and other things. So our focus has always been payments and platforms. So we are continuously introducing platforms in front of payments so that there is more stickiness from the markets when they can go live very easily by utilizing our platforms with built-in payments. It enhances stickiness for us because any new competitor giving a Vanilla payment, they cannot enter.

And it gives us enhanced margins over the period because we charge for both the platforms and the payments towards the teams and everything. So that's why if you see in the UAE market, like all the 27 Hiltons and UAE are using it or maintenance collection of all properties of the

Damac, Nakheel, Emaar, all those bigger are there with us. And those are recurring and good margins. So that's the whole model for a retail consumer play there. For us, it does not make sense.

Moderator: The next question is from the line of Garvita from Seven Islands PMS.

Garvita: Sir, my question is you have recently launched a payment processing for VFS, Nissan and Infiniti in Saudi Arabia, right? So I wanted to ask what's the revenue potential of this partnerships? And do you have a pipeline for expanding to other enterprise clients as well?

Vishwas Patel: So thanks for your question. Saudi Arabia is a very key market for growth over the next half a quarter -- half a decade, for the next 6 years or 5 years or so because there are tremendous changes happening there right now. So with a population of more than 3.4 crores there, right, and one of the wealthiest market with good smartphone and Internet penetration, digital payments is waiting to happen. So hence, we've taken steps. We have taken the license, the PTSP license there from SAMA, which is a Saudi Arabian Monetary Authority, and we've launched there.

VFS and these are some of the few merchants that are there, the entire Saudi mission for VFS that includes the NEOM project and other projects. So payment processing for all those projects will go through the ccavenue.sa, that is a Saudi Arabian instance that we have locally deployed there with data localization within that jurisdiction because of the changing rules there. So we are looking aggressively investing in Saudi for the next this thing to capture a significant share of the digital payments market.

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So Saudi, yes, that's the focus. UAE, we have already done. We are also present in Oman where 3 of the top Omani banks like Bank Muscat, Bank Dhofar, Bank Sohar are already utilizing our systems as a TSP. And I think with that, India and GCC markets are pretty much covered by us.

And post that, once we have successfully finished off all these, then we will think of more expansions in Australia and U.S. that we already announced.

Garvita: Sir, could you give the number of the revenue share from this market?

Vishwas Patel: Right now, Saudi has just started. So it's not accounted in this current quarter. But going forward, it should significantly contribute.

Garvita: Any number guidance?

Vishwas Patel: Guidance, I can't say. Vishal?

Vishal Mehta: I think we've already communicated. We think that international in the next 2 years should account for 20% to 25% of the overall revenue. We are focused on international growth, and we see a lot of potential there.

Garvita: Okay. Got it. And sir, who are the other players in the pipeline or the other clients in the pipeline, if there are any?

Vishal Mehta: We don't specifically talk about clients. I think we do have a healthy pipeline. If you look at -- even in India, we've added more than 100,000 merchants in the last quarter. So I think if you look at that, it's more than what perhaps the whole market in Middle East would hold. Having said that, I think what we believe in is that as far as the clients are concerned, we think we should go after the longer tail and not just -- I mean, of course, we would love to have the very large clients who process a lot of volume.

But we typically realized that take rates are somewhat highly competitive and it's very hard to be able to negotiate that hard. So we think that we are going to go after the tail and we find out the right opportunities. There are certain payment options that we would like to work with as far as large merchants are concerned.

And those opportunities are opening up for us. We believe that we can -- we don't believe in replacing, but we may actually be more of an addition to the existing portfolio of a large merchant who is utilizing other payment options or payment gateways.

Garvita: Got it. On

e more question I have, sir. Beyond UPI, what are the most promising monetization levels for RediffPay? And are you targeting lending, embedded finance or wealth management as your primary revenue driver?

Vishal Mehta: The answer to the last question is, yes, we are targeting other revenue drivers as well. You see the main revenue driver for Rediff right now is mails and ads. So in other words, you have tens of millions of users coming in. It's one of the top 1,000 sites in the world in terms of traffic and top 100 site in India in terms of traffic. So I think from a traffic perspective, ads are obviously a Infibeam Avenues Limited

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monetization opportunity. And then e-mails because Rediff provides enterprise e-mails to large companies.

Much like you would use Google and Outlook and others, Rediff Enterprise e-mails are also a large revenue driver for the company. So -- and on the consumer side, Rediff offers free e-mail. And there are millions of daily active free e-mail users coming to Rediff e-mail app, which is where we talked about upgrading the app to enable the user to also make payments. So we think that from a revenue driver perspective, payments is going to be important. We will be able to offer other bill payment solutions and others also, the users of Rediff.

And then we would like to offer and cross-sell other financial services. We have a lot of information about the profiling of the customer. So in other words, based on so much more than a decade of data, we think that there's a lot of interesting opportunities to be able to offer users what they really want. So I think we'll have to go through a little bit of experimentation there, but pretty certain that we'll be able to offer the right kind of solutioning and offer the opportunities to cross-sell specific products.

So yes, we are getting into offering insurance lending and other things to consumers in Rediff.

Moderator: The next question is from the line of Ayan Shah from A. Shah & Co.

Ayan Shah: Congratulations on the very decent set of numbers. The first question is -- I have 2 questions. Like every fintech and enterprise SaaS player is integrating AI nowadays. Now what specific capabilities in Phronetic AI that will give Infibeam a sustainable competitive advantage? And can you quantify the AI-driven revenue opportunities over the next 3 years?

Vishal Mehta: Sure. So basically, there's a lot of, of course, information out there about what AI will do and the capabilities of disruption that are out there with even the recent launch of DeepSeek and many others. But you see what we are focused as a company on is a specific vertical and an opportunity within AI, which is called video LLM, video large language model. And video large language models have a lot of opportunity because it's visual.

And when you do visual AI and combine it with specifically doing tasks that humans do, it may be as simple a task as being able to look at security footage and being able to do exactly what a security individual would be ending up doing and being a second opinion to them, or it may be to be able to create an agent that does customer service or create an agent that does even search engine optimization, all of that perhaps work in this framework. So we already created a few agents. And what that typically does is it automates the productivity.

So generally, when you want to run a campaign for a company, they have to plan for the inbound.

So they have to hire people, they have to train them and then they have to perhaps look at running a campaign. Now with this VLM and Agentic AI, you can actually automate quite a bit. So what would take typically 3 months before you launch a campaign, you can do it in 3 days. So the number of people who can do experiments with these things and be able to reduce the lead time that it takes to be prepared for an event, that changes everything.

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And so we've already started giving out our VLLMs with Agentic AI to specific large multinational companies internationally. Currently, it's a very small portion of our revenues. We think the potential is very large there. And so we expect that as far as the net revenue is concerned, depending upon -- see this is an evolving field, a very disruptive field. So -- but I think that it has a lot of future to be able to ensure that we can monetize on this.

And second is that our position of creating smaller data centers actually gels very well with the low resource models, much like what DeepSeek has introduced, the low resource models that potentially get established. So I think with whatever we are doing in terms of the revenue opportunity in the next 3 years, we think -- we personally think data center and AI will go hand in hand.

Whatever we are going to do in data center and whatever we'll do in terms of advancements of AI, AI will be the biggest consumer of our data centers. And we expect that it should reach a high single-digit percentage of the revenue in the next 3 years, talking about the net revenue of ours.

Ayan Shah: That's decent. And my another question is like -- and I think you have given some answer to that, but like other media platforms have struggled with the monetization, which you are now transferring Rediff into this fintech platform. Now what gives you confidence that this transition will succeed where others have failed? And how do you plan to drive consumer engagement beyond just the UPI payments?

Vishal Mehta: I think it's a very competitive world out here and a lot competitive in India as far as UPI is concerned. Most of the stacks that you read the top 3 players, I mean, if you think of Google and PhonePay, they control huge portions of the market, and then you will see Paytm as a third player in this. Now see, 2 things that have happened. First is that UPI is the invention of the India stack.

But a lot of multinational companies, they have been able to take advantage of the stack.

So rightfully, the government has announced and NPC has also announced that we want to limit the percentage that one particular company would perhaps take in terms of market segment share. And that number was 30%. It has been extended now by a year. But there is always going

to be a regulatory requirement of going into lower and lower thresholds for one player to be able to dominate this industry. And so I feel that there will be a lot more opportunities for other

players to participate, one.

Second is that in terms of certain areas of data localization, I think with whatever is happening in macroeconomics, there is going to be more and more requirements for localization, which perhaps many other companies may also be able to achieve. And then the third thing is that I think we need to build out an ecosystem. We already have an ecosystem of CCAvenue merchants with us. And so given the large ecosystem, we believe that there will be many, many more opportunities that we will hold in terms of ecosystem that maybe others do not have.

But as far as consumer payments are concerned, it is a very competitive space and UPI is 0 MDR anyway. So we believe that we just need to get more consumer engagement. And given that we already have so many merchants, if we integrate RediffPay into all CCAvenue implementation

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across all the merchants online, in a single stroke, RediffPay will get more than a few million merchants. So we believe that there will be opportunities.

Today, UPI is a very small single-digit percentage of the transactions on CCAvenue. But for RediffPay, it may be relevant. So I think we need to play in the ecosystem that we have established and build out competitive advantages that enable us to do things that others may find difficult to do.

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erator: The next question is from the line of Rahul Jain from Dolat Capital.

Rahul Jain: So just 2 questions from my side. Firstly, on the TPAP time line, is there a way to look into it?

How long typically one should be taking to get in to that zone? Or you think it is very difficult to draw a time line on that? And secondly, on the data center business that you spoke about, it will be great if you could kind of understand that how the unit economics would work in terms of what is the investment that would go?

How many typical number of clients such a center would be able to host? How the commercialization would work? How the 2, 3, 4-year ROC may look like for such a business?

So I think that you will be of great help?

Vishal Mehta: Rahul, can you repeat the first part of the question?

Rahul Jain: I think we were saying that we wanted to apply for TPAP license. So any time line that we could envisage on that?

Vishal Mehta: Vishwas, do you want to take the first question? I'll take the second one.

Vishwas Patel: Okay, sure. So the TPAP license is already applied for and the process is with NPCI and RBI.

From what we understand, one part is cleared. The other part of formality approvals should come maybe in the next 3 or 4 weeks. Post that, anyway, we already -- Vishal already said that we will be launching RediffPay by the end of this quarter. So all works is going on, and that is it. Vishal, on the second part of the question?

Vishal Mehta: Yes. So Rahul, on the second question, you wanted to understand the unit economics and how data center business we expect it to work. See, we already have a 2-megawatt data center today.

And generally speaking, you can assume that there'd be about -- close to about 100 racks, 100 to 200-rack capacity. And the capex is -- this is commoditized -- data center business is somewhat commoditized. So in other words, you can think of it in terms of completely built out data center that you can actually establish and launch in less than a few months.

So I think that building out data center is not as much of a challenge. There's IT and non-IT part in it and many people and many companies have come up with data center in a box. So I think that in some ways, that is also somewhat an established principle. But -- and rack can be anywhere from a 3 kW to a 33 kW, it doesn't matter. The point is that what we establish is inference models.

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Rather than getting it into a structure, you think about it in terms of logistics. So if you're able to solve last mile logistics, then you would need to use the mothership to actually transport packets from one location to another. Similarly, our thesis is that we'll want to establish multiple small data centers and that small data centers will somewhat piggyback on the larger gigawatt data centers if someone should want to use larger capacities.

So our perspective in this is that if we are able to establish multiple small data centers, then there is an opportunity. The good thing about this is that with VLLMs, video LLMs and AI-driven solutions that we are working on, that there will be clients who would want to have that data processed and should they not want to invest in such hardware because fundamentally, many of these models, they're getting low resource, they would want to have reduced latency and you want to do it on a real-time basis.

So you would want to have an install capacity closest to you. And there will be certain applications that would definitely require it more than others. So historically, such opportunities were used for by caching networks. In other words, things like -- companies like Akamai and others and in certain cases, even telcos.

So rather than just going and setting up data centers which are nothing else but co-location and selling bare steel, we are interested in clients who will want to utilize our framework. And

so while we are not happy to be able to build out capacity, so I think the forward investment we make is not a huge one and the ROI on such opportunities is less than 24 months. So I think we can track our investments, we can drive adoption, and we'll be able to maintain the investment and be able to come out of it very quickly.

So my expectation is that in terms of capacity, a client can use -- and given the number of installs and number of opportunities that are coming out there, my expectation is that we may want to first test this network and thesis to make sure that it works and that's why we are going after the 10-megawatt capacity and then be able to -- but like I said, the ROI is actually less than 24 months as per our calculations because we are not just doing co-lo or selling bare steel, we're actually selling our framework.

Our AI framework and many other frameworks and all of this. And we'll provide it to clients, and we already have a few clients lined up who want to utilize this capacity. So somewhere we already have the demand before we actually establish a location, if that makes sense to you.

Rahul Jain: Right, right. So just to reinsure, when you say 2-year ROI, you're saying the profits on a 2-year basis on a fully blended services basis could pay back for the capex that is involved. That is what you're trying to...

Vishal Mehta: That is true.

Rahul Jain: Right. And since you're saying that there is -- we would kind of test and move forward. So is there a dedicated capex that we have in our mind for FY '26, CY '25 or it would evolve in the coming period?

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Vishal Mehta: We have -- and I'll be able to share more with you next quarter. We already have budgeted for next year. There is no additional capex for this year. But for next year, we will have budgeted a

capex for this and currently, it's evolving. So definitely, we'll come back to you on this.

Moderator: The next question is from the line of Satyam Badera from Profit Mart Securities.

Satyam Badera: Congratulations on good set of numbers. I have a couple of questions. The EBITDA margins have shown some compression. What specific cost factors are weighing on the margins? And how do you plan to mitigate these pressures?

Vishal Mehta: I think there's a little bit of customer acquisition here that is in play. We want to go after the larger breadth of customers. And we are also forward investing in our AI initiatives. So starting maybe this quarter onwards, we've established a separate subsidiary company for our AI efforts, and we'll be able to share. Second is that we've also merged Rediff for the first time in our financials. While it doesn't have a huge impact, the impact is in terms of revenues, it's less than 1%, but it does have certain expenses.

And so you would see that we would have added bandwidth costs and certain other expenses, you're talking about petabytes of data that come in on a daily basis and there are so many free e-mail users. So -- I think in terms of overall, I think data is oil for us. I think it's fairly large. So maybe some of that has contributed a little bit to our EBITDA margin.

Satyam Badera: Okay. Okay. And my other question is, how is the adoption of CCAvenue SoundBox progressing? And how does it compare to the other competitors like Paytm and PineLabs? Also with 8% market share in India's digital payment, what specific strategies are we placed to expand share, especially in Razorpay, PayU and BillDesk?

Vishwas Patel: Okay. I'll take that. So the instrument that we are offering right now is quite different from the normal just either a static QR that is published on a sticker and kept or a simple QR with a soundbox that is there in the market. Our box is in the same price range, but it can also do credit cards, debit cards, RuPay debit cards, EMI and lot of other things along with the static QR, it also has dynamic

QR that can be generated, specifically where there is a language issue. So say if someone has to pay INR 176.45, right, and instead of telling him in the local language to do it.

Here, you can generate a dynamic QR by punching in through the buttons and a QR of that amount is generated. So that also helps a lot. And it also works with a lot of ERP systems where a specific bill amount and that specific QR is generated. So that's the big differentiator that we have that we are trying to upgrade the market with the brand-new, newer devices. The additional thing also being that our thing is the omnichannel app.

So the CCAvenue M.A.R.S app that the merchants will use will not only show transactions and reconciliation and reports of their offline shop transactions, it will also include their online website transactions, their in-app transactions on Android, iOS, transactions coming in through there, transactions coming through SNIF, that is the social network instant payments. So any transactions done on Insta or Facebook or Twitter is also displayed there in the different formats.

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So on top of it, many other features. So it's India's truly and most unique omnichannel app with all the kinds of features, bells and whistles where you have one single app to track transactions across multiple platforms where you're getting your transactions. It also has TapPay, which is like India's one and only where within the app also, if you don't have the POS terminal somewhere and you want to collect it, you can just tap the credit card, debit card on your phone and accept the payments.

So it's a unique tool. It's like the world's most advanced omnichannel app that we are launching. And the uptake has been brilliant. Like you have seen like when we are onboarding 1,80,000 merchants plus fully KYC in a span of 90 days, right? So the long tail and everything is happening. So those will continue to grow both because a merchant is getting all-in-one solution through this. There's almost IVR processing and other things also.

So all those things merge into this becomes a very compelling solution for the merchants to take it. So that's how we are deploying, and it's growing fast. We hope to expedite from 2,000 merchants a day to even more so with our aggressive marketing in the coming quarter.

Moderator: The next question is from the line of Prerak Gandhi from Neumerc Research Lab.

Prerak Gandhi: Sir, just a couple of questions. First was that where are we on the expansion front with respect to U.S.A. and Australia? And how do we see the growth there since in the initial phase, the margins will be very sticky. So where are we with respect to that?

Vishal Mehta: So as I earlier said, right now, the focus since offline has opened up a huge opportunity here in India, we are yet to fully exploit it. So all focus efforts are here. Second thing, we have also opened up the Saudi Arabia market, right? So there, we are just starting off. It's some of the key merchants already going live, lots of airlines and lot of other merchants are in the pipeline.

And Saudi Arabia also from location perspective, it's just not Riyadh and we are done, like we have to go to Al Jubail, we have to go to Jeddah and many other places interior to really capture the market. So it's no use trying to unnecessarily expand the market till we have truly entrenched

and monetized on the current opportunities that we have already opened up.

So as we said, the CCAvenue bit, offline bit in India, in UAE, in KSA, the TSP agreements in Oman, plus also our Bill Payment platform, our ResAvenue hospitality platform -- as well as our ResAvenue platform plus our AI and lot of other things, I think we have our hands full. And we typically like to focus and monetize on what we have in our space and then geographically grow when we have a little comfort that this is on autopilot

mode.

Prerak Gandhi: And sir, we have been mentioning in the past calls as well that for AI -- with respect to AI, there have been AI-driven coaching and umpiring solutions and different things with respect to that. So where do we stand on that? How do we see that particular market growing? Are we capturing some major customers with respect to that? Or are we on pro-credit mode? Where do we stand with respect to that?

Vishal Mehta: Sorry, you're a little quick. Can you repeat the question, please?

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Prerak Gandhi: Yes, sir. In the past calls, we have been mentioning AI-driven coaching and umpiring solutions and different things with respect to that. So where do we stand on that? How do we see this particular AI sector growing with respect to Infibeam Avenues?

Vishal Mehta: See, I think a lot of that becomes Agentic AI. So in other words -- I mean, I'm sure that you must have read a lot about that because there's a lot of information and news around it. But a lot of this is in some ways in a pilot mode. So what we need to do is we didn't need to run pilots. There are certain areas like gas stations and others where we have created AI agents that actually end up doing -- because it's all about making sure that we get the right amount of accuracy. And that has actually worked out very well.

So on a particular skill, you need to train the agent. And once the agent is trained for the skill, then you can deploy that agent across. Similar to how we think about humans, where if you want to train a human for customer service skill, you would want to train the person and then the person gets deployed. Similarly, agents work similar in that way. And so we are building out agents and we are integrating a lot with gas stations and others.

And we work backwards from the client. So whatever the client requires, we actually enable that and we build out more and more skills within the agent so that they're able to solve problems for the client. So the umpiring and many others that you think in sports and many other verticals that we talk about, I think all of that is, you can say, in a pilot mode. And once we are able to get certain amount of efficiency we'll be able to pick it up, yes.

Moderator: Mr. Gandhi, does that answer your question? As there's no response, we'll move on to the next question. It's from the line of Ayushi, an Individual Investor.

Ayushi: Congratulations on a set of numbers. My first question was that if we exclude the mark-to-market gains for the past 3 quarters, there has been no effective growth in PAT. Q1 was at INR50.40 crores, Q2 was at INR55 crores and Q3 was at INR54 crores. So how would you justify this? And what measures are being taken to address this? And could this be a factor affecting the company's recognition in the market?

Vishal Mehta: See, typically, we don't optimize for PAT. As a company, we are actually focused on -- there is definitely a growth in the operating cost. So as we build up and scale up and we are -- some of the initiatives that we take up, they are forward loaded in terms of cost. So in some ways, we are comfortable in terms of -- because front-loaded costs will only allow us to scale up. And we are comfortable with that approach that we need to actually front-load the costs and we'll forward in that. And so we have never thought of optimizing for profits.

We are really focused on cash flows, we are focused on growth, and we want to make sure that we are building up for the long term. So I mean, to answer your question, I think, yes, we have front-loaded a lot of our costs. And some of these initiatives, they are new initiatives. For instance, AI is a very new initiative. And I think we believe that if we continue investing in those areas, then we can perhaps build out a much larger enterprise in the long term. So I think as a company, we'll just focus on growth and cash

flows, if that makes sense.

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I think a lot of things that we do will translate in to PAT, and we'll forward invest into places that potentially makes sense. You also will realize that there are certain onetime costs for us in this year. So there are certain legal costs for demergers. There are certain advertising and bandwidth

charges that we have started incurring because of the recent acquiring of Reddiff. So you will see certain costs that come in.

And obviously, for people because a lot of our business is people driven, so I think those are the ones that will potentially -- you will see that they will create a impact to profit after tax. But yes, we are not optimizing for PAT, if that hopefully answers that question.

Ayushi: Right, sir. But then I do understand what you're trying to say, but then we also keep mentioning that we are increasing the number of merchants onboarded. But if you look at the CCAvenue payments TPV, it has actually decreased. So are we actually losing market share to our competitors like Razorpay because the numbers that they report for their TPV continuously keeps increasing and ours is pretty much in line all 3 quarters along, and we probably will end up at similar levels to FY '24? So are we losing market share currently?

Vishal Mehta: No, I think we've seen -- of course, there's going to be downward pressure because payments is a very competitive industry. And if you look at -- in terms of how we look at international growth, and if you look at Slide 8 of our presentation, you would see that there's a slight decline quarter-over-quarter in terms of the TPV. So I think that it's a function of the payment mix, the payment type because what tends to happen is that in some ways, we actually compete with other payment options.

And we are comfortable talking to our merchants and allowing them to transact on certain payment options to us because in festival season, people offer and competing companies would offer huge amounts of discounts to be able to garner TPV. So we are not going and saying we'll optimize on TPV. We want to optimize on cash flows. And in certain cases, we make certain calls that potentially is in the interest of our merchants.

It may or may not help us. Of course, it helps us in the long term. But in the interest of merchants, we make certain calls. So I don't think that we would categorize as losing market segment share, but it is -- to actually make sure that we are doing well in a very competitive market. And it enables us to, in some ways, make sure that we become more and more relevant.

We know we are definitely sticky. And then we also need to retain certain customers. So losing market share is all about losing customers. So we don't have that as a problem as of today. But that doesn't mean that we are not conscious of it. So we need to continuously figure out how to retain our customers and grow the base. And once the customers are added, they don't typically give us revenues on day 1.

There's a latency in terms of how the growth also shows up. So while we have a lot of data science around it in terms of what to expect, but like I said, I think that we need to continuously increase the pace. And hopefully, similar to how employees perform, employees when they join you, they don't perform on day 1, they perform maybe with some amount of latency. So we also have a similar thing.

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And then we are focused on somewhat working with MSMEs in India. So I think, yes, it somewhat is a general answer, but hopefully, that's the best I can provide to you right now.

Ayushi: Right, sir. Ok ay. And sir, which segment is driving growth within the e-commerce platform business because we are recognizing GeM TPV, but we're not recognizing revenues from GeM. So what exactly is driving the e-commerce platform business?

Vishal Mehta: See, this is an e-commerce software platform business that we give to many companies. And you know that we have in the past announced certain large clients. So we are continuously evolving. It's a framework -- platform framework that provides us the revenues.

Ayushi: Right. And sir, there's no update about the UPI dues from banks, right?

Vishal Mehta: There's no update on, sorry?

Ayushi: The UPI dues that we have to receive from the banks about...

Vishal Mehta: No, there's no update so far. Vishwas, anything that you have to say?

Vishwas Patel: Yes, yes, yes. So basically, last -- from April of 2024, there's no update from the government on the UPI dues that are there. We are in any way not claimed any UPI dues for the last 2 calendar years.

Moderator: Ladies and gentlemen, due to time constraint, this was the last question for today's conference call. I now hand the conference over to the management for their closing comments.

Vishal Mehta: Thank you all for joining our call, and we look forward to keeping you updated on the latest and the most recent developments in the company. Thanks all.

Vishwas Patel: Thank you all.

Moderator: On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

INFIBEAM AVENUES LIMITED

Regd. Office: 28th Floor, GIFT Two Building, Block No. 56, Road- 5C, Zone -5, GIFT CITY,
Gandhinagar – 382 050 CIN: L64203GJ2010PLC061366

Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@ia.ooo | Website: www.ia.ooo May 28, 2025

BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001

Company Code No.: 539807 National Stock Exchange of India Limited

Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Company Symbol: INFIBEAM

Dear Sir/ Madam,

Sub: Transcript of Earnings Conference Call for the quarter and year ended March 31, 2025

In compliance with SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor/ Analyst conference call on financial performance of the Company for the quarter and year ended March 31, 2025 conducted on Monday, May 26, 2025, after the meeting of Board of Directors, for your information and records.

This transcript is also available on the website of the Company i.e. www.ia.ooo.

Kindly take the same on your records.

Thanking you,

Yours faithfully,

For Infibeam Avenues Limited

Shyamal Trivedi

Sr. Vice President & Company Secretary

Encl.: As above

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"Infibeam Avenues Limited
Q4 & FY '25 Conference Call"
May 26, 2025

MANAGEMENT : MR. VISHAL MEHTA – CHAIRMAN & MANAGING
DIRECTOR – INFIBEAM AVENUE S LIMITED
MR. VISHWAS PATEL – JOINT MANAGING DIRECTOR –
INFIBEAM AVENUE S LIMITED
MR. SUNIL BHAGAT – CHIEF FINANCIAL OFFICER –
INFIBEAM AVENUE S LIMITED
MR. B. RAVI – INDEPENDENT CONSULTANT

MODERATOR : MR. RAJAT GUPTA – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Infibeam Avenues Limited Q4 and FY '25 Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Rajat Gupta from Go India Advisors. Thank you, and over to you, sir.

Rajat Gupta: Yes. Thank you, Rutuja. Good evening, everyone, and welcome to Infibeam Avenues Limited earnings call to discuss the Q4 and FY '25 results. We have on the call with us today, Mr. Vishal Mehta, Chairman and Managing Director; Mr. Vishwas Patel, Joint Managing Director; and Mr. Sunil Bhagat, Chief Financial Officer. Also joining us on the call today is Mr. B. Ravi, who is joining , who's advising Infibeam on corporate and financial strategy, as an independent consultant.

We must remind you that the discussion on today's call may include certain forward -looking statements and must be, therefore, viewed in conjunction with the risk that the company faces.

I now request Mr. Vishal Mehta to take us through the company's business outlook and financial highlights, subsequent to which we'll open the floor for Q&A. Thank you, and over to you, sir.

Vishal Mehta: Thank you, Rajat. Good afternoon, everyone, and thank you for joining us. I'm thrilled to welcome you to Infibeam Avenues Q4 and FY '25 earnings call . It's a milestone moment as we close the year of an extraordinary transformation, and we look ahead to an even more ambitious future.

FY '25 has been a defining year of transformation for Infibeam Avenues. It was not just a year of growth. It was a year where we redefined who we are. We evolved from being a digital payments company into a multi -vertical technology powerhouse operating at intersection of fintech, artificial intelligence and digital infrastructure. I'm happy to announce that we have achieved our financial guidance for the year.

We have delivered a robust growth across all our key metrics. Our consolidated gross revenue for FY '25 stood at INR3,993 crores, reflecting a significant increase from previous year. Our net revenue reached INR526 crores and our profit after tax surged to INR210 crores marking a 42% year -over -year growth.

We are strengthening our capital base for future growth. To fuel our ambitious growth plans, our Board has approved up to INR700 crores of rights issue, this capital infusion will accelerate our strategic initiative, including, one, RediffPay. We are rolling out to our customer -facing digital payments platform. Second is Infibeam Quantum Edge expanding our AI and data center infrastructure.

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And third is international expansion, scaling our payments infrastructure in key markets. The rights issue will underscore our commitment to inclusive value creation, allowing our existing shareholders to participate meaningfully in our next phase of growth.

We are happy to announce that we've redefined our brand identity. We have unveiled a new logo and a brand identity that encapsulates our vision to lead at the confluence of fintech, AI and digital infrastructure.

The dynamic ribbon like design, infused with vibrant hues symbolizes agility, innovation and digital connectivity. The distinctive dot on the eye in Infibeam represents our India first philosophy, reaffirming our dedication to nation development through homegrown digital infrastructure and technology innovation.

We have revolutionized payment merchant payments with CCAvenue SoundBox. Our CCAvenue SoundBox has gained significant traction among retailers across India. This device offers

dynamic QR generation, tap -to-pay features, omnichannel integration and compatibility with ERPs and social commerce platforms.

In Q4, we onboarded about 50,000 new merchants, bringing our total merchant base to over 1.2 million. We are empowering consumers with RediffPay. Our subsidiary company Rediff.com India Limited, has been granted a third -party application provider license, which is called the TPAP license by NPCI for our digital payments platform RediffPay.

This license enables us to offer UPI services marking our formal entry into consumer -facing digital payment sector. RediffPay is not just about payments. It's a gateway to broader digital

financial services ecosystem including credit, insurance and wealth management solutions. We are also introducing RediffOne for SMBs, which is small and medium businesses. RediffOne, which is our cloud-based enterprise suite for small businesses and merchants integrates ERP, CRM, HRMS tools for our payments platform, providing a comprehensive digital operating system for India's underserved small and medium businesses segment. We are scaling internationally in the GCC region. Our expansion in Saudi Arabia is well underway. We have gone live with key clients such as VFS Global, Nissan and Infinity. We are also in active conversations with other large enterprise accounts. Our PTSP license from SAMA and locally hosted infrastructure provides us regulatory readiness and operational scalability. We anticipate international revenues to comprise about 20% to 25% of our top line over the next couple of years. We have pioneered Agentic AI with Phronetic.AI. Under our dedicated AI division, Phronetic.AI, we are developing a groundbreaking global market place for artificial intelligence agents. This platform will enable developers, enterprises and everyday users to build, buy, sell and operate autonomous AI agents without writing a single line of code. We believe Agentic AI is the next major technology shift, and we are positioning ourselves at the forefront of this transformation. We are launching Infibeam Quantum Edge. Our Quantum Edge initiative involves deploying small-scale distributed data centers starting with the 2 - megawatt unit. These centers will host our AI framework and support real-time computing use

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cases. With an expected ROI under 24 months, we already have demand visibility for upcoming locations. In summary, we are building a future-ready ecosystem. As India progresses towards the INR3.5 trillion digital payments economy by 2029 and with cloud infrastructure demand surging, our integrated approach of fintech, AI and cloud positions us uniquely to lead and innovate. Our strategy focuses on building enduring platforms with scale, stickiness and superior economics over time. Thank you all for your continued support. I will now hand over the call to Vishwas Patel to walk us through payments business and operational highlights for the quarter. Vishwas, all yours. Vishwas Patel: Thanks, Vishal, and good afternoon to everyone on the call. Q4 FY '25 was nothing short of accelerating for our payments business. Despite intense competition in the Indian digital payment space, Infibeam Avenues powered ahead innovating relentlessly, scaling faster and strengthening our presence across both Indian and the Middle Eastern markets. The CCAvenue Smart SoundBox has been launched to disturb merchant payments. So let's start with one of the biggest success story for us this year. The CCAvenue Smart SoundBox. This isn't just a QR code speaker or a full-blown -- it's a full-blown fintech device. Dynamic QR, tap-to-pay cards, NFC, audio transaction alerts in multiple languages, all directly integrated with the CCAvenue merchant accounting and reporting platform. In essence, the people who are just using a bland speaker box today are graduating to accept all kinds of payments through our CCAvenue Smart SoundBox. So what's exciting is that the adoption is surging across Tier 2 and 3 cities where merchants are hungry for simple and powerful tools that consolidated multiple payment options in one sleek device. And since now the lines between the online and offline are blurring, and it's an omnichannel solution. So today, we have aggressively onboarded over 110,000 new merchants in this Q4 alone, taking a total merchant base to 1.2 million. We are adding thousands of merchants daily and our focus in India's long-tail MSME is unlocking immense value and volume. Smartphones is card machines. So we have introduced CCAvenue TapPay. It's a bold step towards democratizing payments, TapPay within our mobile app. So from now any Android phone has become a contactless card terminal. No additional hardware required. This is game-changing and for micro entrepreneurs and gig workers, offering them a frictionless, low-cost part to digital acceptance of all kind of payment options, be it UPI or cards. So using CCAvenue online payments, we are powering convergence globally. Online CCAvenue remains a high-performing engine. Constantly evolving. In Q4, we integrated Google Pay and for our Gulf operations, we have added Tabby and Tamara buy now, pay later options in that market, meeting the region's rising demand for flexible payments. These additions are driving higher checkout success rates and boosting merchant sales. CCAvenue is India's the leading digital debit processor. So we continue to lead as India's largest direct debit processors. With the onboarding of Bassein Catholic Co-Operative Bank, we now

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support direct debit through over 60+ plus banks a testament to a deep rated banking relationship as well as our innovation to connect to direct core banking solutions of so many banks. CCAvenue's GCC expansion, Saudi market picking off. So our international strategy is gaining serious momentum. In Saudi Arabia, we are now live with marquee clients like VFS Global, Nissan, Infiniti Motors, and it's backed by SAMA, the Saudi authority -- monetary authority -- Saudi Arabia Monetary Authority approved PTSP license and fully local infrastructure. This is just about big names. It's about recurring volume that we are building and our merchant pipeline in sectors like aviation, e-commerce and government is rapidly growing in that region. Saudi Arabia, UAE and Oman are now our core growth territories. We are investing aggressively to win them. We had a record merchant acquisition, as I explained earlier. It's a multi-sector expansion. In Q4 FY '25, we added 110,000 merchants. And for the full year, we grossed 420,000 new merchant onboardings, that is up 35% compared to financial year '24. So from hospitality to business, health care to logistics to real estate to MSMEs, our omnichannel strategy, blending online, offline and billing continues to resonate and especially with the unserved small and mid-sized businesses. Our BillAvenue solution is targeting digital utility payments and deep rural penetration. Our BillAvenue platform processed over INR12 crore transactions in FY '25, with the volume climbing steadily in Q4. What remarkable is the growing agent activity in rural and semi-urban areas, a reflection of our platform simplicity and massive bill coverage. We are making digital utility payments truly universal. Our ResAvenue solution is empowering hospitality with AI. In hospitality tech ResAvenue is picking up pace, integrated AI-based revenue optimization tools that helps hotels fine-tune pricing and maximize occupancy. Our transaction volumes in this vertical rose by over 28% year-on-year. And we are working closely with hotel chains to expand the rollout of smart pricing features. So in summary, we are building an intelligent scalable payments ecosystem. And at the heart of it, is an unw

averaging strategy, omnichannel, AI enhance infrastructure back fintech solutions that grow with the merchants. Whether it's hardware like SoundBox or a mobile features like CCAvenue TapPay or enterprise tool like CCAvenue MARS or a B2B solutions, we are creating a payment stack that is future-ready and deeply embedded in the India and GCC digital fabric. And as Vishal said, while we are front-loading investments in AI, Rediff and cloud infrastructure, these are strategic long-term bets that will create strong defensible moat around our businesses.

With that, I'll now hand it over to our CFO, Sunil Bhagat, who will take you through the financial performance of the quarter. Over to you, Sunil, bhai.

Sunil Bhagat: Thank you, Vishwas, sir, and good evening to everyone. I'm pleased to share the financial highlights for the fourth quarter and full year FY '25. In quarter 4, we delivered solid double-digit growth in both gross and net revenue, which is supported by a balanced mix of gross and net revenue and both recorded healthy growth on a year-over-year basis.

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Our expansion in online and offline payment volumes, deeper penetration across MSMEs and rapid merchant onboarding were the key contributors. Our net take rate continues to trend upward, reflecting stronger monetization, favorable merchant mix and effective pricing strategies across our platforms. This improvement directly fuels our growth in net revenue and operating profitability, making our growth not just faster, but smarter.

For quarter 4, our gross revenue saw an impressive growth increasing from INR716 crores in quarter 4 FY '24 to INR1,160 crores in quarter 4 FY '25, reflecting a strong upward trajectory. Our net revenue also showed a notable year-over-year increase of 28%, rising from INR105 crores to INR135 crores in this quarter. Our net take rate continued its upward trajectory, improving significantly year-over-year from 9.2 basis points in quarter 4 FY '24 to 10.6 basis points in quarter 4 FY '25.

This steady enhancement in take rate has been a key contributor to the growth in our net revenue, operating profitability and bottom line performance. Our EBITDA for the quarter saw a growth of 25%, reaching to INR78 crores in quarter 4 FY '25, up -- which is up from INR62 crores in the same period last year with our EBITDA margin of 58% as a percentage of net revenue. Our profit after tax stood at INR50 crores in quarter 4 FY '25, which is reflecting a 53% year-over-year increase. If we consider the full financial year -- for full financial year '25, our gross revenue show an impressive growth, increasing from INR3,150 crores to INR 3,993 crores in FY '25, which is reflecting 27% increase.

Our full year net revenue also showed a year-over-year increase of 25%, rising from INR419 crores to INR26 crores. Our full year EBITDA also saw a growth of 23%, reaching to INR312 crores in FY '25 as against INR254 crores in last year. Our annual profit after tax stood at INR210

crores in FY '25, reflecting 42% year-over-year growth.

Though the revenue from Saudi Arabia is only starting to show up in this quarter's numbers, we anticipate a meaningful uplift in FY '26 as large clients like VFS Global and Nissan and others

can ramp up volumes. With local infrastructure in place and compliance secured, we are poised for accelerated growth in the region.

We have maintained a strong cash-rich balance sheet with prudent capital management. As we prepare for FY '26, we are finalizing plans to strategically invest in expanding our data center infrastructure under the Infibeam Quantum Edge initiative, a move that will enhance our AI capabilities and long-term cost advantages.

In closing, FY '25 was a year of building momentum and laying a scalable foundation. And as we step into FY '26, we remain focused on expanding our merchant base across India as

well as

GCC, accelerating monetization through AI-powered platforms, strengthening recurring revenue streams across verticals. We are committed to profitable growth and long-term value creation, not just for today's market but for the digital economy of tomorrow.

With that, I would like to hand over the call to moderator for question and answers.

Moderator: The first question is from the line of Deepesh Sancheti from Manya Finance. Please go ahead.

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Deepesh Sancheti: Okay. Now my first question is regarding the Infibeam Quantum Edge and Phronetic s AI. What is the pricing model subscription and consumption base or bundled -- or is it bundled with the fintech service? I mean, where do you see the biggest early monetization opportunities?

Vishal Mehta: Sure. This is Vishal. I'll take this. See, basically, if you recollect a few quarters ago, we decided to build out VLLM models, which is video large language models. And that particular opportunity was catered towards 2 basic areas. One is hospitality and gas stations where AI is not just able to identify an object, but AI can actually identify a scene and identify even activities within the scene.

A typical example of this would be that in a gas station, if there is a video LLM model sitting with CCTV cameras, then it cannot just identify which vehicle has come. It can also perhaps get information from dispensation data on gas stations or how much fuel has been filled and it can perhaps work with wallets to be able to take the money out of the wallet without actually a requirement for a QR code or any other card type.

Similarly, in hospitals also, it was perhaps used to monitor certain patients, critical care patients, more with visual representations and specifically in areas where you would perhaps have one hospital agent caring over multiple patients, specifically in ICUs. So that was the basic use case, and it was an enterprise solution. That enterprise solution, we were able to secure more than \$1 million contract. It was good, but we thought that, that was not -- it was still an enterprise scale -- enterprise sale, which means that we had to spend an effort. Fortunately, we did apply for a pattern there and we were able to apply for the patent in USPTO.

So the monetization model was an enterprise sale model, which was sitting on top of existing infrastructure with no reason or no requirement to change any hardware, which means the existing hardware, whatever disks, whatever hardware has been utilized, no changes in any hardware. And using a screen share, we will be able to pick up all this information, and that is what our patent application was.

So the big differentiator there we made was that you don't need to have any hardware -- dedicated hardware or change in hardware, specifically even in practically any DRM, anything that you chose. Beyond that, we started working on an Agentic AI framework. An Agentic AI framework is more around being able to have agents monitor rather than humans monitoring specific activities. And that is where we think the larger opportunity lies because if you build Agentic AI capability positions, Infibeam is not just a fintech company, but an AI-first fintech infrastructure provider. Something that very few in India, or in fact, in certain cases, Middle East and many other geographies are doing at scale.

So the model there is a business -- there is an enterprise model and a consumer model. Developer -- it's a developer platform. So developers can develop their own agent and then they can deploy the agent for their own use cases or somebody else's use cases.

And if you look at online, there is an enterprise pricing model, which will come -- it's in beta, it's rolled out in beta. So there's an enterprise pricing model, and then there's consumer model.

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Consumer model is for a certain number of queries, it's free beyond which the consumer starts paying for it.

Deepesh Sancheti: Okay. So can you throw some more light on the AI agenting and will that be a model which will be available to everyone? Or as you said that it will be available for the consumers only for a fixed number of queries?

Vishal Mehta: For free, yes. So which means that for a certain number of queries for the consumer, developer will own the model, which means that it's a developer platform. If you were a software developer or even if you're not a software developer, if you can actually deploy, install and deploy the model practically in a matter of a few clicks, a few of the models have been deployed on agents.rediff.com. So in other words, you can think of it as every skill of a human being is actually an agent. You can think of it as an SEO agent, a legal agent, everything is an agent. And theoretically, we believe that, that is the way the world is going towards. So what we have done is we have not -- rather than creating agents, we have created a developer platform where developers can create agents. And even if you're not a developer, you will be able to build your own agent. You can try it out as well as of today.

It's in beta, but you can build out your own agent and then, of course, upon approval, once it's approved, it will go into a marketplace, which is the Rediff marketplace. It can be implemented in any marketplace, practically speaking, as long as we are integrated into that marketplace.

Deepesh Sancheti: So who is having this agent? And will it be a property of Rediff? Or will it be a property of the developer?

Vishal Mehta: Developer will own the property. Rediff is a publisher. So in other words, when consumer starts paying for that service, that is when a typical marketplace does get revenues out of that. So in other words, the property -- the agent is a property of the developer and the developer platform.

Deepesh Sancheti: So how does Rediff monetize this?

Vishal Mehta: When the consumer starts paying beyond a certain queries or if an enterprise wants the agent to be able to summarize e-mails or because Rediff is a large enterprise client, and they've got thousands of companies. And if the agent is deployed within the e-mail client for an enterprise to do many more activities, including device management and others, that's when Rediff gets paid.

Deepesh Sancheti: Okay. So it's not possible that a developer develops his own agent and takes it out of Rediff? That is not the...

Vishal Mehta: They can do that, but there is different commercials for that. So the development -- developer platform will work with the developer to enable that. So Phronetic in this case will work with the developer to enable it.

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Deepesh Sancheti: Phronetic, okay. Great. And do you envisage having B2B, B2C embedded financial model through your merchant base offering credit to end users or vendors, merchants on your platforms? What is the infrastructure which will be required to support this?

Vishal Mehta: If the question is that are we enabling credit using our merchant base. Is that the question?

Deepesh Sancheti: Yes. And what infrastructure will be required for that?

Vishal Mehta: See, I will tell you what we do today is express settlement. So we do early settlements on payments. That is as far as it goes because we did more than \$1 billion. We had zero NPA in that, which means that the merchant rather than getting paid after 3 days, they get paid the same day. That has been enabled. What we have not done is extended loans and credits and others to merchants because that model today in India, the way it exists is a DSA model, where you earn commission as a provider.

We do not have any aspiration to build our own NBFC and we think that the DSA model is an interesti

ng model, but it's not the one that we want to bet on. So what we think is that using Rediff as a consumer framework, we will enable a lot of services, financial services, both to businesses as well as consumers. And access to that will -- because we have millions of merchants, we build out an ecosystem using that.

So we'll be announcing quite a few things along with RediffPay shortly. We have NPCI license, the TPAP license through NPCI. And we think that maybe in the next few weeks, pending approvals from -- on the application in security, we'll be able to roll out and we'll be able to communicate a lot more.

Deepesh Sancheti: Okay. So are we also looking at something like UPI credit? UPI is -- everybody is opting UPI, but UPI credit wherein a customer can get a credit over his UPI payment. That is really gaining momentum. So I mean, will that be an opportunity which we'll be looking at?

Vishwas Patel: Vishwas here. Okay. So UPI on credit, there will be various people who will be offering credit looking at the UPI. So we as aggregator on the CCAvenue payments platform, we will be integrating or will be allowing credit on UPI and there's a commercial model coming in with every transaction that comes in. So credit on UPI, there are some MDR and some money comes on to us. So we have to enable

it as a payment option across our merchant network in a sense that today where we have enabled UPI across 1 million-plus merchants, there we will allow not only RuPay on UPI, RuPay credit card on UPI but even this credit on UPI which the other third-party people have it. So we are going to act as an aggregator to on this. Whether starting our own credit business on UPI allowing it on our books, right now, there is no immediate strategy in this quarter or the next. Deepesh Sancheti: Okay. Great. Now my question -- my last question actually was regarding the fund raise plan, which we are planning to do. One was that we already have good cash amount in our books. So why this fund raise? Are we building a war chest for future acquisitions or something big or any other thing?

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And secondly, then why -- if you're doing this, why rights issue because you will be issuing the rights issue at a discount over the current market price, which will again increase the dilution? Vishal Mehta: Yes. So this is Vishal here. See, we think that building AI capability positions Infibeam in a very different set up. You're right, we do have cash position. But we believe that if you want to be meaningful and relevant for the future as well as build out AI first fintech infrastructure, something very few people are getting into and we have seen early success in that. So what we are not doing, I'll tell you is we're not building LLM. We are not building large language models, something that sovereign and others want to do. as well as large companies like, OpenAI and others, they want to participate in our cloud. We are not building LLMs. What we will be doing is working on Agentic AI and reasoning models. Reasoning models that sit on top that potentially are the input to the AI agents. And that is where we find that there's hopefully a lot more interest and monetization associated with. And for that, we will build out our infrastructure.

So we believe that we will be investing in capex. There will be a capex cycle. We'll invest about \$100 million in the next 3 years in building out such capabilities. And partially, it will come from rights and partially through accruals. And we believe that it is -- that is the only way we can build out an ecosystem, which is autonomous, intelligent decision-making. It will require certain -- these things will be required in building out global fintech adaptability that we are building out, and it will scale our productivity and automation. So all of these are critical for our ambitions to become s

omewhat a global power fintech setup. And we think that building out this "what you said" war chest will help us get there. So as you

know, in the past, also, we have been appropriately conservative. We think that there's a lot of opportunity in front of us. And partially, if you are not AI first company, you won't survive in the next few years.

With these thesis, we think -- we're not saying we're right or wrong. This is just our philosophy. We think that this is the right time to get invested into a capex cycle to build it out.

Deepesh Sancheti: Yes. Okay. And so we are not building any data centers. We won't need any data centers for ourselves, right? Will we require...

Vishal Mehta: No, we are building -- we already have a 2-megawatt data center, but building out reasoning models, you'll need infra -- you will need certain investments in infra. Either you can lease it or you can build it. So depending upon that, we'll build up 2 megawatt, we'll build out more as and when depending upon -- because see, these models and agents, they'll want -- certain use cases are such that they want real time.

And they will sit on top of an LLM and LLM can potentially be replaced at the back end. Either you can use an OpenAI or you can use any other even the one that has been recently built out by Sarvam. In other words, you can essentially -- this sits on top of it, and it essentially enables because the data is owned by the reasoning models and not the LLMs in some ways to drive

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inferences and agents automate the workflow, they also make it more predictive because that is the one which gives you productivity.

It automates whatever workflow that you want to work on, it's automate it for you. And so this is not just automation. It is more predictability along with automation, which is what we want to get into. And like you mentioned for payments and others, of course, we are going to deploy it for our own use cases because if you think about it, you would want in some ways Agentic AI to automate fraud detection, manage risk, authenticate users, adapt new threats without any constant human intervention that we'd require right now. It somewhat helps reduce our operating cost.

Whether you think about merchants, it can power certain personalized recommendation dynamic pricing. We have 10 million- plus merchants. Our cross -border becomes more interesting. You can automate certain tasks like handling compliance, localization, languages. It gives us a strategic edge over traditional processors.

And when you think about Rediff as an ecosystem, it also gives us an opportunity to serve agents as virtual assistants. It will proactively manage data, transform productivity. It becomes somewhat proactive than reactive. And you essentially drive a continuous learning curve across the entire ecosystem. So we believe it's a strategic differentiator, both in the short and long term.

Deepesh Sancheti: Okay. So Phronetic AI will not only do financials, but also into different, different other aspects also, right?

Vishal Mehta: Absolutely. Absolutely. All agents will work across. Even you can think there's an SEO agent right here. Search engine optimization is an agent.

Deepesh Sancheti: Right. So then -- I mean, wouldn't it make strategic sense to actually disinvest the company into 2 things. One is into payments. That is the CCAvenue part and the other is into the AI, which is going to be the hardcore AI? Will it make sense?

Vishal Mehta: It's a good question, something that we debate on all the time, but I think the answer is very clear. AI is actually a horizontal layer. It is not specific layer for a particular -- so you can think of any -- we can see a world where even a single agent can be a \$1 billion agent. If you ask me, maybe in 3 to 5 years, there is one agent which is so good at doing what they're doing that pote

ntially which is used by everyone.

And so we don't think that AI is as much of a vertical because most of the AI models, general AI models become more and more smarter and better, so the vertical AI kind of vanishes. And in certain cases to reduce infra cost and so on and so forth, you will have to build out RAGs to be able to make them slightly more optimal and somewhat more interesting. But we don't think that, that is a verticalized approach that would not work. It's a horizontal layer. It's not a vertical layer.

Moderator: Sorry to interrupt Mr. Sancheti, may we request you to please rejoin the queue. We have other participants waiting for their turn. The next question is from the line of Aman from Ingrid Capital.

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Aman : Hi. Thank you for the opportunity and congratulations to the management for a good set of results. My first question was, as we are targeting a 20% to 25% revenue from our international operations over 2 years. What proportion of this is expected from high- volume, low -margin business and -- versus our high-margin value -added service?

Vishal Mehta: Aman, a lot of it, we think, will come from -- at least this year will come from high volume, low margin. Fortunately, in international, the margins -- low margins itself is slightly higher than our margins here in India. So in other words, the net -- the take rate over there, international is almost 2x more of what we get in India.

Now even if we go with high volume and low margins, we expect that there will be a drop in the take rate internationally because when we add large clients, we would work with lower margins. The good thing in this is that we are also expanding across smaller merchants in that geography through -- by ways of aggregation , as well as through indirect channels. So we believe that there will be some compromise in terms of margins, but it will still be higher than what we make in India.

Aman : Okay, sir. And next was, I mean, a follow -up like with Saudi Arabia that is, I mean, ramping up its -- in terms of enterprise clients like Nissan and VFS going live, what is the expected payback period for this international infrastructure investment there ? And how do we compare the margins versus our domestic operations?

Vishal Mehta: Second part of the question is margins are a factor of magnitude, at least 2x of what we see in India in the international business, that's one. But you also will appreciate that there is going to be competition, and we are aware of the fact that there will be more and more companies who would want to participate in terms of growth in the Middle East, specifically in Saudi Arabia.

But it's also a regulated market, much like India, and there is regulatory authority, SAMA, which is very particular about who they allow and who they don't. In fact, we took more than a few quarters to even go live because we have a 100% subsidiary there. We have a SAGIA license. We don't have any partner. We are one of very few companies who have it. So I think that is one part. What was the other question that you asked? Can you remind me?

Aman : Expected payback period for this investment?

Vishal Mehta: We think the payback is -- we don't want to be super aggressive, but anywhere between 1 to 3 years. We think that if we are able to -- we've spent quite a little bit of capital on localization, there will be more and more wall gardening that we call about for each country because they want to keep data internally and they want to make sure that their financial systems are not compromised, and we have to continuously upgrade on both regulatory and compliance-related

activities.

But the payback given that we have built out scale in India and that we have been in this domain for more than a decade, we think that -- and because we have so many clients in India, many of them, they also have presence in the Middle

East and in Saudi. So for them to go after the low

lying fruit for us is very easy. If they trust us in India, they can also trust us in Saudi. So I think the payback won't be more than 3 years.

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Moderator: The next question is from the line of Grishma Shah from Envision Capital. Please go ahead.

Grishma Shah: Hi. You know, thanks for taking my question. A couple of quick questions from my side. I want to understand Rediff business model a little better and what are our monetization strategy across various verticals, including RediffPay?

Vishal Mehta: Yes. So this is Vishal here. I will talk about RediffPay Enterprise, and then I'll tell Vishwas to speak about RediffPay. Rediff has, it's -- as you perhaps know, it's been around for more than 2 decades. And we picked up 54% majority stake in Rediff last year, in -- sometimes in September and October of last year.

So from the outside, you would see Rediff as being a top 1,000 traffic site in the world. Rediff has not made much blitz in advertising, there's practically zero spent on marketing for the last 3 years, at least. And so in some ways, but still it continues to be top 1,000 traffic site in the world and top 100 in the country.

Number two, they have enterprise e-mail business. So Rediff sends about 0.5 billion e-mails every day. When you talk about enterprise e-mail, much like you have outlook in Google as enterprise clients. So in your company you would use either a Google client or an outlook client for managing your company enterprise emails. Rediff is providing enterprise e-mails for more than a few thousand companies.

In fact, between Rediff Pro and Rediff Enterprise, there are more than 20,000 companies using Rediff mail client. Each of them, they pay a certain amount per box -- per mailbox. And so in some ways, it's scaled up because it's managing 0.5 billion emails every day. And then there are 175 million registered e-mail users who are consumers on Rediff, out of which 75 million have not come to Rediff for 10 years, which means that they are somewhat not active.

And if you look at daily active on Rediff, there are about 7 million. So 7 million people come to Rediff every single day out of the rest of the 75 million. So our objective there is that in terms of revenue streams that is e-mail subscriptions that is being paid by enterprises and then there is ad sales, advertising sales. And those are the 2 business opportunities that we want to go after.

Can we provide because we believe that much like in payments, there is data localization.

Similarly, in e-mails also, there will perhaps be an opportunity to do data or there may be certain mandates because GDPR guidelines are there, but more DPDP guidelines are also there. So there will be an opportunity to make sure that there is going to be localization of data.

Today, if your data is on -- if you're using Google client, your data is on Google Cloud. And if you are using outlook, it is on Azure Cloud. Both of them are international companies, which means that e-mail is not encrypted, your email is visible to anyone who's a regulator. And with

macroeconomics, the way it is, we believe data localization will come in e-mails also, which means that anyone and everyone -- and Rediff is one of the -- perhaps the only one or one of the 1, 2 or 3 companies that has a track record with data localization for so many years.

So we think that, that's one opportunity. Ad sales is another one. So as we increase traffic and relevance, we will be able to monetize on those adds. And you're talking about -- I mean, even

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today, the ad revenue is more than \$1 million. okay? So we think that, that is an opportunity to go after. As far as RediffPay is concerned, I'll tell Vishwas to talk about RediffPay. Vishwas, go ahead.

Vishwas Patel

: Thanks, Vishal. So look, RediffPay -- since Vishal just mentioned the number of users, active users that are there on the platform, right? So RediffPay is our -- am I audible?

Grishma Shah: Yes, sir.

Vishwas Patel: Yes. So RediffPay is our strategy to go directly to the consumers and onboard them on multiple things to get them in the ecosystem. So we are already very strong on the B2B. On a merchant perspective, we have lots of things in payments and platforms and other things that we have. The

whole secure ecosystem with the merchants is there, the whole ecosystem with the banks is there.

Now the whole ecosystem is the consumer is the play that we are getting with RediffPay. So RediffPay will onboard merchants through our TPAP license through NPCI to get their UPI being mapped. But that is the first part. When every transaction the consumer does using that. So if they're paying through mapping it through their RuPay card or CC on UPI or credit on UPI, there is interchange and there's money that is coming in from the other side, right?

So there is a transaction -based revenue that keeps coming in. So that's the first part. Now through our BBPS licensing and Infibeam Avenues of Bharat Bill Payment Systems, we have already started. If you upgraded the latest one, we already started with mobile prepaid recharge. There are like 1 billion prepaid SIM cards in the country doing an average of 1.1 billion recharge transactions every month, right, for recharging, only 5% is postpaid. 95% is prepaid.

So those transactions and those volumes will be processing through it, any utility, any bill payments, any credit card dues, all those have already started, and you will see a bigger achievement, transaction volumes scaling up very quickly and people are also using, mapping their bank ac counts to create their Rediff UPI ID also.

So cross -selling is one of the key parts where we want to put the entire ecosystem where they have their own e -mail because if you've seen from 1999 until now 2025, where we are today, e -mail has not changed. Everything else, the whole technology has changed, but you still have your e -mail ID, right, which is there and you still need it for everything.

So Rediff is one of the core and under the DPIIT Act and you have seen the data protection that will very clearly stage data localization and other things for audit for within the Indian law enforcement authorities.

So there Rediff already has a good track record with thousands of companies using and 0.5 billion e -mail going out. So then merge it with the UPI and the cross -selling of all our other services, which is just the start. Many other monetization things will also happen. And you're already seeing what's happening in the industry. So money is to be made on every transaction that comes in. And your good part is that we already have a base of consumers, right? And we already have millions of users already there.

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So that's how the whole monetization of RediffPay will be there in the initial strategies, cross -selling a lot of new things and innovative things that we'll be putting it with a lot of metro tickets to everything the entire ecosystem that can happen. So that is first initial strategy. That's how the RediffPay strategy will evolve in the next 2, 3 quarters.

Grishma Shah: Okay. So maybe by the end of next financial year -- I mean this financial year FY '26 is when we will slowly start monetizing the entire Rediff ecosystem? Is that a fair assumption?

Vishal Mehta: The fair assumption to make it is that by end of next quarter, we would have started monetizing.

Grishma Shah: Okay. And the other thing that I wanted to understand is that the UPI incentive in the system has -- by the government has come off. And the noise around this is that the MDR for large merchants is coming through. So wanted your views given that you

are pa rt of this entire

payment ecosystem and one of the leading fintechs. I wanted your views as to how this entire thing would shape up for everyone in the industry?

Vishwas Patel: So frankly, since I chair also the Payments Council of India, we're well aware that it has gone up to the Prime Minister's Office to do it for this particular decision. But right now until it happens, we cannot comment on it. But anyway, since we are one o f the largest processors of UPI transactions, online as well as now with a SoundBox offline also. So any kind of this will significantly add a lot of revenue if it happens.

Grishma Shah: Okay. And the other question was on the international operations. Key -- since we have spent so many quarters to get our compliances in place with SAMA and the other GCC regulators, how do you think our go-to -market approach across these countries, I mean, do we have like a strong head start? How do we look at this?

Vishwas Patel: So in UAE, we are already dominating. We are in the top 3 and some of the biggest clients there in that market in UAE, be it all the MR, Nakheel, DAMAC, even if you want to buy your ticket to go through Emirates, it goes through us. If we want to go visit the Burj Khalifa at the top.ae, it goes to CCAvenue payment gateway. So all -- some of the biggest -- we have made a significant inroad into the UAE market.

Saudi market fortunately or unfortunately due to the regulatory thing, licensing thing and data localization that they're interested, we had to post the entire primary and our DR systems there within the Kingdom. So that's why it got delayed and this thing, but now we are live and transactions are coming in, significantly less competition there at this moment there.

But I think we'll scale those things up fast because we've seen a lot of our merchants within the UAE are also present in Saudi, and they're looking forward to onboarding on to us. So we think

that we will be fairly successful in Saudi and Oman, we have gone through the technical route where we are providing our tech steps to the leading banks there.

So Bank Muscat is live, in fact, it's very significantly well doing more than 1 lakh transactions a day with us, that's the Bank Muscat, which is like -- has 70% of market share of Oman is working on our stack and then we have all the other 3 banks, Bank Dhofar, Bank Sohar also working on a platform there.

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So all the top 4 banks in Oman are already on a platform through our TSP route where we make money on every transaction as a technical service provider. So those 3 are the biggest markets in the UAE, that's said. And as we have already announced, it will be going into U.S. and Australia shortly after this. So that's the whole strategy right now.

Moderator: The next question is from the line of Tushar Sarda of Athena Investments.

Tushar Sarda: Congratulations on a very good set of numbers. I just wanted to understand your numbers, the basic numbers in a little more granular fashion. So as per the quarterly results filed with the exchange, you have 2 lines of business, payment business and e -com and platform. So what is the e-com and platform is one question?

And on payment business, you report transaction value, gross revenue and net revenue. So if you can explain what are these numbers and how do they relate to each other?

Vishal Mehta: Sure, Tushar. If you look at the notes below, in the notes, the business segments are qualified.

In other words, what is included in the platform business and the payment business, so in other words, anything which is -- in specific, any place where we are providing software frameworks and that's software frameworks, if you look at Note 2 or from the financial statements -- it will actually -- in Note 2, you will actually see what has been included in the payments business and the platform business ,

right. So your first question is that what is included. I think that is qualified

in Note 2 of our financial statements. And what was the second question that you had?

Tushar Sarda: So within this, so when you say e -commerce platform, in the presentation, there is just one slide, I think, on the e -commerce platform. So do you have license revenue or you have recurring -- because previously, I believe it was GeM. But now GeM you don't recognize the revenue, right?

Vishal Mehta: Correct. So we don't recognize from December 2023, we have stopped recording it, although GeM completely runs on our platform. So even as of today...

Tushar Sarda: So what is the revenue here in this platform business, what is the revenue?

Vishal Mehta: So we provide our platform. We are talking about millions of dollars of licensing revenue. So in the past also, we had mentioned that we are -- we have given our entire framework to very large enterprises.

You would see some names over here now. Jio is one of them. Internationally, we have given it to 3 companies. One is Saudi Telecom, which is based out of Saudi Arabia. The entire framework works on us, and we continue providing it to about 7 different companies. So over there, primarily, we get licensing revenue. We do have a...

Tushar Sarda: So it's a fixed revenue?

Vishal Mehta: It's a fixed revenue. But there is a success fee in addition to licensing revenue that kicks in sometimes. So in other words, GeM was more transactional revenue, but GeM revenue has been stopped being recognized since December 2023.

Tushar Sarda: So this is the same kind of platform, which was used for GeM? Or is it on...

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Vishal Mehta: Similar platform to GeM. Not the same. So we are in arbitration with GeM. We're expecting to hear back about -- fortunately, we do have legal position saying that this intellectual property solely belongs to Infibeam Avenues , s that we have from the court . But we are in arbitration to be able to find out what -- as far as the licensing fee is concerned from GeM. So that part, we will have hopefully something to share in the next quarter or so.

Tushar Sarda: So my next question was on the payment side, sorry, Vishwas, you were saying something?

B. Ravi: Tushar, Ravi here. I just was saying with regards to platform, there, we have always mentioned the last 2 years, if you see even when GeM was going out. And that time, there were questions as to who could be using this platform. And we had said that we have built a platform for all times to come, and we can use it for various clients on just as a small customization.

That's exactly what has happened that though GeM is not there, this platform business continues with not just Jio, which was there at that point in time and growing every day, but also the international and 7 other customers like what Vishal said. So this for monetizing our platform

already built in with a full infrastructure, which now is being monetized. That's how it is. Please continue with the next question.

Tushar Sarda: Yes. My next question was on the payment business. You have the gross transaction payment process. Then you have gross revenue and you have net revenue, right? So how do these numbers correlate with each other?

I understand that in the gross payment that you process, there's a lot of revenue on which you don't earn any -- a lot of payments on which you don't run any revenue, right? So I am assuming that only the credit card portion is what you earn revenue on, which is around INR68,000 crores for the quarter?

Vishal Mehta: It's credit and debit cards also and corporate cards. So in other words, UPI is...

Vishwas Patel: Net banking also, wallets also.

Tushar Sarda: But majority, it is credit card, right? I mean 175 basis point gross you will get on credit cards, the others may be very small.

Vishal Mehta: Correc

t. Net banking is also big. Credit card is the major one, but net banking also significantly contributes.

Tushar Sarda: So when you say gross revenue, it is all related to payments, is it?

Vishal Mehta: Yes. So gross revenue, Tushar, if the question is that whatever revenues we report, we segment revenues. If you look at our segmental results, you will have the gross revenue, which is segmented between payments and commerce. So if you -- kindly go to the slides, you will see.

So gross revenue is the combination -- the total gross revenue is a combination of payments and platforms.

Tushar Sarda: But majority, it is payment, INR1,047 crores for the quarter? On that INR2.25 lakh crores of payment process. Right?

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Vishal Mehta: So there is -- Tushar, we collect revenue, which is gross and there are certain expenses for -- which we have to pass on, which have been booked before we come to the net revenue. So there is this expense portion, which is deducted from that gross to net in terms of passing on certain commission. And then that net revenue becomes the net revenue after that, all the overheads and all will allow us to get to the EBITDA. That is the flow of the revenue -- the income.

Tushar Sarda: No, no, that I understand. I'm just trying to understand the gross revenue concept.

Vishal Mehta: Gross revenue, you're spot on. You're spot on.

Tushar Sarda: So it is around 50 basis points? It's 50 basis points? Correct?

Vishal Mehta: Yes. Certain UPI construction beyond zero TDR, so there those need to be removed. But on an average, you're right.

Tushar Sarda: And then you have a net revenue, which is on INR1,050 crores. I believe it's around INR80 crores kind of net revenue that you're reporting. If I take your presentation and remove the e - commerce...

Vishal Mehta: 77.9%. You're right. That's the EBITDA.

Tushar Sarda: Okay. So yes, I just wanted to get my head cleared on the numbers. That's clear. And now you mentioned very interested thing about...

Vishal Mehta: Sorry, net revenue is INR135 crores -- sorry, EBITDA is INR77.9 crores.

Tushar Sarda: Yes, INR135 million crores minus INR51 million crores of e -com?

Vishal Mehta: Correct, correct. Yes, that's right.

Tushar Sarda: So INR84 crores for the payment business?

Vishal Mehta: That's right.

Tushar Sarda: Yes, then, you mentioned a very interesting thing about Soundbox, which would be kind of integrating everything. So which means my credit card can go on now on my phone. I don't need to carry it physically or is it only for Google or Android operating system?

Vishal Mehta: Let me explain. The TapPay is what was only on the mobile that comes along with the CCAvenue merchant accounting and reporting system app, right? So you download the app and through that on your android phone, you can start accepting it. Soundbox is a physical device.

So today, you have seen all this QR code with SoundBox devices everywhere on every merchant.

But this also does, not only does the static QR, which also does dynamic QR map to the amount of the transaction so that when you scan it, you don't have to put the amount. It also accepts credit card, Mastercard, Visa, RuPay, credit and debit plus EMI and other things also.

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So it's a very up from a normal just speaker [Foreign Language] QR code static QR. This gives

within almost very little on the upper side of the typical speaker SoundBox. So this is a physical device that is deployed reported within the same.

Tushar Sarda: I understand that. But you said that the credit card can go on the phone, right? So that is -- that depends on the phone OS that you don't have anything to do with that?

Vishwas Patel: That is TapPay, the CCAvenue TapPay, that will go only on any android phone.

Tushar Sarda: Yes, that's what I want

to understand. Can I ask one more question?

Vishal Mehta: Go ahead. Yes.

Tushar Sarda: Yes. So you are trying to do a lot of new things. But your existing business return on equity is 4%. So as a shareholder, how do I reconcile to this, that our existing business on 4%, whereas the opportunity seems to be massive in front of you. So as a shareholder, how do we look at it?

Vishal Mehta: Tushar, the way to look into it is, I think goodwill is artificially depressing our ROE, so there's a big line item called goodwill in our balance sheet. And that is the one which is depressing our ROE for the time being. So if you remove the goodwill, you'll perhaps see that ROE is better than what you are talking about, much better. So that's one.

Second is that we are looking at investing. There will be a capex cycle that we're getting in into.

But that's mainly around making it more AI ready. In other words, all our frameworks and all the things that we have built out, I think it builds automation, and it is essentially -- I think it's survival for any company to actually get into that space.

But of course, opinions may differ. At least the time that we have spent in about last few quarters in terms of building our capabilities, we find that there's significant leverage and advantages that

we get if we are moving quickly into this, and it's moving also very fast, that space. So -- but to answer your question on the ROE, if you remember the goodwill, it's that's the way to look at it.

Tushar Sarda: Then it will come to 20% plus, I think, because it's almost INR2,000 crores.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Vishal Mehta: Thank you all for joining our FY '25 earnings call and looking forward to keeping you updated on the latest development and have a good evening.

Vishwas Patel: Thank you, everybody.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

INFIBEAM AVENUES LIMITED

Regd. Office: 28th Floor, GIFT Two Building, Block No . 56, Road-5C, Zone-5, GIFT CITY,
Gandhinagar – 382 050 CIN: L64203GJ2010PLC061366

Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@ia.ooo | Website: www.ia.ooo August 13, 2025

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai - 400 001 Company Code No.: 539807 National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex, Bandra (East), Mumbai - 400 051 Company Symbol: INFIBEAM

Dear Sir/ Madam,

Sub: Transcript of Earnings Conference Call for the quarter ended June 30, 2025

In compliance with SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Invest or/ Analyst conference call on financial performance of the Company for the quarter ended June 30, 2025 conducted on Friday, August 08, 2025, after the meeting of Board of Directors, for your information and records. This transcript is also available on the website of the Company i.e. www.ia.ooo .

Kindly take the same on your records.

Thanking you, Yours faithfully, For Infibeam Avenues Limited

Shyamal Trivedi Sr. Vice President & Company Secretary Encl.: As above

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"Infibeam Avenue s Limited

Q1 FY26 Earnings Conference Call"

August 08, 202 5

MANAGEMENT : MR. VISHAL MEHTA – CHAIRMAN AND MANAGING
DIRECTOR – INFIBEAM AVENUES LIMITED

MR. VISHWAS PATEL – JOINT MANAGING DIRECTOR –
INFIBEAM AVENUES LIMITED

MR. SUNIL BHAGAT – CHIEF FINANCIAL OFFICER –
INFIBEAM AVENUES LIMITED

MR. B. RAVI –INDEPENDENT CONSULTANT – INFIBEAM
AVENUES LIMITED

MODERATOR : MR. RAJAT GUPTA – GO INDIA ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to Infibeam Avenues Limited Q1 FY '26 Earnings Conference Call, hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajat Gupta from Go India Advisors. Thank you, and over to you, sir.

Rajat Gupta: Yes. Thank you, Hamshad . Good evening, everyone and welcome to Infibeam Avenues Limited earnings call to discuss the Q1 FY '26 results. We have on the call with us today, Mr. Vishal Mehta, Chairman and Managing Director; Mr. Vishwas Patel, Joint Managing Director and Mr. Sunil Bhagat, Chief Financial Officer. Also joining us on the call today is Mr. B. Ravi, who is advising Infibeam on corporate and financial strategy as an independent consultant. We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risk that the company faces. I

now request Mr. Vishal Mehta to take us through the company's business outlook and financial highlights, subsequent to which we'll open the floor for Q&A. Thank you, and over to you, sir.

Vishal Mehta: Thank you, Rajat. A very, very good evening to everyone. It's truly a privilege to be here with all of you today, our partners, our investors and those who have placed their trust in the Infibeam journey from the beginning. At Infibeam, we've built our success on 2 core principles: deep technology and strategic foresight.

Today, I want to talk to you about what we believe is the next defining chapter in that journey, a theme that's not just shaping our road map, but the very way and value whereby which is being created in this digital age.

The theme that I'd like to talk to you about today is platform convergence. We believe that the age of platform silos is over.

Now over the past few years, we have built a scaled category-leading products. For example, with CCAvenue, we've become a trusted name in digital payments. With our e-commerce platform, we've supported giants like Jio, Saudi Telecom, government and others, powering the robust infrastructure at scale. Now with Phronetic.AI, we have stepped boldly in the AI frontier.

We see that the market is also evolving and so are the customer expectations. Today's businesses, whether they are start-ups, SMEs or large enterprises, they don't want fragmented tools anymore.

What they want is a complete solution. They do not want to juggle with disconnected systems. They're asking a simple and a powerful question. Can I do more from one platform without the friction and without the overheads?

Our answer to that is, yes. The way forward is through convergence. Now let me be clear on why convergence wins. This isn't just about bundling products or stitching different platforms together with features.

Convergence to us is actually a mindset shift. It's about reimagining how value is created when platforms are strategically aligned. Let's look at the flow for an example.

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We believe that payments fuels commerce. Commerce feeds into CRM and operations, and operations will drive productivity and AI that we are investing in will empower every step of the chain. When these elements exist in silos, you get friction, but when they converge, we believe you'll get flow. The result will be a better user experience, higher retention, richer data intelligence, lower cost to serve and a massive opportunity to cross-sell and upsell.

This isn't about diluting the focus. It's

about amplifying the impact. Earlier today, Infibeam

Avenues Board has approved a strategic transfer of the e-commerce platform infrastructure business to Rediff.com for INR 800 crores. I would like to address why the platform moved to Rediff and why now. It's a pivotal decision in our strategy.

We believe that our e-commerce platform business, while extremely strong on its own, can deliver even greater value when paired with Rediff's enterprise ecosystem. Here's why the combination makes powerful sense.

First, the framework fit. Rediff's enterprise platforms, Rediffmail, RediffPay for consumers and the growing Rediff Fund suite are purpose-built for productivity, CRM and ERP. By adding e-commerce to this framework, we complete the entire circle. Second, the go-to-market strategy, Rediff has already got long-standing relationships with thousands of businesses across e-mail communications and media.

This gives us an immediate access to trusted distribution channels perfect for bundling, upselling and scaling quickly. Third, the power of the brand. Rediff's legacy and credibility, especially both in Indian as well as global markets, bring increased visibility and resonance to our platform.

Finally, strategic oversight. Even as we transition the platform under the Rediff umbrella, Infibeam retains more than 80% equity control of Rediff. That means we remain closely aligned not just operationally, but in the vision and execution as well. What this means for investors is what I'd like to cover.

To me, it means financial clarity. It means business focus. We now operate through 2 powerful independent scalable verticals. One is Infibeam, where we are focused and where we are focusing all our firepower on CCAvenue payments and AI infrastructure. The second one is Rediff, where we are now unlocking the full potential of e-commerce enterprise SaaS, which is software as a solution and productivity platforms.

This structure reflects maturity and the confidence to align capital, leadership and strategy to the right verticals at the right time. It also mirrors what we are seeing globally, where platform companies are winning through vertical integrations, ecosystem thinking and unified customer experience.

With platform convergence, we are now positioned to build end-to-end ecosystems that means full spectrum business needs, develop deep partnerships that go beyond transactional integration, scale across industries, geographies and digital use cases and most importantly, become indispensable infrastructure in the digital economy. This is not just about optimizing what we have. It's about designing the infrastructure for tomorrow.

Let me leave you with this thought before I transfer the call to Vishwas. We are not creating platform silos. We are creating multipliers of value. We are not shifting assets. We are realigning them to strategic acceleration. As India's digital economy gains momentum, Infibeam isn't just participating.

We are building the roads, the rails and the engines for AI that will carry it forward. We remain deeply committed to transparency, execution and long-term value creation. Now with that, I will pass on the discussion to Vishwas on business updates. Vishwas, over to you.

Vishwas Patel: Thank you, Vishal. Good evening, everybody, on the call. Before I begin, I want to express our deepest gratitude to all our investors for the successful rights issue. Your continued belief reinforces our conviction and gives us the momentum to accelerate growth and innovation with confidence.

As Vishal mentioned, Rediff is now entering into a transformative growth phase built around three focus verticals. The first one being Rediff platforms. This includes RediffOne, an enterprise e-commerce suite designed for large and mid-sized businesses to manage their full digital life cycle from storefront

to analytics and CRM. Rediff platforms will offer a full SaaS-powered business ecosystem.

This is made by us Indians, in India, hosted in India and complied with all our local Indian laws.

The second is the Rediff-TV, our newest and the most exciting venture. Rediff-TV is India's first fully AI-driven content platform, enabling creation, curation and monetization at scale. With a robust ad tech engine built in, it's not just about streaming, it's about building a high-growth media and advertising vertical powered by machine learning.

The third one is RediffPay, our future-ready platform designed to scale with the next wave of innovation, be it UPI, stablecoins, CBDC or tokenized commerce. It complements our enterprise offerings and enhances the user experience across verticals. These 3 pillars form a scalable integrated ecosystem. With convergence closing soon, Rediff is expected to cross INR 300 crores in run rate revenues and we are confident it will exceed INR 1,000 crores in annualized revenue within the next 12 months of closing.

Meanwhile, Infibeam Avenues will continue to sharpen its focus on the 2 powerful engines:

CCAvenue Payments, one of India's most trusted payment gateways, offering deep integrations, regulatory credibility and a strong merchant partnership across sectors.

Phronetic.AI, our AI arm focusing on building advanced reasoning models, VLLMs and Agentic AI platforms to drive intelligent automation across payments and beyond.

From personalized transactions to adaptive fraud detection, Phronetic is not just enhancing performance, it's redefining how AI transforms financial infrastructure. Together, CCAvenue and Phronetic.AI represents the fusion of scale and intelligence, the future of smart, secure and context-aware fintech.

With these verticals, we are confident of building a long-term sustainable value for businesses, users and our investors. Now over to Sunil, our CFO, for the financials. Sunil, sir?

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Sunil Bhagat: Thank you, Vishwas sir. It's a pleasure to speak with you today and to share our quarter 1 FY '26 performance, which reflects continued execution of our strategic road map, robust demand and operational discipline. Let me begin with the consolidated performance. I'm pleased to state that we have been continuously delivering tremendous growth quarter-on-quarter and year-on-year. This quarter 2 is no exception.

Our gross revenue jumped by 72% year-on-year, reaching to INR1,280 crores as compared to INR745 crores in quarter 1 FY '25. On a sequential basis, this makes a nearly 10% growth, demonstrating consistent momentum across our business unit. Our net revenue grew by 31% year-over-year and 13% quarter-over-quarter coming in at INR 152 crores during the quarter, reflecting strong consumer engagement and deeper market penetration.

Our net take rate yet again stands beyond the 10 bps and is at -- stood at 10.4 bps as against 10.6 bps quarter-over-quarter, which reflects the healthy margins, and we expect a double-digit growth in the current fiscal in view of the geographical expansion. Our adjusted EBITDA increased by 3% year-over-year to INR 71 crores and adjusted PAT came in at INR 85 crores, which is up by 70% from the same quarter last year.

This is a direct result of our commitment to efficiency and sustainable profitability. Our EBITDA margin stands at an impressive 47% and PAT margin further improved to 56%, which is up from

43%, which both indicating strong margin expansion and support superior operating leverage. Now moving to our stand-alone performance. Our gross revenue saw a big jump of 76% year-over-year to INR 1,198 crores, while the net revenue rose to 13% year-over-year to INR 102 crores. While net revenue saw a 4% sequential dip, we remain confident that this is temporary and already see early signs of recovery. Our a

djusted PAT surged at 81% year-over-year to INR59 crores, showcasing the inherent strength of our core operations.

Our adjusted EBITDA on a stand-alone basis was stable at INR 37 crores year-over-year. As expected, there was a sequential decline of 45%, which reflects timing of certain expenses and one-offs, not reflective of our core trend line. The stand-alone EBITDA margin stands at 36% and strong PAT margin at 58%, which reflects prudent cost control and sharp execution. Looking ahead, these numbers affirm our platform-led strategy, our ability to scale efficiency and our focus on value creation. Our dual approach that is scaling gross revenues while improving operational leverage has delivered strong bottom line growth. As we move forward, we remain committed to enhancing shareholder value through innovation, disciplined growth and strategic investment in our future.

For the full year FY '26, we provide the following guidance. We are projecting revenue of INR5,250 crores in the lower side and INR5,500 crores on the higher side. In case of net revenue, we are expecting in the range of INR 540 crores to INR 600 crores. EBITDA in the range of INR325 crores to INR 350 crores, and PAT, we are expecting at INR 220 crores to INR240 crores in FY '26. I thank you once again for your continued support and trust and partnership.

I will now hand over the call to the moderator for question-and-answers. Thank you.

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Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rahul Jain from Dolat Capital.

Rahul Jain: Just a few questions. Firstly, on the transaction, if I understood the contours of the transaction, basically, we have valued the business that we are -- the platform business that we are passing on at INR 800 crores, out of which half of the consideration is coming against 28% additional stake in the Rediff business.

When we bought the initial 54% stake, the value of that business was significantly lower, while this 28% stake is valued at INR 400 crores. Can you please explain the reason for a meaningful jump in the valuation of the Rediff stake or is there some misunderstanding here?

Vishal Mehta: No, Rahul, you're absolutely right. Basically, the first investment of Rediff that we made was in the second to the third quarter of last year. We completed the transaction end of September. This September, we finished almost 1 year. Within that time frame, there are 2 or 3 large opportunities that Rediff was able to work upon.

First one being the most recent, as you recollect or you may have seen in the news, Rediff has become quite a bit of default choice for very, very large enterprises. There have been news that some of the largest companies in the country have started moving into Rediff, given the macroeconomics and certain sanctions that have started coming in.

This is somewhat a global news, but even prior to that, we had seen quite a bit of traction for companies who were earlier using enterprise e-mail platforms of MNCs moving into Rediff given that the platform has data localization. It's Indian-owned, Indian controlled, and it has been around for more than a couple of decades. In some ways, we saw very good traction from a platform perspective in Rediff.

The security standards are extremely relevant nowadays. We see a lot of movement for medium and large enterprises. You'll appreciate that a lot of BFSI clients, names like, HDFC Life and many others, they're all on enterprise Rediff platform. We saw quite a bit of traction there in terms of growth of the core business of the platform for Rediff.

Mind you, there are more than 20,000 different companies still utilizing Rediff on Rediff E-mail Pro and others. I think that business has grown quite a bit. The one that I'm talking about specifically in the news is regarding

the companies working in the energy segment. You could perhaps take a look at that as well.

The second thing is that Rediff has built out a complete RediffPay framework. This is a UPI-driven framework. We've received the in-principle approval from NPCI. The app will be -- in fact, you would have noticed that Rediffmail app has been upgraded to becoming a super app, which includes pay, and very shortly, pending confirmations and approvals from the regulator, we'd be launching it very shortly.

We think that is a pretty massive potential in terms of the opportunity space. The third area that we've built out in the last -- I don't know, whether you've been using free Rediff e-mail. That

has also been upgraded massively on a single stack. The third one, which is the media asset on -- and we have launched a complete media framework on television.

You would imagine that eventually, there will be something on Rediff News and Rediff Money and many others that potentially have an opportunity to grow. It's actually fully AI-driven, no humans, and it's the first of its kind in the country. We think the potential of this asset is pretty significant. It's great.

It's got a fabulous brand name. We had a fair valuation of this asset done, but yes, you're right, it goes in the INR 300 crores to INR 400 crores range, which is maybe a factor more than what we had invested in earlier.

Rahul Jain: Right. Just to understand what you just said, so is the current revenue run rate also meaningfully changed from the run rate that we started off or it's just an early sign, which could culminate into a much larger thing? Secondly, the INR 400 crores infusion that this entity might do to us, what is the source of these funds? Whether it is sitting in as part of the cash balance of this entity, not able to figure that part as well ?

Vishal Mehta: Yes. No, Rahul, great question. The entity has significant cash balance. I think it's good, but that is not the source of the INR 400 crores that potentially comes back to us. The entity has an opportunity to raise capital. There have been some inbound interest from time -to-time. The entity is evaluating multiple options of fundraise, but we will be able to share as and when we hear from them shortly, and we'll update the group.

I think the transaction closes within the next 3 months to 9 months. Our expectation is that capital will come into our balance sheet within the next 3 months to 9 months. That's one. Your first question around what is the momentum in Rediff. We've seen significant contracts that have come in to an extent where there are multibillion- dollar contracts that Rediff has signed up on. We expect that, that will generate quite a bit of run rate in the coming quarter itself. We're talking about Q3 of this year. That visibility is there. Again, I have to remind you that it's on a very small base. It is not a base where one can imagine, see, it's today also one of the top 1,000 traffic site in the world as per similar web and others. As of today, also, it's in the top 100 traffic site in the country.

We still have more than 100 million registered e -mail users. I think from a scale perspective, it's fairly large and scaled up. I think from a monetization perspective, that's where we find the largest opportunity at the moment. To your point, I think on a smaller base, yes, they've seen significant improvements.

Again, it has a long way to go. When Vishwas said that we'll be at a run rate of INR 300 crores, in the next 12 months, we expect the run rate to be INR 1,000 crores in Rediff, given the integrations.

Rahul Jain: Sorry, I missed this last part. What you are saying is that including the platform business, we should be reaching INR 1,000 crores kind of a run rate in Rediff in 3 months from now?

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Vishal Mehta: No, in the next 12 months. As of today, we'll be at a run rate of upwards of INR 300 crores once we integrate the platforms. Within the next 12 months, we expect a run rate of INR 1,000 crores.

Rahul Jain: This percentage stake that we have highlighted in the press release, this is not considering the new dilution that may happen because the fund inflow will only happen once the dilution happens?

Vishal Mehta: That's true. That is correct. That does not include the dilution that may happen post Rediff raising additional capital. This ownership reflects the moving of the platform as a slump sale into Rediff.

Rahul Jain: Eventually, post the fundraise, when we actually receive the money, the post -diluted equity should be more than 50% for sure, right?

Vishal Mehta: Yes, we expect it will be much, much more than that.

Rahul Jain: Still will be more than 50%. The reason of asking more than 50% is basically...

Vishal Mehta: Yes. It will be significantly more than 50%, we expect.

Rahul Jain: Just last one question. From the revenue growth point of view, we have seen a significant growth in the quarter. What we are seeing is a seasonality trend slightly getting disturbed for us in terms of the way we are booking revenue. Is there something that we need to now reassess that how ideally the fourth quarter revenue should trend every -- on a sequential basis o r is there any other pattern that should be more relevant for our business?

Vishal Mehta: Rahul, on a consolidated basis, all revenue consolidates because the ownership platform moves from Infibeam to Rediff, so I don't think you would see any impact to revenue or as a matter of

fact, even net revenue on a consolidated basis. You will have a small amount of minority interest. Other than that, you won't see much of a difference from a projection perspective. Our guidance for the year is also based on consideration of that. Sorry, I didn't understand your question. You wanted to say something there.

Rahul Jain: What I meant to say is that our growth sequentially in this quarter was quite significant, double-digit growth. If I look at the past pattern of our business growth, this used to be relatively a smaller quarter and we should trend more towards Q3, Q4. Is there a different seasonality of the business now? I understand the consolidation part, everything will be part of?

Vishal Mehta: Yes. That's a great question. I think there's a range that has been provided, but you're right, typically, Q1 is a slow quarter. We have seen some good amount of acceleration in this quarter. We have seen a good amount of traction from the businesses that we signed up last year. The mix of business is also improving for us. We are conscious of that. We believe that we'll still expect to see some seasonality in Q3. We are carefully watching in terms of how the business will move. I think the guidance that we have provided is a fair estimate of where we think the business may end up by the end of the year.

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Moderator: The next question is from the line of Mohit Jain from Dr Choksey Finserv Private Limited.

Mohit Jain: Sir, my first question is on the upcoming data center expansion. I believe we are expanding and adding more 8 megawatts of data centers. We already have two. I just wanted to know amount we are allocating to data centers out of the right issues amount? When will this 8 megawatt extra capacity will be commissioned? Based on the current pricing and utilization assumptions made by our internal team, what is the estimated peak revenue that we can expect from this side of the business?

Vishal Mehta: Yes. You're right, we have obviously scaling out our artificial intelligence frameworks, which may require edge compute, and edge is meaning that we need to be closest to the consumer from that perspective. We've always followed the client

. In other words, when we have a client and it's much easier to put up an edge compared to putting up an edge and then trying to find a client. I think the strategy that we are applying is that we follow where the client is. We believe that there's a lot of opportunities. I remind you that there's a lot of incentive by the government as well to promote the data center and data center frameworks in this country. Fortunately, for us, in many states, we have good power connectivity. Instead of actually selling up gigawatt, we are actually going after a megawatt.

To answer your question, what portion are we using for rights? We will use some portion for the IT infrastructure within the AI setup. For the non-IT, we don't have any allocation from the rights issue perspective because non-IT we'll do it from accruals. We have enough accruals in the company will -- because I'm sure you'll realize data center has IT components and non-IT components.

For the non-IT components, we'll continue from our accruals. The IT components, there will be a few specific areas where we will invest from an IT infrastructure perspective. Like I said, our strategy, and we'll talk about it more in the coming weeks, but you'll see that we'll be following a lot of our customers, and we'll be working on that front.

In terms of the revenues from this, I think it should start coming up starting next quarter, which is slightly meaningful. That's what we meant. We'll not segment it out, but we will definitely -- you'll be able to see quite a bit of that by the end of the year.

Mohit Jain: Just to follow up on that, if it's starting next quarter, so where are we expecting to commissioning the entire 8 megawatts, by the end of next year? Is it safe to assume?

Vishal Mehta: No, it may take us 18 months to 24 months. We'll not commission all of that. We will follow the client. When we have a client, we get much better ROIs. We'll be using it for our own captive purpose because wherever in video large language models and others, see, there are 2 trends which are happening.

One is that you can actually come up with smaller-and-smaller models once you have data that comes in. You may deploy a larger model, but then eventually, in order to optimize these models, Infibeam Avenue s Limited
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you may come up with smaller models. There is one dimension where it becomes less -and-less expensive, inference is almost becoming free and unlimited.

I think from that, we're reasoning models and training them and trying to build it out and then deploy it on the clients. We are evaluating and this whole structure is moving very quickly.

Rather than doing a postmortem, we are very clear that our strategy is that let's build for the clients, utilize the capacity, go to the next client to utilize the capacity, and we'll keep on building out.

If we get all the clients within 12 months, we'll do it, but we are going to be very cautious in terms of how we deploy that capital.

Moderator: The next question is from the line of Deepesh Sancheti from Maanya Finance.

Deepesh Sancheti: Just a few questions. Firstly, the Phronetic AI is positioned as a strategic growth engine. Could you share the monetization model and expected revenue mix from the AI-driven products like, fraud detection and intelligent routing by FY '28?

Vishal Mehta: Sure. Phronetic AI, it's going to focus on 3 things: the video LLM models, which we call in some ways, more than analytics, but actually understanding of videos. Second is the reasoning models that understands what's happening within the within the videos. Third is a complete suite of orchestration. It's like a full stack AI solution, which I call A gentic developer platform. Rather than humans working on it, agents can do quite a bit of work on that.

Rather than getting into too much specifics, we think that these are the 3 areas that are super

connected. I think rather than just creating a layer on top of GPT and providing it to clients, the way we think about Phronetic is that you need to be a full stack AI provider and from a large language model perspective, you can have multiple.

Today, you may want to use GPT and tomorrow, you may want to use Claude, but having said that, those are the tool sets that we will utilize. Having said that, rest of it is a full stack. When you provide that full stack to clients, you have full control over that ecosystem. Even the client will have quite a bit of control over the ecosystem. The reasoning models, we think that they'll be vertical specific.

In other words, you can think of it as a reasoning model for medical is different than a reasoning model for fuel station is a very different reasoning model. I think that, that's where we think that there's orchestration layer that has to play a role and may completely, in some ways, stateless for someone who's utilizing it.

As more -and- more data comes in, like I mentioned earlier, you would need to have smaller-and-smaller models that potentially give the same amount of efficiency, which is -- I mean, in some ways, the size of the GPU may actually keep on -- you may not need so much, and that becomes a very important component for the edge compute.

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I think from our perspective, the relationship of being able to provide -- and like I said, video has a huge number of applications. In some ways, to us, we feel that it's somewhat untapped in this country and in many other countries as well. It can be used for hospitals. We already use it for gas stations and others, but it doesn't stop there because once you have that inference, then you need an agent to do quite a bit of work that humans would typically end up doing.

When we started out, we started out in one area and then we started realizing that this requires a full stack. Very recently, we have just launched the beta version of our A gentic developer platform. In other words, anyone, including yourself, can actually go on to the developer platform and create your own agent, and it will fully deploy it.

You don't even need to have deploying an infrastructure and so on and so forth. In that way, it will end up doing and will practically do most of the stuff for you. We think it's pretty exciting, and we haven't seen that happen in anywhere in this country yet. I think we are slightly ahead of the curve. We want to continue being there.

How it translates into our revenue is that so far, we believe that there is a licensing component, licensing on each machine. In other words, if you have an H100 and if you want to deploy it on that machine, then we'll have a licensing component to what we provide. Then the second component is based on number of tokens calls, complexity, so on and so forth.

We do have revenues coming in. Like I said, they're not meaningful, but they're upwards of \$1 million a year. I think in the AI world, getting to that first \$1 million is also in our case, we feel that it's an achievement. Like I said, it's not meaningful to be able to go and discuss and talk about it.

We think that we can do a lot better. We can do much more than this, but it will have a component of -- based on usage and based on licensing. It will be a combination of both, not one or the other.

Deepesh Sancheti: We are doing revenues of \$1 million only on agent monetization?

Vishal Mehta: Not agent. It's actually VLLM reasoning model and agent combination. We've got field agents and desk agents. We can get into specifics, but the whole idea is that desk agents are there, field agents aren't there yet. You'll have a few providers, international providers that provide desk agents.

I think from our perspective, if you do a combination of reasoning and field agents, it is a very

strong combination with a full sta

ck AI layer. We can see applications in hospitals, gas stations, defense, many others. We believe that we'll talk more about it in coming months, but we are, again, cautiously optimistic about it because we see that there's a lot of potential. I think a lot of people are trying to even get to a point where they will understand what's going on. I do believe we are ahead of the curve, but that is -- that is not a consolidation. It just means that we have to work harder to actually be way ahead.

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I think from agent developer platform, I don't see that anyone else has built that out yet. You don't need to be a software developer to become -- to build your own agent, let's put it this way.

Deepesh Sancheti: About the international TPV run rate has crossed about AED 12 billion. How much did the international contribute to the net revenue this quarter? What was the Y-on-Y growth rate in that segment? Also, you've set a target of 12% to 15% international contribution to payments net revenues by FY '28. Which markets beyond the GCC will be the biggest drivers? What's your strategy to localize offerings in those markets?

Vishal Mehta: See, I'll tell you what our numbers and then Vishwas will tell you a little bit about our international payments business. International contributes less than 10% of our overall single-digit percentage yet, so we are not there, but we see a massive potential. Today, our major presence, if you come to think of it, will be in UAE. That is the largest geography. We started Saudi as well. We've got more than 10 to 12 clients now in Saudi operational and running. If you look at VSS and others, they've all started with us in Saudi. Yes, there is a target. Vishwas, do you want to take this about international?

Vishwas Patel: Yes, Vishal. As Vishal said, I think Middle East is our core target area right now. UAE, we have grown fantastically year-on-year growth and everything that is there, but the main business of international transactions is coming through UAE right now. Some of the biggest clients in the region there in UAE are our merchants. Similarly, we have now grown into Saudi. Saudi required a lot of data localization and other things. We are investing, putting up the entire infra there, primarily within the Kingdom there. This we think we act as a moat right, going forward. That also -- and the growth in that market will far exceed what we see in UAE market. Saudi is a prime target. We are all primed up to take it to the next level. We have everything in place there. We have invested a lot in data localization and other things. Oman is another country we are very excited about. Four of the biggest banks there are already using our platform. Some of the biggest merchants also were on-boarded last quarter. Oman is growing very well. We might look at the PSP model for the other small countries within GCC, be it Qatar or Kuwait, Bahrain. Apart from that, post this is there, of course, U.S. and Australia are also on the horizon. We want to first finish off our domination in the Middle East market before we move there.

Deepesh Sancheti: This quarter, we saw a significant rise, a very good growth, in fact, in our revenues, but the profit, the net profit has been almost -- I would say, it's lower than last year and flat quarter-on-quarter also. Where do you see the -- why is the margins -- what's taking the hit on margins?

Vishal Mehta: See, actually, if you look at our profits, it's actually grown as well. It's at INR 85 crores adjusted profit. If you read in our media release, there's a component of mark-to-market gain loss, which is where I think it shows artificially depressed. If you remove that impact, it comes out to be INR85.5 crores, which is 70%.

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In other words, yes, the mark-to-market is no impact to our cash flow, but it's the mark-to-market impact, which is artificially depressing the PAT number reported this. It's all notional. That is the impact for this quarter.

Deepesh Sancheti: The reason I'm asking is also because of the guidance, your guidance also you mentioned about INR220 crores to INR240 crores, which it's showing that it is going to be a growth of 5% to 15%, but whereas last year itself, we have done around INR 236 crores. Just wanted to have that number.

Vishal Mehta: I think we are being appropriately conservative. We believe that we'll be doing a lot of media activities and spends on building out the Rediff platform. In other words, we've allocated quite a bit of capital to promote certain activities within Rediff, though it be platform or pay.

Deepesh Sancheti: No, that's okay. I mean I'm not talking about the allocation of money. I'm just talking about that when the guidance is about -- the sales guidance is giving a good growth perspective. Why is that not being seen also in the profitability?

Vishal Mehta: Yes, that's exactly. In a consolidated basis, Rediff will consolidate into us, and we expect to spend a significant amount of our monies on branding and marketing Rediff because we are launching RediffPay, which is a consumer app. Consumers would use it much like what they would use for Google Pay, PhonePe and Paytm and others along with e-mails.

Our guidance includes the fact that we'd be spending for the next 6 months on promoting RediffPay and Rediff platforms and Rediff- TV and others. We'll be spending on branding and customer acquisition, which is where we believe that we're not optimizing on profit, we are optimizing on long term.

Deepesh Sancheti: I hope that long term also like with profitability, ROE also will see significant growth because right now, we are a t very small single - digit ROEs?

Vishal Mehta: I think that our ROE is again also artificially depressed because of goodwill. If you remove the goodwill from the ROE, which is the result of a merger, so if you remove that goodwill component of more than INR 1,000 crores, you would perhaps get the real ROE, which will perhaps show up. You're right. I think we'll always look at profitability as we build up.

Deepesh Sancheti: If you can just mention about what is the goodwill factor? How much will be adjusted book value be?

Vishal Mehta: Goodwill is INR 1,600 crores on the books at the moment.

Deepesh Sancheti: INR1,600 crores. That's approximately INR 4 as a book value gone.

Moderator: The next question is from the line of Krisha Anandpara from Statheros LLP . Please go ahead.

Krisha Anandpara : I have a question that of the INR 700 crores rights issue announced, how much has been drawn or committed in Q1? What tangible like, revenue or margin impact do we expect within FY '26?

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If you can give a clear split of how much will go towards AI marketplace development, AI infrastructure and payments expansion?

Vishal Mehta: Sure. Basically, in the letter of offer that we have published as part of the rights issue, you'll be able to see quite a bit of detail in terms of the capital raise for rights and how we expect to spend and the time lines that we expect to spend that all. Primarily, we'd be utilizing the capital in terms of growing the Rediff framework as well as being able to build out a defensible AI setup, which is what I just mentioned earlier. From the rights issue, it's partially paid. At the moment, we've closed the rights issue, and we'll be asking for the next call within 6 months. Yes, you'll see quite a bit of -- all the details that you require would be there in the letter of offer.

Krisha Anandpara : I have one more question. As you have announced plans for 12 small city AI data -driven centers, what is the expected c apex per site? How do you intend to ensure high ut

ilization rates early in the life cycle?

Vishal Mehta: See, we have been doing a lot of calculations, and you know that a lot of things are moving also from an ecosystem perspective, but we are appropriately conservative in terms of ensuring that the capex will give us the returns. The capex will typically be in terms of software developers, the IT infrastructure, software developers specifically around AI and others because you must have heard the news, they are few and far between.

Given the macroeconomics that we hear in the U.S. as well where some of the largest companies are throwing a lot of capital around that. Like I said, we are appropriately conservative. We'll be spending on practically the whole frameworks in the software development, the developers and the IT infrastructure that comes along with it to be able to deliver solutions to the clients.

Fortunately, we have a few clients who have already signed up with us and who are signing up with us going forward. I think to answer your question, a typical ROI in a data center will be anywhere between 18 months to 36 months for us. That's the target that we have in our mind. If it can happen earlier, it's even better, but that's the ROI time horizon that we think is a fair estimate.

That's what we target. We are not looking at a 5 year ROI because that's very hard to -- because a lot of things change in terms of upgrades and so on and so forth, so we are targeting 18 months to 36 months.

Krisha Anandpara : Any expected number for c apex per site? As you have mentioned, 12 more cities, AI data centers ?

Vishal Mehta: Capex per site will be -- I think you can expect that it will be anywhere from \$1 million to \$3 million.

Moderator: The next question is from the line of Satyam from Profit Mart Securities.

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Satyam: I have a couple of questions. The first question is the total TPV declined 3% year-on-year to INR1.9 trillion, can you detail this volume decline and whether this was due to seasonality or competition or macroeconomic factor? Also with the MDR-based payment contribution of 72% of TPV, how much did the mix shift towards zero MDR UPI? What impact net take rates in the quarter 1? Also how does it compare with the prior 2 quarters? Can you share the comparison?

Vishal Mehta: Yes, sure. If you look at the TPV, the TPV that we report has both platforms and payments. If you look at the impact of -- and the platform is primarily GeM in this. If you remove the impact and look at quarter-over-quarter, actually TPV for payments has increased by more than 15%, 20% year-over-year, '25 versus '26 Q1.

We have consciously focused -- I mean, UPI is a part of it. Anything which is bill payments or others are excluded in the MDR piece because there, we don't get a percentage, any bill payments and others. If you look at UPI-based, we've consciously try to maintain or we don't encourage and use a lot of UPI-based transactions.

Most of the companies in this payment space, they play a portfolio approach. Just to give you an example, they will price UPI, non-UPI together as competition. They will say that you would get a flat rate of x percentage, which includes UPI, non-UPI and other payment methods.

They will play the role of higher UPI transactions so that they can give a lower percentage, if that makes sense to you, which means that if you are a shop which processes 50% UPI and 50% non-UPI, then they will perhaps reduce the overall percentage and charge across all the payment methods. That's a little gray area for us.

We think that we have to be transparent to our merchants and be very clear that we are not charging for UPI, which is what has been mandated. While there have been different practices across, we have shied away. By design, what tends to happen is that for "gullible merchants", they would perhaps join at a lower threshold, not realizing

that they are giving up a lot.

We have shied away from that, which means that we never go to any merchant and say that we will give you a blended rate considering even the UPI transaction. That's one of the reasons why we don't have a big percentage in UPI. In fact, it goes down quarter-over-quarter for the same quarter year.

When we start RediffPay, RediffPay will focus on UPI. That is what we talked about, which is that is UPI-first, TruePay-first, everything which is in some ways, beneficial. That is where we think that there will be alternative sources of revenue and we can build out quite a bit of defensible business.

Like I said, our main focus has always been on net revenue. If you look at net revenues, that will be a good reflection. The net revenue has actually increased by more than 30% year-over-year. It's actually 31% year-over-year. That's the one that we think is a good metric to focus on with us. Vishwas, anything else to add?

Vishwas Patel: I think you have covered it all. I think nothing much more.

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Satyam: My another question is, as you have mentioned earlier, waiting for the retail payment networking license, how would you obtain the license and change your revenue model? What are the realistic time line given the current regulatory environment?

Vishwas Patel: Actually, which license you're talking about in India or in UAE or other markets you talked about?

Satyam: I'm talking about retail payment networking license for international?

Vishwas Patel: Yes. No, for India, right? The retail payment, the NUE, which RBI had come out some time back, right, which is like a network license. Right now, RBI has not replied to the applications that were put in by the consortiums. All are awaiting RBI's guidelines towards that. It's an RBI code right now.

Satyam: Once the license get approved, what will be the revenue model? What will the change in your revenue model?

Vishwas Patel: That we are part of a consortium. It's like building the whole network like a Visa or a MasterCard or NPCI, which has its own card brand and national switch and all that stuff. It's a very different model. If RBI were to decide in principle, then the whole consortium will get at its place and then plan it out as per current time. If you are aware, this was 2 years back, RBI is still not acted on it.

Once RBI has decided something or given us some info, then I think detailed planning and other things how to roll out the network will come in. Too early to premature to say anything on that now.

Moderator: The next question is from the line of Mohit Daga from Aspirewise Advisory LLP .

Mohit Daga: Sir, I want to ask that given that media ventures can be capital intensive before monetization kicks in, so can you tell me what is the breakeven horizon for Rediff-TV? How do you see ad tech integration impacting Rediff overall margin profile?

Vishal Mehta: I'll take this. Basically, Rediff -TV is in beta. It is launched. You can actually take a look at it. There is no anchor. There is no human anchor, I mean. There is no human involved in the whole process. It has multiple languages support. If you will read news, it will put all multimedia together on the fly, on the run and they're able to build out every story. We have tried and tested it and we've inserted ads.

On a variable cost basis, today, it's profitable. In other words, we think that unlike the traditional approach where you would need to build out quite a bit of capex that you mentioned and so on and so forth. I think this one is, again, a full stack. It's able to do a lot more and much quicker without actually humans getting.

Of course, there are original stories and so on and so forth, which Rediff News provides, which will be input into Rediff-TV. There will be some amount of podcasting and others, which will

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potentially take up some capex. I think we are not looking at capex, which will be exceeding, you can say, 1 million.

Mohit Daga: I have one more question. Sir, Rediff is entering a highly competitive market, U.K. market. We have the dominant players, so how will Rediff differentiate it from their peers who has deep pockets and strong regulatory relationship?

Vishal Mehta: It's a great question, something that we talk about all the time. We won't go after the horizontals. Basically, we'll go after a business layer, which is sitting on top of RediffPay, which addresses a particular problem. In other words, we think that we'll go after building out automated workflows on top of RediffPay, which addresses a problem for a particular brand or a merchant.

To give you an example, today, a lot of brands may not know the end user. When you think about an FMCG brand, and if you're a consumer of the brand, the brand would not know you as a consumer. Using business layers and logics and workflows on top of an existing consumption

app, in fact, to an extent where quick commerce companies know the consumer much more than FMCG company knows. We find that there is a gap there.

Using RediffPay and business workflows that we build out for specific clients, we can automate and provide that information to the brands, which is what stands the test of time. We'll be working a lot on those areas. We'll not just go after. Second is that we'll integrate pay as part of this whole communication channel. You'll be hearing a lot more from us in the coming months.

Moderator: The next question is from the line of Kaushik Poddar from KB Capital Markets Private Limited.

Kaushik Poddar: This RediffPay, will it be Google Pay plus ?

Vishal Mehta: If you consider workflows on top of Google Pay, yes, it will be. Primarily, some of the largest UPI players, they don't have or I would not say they don't have, they have chosen not to build out workflows given whatever conflicts which are out there in the market. We believe that building out specific workflows on top of Pay will be the way to go because what you do is, if you look at some of the FMCG brands.

They do thousands of crores a year, which is still either in cash or non-UPI based. That is a market to go on because we are enabling commerce. You take what is existing and make it part of Pay. I think they would like it because the use of cash has gone in the system. There is no additional charge or anything that anyone has to pay for that.

We believe that, that would be our approach, which is create business layers on top of UPI and go after specific very, very large clients. The larger the client, the better because finally, consumers will be attached to a particular product. FMCG is just one simple example. There will be more industries like this.

We think that we'll go with a slightly more verticalized approach rather than just going horizontally. We do believe that we have got something unique, which is people come to us due

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to mail. It's a daily habit. You will have to come and check. When you have millions of email users, we have a way to reach out to them. We don't need to get them to our platform.

They already come to our platform. We just need to find out more mechanisms of what they will do using RediffPay.

Kaushik Poddar: Are you monetizing Rediffmail?

Vishal Mehta: Enterprise version of Rediff is being monetized. It is a charge service, much like what you would do to pay Google and pay Outlook and others. The enterprise version is a paid service. The free

e-mail is ad supported.

Kaushik Poddar: Is it ad supported, is it?

Vishal Mehta: It is.

Kaushik Poddar: Is Rediff in the black, Rediff as a stand-alone entity?

Vishal Mehta: Last year, for the first time, it came in black. Historically, the burn is about 1 million.

lillion.

Kaushik Poddar: From the existing operation, can the blackness improve? From the existing operation itself. You are, of course, adding on various other things. That is a separate thing, but do you see as the volume goes up, the existing operation itself can bring in a lot of profit?

Vishal Mehta: Yes. I think that hard to say before we actually prove it. I think just so that you know, it is pretty massive scale. In other words, we send about 0.5 billion to 1 billion e-mails every day. It's scaled out, tried tested, been around for more than a decade, fully Indianized. All our data is residing only in this country, no other country.

I think from all those parameter perspective, I think there's a very large opportunity. Given the macroeconomic environment, I think it becomes even -- it's fast tracked somewhat. I think that there's a pretty large opportunity to do this. I think since we took up the company last year as Infii, there's massive amounts of engineering that happens because, like I said, as a company, we want to focus on deep technology.

I think there are a lot of AI components that we've added. Enterprise e-mail customers and clients now they can have something called R Genie, which is the Rediff Genie that will do a lot of things for you on the fly, pretty much like what other companies would offer as tools, but yes, I think for us, we think that there's -- to answer your question, I think Rediff has significant brand and inherent value that it's scaled up, we just have to find more ways and mechanisms to monetize on that.

Kaushik Poddar: In terms of the divestment of a part of the equity, are you looking for a private equity or a strategic partner? If you can say a few words on that?

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Vishal Mehta: Sure. Of course, the Board will decide on the exact path forward, but it could be a combination thereof.

Kaushik Poddar: Okay because personally, I feel that Rediff, when you had bought it at INR 100 crores, that itself was a very low valuation, but that itself was -- and I'm sure you must be building on it. Hopefully, whatever you are trying to do, add value will take it to further level. That's the way I look at it.

Vishal Mehta: That's the hope. I think there could be a multiplier, but that's the hope.

Kaushik Poddar: I mean you have to obviously prove it to whoever is a new equity partner that is coming.

Vishal Mehta: That is true.

Kaushik Poddar: Thanks for this information.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, this would be our last question. I would now like to hand the conference over to the management for closing comments.

Vishal Mehta: I'd like to thank everyone on the call. Thank you for your continued belief in our vision and we believe this is just the beginning. We look forward to building the future together. Thank you.

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

INFIBEAM AVENUES LIMITED

Regd. Office: 28th Floor, GIFT Two Building, Block No. 56, Road- 5C, Zone -5, GIFT CITY,
Gandhinagar – 382 050 CIN: L64203GJ2010PLC061366

Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@ia.ooo | Website: www.ia.ooo November 17, 2025

BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001

Company Code No.: 539807 National Stock Exchange of India Limited

Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Company Symbol: INFIBEAM

Dear Sir/ Madam,

Sub: Transcript of Earnings Conference Call for the quarter and half year ended
September 30, 202 5

In compliance with SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor/ Analyst conference call on financial performance of the Company for the quarter and half year ended September 30, 202 5 conducted on Thursday , November 13 , 2025, after the meeting of Board of Directors, for your information and records.

This transcript is also available on the website of the Company i.e. www.ia.ooo .

Kindly take the same on your records.

Thanking you,

Yours faithfully,

For Infibeam Avenues Limited
Shyamal Trivedi
Sr. Vice President & Company Secretary

Encl.: As above

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"Infibeam Avenues Limited Q2 FY 2026 Earnings
Conference Call "

November 13, 2025

M

ANAGEMENT : MR. VISHAL MEHTA – CHAIRMAN AND MANAGING
DIRECTOR , INFIBEAM AVENUES LIMITED
MR. VISHWAS PATEL – JOINT MANAGING DIRECTOR ,
INFIBEAM AVENUES LIMITED

MR. SUNIL BHAGAT – CHIEF FINANCIAL OFFICER ,
INFIBEAM AVENUES LIMITED
MR. B. RAVI – INDEPENDENT CONSULTANT
(CORPORATE AND FINANCIAL STRATEGY), INFIBEAM
AVENUES LIMITED
MODERATOR : MR. RAJAT GUPTA —G O INDIA ADVISORS LLP

Infibeam Avenues Limited
November 13, 2025

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Moderator: Ladies and gentlemen, good day and welcome to Infibeam Avenues Limited Q 2 FY '26 Earnings Conference Call, hosted by Go India Advisors LLP.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajat Gupta from Go India Advisors. Thank you, and over to you, sir.

Vishal Mehta : Yes. Thank you, Sarthak. Good evening, everyone, and welcome to Infibeam Avenues Limited Earnings Call to discuss the Q2 FY '26 Results .

We have on the call with us today, Mr. Vishal Mehta – Chairman and Managing Director; Mr. Vishwas Patel – Joint Managing Director and Mr. Sunil Bhagat – Chief Financial Officer. Also joining us on the call today is Mr. B. Ravi, who is advising Infibeam on corporate and financial strategy as an Independent Consultant.

We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risk that the company faces.

I now request Mr. Vishal Mehta to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.

Vishal Mehta : Thank you, Rajat. A very good afternoon, everyone, and a very warm welcome to our investors, partners, and all those who have supported the Infibeam Avenues journey since inception.

This quarter marks a defining moment for us, our best -ever performance with record revenues and profits, the highest in our history.

During the quarter, we also transitioned into becoming a hybrid B2B and B2C organization, combining enterprise scale with direct consumer engagement. This evolution gives us a very balanced portfolio across both ecosystems and firmly positions Infibeam Avenues at the intersection of payments and artificial intelligence.

We are now approaching an annual revenue run rate of nearly \$1 billion, something we had talked about in 2023. Back then, we had suggested by March 2026, we expect to hit \$1 billion on an annual revenue run rate basis.

We are happy to report that we were able to achieve nearly that run rate in the second quarter of 2025. Based on this current trajectory, we expect to close FY ' 26 at the higher end of our guidance range.

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I want to spend a few minutes talking about strategic transformation :

The past few quarters have been about re -architecting Infibeam from a multi -platform enterprise into a focused, future -ready ecosystem anchored on two strategic pillars. First one is AI -driven fintech infrastructure solution, and the second one is AI -power ed consumer and merchant platforms.

Let me tell you a little bit more in detail about what I mean. Together, these platforms, they form a dual -engine model, one powering India 's digital payments backbone, and the other one is building next -generation AI -native consumer and merchant experience.

The first one, where we are talking about AI -driven fintech infrastructure solution, our long-term vision remains clear. To build India's most trusted AI fintech infrastructure, which is regulated, intelligent, and globally scalable. This is led by our flagship brand CCAvenue, and our investments in Phronetic.AI, our dedicated artificial intelligence arm. This forms part of Infibeam Avenues.

Following our strategic portfolio realignment, Infibeam Avenues Limited will now operate as a pure-play fintech and AI payments company, while Rediff.com will drive our AI -first platform strategy spanning commerce, conten

t, and consumer engagement. Rediff's mission is also very clear. It is to build India 's first AI -native consumer ecosystem, reimagining digital engagement

through three pillars.

First one is RediffOne, a unified suite integrating communication, commerce, and productivity platforms. With over 100 million registered users and 20,000+ merchants, RediffOne anchors our consumer base.

The second pillar is RediffPay, which is our upcoming consumer UPI app, which is approved in principle by NPCI and marks our entry into direct-to-consumer financial services. The third pillar is Rediff TV, or content. It is currently in beta. This is India's first fully AI-driven content streaming platform, which is multilingual, automated, scalable, and practically with minimal manual production. Together, these platforms make Rediff a super app ecosystem, where communication, commerce, and payments converge.

Let me also spend a minute to give you an update on the progress of the AI roadmap :

Through Phronetic.AI, we are embedding intelligence across the digital and financial stack. Our key highlights for this quarter include launch of PayCentral.AI . It is India's first agentic payment platform built on Google's agent payment protocol, enabling AI agents to transact autonomously on any site, which is in some ways global first.

The second one is the Agent Operating System, which is a next-generation orchestration layer connecting reasoning, vision, language models, and enterprise workflows. It allows AI agents to

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perform financial tasks like invoicing and reconciliations independently. Agentic.ai, which is a global AI agent marketplace, where developers and enterprise can build, buy, and deploy autonomous digital coworkers.

And the last one is the MoU with a company called Nawgati, which is where we deploy our video large language models and agentic AI for real-time reasoning and automation in industrial environments. We believe this is not incremental adoption. It is architectural AI integration, building a sovereign, compliant, and scalable foundation through our edge data center.

With that, I will now hand over the call to Vishwas Patel, our Joint Managing Director. Vishwas, over to you.

Vishwas Patel : Thank you, Vishal. Good afternoon, everyone. The second quarter has been a pivotal one for our payments business, as we have strengthened our leadership in India while expanding rapidly across international markets.

So, let me begin with some key developments in this quarter :

So, we have expanded some of our regulatory capabilities. So, we have received in-principle authorizations from the Reserve Bank of India to issue prepaid payment instruments, PPIS, under our new brand CCAvenue Go. We will also roll out digital wallets, prepaid gift cards, travel and transit cards, fully integrated into our merchant ecosystem.

These follows the earlier license from RBI regarding the Payment Aggregator and the Bharat Bill Payment Operating Unit. Completing a full regulatory stack, acquiring, issuing and billing, making us one of the few Indian fintechs with end-to-end authorization and license from the Reserve Bank.

We have also received IFSCA in-principle approval for our subsidiary IA Fintech IFSC Private Limited to operate as a payment service provider at the GIFT-IFSC. That license includes cross-border money transfer and escrow services and merchant acquiring. These expense are present in the key international IFSC financial corridor addressing trade finance, remittance and high-value cross-border transactions.

We have also launched CCAvenue CommerceAI, which is integrated with our PayCentral.AI, creating the world's first agentic payment framework, where verified AI agents can initiate and process payment autonomously. Domestically, we continue to see robust merchant onboarding and TPV growth suppo

rted by favorable card mix and a vertical expansion across travel, entertainment, utilities, recharges and services.

Our strategic focus remains on absolute profit and cash flow generation while maintaining discipline on take rates. Internationally, our operations in UAE and Saudi Arabia are scaling rapidly, processing billions of dirhams annually with Oman set to launch next. We expect

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international payments to contribute double-digit net revenue within the next 12 months to 18 months.

Now, some of the key partnerships in this quarter :

So, we have partnered with Sree Narayana Guru Co-operative Bank to power its merchants with advanced digital payment solutions, expanding CCAvenue's reach into the co-operative banking segment. This collaboration strengthens our merchant acquisition pipeline and deepens

penetration among SMEs and local businesses. It further enhances transaction volumes and recurring revenues.

CCAvenue also integrated its net banking platform with TJSB Sahakari Bank, India's fourth-largest urban co-operative bank, enabling seamless online payments for the bank's customers. This integration broadens our access to a large digitally active customer base and strengthens our net banking facilities.

At CCAvenue platform, we have also gone live with the NPCI's Bharat Bill Payment Bharat Connect, onboarding Bajaj Finance Limited to deliver next-gen net banking experience at scale. This breakthrough removes friction from digital loan payments and large merchant payments by offering fast, secure, seamless bank link and QR flows of debiting a bank account across all the banking partners.

By powering this high-volume premium partner, we are reinforcing our payment ecosystems, deepening our stickiness and unlocking higher transaction volumes and fee income potential. With these advances, CCAvenue is evolving into a payment gateway into an AI-powered financial network, which is intelligent, trusted, and globally scalable.

Now, with this, I will hand over to Sunil Bhagat, our CFO, for the financial overview. Over to you, Sunil bhai.

Sunil Bhagat : Thank you, Vishwas sir, and good afternoon to everyone. Our quarter two FY '26 results underscore strong execution, disciplined growth, and sustainable profitability.

Our gross revenue on a consolidated basis went to Rs. 1,965 crores, which is highest ever in the history of the company, which is up by 53%, sequentially and 93% year-on-year, which is driven by higher TPV and our Rediff's performance.

The net revenue we have reported is Rs. 153 crores, which is also up 14% year-on-year, reflecting our improved monetization. Our adjusted EBITDA, we have reported Rs. 94 crores, which is also up 32% quarter-over-quarter, supported by strong operational leverage. And our PAT went to Rs. 65 crores, which is also up 18% year-on-year, and driven by our margin expansion in AI services and cost optimization.

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Our EBITDA margin stood at 61% and PAT margin at 42% of net revenue, underscoring profitability even as we invest aggressively in AI infrastructure and consumer expansion. The balance sheet remains strong with robust cash flows and minimal leverage. Our focus remains on absolute EBITDA growth, sustainable cash generation, and long-term shareholders' value creation. We expect to close FY '26 at the higher end of our guidance range, supported by momentum across both our fintech and AI-led businesses.

As we look ahead, one thing is certain, the fusion of AI, payments, and consumer ecosystems will define the next decade of digital growth. At Infibeam Avenues, we are not just participating in this transformation, we are building the rails for it. Our mission is to create India's intelligent, sovereign, and globally scalable AI-fintech infrastructure, and through Rediff shape I

ndia's first

AI-native consumer ecosystem.

Thank you for your trust and continued support. We will now open the floor for questions.

Moderator : Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Prathna from Neeyovan. Please go ahead.

Prathna : Thank you for the opportunity. I have a couple of questions. First is, after the platform divestiture to Rediff and the rights issue, how has the capital allocation framework evolved? Specifically, what is the long-term split between funding AI infra versus new payment rails versus consumer platform expansion?

Vishal Mehta : So, basically, as far as the capital allocation is concerned for the rights issue, it is part of the objects of the rights issue. And in terms of objects, the primary, the main objects were investments in AI, which is where we are building out Phronetic.AI. Some of the updates that I talked to you about, but we are going to invest further in terms of build out. It is a horizontal layer. It also has products. And it essentially allows us to create and continue building out the digital ecosystem. So, that is the primary objective of the rights issue.

We also had some other specifics as an investment in Rediff. So, Rediff is a consumer ecosystem that we are building out, and RediffPay and other things that we are building out along with it.

So, recently, we have received NPCI approval. We are going to go and launch it as soon as we get the final approval from NPCI to launch.

But we believe that, that becomes important. We have also launched Rediff TV and others. So, if you look at the objects of the issue, these are the primary objectives with which we will invest into the growth of the company.

Moderator : No, ma'am. Sorry to interrupt. You are not audible. Prathna ma'am, I request you to rejoin the conference and then get back in the queue. Meanwhile, we will take the next question.

Our next question comes from the line of Rahul Jain from Dolat Capital. Please go ahead.

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Rahul Jain : Yes. Thanks for the opportunity and congratulations to the management for very strong numbers.

Firstly, I could see some of the things are pretty exceptional in terms of credit card volume growth, which has also led to significant TPV growth, as well as better take rates.

So, any colors on all these aspects would be great. I can understand little bit of advantage of an early festive season in this particular quarter. But what is driving this kind of a momentum and improve take rate? Color on that would be of great help.

Vishal Mehta : Sure. I can go first and then Vishwas will add to, what I have to say. Basically, Rahul, you are right the mix turned towards credit, we were not focused too much on credit cards, credit cards have a slightly lower take rate compared to some of the other options that we carried. And rather than optimizing on the net take rate, we started optimizing on absolute profits and that is a conscious decision from the company to actually focus on larger volumes and larger transaction, while the absolute profit should grow.

So, if you look at the numbers, the TPV increased, we already have significant amount of merchants who started earlier, we were not processing credit cards as much for them, we started processing a lot of credit card and other transactions with them as well. And rather than optimizing just on the net take rate, if you look at the net take rate it is gone down from 11.2 basis points to 8.2 basis points.

But what we realized was that we will monitor the take rate, but we want to make sure that we optimize on absolute profits. And we build out, a much larger ecosystem based on that. I think, what drives the volume, you are right, is also some amount of pre-holiday commitments. I think so far also this quarter looks very strong for us. So, we think that, w

ith the right approach and

the right kind of optimizations that we would like to continue building upon this.

And we believe that we may be able to, get to much larger numbers and a higher range of guidance to even beating the numbers annualized. Vishwas anything to add?

Vishwas Patel : I think more or less you have summed it up, Vishal. So, credit cards and other things some we have gone for scale, and some of the big wins are there. So, we have taken on merchants and aggressive rates and other things to get scale. But at the same time, take rate has gone down, but overall volumes and profitability has increased. So, we are going for scale and certain big wins has been powering it, specifically in the telecom utility and as far as hospitality, the big chains and others. So, that is why the credit mixes is working for us.

Rahul Jain : Yes. Thanks for the color. And Vishal, you in your opening thought and you guys have mentioned about the multi-pillar strategy that you have. So, more color in terms of, something

that you are looking in a near-term driver for the growth point of view. I think some of the licenses on the, that we have received a prepaid payment and the other one, which in IFSC, any monetization opportunity or timeline that we have for that.

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Vishwas Patel : So, thanks, Rahul. I think the monetization is pretty huge as far as prepaid instruments are concerned. Vishal, do you want to throw some color on that?

Vishal Mehta : Yes, sure. So, what we have got on PPI is just the in-principle approval right now. So, in a month or two months, we should get the final approval. In essence, what is there is that we do a PPI today has become as good as a payments bank or any other bank account, since it is become interoperable with any bank system.

From our perspective, we had the ecosystem ready. So, with that PPI license, now we can directly connect to the core and issue prepaid and hold balances right up to this thing, then enable payments on one side to get full-sided. This thing, we do have a lot of full KYC, the customers doing DMT and other things, millions of customers that we will be onboarding. Plus we have a good base in Rediff also, where the new customers incoming.

On the other side, for the acceptance piece, we already have the whole ecosystem ready of millions of merchants and other things, where we can have this CCAvenue wallet as a payment option there. We can also power the Rediff wallet. So, there are a lot of monetization strategy and details that will come out as and when we are ready to launch on the PPI, most probably in the next quarter.

So, around January, February, if our final approval comes in from the RBI, we will be ready to do. That is on the PPI. That is as far as IFSC, GIFT City is concerned, we have got basically three licenses there in principle approval from IFSC. One is to do our normal payment aggregation merchant acquiring business. We also have got the cross-border money transfer remittance business there. And we have got escrow services license to hold money to take on big government merchants, where we can put the money in escrow till the other part is, fulfilled,

whatever that tender island is there.

So, three core licenses in GIFT City, we expect a lot of cross border transactions happening there and lot of, this thing which, IFSC is also getting where dollar settlements and everything is instant, right? So, we see a huge opportunity there and GIFT City is within our reach. So, once that final approval also comes in, then we will come out with the strategy and everything. But monetization is instant and deliverable because the merchant acquiring fees we have from everything within the group, right up to AI powered payment systems and remittance also. We do have our, earlier incubated company, and some say can remit, Paybill fintech, which does

remittance, of for nine out of the top 10 banks. So, that using that also, we will be doing a lot of cross border.

So, that is monetization, will be easy once you get the final approval. But we see big opportunities in both this space, and, hence, we have got into this. Rahul?

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Rahul Jain : Yes. Thanks, Vishwas. If I got you right with PPI, the first few product that we would like to play out would be, the prepaid card. It is more like, branded like a Myntra gift card. Is that the kind of a product that you are talking about?

Vishwas Patel : It is a prepaid wallet. White labeling, of course, and doing co branded cards is just one of the, many opportunities that is there. We will definitely be doing a lot of co branded card with the NPCI RuPay as a distinct to get that acceptance for those things. But the bigger part is it is like a bank account. It is a wallet.

It is a balance where any given day, when thousands of crores are lying in the wallet with us, right? That is where and the acceptance mechanism, where the money transfers from, say, CCAvenue Go wallet from one merchant to another.

For us, it is left pocket, right pocket, and there is a good MDR to be made in that, right? So, the whole acceptance is the, that is the base. A lot of this thing where the interoperability with various banking systems, which RBI has allowed on the prepaid, makes it very attractive for this thing.

And as I said, we have where we can get millions of customers to onboard on that. And other side, we have already the ecosystem, and millions of merchant can accept that card at just one click. So, that is the whole opportunity, Rahul.

Rahul Jain : Sure. So, when you say on the wallet side, then I am assuming it has to be on the RediffPay side.

So, any timelines on when we want to go big on the consumer side of it? Because if we have this kind of instrument, it could be pretty relevant that we should have the consumer side app also to really scale this kind of proposition?

Vishal Mehta : Yes. Absolutely. So, back in the quarter, we announced that we have NPCI approval. RediffPay app is technically a super app on top of Rediffmail. It is already, in some ways, downloaded by millions of customers. And as soon as we open up Pay, we expect that it will happen in Q4 time frame. If we get the permissions from NPCI sometimes this month to launch RediffPay, then we should be able to launch it full scale by Q4.

Rahul Jain : Thank you. That is heartening to hear. Thank you. That is it from my side.

Moderator : Thank you. Our next question comes from the line of Grishma Shah from Envision Capital.

Please go ahead.

Grishma Shah : Yes. Hello. Thank you for taking my question. My first question is with regards to the RediffPay, Rediffmail, and Rediff TV, how will the monetization here happen? And what are the kind of investments that we have already put in and we plan to put here?

Vishal Mehta : Hi, Grishma. This is Vishal Mehta. So, basically, Rediffmail is already live.

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Grishma Shah : Yes.

Vishal Mehta : It is live across. We call it RediffOne as a platform. Each of these are going to be interoperable.

They need to work with each other. And if you look at Rediffmail, there is an enterprise email client, which is going. And it is already live across more than 20,000 enterprises. And we send out about more than 1 billion emails every month. And that is a complexity in this scale at which it operates.

And the commerce framework is also now part of it, as part of RediffOne. And it is an integrated ecosystem, because we need to think about a ServiceNow kind of a setup, which enables workflows and many other frameworks to sit, so that if anyone wants to build out in an AI -first low-code prompt, they can perhaps do most of the activities without having to invest time and effort.

And a very beta version of that, in fact, went live as of yesterday called apps.rediff, whereby you

can just prompt it. And it will build out applications inside integrated with CCAvenue payment gateway. So, we think that all of this will be interesting, but the UPI payment will be through RediffPay.

And so as far as the RediffOne platform is concerned, we call it an integrated platform, where we will invest into building out, in some ways, for mid-market and large market ERP, CRM, HRMS solutions, commerce, along with mail and others.

You can think of it as what Zoho has done with Zoho One. And I think the vision for RediffOne is actually a Rediff platform that we talk about is a combination of all the suites that are interoperable and that are closely, in some ways, integrated with the AI-first approach. Because we will need to think about how AI plays a role and you can build it out much differently compared to how you would do it otherwise.

So, that is, RediffOne. As far as RediffPay is concerned, you see, we always had the merchant side as far as CCAvenue is concerned.

Grishma Shah : Yes.

Vishal Mehta : Because Infibeam Avenues is actually now the infrastructure for fintech with CCAvenue and AI together. And so, from a B2B perspective, RediffPay is going to focus on the consumer part and not the business piece, which is focused on the UPI piece. And once you have the consumer and the merchant, it becomes a dual -engine ecosystem, which is what I talked about earlier. Because if you power India's digital payments backbone, as well as build a consumer -first framework that, you would have both sides of the equation and there is both that can be monetized. Today, we monetize only the merchant. We do not monetize the consumer as much. Rediff has more than 100 million registered email users.

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I am not talking about the RediffOne platform going to 20,000-plus merchants, but there are 100 million registered email users. While not all of them are active, but we are talking about 5 million to 10 million users being active on a daily basis. So, these are free email users, and they can easily be migrated to RediffPay as a UPI option.

So, in other words, we will invest in RediffPay. There are a lot of incumbents, we realize that, but we think we will work more on the brand side, to be able to enable brand to reach out to consumers using Rediff communication channels because Rediff, by core, is a communication channel.

And if we are able to build out an ecosystem based on that, it works out, somewhat very interestingly. And we think that RediffPay will, because it is a consumer, so you will think about

Fintech products to be given to consumers.

One can think about the kind of monetization that someone like a Paytm or a PhonePe or Google Pay or so on and so forth have, same opportunities RediffPay should have. Those will be the monetization channels for RediffPay. And when we talk about TV, we think it is streaming content, and there it is ad revenues because I can see why Rediff news, Rediff profit or money and so on and so forth can potentially, because it is a good, strong brand.

So, we will build out on that thesis and hypothesis, but there it is video monetizations are 10x more compared to tax monetization. And international monetization is 10x the value as India monetization. So, we think we need to build out that thesis. And a combination of that thesis is what we think will work. So, we think this dual engine, where we have merchant payments powered by CCAvenue and consumer payments through Rediff will be a good combination to work on.

Grishma Shah : But what kind of investment ...

Vishwas Patel : Just one second. Vishal bhai, we can also do that, to Rediff, we also will be having a very low or minimal customer acquisition cost because they are already sitting there through the migra

tion. That is added to one thing when you go to B2C.

Vishal Mehta : That is right.

Grishma Shah : Yes.

Vishal Mehta : But to answer your question, we will be investing, we will be investing further in Rediff.

Grishma Shah : Yes. So, what is the investment, say, over the next two to three years?

Vishal Mehta : I think, I can see that Rediff will perhaps invest upwards of, \$75 million to \$100 million in the next three years. So, I am talking about Rs. 500 crore to Rs. 700 crores.

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Grishma Shah : Okay. And the other question that I had was on PayCentral.AI and CommerceAI. Those, agent -to-agent payment. So, what is your view on whether these payments will involve into core revenues like what UPI became? I mean, do you envisage any disproportionate share coming from you could highlight?

Vishal Mehta : Yes. So, just to give you a little bit of color, when we looked at payment agents, which is where payment gateway comes in and every payment gateway in some ways will have to build out their own MCP servers for agents to communicate in some ways to them. And the way it works is that, a transaction and you have seen Atlas and many others that have browsers and many others that have come in as well. But the way it would work is that you would have an intent mandate. So, theoretically, a human will have an intent to, let us say, for example, purchase a ticket. I need to go from, say, Bombay to Bangalore. And there is going to be an agent that does search and discovery that essentially gives you the lowest cost option. Based on that option, then the human will mandate the agent to close the ticket. So, it will go through this whole process, and then they have to relay it out to a payment agent. That payment agent will take that mandate. They will close the transaction, give it back to the site agent. The site agent will communicate back to the human. So, I think, there is an orchestration layer.

Grishma Shah : Okay.

Vishal Mehta : We have the capability of actually building out these agents. It is actually an agent developer platform. So, in other words you can develop, and the orchestration seems very easy, but it is not, it is fairly difficult. It is like you have got a number of airplane parts, but you do not have an airplane.

So, one can theoretically, argue that I have an engine, but they do not have the full orchestration of how to build the whole thing up. And the beauty that we have cracked is that we can do on-prem deployment. Because the biggest concern that we think most companies have is that I do not want to give my data or something to an agent without my control.

And so you would want to, I mean, every bank, every financial institution, every service company would want to have on-prem. So, can you deploy it on-prem and still run it? And so nothing leaves the premises. And you can build out these agents that potentially do these autonomous tasks. And so I think while a lot of people claim that they have this framework and there are cloud frameworks, but nobody's got on-prem, in my opinion, cracked yet.

So, we think that if we use that setup, so the first thing is that you would want to actually charge for every agent, every activity of an agent, because you are essentially now whether it is a subscription or a result, a paper result, it is different. It is a monetization framework, but depending if it is high volume that you would want to make it slightly more results oriented.

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And if it is low, then we would make it subscription-based. And there are ways to monetize. So, that is the agent piece.

And then theoretically, you can think of agent also doing fraud detection and many others. And so every activity that a human does is actually an agent for us. And then there is, of course, a gateway charge that potentially comes

through along with it. So, to make it very concise, as a site owner, you can decide to actually build out your own agent that can do search and discovery and then pass it on to the next agent or you can use our framework and do it for yourself, which is completely integrated.

In both ways, these are possible. So, I think, yes, it is going to be big. I think this is the future. And we have debated that quite a bit. We are somewhat within the ecosystem. So, we are, of course, slightly more bullish, but we see a lot of activity in this space. And looking at different protocols, but the thing is evolving so quickly. So, we think that we need to be on top of it. And by the way, I do believe that there will be more agents than humans in the coming year. So, and every agent will also need an email box, by the way. So, I think that we can actually build out a very interesting ecosystem if this pans out.

Grishma Shah : Okay. Fine. This was really helpful. Thank you and good luck.

Moderator : Thank you. Our next question comes from the line of Deepesh Sancheti from Maanya Finance. Please go ahead.

Deepesh Sancheti : Yes. I just wanted to know, Vishal, what do you think about the Rediff TV, are you planning to become a content creator or is just going to be a like a platform for other contents?

Vishal Mehta : No, we will be a content creator. So, we already create content with news and the same news is being read by theoretically a video agent. And we can mix with quite a bit of multimedia. And so historically, you would want to have a production studio. So, I do not think that you need all

of that, but we may want to invest into such specifics. I think it is going to be a hybrid model a combination of humans and agents, but to test it out we just launched Rediff TV in beta, which is fully AI-driven.

And the early signs are that we are in some ways looking at something very interesting here. The agents are not 100% there. We are maybe 85% - 90% of where we think we want to be, but we think that this is a lot of potential. So, and most people they would want to see video content more than text content, because that is how the world is going in, plus monetizations on videos are much larger than monetization on text.

But the thing we realize is that Rediff is a big brand and we think that there could be potentially opportunities to work on building content and being able to offer streaming channels , because if you look at Rediff.com even today, it is the top 1,000 traffic sites in the world as per similar Infibeam Avenues Limited
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web. And there are more than 120 million unique visitors coming every year, which means that if you go to Rediff hundred times, you are still counted as one visitor.

So, I think from that perspective, we already are a content creator and I think it is somewhat using technology we can open up streaming channels. And net of streaming cost, I think you can still come out ahead, much ahead.

Deepesh Sancheti : Great. And so basically you are going to use a Rediff, I mean the brand Rediff as a medium for your entire B2C connections, right?

Vishal Mehta : You are absolutely right.

Deepesh Sancheti : Right. That is great. And when do you think the RediffPay will be launched and what is the marketing budget you have kept for that?

Vishal Mehta : So, RediffPay, we already have NPCI approval. We expect that it should come in matter of weeks, not months, but I think, we will hopefully be able to communicate that only once we get approvals to launch. What launch is, so that, launch means that you need to go through rigorous amounts of testing and so on and so forth and approvals and certain certifications and many others before you get validated to launch fully, because UPI is the backbone of this country. So, we think that, that becomes very interesting. And as far as the budget is concerned, we have budgeted about Rs.

40 crores.

Deepesh Sancheti : Right. So, this RediffPay will be a similar app or similar, it will be like a wallet, right? We have got, I mean, just like Paytm had a wallet, or Airtel Money has a wallet, similarly RediffPay will be like a wallet, where people can keep their money or will it be only UPI based payments.

Vishal Mehta : It will be a combination of both.

Vishwas Patel : I will just explain. Look, Rediff will have two things, Rediff TPAP means that it will have a UPI kind of functionality, where you can scan any QR code and pay any merchant or transfer money.

That is the Rediff TPAP part from NPCI what we have got the license, right? So, that is one part where you can pay from your bank account by UPI, just like send money, everything that you do normally from any of those other things.

The Rediff wallet is the PPI license that we have got from RBI, where it will be white label PPI wallet, where people can store in that wallet and then use that wallet money to do payments

across any merchant or any other things. Now, what this helps is that instead of having 100 transactions reflected in your bank account via UPI, if you transfer once into the wallet and then do the transactions from the wallet, that also does one single entry in your bank account, so there is no complication.

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So, Rediff wallet also has some benefits, UPI also, Rediff TPAP also has some benefits. So, RediffPay entails both. It entails both the UPI, TPAP as well as the wallet. I hope , I am able to ...

Deepesh Sancheti : Yes. Great. The point is, a lot of financial solutions and everything, I mean, it can almost act like a small payment bank.

Vishal Mehta : Yes, it can. As I said, PPI today is as good as any small finance bank or this thing because it can hold money and you can be used to do this thing except lending or taking deposit. Rest all we can do within this system.

Deepesh Sancheti : Are you allowed to even get, I mean, issue cards, which, I mean, you are allowed to issue. Can you issue cards, which is directly linked to your wallet?

Vishal Mehta : Directly linked to the wallet, yes, so that is where the closed, this thing, the semi-closed license comes in. You can do it directly through your wallet or you can do it or you do it co-branded with any of the networks, be it the NPCI RuPay or MasterCard or Visa. They are already there.

Deepesh Sancheti : Great. Vishwas, just one more question. How big is the opportunity of the net banking for financial institutions, especially small payment banks? And point is, even when you have the approval from RBI for issuing prepaid cards, I mean, you can give a basket of services for these banks to have full -fledged financial services.

Vishwas Patel : So, we do work. One arm of ours is acting as a TSP, a technical service provider, to all the banks that are there. So, all the solutions that we build through be it on merchant acquiring or the wallet or the B2B platforms, a lot of big banks are using it . So, if you see Kotak Go Pay, CCAvenue, then there is a lot of ICICI Pay2Corp, which is CCAvenue, in the back end, powering it. So, all the banks require tech, that is where we come in. So, that is also a very big arm for us to sell this technology, to license this technology and earn money as a TSP for the company.

Deepesh Sancheti : So, these are all flat -fee products or transaction -based?

Vishwas Patel : Different, different schemes, different options, different ways the banks want to work. There is no one strict rule that it is just a fixed fee or this thing, or even for support, there is a man-hour cost or anything. Some are transaction -based, some are this. It is a very different mechanism. We are talking about 800 kind of different payment options. Credit, debit, there are 70- plus or 75-plus banks. So, different opportunities are there, which we are encasing.

Deepesh San

cheti : Okay. Now this is a question for both of you. Recently, Paytm also launched an AI -powered POS device. Are we also looking in that direction, or are not I mean, already have that product?

Vishwas Patel : So, look, we already have a SoundBox Max product, almost 50,000-odd deployed, where you can do credit, debit, apart from a normal speaker, sound, speaker, a UPI, where it announces the transaction result. So, it also accepts credit, debit, and other things. So, those are there. So, adding Infibeam Avenues Limited
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an AI element is just not a challenge, because we are anyway putting a SIM in it with a mobile internet built in. That is how the transaction comes to us, through the SoundBox, right?

We just add an AI element, because the speaker system is already there. Then you understand that, right? So, if you have internet connectivity and others, adding an AI element is something we can ponder, we can activate. It is not a challenge. That is the least of the things which is a challenge in a SoundBox Max.

Vishal Mehta : To add to what Vishwas said, voice AI has evolved quite a bit. And so I think it supports multiple languages and so on and so forth. So, I mean, the thing that we were waiting for earlier was the cost of device had to come down tremendously. I think it is now at a point where you can actually perhaps acquire a device for \$20 - \$30. And what used to be a much bigger number before, and there was a cycle.

And so banks used to, and many others, they used to charge the merchant a certain fixed fee to amortize the cost of the device. Now the device cost has come down tremendously. And I do not think there is much room to go further down. There may be some, but not a whole lot. But the form factor and other things will change. So, yes, that is when Vishwas said we have launched up our own POS devices.

Not to the scale that we think we can, but we test it out with 50,000 devices. And then if it works out, we will go into, we will put gasoline in the fire and make it larger.

Deepesh Sancheti : Right. I mean, it is similar to an Alexa in a POS. So, I am sure that you can always incorporate that. Thank you , guys. Thank you so much. And if you can add in something, then it will be great.

Moderator : Thank you. Our next question comes from the line of Amish Kanani from Knowise Investment Managers. Please go ahead.

Amish Kanani : Yes. Hi , sir. Partly the question on monetization is answered. Sir, given that, a lot of investments in infrastructure and brand building will be there. And there are lots of there in the space where, we are entering and jostling. My question is, one, at the Rediff level, you mentioned some CAPEX. How would you kind of fund this? You have already done some rights issue there. If you can give us some sense of, how much of, investment versus fee cash flow that we can generate. In the sense that, do we have a discipline in terms of capital allocation vis-à-vis CAPEX? If you can give us some sense there. And on the IFSC provisional license, if you can give us some sense, are we early there? In the sense, how many, players have got the license that we have got? Because I understand , the transaction and the amount of investments flowing through that. Your city is huge. So, if you can give us some sense there, are we early there? Thanks.

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Vishal Mehta : Sure. I will take the CAPEX question on Rediff. You see, as far as the rights issue, we had put in about Rs. 87 odd crores in Rediff. And we think that, there is a lot of opportunity to actually build up this brand. The brand is very strong. If you look at apples to apples, now Infibeam Avenues can be compared apple to apple with any payment company, whether it is a Pine Labs or a Paytm or whoever is out there, because you essentially are into digital payments, and some of the AI fram

eworks that we talked about.

And yes, it will require that kind of capital, because I mentioned some number out there, but you see, Rediff will have its own accruals, and they will reinvest back into the business. And if there is additional capital that will be required, then Rediff will have to raise that capital and spend that capital. So, of course, that is a decision for the Board of Rediff to make in terms of how to think through capital allocation and so on and so forth.

But yes, you will have to think about being able to spend on technology, which is the RediffOne platforms to build out. You will have to think of investments in branding and marketing that is

out there. You will have to invest in the best tech developers and others that you need to build up. And then also the infrastructure, which is the hardware. We are storing petabytes of data. And just so that, we have launched something called Rediff Genie, which means that it will, today, practically draft things for you, should you want to. And we have opened it up for enterprises, not for free consumers. So, we think that the use of AI is going to be crucial. And the fact that we will build out all the solutions that we think about in an AI-first world will make all the difference. And even when we talk about consumer apps, we cannot just go and fight with the incumbents. We do not want to do that. We think that we will build out solutions that address problems.

And I mean, some of the things that we think about is that how do we work with brands to offer communication channels to reach out to their audiences through Rediff? And that pay and communication will work very well in our opinion. And that is where we will spend that setup. I do not know whether that answers your question, but I mean, that is where we are going to spend the capital for.

And it will go through the same process. In the historically, also, we have been appropriately conservative. But we think that this is a time to go slightly more aggressive, because we know that we can build out a very defensible business going forward. And we are not saying we are right or wrong. We just think that it is our philosophy. We will figure out how to make it work. But yes, there is, of course, inherently risks associated with getting into a space, which is slightly crowded like you mentioned. As far as IFSC is concerned, I will tell Vishwas to take it up.

Vishwas Patel : Thanks. Okay. As far as IFSC, I already explained the three kind of licensing that we have got in principal approval. One is merchant acquiring, one is cross-border money transfer and one is escrow services, right?

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Right now, I am not aware of anyone else doing merchant acquiring in GIFT City as of now. So, I do not know how many they have approved or anything. That data will have to be checked but I am not aware of how many else have got it.

But we are among the first and we do have a big infra already set up in GIFT City. We are headquartered out of there and there are people working out from our offices there. So, we are looking deeply into the opportunity and all the three key licenses in principal approval is a big thing for us. So, let us see once we get the final licenses and how the business turns out, we will let you know.

Amish Kanani : Sure, sir. Thanks. One last follow-up on this Rediff, if they needed more capital, is the option of listing there on table for them?

Vishal Mehta : That is for the Rediff Board to answer but Yes, I think they would want to look at all options that are available.

Amish Kanani : Thanks. Thanks a lot and all the best.

Moderator : Thank you. Our next question comes from the line of Kaushik Poddar from KB Capital Markets. Please go ahead.

Kaushik Poddar : This is more of conceptual question in the sense that everything you are saying that you are building with

AI, how is it different? In fact, in some point you said that this is AI first approach.

So, how is it different from the traditional way we have thought about it? In fact, when you spoke of comparing with Zoho, you said that it is Zoho plus AI. So, can you please flesh out this AI first, whatever you are trying to say?

Vishal Mehta : Sure. So, basically what I meant was that when you think about traditional software, you always think of software first or process first. But when you think about AI first, you want to put AI at the core of the business model or any product design or any decision making. So, I mean, in some ways, these are all evolutions.

But any approach that you would want to think about, you would actually manually code the business logic. You will actually do rule-based automations or whatever it is and then you will think about structured workflows along with that. And that is how you would think about traditional approach. But in this AI first approach, you would actually look at merchant data automatically. You will look at predictive sales. You look at fraud patterns.

You look at real-time insights and then you will optimize the payment routing using predictive algorithms that close it. So, I think in comparison, these are very different approaches. The best way to describe it is it is data driven, it is not tool based. Humans are validating it, AI is leading it. And you will think about, it gets stronger and stronger with more and more data. So, you do not have.

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And theoretically, you will think about, in some ways, adaptive conversations and not necessarily static interfaces that drive it. So, these are the few things that I can talk to you about.

I mean, I can go on and on for a long time. But theoretically, I mean, there are some inherent challenges also, because if you

have bad data, then you will get bad output in AI -driven approaches, AI -first approach, so.

And the earlier question about being disciplined on CAPEX also comes up, because you can actually go slightly more overboard. But I think that when you look into this in practice, initially, what would you do? You would actually augment your traditional systems with AI, correct? That is how most people think, saying that let me actually augment it with a horizontal AI layer, so that it becomes more productive.

But I think, so you essentially take the old workflows, and you put the intelligence AI layers on top of it, and you try to get insights and these are very good approaches. I do not see anything wrong. But I think you can fundamentally change the way you can think about ecosystems. And that is where the opportunity lies, in our opinion.

Kaushik Poddar : And with your AI -first approach, if things go heavier with bad data, how do you build a filter to take care of such kind of situation?

Vishwas Patel : That is a little solved problem. You can actually define guardrails. You can ensure that. Those are slightly solved questions, because theoretically, you will have to think about guardrails.

Kaushik Poddar : Absolutely.

Vishwas Patel : And you will have to think about how to ensure that, I mean, theoretically, an agent can also go rogue. So, unless, you have guardrails, and monitoring, and quality assurance on top of it, I think if you think about AI agents that we have launched, actually, there is in- built measurement of monitoring that enables you to control the agent in some ways. So, I think those things will have to be, it is like what safety is to airline. You will have to think of it that way.

Kaushik Poddar : Okay. I mean, whatever you are trying to do, I mean it is something different. Hopefully, it will work out. I am also hopeful. Thank you.

Vishwas Patel : Thanks.

Moderator : Thank you. Our next question comes from the line of Athar Syed from SmartSync Services .

Please go ahead.

Atha

r Syed : Hello, sir. Good evening. Thank you for the opportunity. I have a question related to this Rediff app. Right now, I downloaded it from Play Store. So, I read some feedback I would like to review. And there are some reviews from customers, like user.

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Same review, many like many people have a problem with the like we can say, outdated UI. And many people are facing this problem in our app, like they did not get emails, like so what is the problem in this, sir, Rediff app, like ...

Vishal Mehta : The app had a legacy. So, we actually inherited the app about a year ago. And we have operated.

In fact, if you see the app, it has a brand new UI now. So, in other words, whatever reviews that you have, we upgraded the app rather than deploying a new app, because there are already millions of users actually utilizing the app.

So, you would start seeing quite a bit of difference going forward. In fact, we upgraded the app just three or four months ago. And it comes with a completely new, clean UI and many others.

So, hopefully, you will see quite see that ratings and so on and so forth are from years ago, where people would have downloaded and utilized it, but the majority of them are free email users. So, theoretically, you will see that it is getting somewhat upgraded. Actually, it is re -engineered, not even upgraded. It is re -engineered to become a super app.

And Yes, there will be a few, whenever we are deploying something, we will keep on listening to what customers have to say and then we have to correct. But even today, the usage is significant, because you will have five to 10 million users coming on to the app every day.

Athar Syed : Okay. And sir, do we have any plans to get an NBFC license or enter into the banking sector in the future? Do we have any plans?

Vishal Mehta : We do not have any plans to go into banking or NBFC at all. What we may end up doing as we speak is we are evaluating opportunities, because we will connect the NBFCs and banks to consumers and merchants, much like some of the other UPI -based apps do.

That is a source of revenue. Vishwas talked about PPI license. I mean, I think we are going to stop at PPI. We are not getting into lending ourselves, but we will allow the banks and NBFCs to do what they know best. Today, we do not have any plans to get i nto banking or NBFC.

Athar Syed : Okay. And one more question related to this RediffPay. So, in previous questions, we explained about RediffPay. So, it is like a payment app also, and we have a feature of wallet, right. So, we also have these features in other UPI payments apps like Paytm or PhonePe or like GPay, whatever. So, what differentiates your app compared to other like other UPI apps?

Vishal Mehta : I think we will build out workflows around the app for brands to reach out to consumers, a classic example would be an FMCG company, who want to utilize and if you have shopped in one of the stores, then they would not know the customer. But given that the customer has interacted using RediffPay, we will white -label the brand to reach out to the consumer, and we will allow the consumer to be able to opt out on any messaging from the brand.

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So, the fact that we give the control back to the brand, we believe will be a good differentiator to begin with. But we will build out a lot of workflows around that, that enable and that is where the no-code, low-code platform and frameworks come in, where you can build out in a matter of minutes, the entire workflow that enables the brand to reach out to consumers and offer rewards and loyalty and many other solutions.

So, rather than thinking traditionally through being a UPI app and doing everything ourselves and burning capital and trying to retain the customer, we think the biggest opportunity is for the brand to

retain the customer, and a customer may have a pairing with multiple brands. So, we already have a customer to brand pairing, and we think given the ecosystem we sit with, those communication channels do open up.

So, hopefully, this explains in a simple language, how our business model will be slightly different compared to how others think. But of course, there will be a lot more that we will learn as we go through.

Athar Syed : Yes, sir. And one last question related to the payment gateway. So, many times, I personally use this payment gateway, but what I face problem in this payment gateway is like, whenever we try to pay directly through UPI, so we are not able to pay through UPI directly.

We have to put our UPI number or UPI ID, then we will get a pop-up or notification in our app, then we have to pay to go to our UPI app, then we have to pay. So, why many times our app like website or app crash in this case?

Vishal Mehta : Okay. I understood. So, basically, it is the integration the merchant has done. They have integrated an intent flow. So, there they could just select the particular app they want to pay, say, Google Pay or Paytm or PhonePe. And automatically, that app opens up, which carries the transaction there.

So, almost all our merchants have integrated the intent flow, one or two, who might be on the traditional one where they just have to put the UPI ID and then approve it through the particular app. That is the long gone. Maybe the site you may be doing, maybe one or two must have not upgraded it. But almost all our merchants, the intent flow has automatically come in for a long time now.

Athar Syed : Okay. Got it. Thank you. Thank you so much, sir.

Moderator : Thank you. Ladies and gentlemen, due to time constraints, that was our last question for this conference. I would now like to hand the conference over to the management for closing comments.

Vishal Mehta : Thank you all for joining the call and looking forward to keeping you updated on the progress of the company. And thanks for the participation.

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Moderator : On behalf of Go India Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2026

AvenuesAI Limited

(Formerly known as Infibeam Avenues Limited)

Regd. Office: 28th Floor, GIFT Two Building, Block No. 56, Road-5C, Zone-5, GIFT CITY,

Gandhinagar – 382 050, Gujarat, India CIN: L64203GJ2010PLC061366

Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@avenuesai.com | Website: www.avenuesai.com February 16, 2026

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Mumbai - 400 001 Company Code No.: 539807 National Stock Exchange of India Limited

Exchange Plaza,

Bandra Kurla Complex, Bandra (East), Mumbai - 400 051 Company Symbol: CCAVENUE

Dear Sir/ Madam,

Sub: Transcript of Earnings Conference Call for the quarter and nine months ended

December 31, 2025

In compliance with SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor/ Analyst conference call on financial performance of the Company for the quarter and nine months ended December 31, 2025 conducted on Friday, February 13, 2026, after the meeting of Board of Directors, for your information and records.

This transcript is also available on the website of the Company i.e. www.avenuesai.com .

We request you to kindly take the same on your records.

Thanking you, Yours faithfully, For, AvenuesAI Limited

(Formerly known as Infibeam Avenues Limited)

Shyamal Trivedi

Sr. Vice President & Company Secretary

Encl.: As above

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"AvenuesAI Limited

Q3 FY '26 Earnings Conference Call"

February 13, 2026

MANAGEMENT : MR. VISHAL MEHTA – CHAIRMAN AND MANAGING DIRECTOR – AVENUES AI LIMITED

MR. VISHWAS PATEL – MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER – AVENUES AI LIMITED

MR. SUNIL BHAGAT – CHIEF FINANCIAL OFFICER – AVENUES AI LIMITED

MR. B. RAVI – INDEPENDENT CONSULTANT AND ADVISOR CORPORATE AND FINANCIAL STRATEGY – AVENUES AI LIMITED

MODERATOR : M R. RAJAT GUPTA —G O INDIA ADVISORS LLP

AvenuesAI Limited

February 13, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to AvenuesAI Limited Q3 FY '26 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an option for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rajat Gupta from Go India Advisors. Thank you, and over to you, Mr. Gupta.

Rajat Gupta Yes. Thank you, Neerav. Good evening, everyone, and welcome to AvenuesAI Limited earnings call to discuss the Q3 FY '26 results. We have on the call with us today, Mr. Vishal Mehta, Chairman and Managing Director; Mr. Vishwas Patel, Managing Director and Chief

Executive Officer; and Mr. Sunil Bhagat, Chief Financial Officer.

Also joining us on the call today is Mr. B. Ravi, who is advising AvenuesAI on Corporate and Financial Strategy as an Independent Consultant. We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risk that the company faces.

I now request Mr. Vishal Mehta to take us through the company's business outlook and financial highlights, subsequent to which we'll open the floor for Q&A. Thank you, and over to you, sir.

Vishal Mehta: Thank you, Rajat. Good afternoon, everyone, and thank you for joining us. Today, I'd like to cover three important themes. First, our quarterly performance and how we think through growth and profitability. Second, I will explain the strategic structural evolution of AvenuesAI into an AI-native transaction infrastructure platform and why this shift materially expands our long-term growth opportunity. And third, I'd like to outline how our integrated ecosystem, which spans across Rediff, RediffOne, CCAvenue and Phronetic AI, how they all work together as a compounding flywheel and what investors should expect from us over the next 2 years.

Let me begin. This quarter represents a genuine inflection point for the company, not just because of strong financial performance, but because the architecture that we have been building over the past several years is now operating at a unified, scalable system. We delivered one of our strongest quarters to date with sustained growth in payment volumes, expanded profitability and accelerating platform integration.

But more importantly, the strategic pillars we committed to scale, regulatory depth and AI integration as well as our ecosystem design are now converging into a visible competitive advantage. During the quarter, we completed our corporate rebranding to AvenuesAI Limited.

This is not a cosmetic change. It's a structural evolution.

We are no longer a payment gateway company. We are building an AI-native transaction infrastructure platform, which is full stack regulated, data-rich and compounding. As you all know, artificial intelligence is no longer an overlay for any system. For us, it is embedded across our routing, fraud detection, risk management, reconciliation, orchestration, customer

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engagement and decision automation. The AvenuesAI identity represents what we have already become an intelligence-driven financial infrastructure company anchored by CCAvenue and increasingly relevant in global markets.

I want to share how we see our self-reinforcing flywheel. AvenuesAI operates as a closed-loop ecosystem where consumers will generate intent, businesses will transact and operate. AI orchestrates the decision, payments monetize every interaction and data will compound into an advantage for us.

Every transaction makes the system smarter and every data point improves automation.

Every

improvement strengthens our retention. And this is just not a linear revenue model. This is a learning system. At the center of this flywheel sits RediffOne and CCAvenue, the operating system of our ecosystem.

Let me talk about our integrated architecture here. On the consumer side, Rediff integrates identity, intent, engagement and increasingly financial participation. With a very large registered user base, UPI entry through a financial wellness positioning and an evolving AI native content layer, Rediff is becoming a meaningful consumer gateway for us.

On the business side, RediffOne becomes the convergence layer, the AI native back office for SMEs, enterprises and institutions. It integrates communication, workflows, compliances and operational intelligence into a single environment.

At the monetization core sits CCAvenue, the economic engine of our system. Its role is evolving from payment gateway to an AI-optimized financial execution layer, combining compliance, scale, orchestration and intelligence. And powering all of this is Phronetic AI, the invisible orchestrator in our system.

We think of Phronetic not just as a stand-alone AI company. It is the brains of our ecosystem.

It converts every data into an action, whether to approve, reject, whether to route or retry, whether to predict or prevent or whether to notify. It deploys agentic workflows across payments, operations, risk and compliance and customer communication.

The outcome is somewhat measurable, which is lower customer acquisition cost, higher processing, improved approval rates, reduced operational friction and over time, structural margin expansion. I want to touch upon how the system compounds over time, consider a small business operating on RediffOne.

It acquires customers using Rediff. It runs operations on RediffOne. It accepts payments via CCAvenue. It uses Phronetic agents to optimize pricing, reduce payment failures and automate reconciliation. As that business grows, payment volumes increase. As volume increases, our

data intelligence improves. And as intelligence improves, automation increases. And we believe as automation increases, margins also expand. The switching cost moved beyond just contractual dependency and they become operationally existential. This, we believe, is the power of integration. Finally, we see a clear 2-year structural outcome. Consumer scale expanding via Rediff, business lock-in depending and deepening through RediffOne, predictable monetization compounding through CCAvenue and margin expansion over time through AI.

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This is not an incremental feature growth. This is a platform-level operating leverage. And we don't want to build a quarterly story. It's a compounding story. We believe very few companies operate simultaneously across consumers, merchants, regulated payment infrastructure and AI-driven orchestration.

And even fewer still have them integrated into a closed-loop learning architecture, and that is the opportunity in front of us. And this quarter, for the first time, we are seeing the flywheel move as one system.

I will now hand over the call to Vishwas for the operating details. Vishwas, over to you.

Vishwas Patel: Thank you, Vishal. Good afternoon, everyone. This quarter has been an execution-driven quarter for our payments and platform businesses. While the strategic direction has been clearly articulated earlier, the focus over the last few months has been on converting that strategy into operating scale, regulatory readiness and monetizable infrastructure. Let me walk you through the key business developments.

At the core, CCAvenue continues to scale steadily across merchant segments, supported by strong demand from large enterprises, utilities, telecom, travel, hospitality, etcetera. We are seeing higher share of credit card and large ticket transactions, increased participation f

rom enterprise and institutional merchants, consistent onboarding across SMEs and cooperative banking networks.

As discussed earlier, we are concisely prioritizing volume-led growth and absolute profitability over headline take rates. This approach is already delivering stronger cash flows and operating leverage even in a competitive pricing environment.

This quarter was a particularly important from a regulatory capability perspective. We received our in-principle RBI license for issuing prepaid payment instruments, enabling us to launch wallets, store value products and prepaid solutions in the near future under the CCAvenue ecosystem. We secured the IFSCA approval at GIFT City, which will allow us to participate directly in cross-border payments, escrow services and international merchant acquiring.

We also received the RBI authorization for off-line payment aggregation, extending our presence across physical merchants locations through POS-based networks. Importantly, most of these approvals are close to monetization and not long gestation initiatives. Our

international payment business continued to gain traction. In the UAE and Saudi Arabia, the transaction volumes remain strong, supported by enterprise clients and platform integrations.

In Oman, we are now working with multiple leading banks, expanding our role as a technology and payment infrastructure partner. GIFT City will provide us with a strategic base for U.S.-denominated settlements and cross-border flows, which we expect to scale meaningfully over the coming quarters.

We remain confident that the international markets will contribute a growing share of net payment revenue over the medium term. A key focus this quarter was optimization in our AI-led payment architecture. With the launch of CCAvenue CommerceAI and PayCentral.ai, we are enabling autonomous transaction initiated by verified AI agents and compliance-ready

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auditable payment execution.

This is not positioned as a consumer feature rollout, but as a foundational infrastructure for enterprises, platforms and financial institutions that are preparing for AI-native workflows.

We believe that the architecture will evolve gradually, but has the potential to boost a structural revenue stream over time alongside our traditional payment processing.

On the consumer side, Rediffpay will continue to progress through regulatory and technical readiness. Our approach here is deliberately phased UPI and wallet capabilities will coexist.

Focus is on financial wellness, low-cost distribution and brand land engagement. We are avoiding high burn acquisition strategies seen elsewhere in the ecosystem.

The advantage we have in our existing user reach and integrated payment infrastructure, which allows us to scale responsibly. To summarize, this quarter reflects a strong execution in our

core payment business, the completion of a broad defensible regulatory stack, the measured progress in AI-driven commerce and consumer platforms and a continued discipline around scale, profitability and risk management.

Our BillAvenue platform continues to gain ground, particularly in semi-urban and rural markets. We processed millions of utilities, mobile recharges and bill payment transactions this quarter with agent-led adoption driving deeper financial inclusion. In parallel, ResAvenue is leveraging our AI-based tools to help hotels implement smart pricing and optimize occupancy rates.

This quarter, our ResAvenue platform enabled hotel room bookings of 768,107 room nights at an average of 8,534 room nights a day, crossing over INR6,050 million for our 3,500-plus hotel properties. This not only strengthens our position in the hospitality sector, but also demonstrates how AI is becoming -- beginning to create tangible value across our merchant ecosystem. Early pilots in fraud detection, risk scoring and dynamic pricing

are demonstrating

how AI can improve merchant efficiency. Reduce costs and unlock incremental revenues.

We remain focused on building trusted, compliant and intelligent payment infrastructure at scale while selectively investing in platforms that extend our long-term growth runway. With this, now I invite our CFO, Mr. Sunil Bhagat, to take you through the financial performance for this quarter. Over to you, Sunil bhai.

Sunil Bhagat: Thank you, Vishwas sir. Good afternoon to everyone on the call. This quarter reflects consistent execution across our core payments business, supported by improving scale, stable operating costs and continued discipline on capital allocation. Our consolidated gross revenue for the quarter stood at INR2,381 crores, a growth of 122% year-over-year, driven primarily by higher payment volumes, a stronger contribution from enterprise merchants and continuous expansion across domestic and international markets.

The consolidated net revenue stood at INR149 crores, a growth of 6% year-over-year reflecting steady monetization despite a competitive pricing environment and a higher mix of large ticket transactions. Our focus remains on absolute profitability and cash generation rather than headline take rate metrics.

Adjusted EBITDA for the quarter came in at INR98 crores, an absolute growth of 25% year-over-year.

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over-year, reflecting improved operating leverages as volumes scaled up. The EBITDA as a percentage of net revenue also jumped from 56% to 66% on a year-over-year basis.

Our adjusted PAT stood at INR86 crores, a growth of 59% year-over-year, supported by cost control, stable credit cost and higher contribution from value-added services. Our PAT margin has also jumped from 39% to 58% -- even as we continue to invest in technology, regulatory readiness and platform development, our EBITDA and PAT margins remain healthy, demonstrating the resilience of our underlying business model.

As discussed earlier, the quarter saw a higher share of credit card and enterprise-led volumes, which typically carry over -- carry lower take rates, but significantly higher absolute contribution. Our strategy is very clear that is prioritize volume-led customer acquisition and operating cost.

We believe this approach creates a more durable earnings profile, particularly as scale continues to build across merchant and institutional segments. We continue to maintain a strong balance sheet with healthy cash flows from operations and low leverage.

This financial flexibility allows us to fund investments in AI and platform infrastructure and selectively invest in growth initiatives such as Rediff without stressing returns on or liquidity. Our capital allocation remains measured and return driven. We have revised our full year guidance for financial year '26, as mentioned in Slide number 7.

The upward revision in FY '26 guidance reflects a materially improved business outlook and stronger-than-anticipated operating momentum. Based on current trends in the transaction volumes, enterprise onboarding and international expansion, we remain confident in meeting and potentially exceeding our stated financial objectives while continuing to invest prudently in long-term growth engines.

To conclude, this quarter demonstrates that scale and profitability are growing together.

Margins remain resilient despite mix changes and our balance sheet strength positions us well for the next phase of growth.

We remain focused on execution, efficiency and reinforcing the financial foundations of the business as we build for the future.

With this, we'll now open the floor for questions.

Moderator: First question is from the line of Mohit Jain from DRChoksey.

Mohit Jain: Sir, my first question is on PayCentral's opportunity. So sir, I tried to size PayCentral's opportunity by looking at India's retail digital payment, which is somewhere around

INR900

lakh crores. But I try to narrow it down to PG addressable segments like cards, UPI, net banking, B2B vendor, etcetera, which gives me a sizable market of around INR50 lakh crores. But within Infibeam own INR8 lakh to INR10 lakh crores TPV, I'm estimating 60% or 50% of automatable -- of it being automatable and assuming just a 5% adoption rate, I'm getting a figure of like INR300 crores to INR4,000 crores in terms of market size for PayCentral TPV. So is this the right way to think about PayCentral's addressable market and adoption potential? Over to you sir.

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Vishal Mehta: Thanks. Basically, this is Vishal. I'll take this question. So you're right, India is the largest real-time payment market. And the next value layer is intelligence on top of the rail. So what traditional aggregator would do is somewhat route transactions settle payments and manage reconciliations. But this AI payment agent, which is PayCentral, it cuts across all different payment aggregators.

So it integrates within the MCPs of all different payment aggregators and not just CCAvenue. So it auto routes transactions for success probability. It predicts the fraud, it disputes, it optimizes all the checkout flows and it negotiates routing and settlement logic and automates all this merchant reconciliation and collections. So theoretically, the way to think about it is this payment is actually moving to a decision -- infrastructure decision layer.

So in some ways, it becomes like an operating system for all money flows, and it's just not a pipe. Now with that said, the way we think about it internally is that, I mean, through UPI alone, imagine the number of transactions that India processes maybe INR300 lakh crores, whatever that number is. And there's a lot more through other mechanism.

And I mean, in some ways, that intelligence layer will command a few bps of that flow, which is enormous. So I mean, theoretically, what we have seen is that the global pattern in this is somewhere this AI agents monetization, which is the PayCentral piece is somewhat that share of that bps that you would perhaps generate through this particular intelligence layers.

And for that to work and the TAM to play out, you need to have open rails, which UPI does, which is completely interoperable and API-driven. You need to have massive scale with some margins because that is what will force this innovation to come through. And then this whole merchant digitization wave, which already has started, it's usually playing out. So in our thesis, where PayCentral sits is merchants don't manage payments.

AI agents manage money flows end-to-end. And whoever owns this layer will control the merchant financial workflow, their whole credit insights, the transaction intelligence and the ecosystem control. And that is a far bigger price than a gateway margin. And so for us, it is somewhat -- it's competing to become that intelligence layer. And of course, that payment agents have to be adapted across. We believe it's only a matter of time.

The adoption in the Airwave is significantly picking up, and that's what we'd like to play out.

But to your point, I think the TAM that you're talking about just on the CCAvenue ecosystem that we think about is also pretty significant. The other good thing just so that you know is that when you use agents, traditionally, you will take a few minutes to close a transaction from intent to closure -- using agents, you can do it in seconds.

So theoretically, when you think about closing a transaction, you will have to look at the product, look at the checkout, figure out how you essentially make that payment and then the payment routing comes back and then the confirmation comes through.

And generally, what you would see is that -- and most companies, they optimize on how many less clicks would you need to make as a human to be able to close

a transaction. As an agent, you can do it in a few seconds. It's far more sophisticated and much more controlled and the determinism also is very, very large in that. And a lot of protocols are being set out to be able to handle such a thing.

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So yes, I think -- to your point, I think the TAM is very large, but it will also be a function of adoption by many of the merchants. And we believe that consumer personal agents are any us coming up. So I think transferring that agent-to-agent protocol and using PayCentral as a payment agent becomes very fertile, if you come to think of it.

Mohit Jain: Just a follow-up on this. So I understand that it's not just a PayCentral, it's not just about the transaction, but it's about controlling the entire merchant financial workflow, which you just mentioned. Again, so I know it is initial stage, but I just wanted to understand how do we monetize it, is it possible for you to tell the blended take rate, which we can get from this opportunity itself? Or it's very initial stage and it's very hard to tell this?

Vishal Mehta: No, it's not hard to tell. I will tell you, generally, payment gateway as a business is not going

to go away. You still require the regulatory approvals and so on and so forth to come in. But when you actually give it to an agent, agent will also start earning bps on transactions. So theoretically, for someone whose payment -- I mean, I think one can imagine that very low single-digit bps across all the transaction volume is what the opportunity holds out to become. And we believe that, that's significant, if you come to think of it. So it will just add up into the margins and the bps.

Mohit Jain: Okay. Just to clarify this low single digit or whatever it will be, it's an add-on to the earlier this which we were correcting from.

Vishal Mehta: Correct. That is correct. Absolutely.

Moderator: Next question is from the line of Darshil Pandya from Fintest Capital.

Darshil Pandya: Yes. So, I just wanted to understand one thing. With the offline PI license now in place, like you cover both online and physical payment flows. So should we view offline as a meaningful accelerator to your AI side or through this higher transaction density, which merchant level database will see something better?

Vishal Mehta: So the question is that is offline going to help your AI strategy? Can you kindly repeat your question?

Darshil Pandya: Yes, yes.

Vishal Mehta: So I think, yes, I mean, we have the online PA license and now we also have the offline PA license. And I mean I don't want to use the word just a pipe because theoretically, offline payments is just a pipe that most offline merchants still have that basic pipe of QR scan, payment done. Less intelligence in pricing, routing, credit. I mean even if you come to think of it, all these collections and automations and cash off flow optimization, all of that is somewhat the missing layer.

And so I mean, where the agent comes in, in the offline payments is that rather than just the merchant receiving money, the agent can actually handle the context of the transaction, which means that it can decide what option to use as a payment routing. It can maximize the success rate, detect fraud, identify all the unusual transaction sizes, personalize the transaction by triggering certain workflows and somewhat automate collections as well.

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So we think that -- I mean, if you come to think of it, India has more than 60 million-plus small merchants and the digital QR and one can create a massive opportunity for a system that sits between the merchant and the payment rail. And you can learn from every off-line transaction and improve the future decision automatically. That's the opportunity.

So we think that -- if you come to think of this offline payment market, I mean, you can think of

any influence transaction by the agent times the value which is unlocked is the opportunity somewhere. And that's far bigger than just the share of just the payment fees. So we think that this whole AI payment agent in some ways, turns every off-line payment transaction into a decision engine, effectively becoming somewhat a merchant financial operating system rather than just a pipe that moves money. Does this answer your question?

Darshil Pandya: It does, it does.

Moderator: Next question is from the line of Pranav Mashruwala from Dolat Capital.

Pranav Mashruwala: One question was regarding the RediffOne. So how many merchants have we onboarded on RediffOne shifted to that platform? And how is the activity in terms of active transaction and adoption? So some color on that would be great.

Vishal Mehta: Sure. So I mean, of course, we have publicly disclosed that somewhere RediffOne is the whole productivity suite of all these enterprise platforms. And they combine communication, commerce, business productivity software suites and in some ways, we target sovereignty by, in some ways, local data hosting advantages and air gapping it out so that you don't have to use any cloud system, if you come to think of it.

And so the strategic performance that we think is what you talk about the installed base is there are more than 20,000-plus merchants already on the RediffOne system. And that -- the number of users of that is magnitude of that number, much, much larger. And so we think that, yes, I mean, it's growing fairly well for us, while we have not divulged the exact numbers. But the way to think of RediffOne's performance is not just as a stand-alone -- it is essentially just the foundational identity and a productivity layer in our ecosystem.

So somewhat -- the strength lies in activating all the existing enterprises and consumer base and deepening the engagement and enabling the entire ecosystem with payments and AI services. And so I mean, for us, RediffOne is less about the short-term revenue and more about building the structural control layer that somewhat underpins our long-term monetization strategy, if that makes sense.

Pranav Mashruwala: Sure, sure. So of course, we have like almost a 10 million-plus merchant base and most of -- I'm sure most of them are mid- to small scale as well. So typically, we -- how much would be

the typical time line that you might be looking at in terms of onboarding more larger number of customers? And what kind of opportunity are you looking at in terms of onboarding more customers?

Vishal Mehta: We think a reasonable number to go after for the next 12 to 18 months is at least high single-digit to double-digit percentage of our base. And that's how we look at the opportunity so far. So we believe that given the touch points and given that they trust us with so many of their other transactions, I think that's a fair estimate to go after. But yes, it would be cool to have 1

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million merchants using RediffOne.

Pranav Ma shruwala: Absolutely. Just a few bookkeeping, if I may. What's led to this guidance upgrade? Is there some one-off revenue or something that we are expecting in this segment?

Vishal Mehta: No, I think we've already reached our -- I mean, you know that we have -- for us, since payments becomes the intelligence layer and intelligence-driven area, we think that we've deliberately made investments in scale and data density. So I mean, payments are increasingly in some ways, intelligent service and maximizing transaction flow. So we -- if you look at our performance, we've reached the guidance that we had given for the last -- for this year in FY '26.

So the upgrade is really a combination of our capacity to actually monetize and somewhat we have prioritized revenue growth and also the depth in our ecosystem. So we are positioning the platform to generally significantly give bet

ter value. And so it's -- we don't see this as a one-off. We think that that's how we potentially look like and it somewhat reflects in terms of if

you look at the last 3 quarters and our performance and if you look at the extrapolation of what it means for this quarter, we perhaps come down to our guidance numbers.

Pranav Ma shruwala: Just last one on mine. We usually used to share transaction processing value for various of our platforms. Just on the CCAvenues TPV, please, if possible.

Vishal Mehta: Yes. If you look at the Slide number 15, you would see that, the value.

Moderator: Next question is from the line of Deepesh Sancheti from Maanya Finance.

Deepesh Sancheti: Okay. You mentioned AI reduced payment failures by 9% in Q3. How much of this improvement is structural and embedded versus a model-specific gain that could plateau?

Vishal Mehta: Go ahead Vishwas.

Vishwas Patel: So basically, AI is intelligent routing. So when we get a particular failure from a particular bank, right, and then we have the ability to route it through multiple other banks that we are working at in the back end. So intelligent AI-based system that we have implemented, which gauges on the success rate going down to as back as just the last 5 minutes, which calculates the best success rates, it can be intelligently routed through this thing.

And this is not across just 1 or 2 options, but this is across 200-plus options that is there, right?

And even if it's different cards that we have with 8 different banks and different systems, so this kind of -- this kind of -- this thing really helps in boosting success rates. Also, not only on the success rate, a lot of transactions were also being dropped because of the earlier negative databases and frauds and dropship locations and many other things.

Now with AI, we have been able to do a very dynamic and real kind of a thing where we have been able to drop certain transactions where we see a fraud emerging in real time so that it does not go only for the real transaction. So success rates automatically gets improved when these guys are trying through multiple different modes and using different other fraud -- fraudulent numbers and cards, to stop it. So these will all help in boosting real transactions and other things that is there.

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Vishal Mehta: To answer your question, I'll tell you, structurally, a lot of gains have already been accounted for in the system. For example, all these bank up times and all of that, that's already there. And I'm sure that it's improving by the day. So my expectation is that a lot of what you would see going forward is really this model gains that come through -- through all this -- the whole retry logics and the routings that Vishwas talked about and all this -- how do you handle all these timeouts and how do you essentially improve your somewhat scoring algorithms.

And so I think my expectation is we haven't quantified -- it's a good question. We haven't quantified that yet because we always assume that structural gains are not going to be the largest contributing factor given that India is some of the finest payment rails out there. So -- and those are also -- I mean, whatever that structural gain would happen, they're somewhat slow to appear, but it's very hard to attribute. It's a good question.

Deepesh Sancheti: So we won't be able to tell what is the direct EBITDA or a net take impact of this reduction?

Vishal Mehta: No, we can. The question was that are you seeing this -- what I understood your question to be is that are you able to get a better success rate based on structural changes or the model changes?

Deepesh Sancheti: Yes.

Vishal Mehta: And what I was communicating was that, yes, there is an improvement. We can compute the EBITDA. But to quantify how much of that success rate improvement is from structural changes versus model changes is not an exercise we have undertaken. So what I mean by that

is that, I mean, did that come because we have a better bank uptime? -- or some enhancements that maybe the payment race has gone through or some latency issues in the network that have been identified and cleaned up or whether it was a better authentication flow for the client. So those are somewhat more structural, but we think it's somewhat model-driven. That's what I meant. Because what Vishwas said is right, which is we've configured our framework to include with all the AI and optimizations that we have put in that it's much smarter routing and retry logics and all this time out handling and other capabilities that improve and all the fraud scoring improvements that we have made that would have contributed to the largest portion of that improvement in success rate. And that's what we have thought attributed to that improvement.

Deepesh Sancheti: You state that switching costs become existential, not contractual. What percentage of revenue today comes from customers where payment, compliance and workflows are all embedded inside RediffOne, making switching operational in feasible?

Vishal Mehta: I mean, come to think of it, there's a lot of -- RediffOne has many productivity suites. And if you come to think of it, once you offer more than one service, the switching cost somewhat exponentially goes higher. And the moment you are handling a lot more data and data patterns. And then if you're also figuring out how to -- in some ways, that cost of actually moving all that data and being able to serve becomes slightly higher.

So once you have a flywheel framework where you are able to offer to a particular client more than one service, we think that with somewhat -- and especially when you -- in the world of AI where data becomes the moat, and I'm sure one can argue synthetic data can also be produced,

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but we think data is the moat.

And if we have been able to utilize that data and offer those services to that merchant, the switching cost exponentially increases because it won't do everything that any other system, it may be very good, but it won't be able to provide the same level of efficiency that a system that utilizes data and provides all these AI prompts to be able to offer to you with all the learnings.

Moderator: Next question is from the line of Dhvani Chanda from Altis Financial Partners.

Dhwani Chanda: So you've added multiple layers like agentic payments, offline PPIs, cross-border, UPI and AI orchestration. So how do you prevent organization and product complexity from diluting focus before the flywheel economics fully kick in? Hello?

Vishal Mehta: Yes. So the question is that -- I mean, of course, the 2 brands that we have right now is CCAvenue and Rediff. And the core for us is payments. So I mean, if the question is that are you focusing on too many areas? I think these are all related areas. And that somewhat completes our flywheel, the one that we have set out to architect.

So we think the focus will continue being that. And we have an orchestration layer using a lot of AI frameworks that can somewhat compound that opportunity for us, we believe. But yes, I mean, the things -- these are nuances, but at the core, it's in some ways, productivity suites and payments, and that will always continue being our focus.

Dhwani Chanda: Okay. So there are no set frameworks to prevent the complexity from diluting the focus.

Vishal Mehta: No. I mean we think that all of these are somewhat naturally interweaved with each other. And I think that in some ways, it's convenience. So I mean, the focus for us is actually to make the ecosystem flywheel work. And these are important components of that.

Dhwani Chanda: All right. And my second question is what internal guardrails exist on the ROI?

Vishal Mehta: In terms of our investments?

Dhwani Chanda: Yes.

Vishal Mehta: S

o you know that we've been appropriately conservative all the way from the beginning. And we forward invest and we want to know what that investment will end up looking like for us. And so I think we'll continue with the same philosophy, which is how do we make sure that what we are spending for that ROI is measured and managed and we are able to drive it. But see, our core principle, if you ask us, is that -- I mean, our guardrails is not about stopping investments. We just want to make sure that whatever we spend will help us in terms of advantage or some platform advantage, if not today, tomorrow. So our guardrails for ROI is

not short-term thinking. We want to be an A I-first payments business. We want to evaluate what happens in the next 12 months because a lot of things are changing. And we want to track what is the margin on a transaction and how do we -- much like the success rate and the loss reductions and time reductions. And I mean, if we don't -- we won't take up an initiative, which won't improve our unit economics, if that makes sense. And that's

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like the very short-term thought process because a lot of things are changing. But from a long-term perspective, we have to think about merchant stickiness, pretty much what we talked about in terms of how do we essentially get the switching cost rather than contractual to make it slightly more existential. And how do we use data as a moat, which is how do we ensure that you are somewhat reducing the amount of effort. And then the long-term ROI thinking is really about where do we see the nonlinear scale. How do we ensure that we are bringing intelligence because AI is really intelligence? And if we don't have that monetization, it won't work. So for us, I mean, that future monetization is really the strategic ROI test for us. And we want to make sure that the ecosystem pull should always increase for us, which means that every new feature, everything that we do should increase the dependency of the merchant or the customer or increase the engagement that they have with us. And that's been our philosophy of thinking through ROI. I hope this answers your question.

Moderator: Next question is from the line of Amish Kanani from Knowise Investment Managers.

Amish Kanani: Congrats on a good quarter on profitability terms. Sir, this quarter, we have seen quite a bit of interesting gross revenue growth versus a very muted net revenue growth and the net take rate is kind of halved from 11 bps to 6 bps. And I understand you have been saying the last few quarters that we are chasing absolute profitability and not the NPR. But net revenue growth of 6% interestingly in this quarter has driven our EBITDA by 25% and profit at 6%. So the question is one, sir, if I simply difference the net revenue, it's grown by only INR8 crores to INR9 crores versus EBITDA growing at INR20 crores. So one, if you can explain how this quarter has panned out in terms of operating leverage. And even our EBITDA has actually grown much more than the revenue in absolute terms. So if you can give us some sense of how is it that we could extract more profitability at EBITDA level more than even net revenue. So if you can explain that because it definitely in this quarter, focusing on absolute profitability is burn off. So what kind of expense management that we have done? Or is there any one-off that was there last quarter, which is not this quarter, stuff like that? If you can explain that will be helpful.

And in that context, sir, pardon me for my knowledge of payment system not being full proof. I wanted to understand if and when this UPI payment starts to become chargeable, does it help us or it kind of affects us at a structural level, if you can give us some sense of UPI payment being not charged as of now? -- lots of noise will become chargeable at some stage and some payment providers are saying you can't keep on subsidizing the infrastructure. So can you give us some sense of our business model versus this change if at all that happens, that will be really helpful.

Vishal Mehta: Sure. Vishwas, do you want to take the UPI part and then I'll tell Sunil and I'll talk about the -- then take rate and the EBITDA piece. Yes.

Vishwas Patel: So look, if and when UPI becomes chargeable, it's going to be beneficial to all the players, including us. Right now, MDR is at 0 right now for UPI, right? So the whole focus area is on all the other options that we have, other 199 options that we have to get the margins and to

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increase business on that front. But yes, of course, when the UPI becomes chargeable to even our offline and online, both can contribute significant margin if and where if the MDR ever comes in.

So I, as a Chair of PCI also have been working with the finance ministry and other things. And hopefully, we are hopeful that some kind of MDR should come in, at least for large merchants as well as we are hoping that even the money that the Finance Ministry gives out every year to subvent all this UPI transaction also grow significantly. So that can be an additional one.

Apart from that, Vishal to you.

Vishal Mehta: Sure. So to your point, 2 things. One is net take rate has decreased, but you're saying that EBITDA as a percentage in the slide, it shows up to be a larger number as a percentage. So if I understand your question, why is that particular -- I mean...

Amish Kanani: But net revenue is not down as much, but go down much more. And that explains...

Vishal Mehta: Yes. So the way to think about -- so for us, see, listen, as far as the net take rate is concerned, in absolute terms, you're right, we've actually -- the net take rate has gone down. But that's a deliberate investment in scale and data density for us because payments are increasingly a gateway to higher-value financial intelligence service. That's the way we want to architect the company and maximizing all these transaction flows today will strengthen what we look like in the long-term monetization.

And so by prioritizing revenue growth that -- and some of the ecosystem depth in terms of usage, we think that positioning the platform to generate significantly higher lifetime value per merchant over time will be the right metrics for us to live with. And so I mean, it's less a position of our competitiveness in the industry and our efficiency and more about a strategic decision on getting to that scale and data density.

Now if you look at the EBITDA numbers, EBITDA is basically a percentage of net revenue. And so as net revenue has increased from, say, about INR140 crores to INR148 crores, that INR8.5 crores, the EBITDA percentage is a percentage of net revenue. And so certain expenses, of course, have been more efficient -- you know that we have redeployed quite a bit in terms of how we want to scale and build out this company. It does not apply to us. It will apply for every company.

There will be hiring freeze on many of the potential areas that can be automated using agents, a lot of manual tasks, reconciliations, onboarding, you would -- there will be -- and we believe that there is a significant shift happening even today because you would -- the kind of workforce that you would require in an AI-first framework is very different than what you would require in the past.

And so you will see a significant change in terms of just the workforce mix. And while some of the large companies, you've been hearing lately in the news that there is a change, we also have a significant opportunity to upgrade and change the kind of opportunities. So the position that we think about is that anything which is manual, which is task-driven, where you just have to keep on doing the same thing over and over again, those -- all those activities will be taken over by task agents, and we're deploying that across all of our companies.

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Second is the orchestration piece where you would want to -- once that task has been defined and identified and you need to actually create workflows, there will be orchestration agents. I think that also is somewhat completely automated going forward. The real trick over here is this decision agents that will perhaps drive decisions. And you will see that over a period of time, you will see many companies become super efficient and leaner.

So we think that, that's actually somewhat a margin expansion opportunity, but rather than thinking of it as reducing the workforce, and we would rather essentially upgrade the entire workforce and make sure that there's a natural transition to where we are versus where we would want to think of being. So you see some of that going on in terms of the overall size and scale of the opportunity. But yes, I mean, I think that from a take rate perspective, yes, since it's a percentage of the net revenue, that's why you see the percentages go in that direction, if that makes sense.

Amish Kanani: Sure, sir. And sir, about upgrading the guidance, sir, if we do a required run rate for fourth quarter from the 9 months and to take the midpoint of the revised guidance, fourth quarter, we are quite conservative here. So the question one, I understand seasonally, third quarter is the best one. But even if I take the midpoint of our guidance and subtract the 3 quarters, then the run rate for even EBITDA and PAT is not even matching the second quarter, which is a normalized quarter. So the question is, one, are we conservative here? And should we optimistically at least assume that we should be hopefully on the higher side of the guidance? Or is there some seasonality which we have to keep in mind -- model our projection?

Vishal Mehta: Yes. I think the midpoint of that guidance range would, of course, be achievable in our opinion. And we have been appropriately conservative. We would like to -- if we are doing -- and if we find that we are doing better and larger, which is reasonable to also assume we'll be investing more in branding, marketing and some of the other activities. So it's reasonable to assume that we'll end up somewhere in the midpoint.

Moderator: Next question is from the line of Kenil Mehta from Omkara Capital Private Limited. Please go ahead. Kenil, may I request you to unmute your line and proceed with your question, please? The line for the participant dropped. Ladies and gentlemen, due to time constraint, that will be the last question. I now hand the conference over to the management for closing comments.

Vishal Mehta: Thank you all for joining our third quarter earnings call, and we look forward to keeping in touch and looking forward to building out a terrific strategy and a moat going forward using a lot of AI frameworks. So we will keep in touch and keep you updated. Thank you.

Moderator: Thank you very much. On behalf of Go India Advisors, that concludes this conference. Thank

you for joining us, and you may now disconnect your lines. Thank you.
Vishwas Patel: Thank you.

Call: Jun 2026

AvenuesAI Limited

(Formerly known as Infibeam Avenues Limited)

Regd. Office: 28th Floor, GIFT Two Building, Block No. 56, Road-5C, Zone-5, GIFT CITY,

Gandhinagar – 382 050, Gujarat, India CIN: L64203GJ2010PLC061366

Tel: +91 79 67772204 | Fax: +91 79 67772205 | Email: ir@avenuesai.com | Website: www.avenuesai.com June 02, 2026

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Fort,

Mumbai - 400 001

Company Code No.: 539807 National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (East),

Mumbai - 400 051

Company Symbol: CCAVENUE

Dear Sir/ Madam,

Sub: Transcript of Earnings Conference Call for the quarter and year ended March 31, 2026

In compliance with SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Invest or/ Analyst conference call on financial performance of the Company for the quarter and year ended March 31, 2026 conducted on Friday, May 29, 2026, after the meeting of Board of Directors, for your information and records.

This transcript is also available on the website of the Company i.e. www.avenuesai.com .

We request you to kindly take the same on your records.

Thanking you,

Yours faithfully, For AvenuesAI Limited

(Formerly known as Infibeam Avenues Limited)

Shyamal Trivedi Sr. Vice President & Company Secretary

Encl.: As above

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"AvenuesAI Limited

Q4 & FY26 Earnings Conference Call"

May 29, 2026

MANAGEMENT : M R. VISHAL MEHTA – CHAIRMAN AND MANAGING
DIRECTOR – AVENUES AI LIMITED

MR. VISHWAS PATEL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER –AVENUES AI LIMITED

MR. SUNIL BHAGAT – CHIEF FINANCIAL OFFICER –
AVENUES AI LIMITED

MR. B. RAVI – INDEPENDENT CONSULTANT -
CORPORATE AND FINANCIAL STRATEGY

MODERATOR : M R. RAJAT GUPTA – GO INDIA ADVISORS

AvenuesAI Limited

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Moderator: Ladies and gentlemen, good day and welcome to AvenuesAI Limited Q4 & FY26 Earning Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rajat Gupta from Go India Advisors. Thank you, and over to you, sir.

Rajat Gupta: Yes. Thank you, Danish. Good evening, everyone and welcome to AvenuesAI Limited Earnings call to discuss the Q4 and FY26 results. We have on the call with us today Mr. Vishal Mehta, Chairman and Managing Director; Mr. Vishwas Patel, Managing Director and Chief Executive Officer; and Mr. Sunil Bhagat, Chief Financial Officer. Also joining us on the call today is Mr. B. Ravi, who is advising AvenuesAI on corporate and financial strategy as an independent consultant.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be viewed in consumption with the risk that the company faces. I now request Mr. Vishal Mehta to take us through the company's business outlook and financial highlights, subsequent to which we'll open the floor for Q&A. Thank you, and over to you, sir.

Vishal Mehta: Thank you, Rajat. Good evening, everyone, and thank you for joining us today. FY '26 has been one of the most important strategic years in the evolution of AvenuesAI. This year was not simply about financial growth. It was about convergence of multiple strategic building blocks that we've been assembling over the last several years., payments infrastructure, merchant ecosystems, consumer platforms.

AI capabilities, the regulatory infrastructure that we operate in and international expansion.

What we are building today is fundamentally different from a traditional payment gateway business. AvenuesAI is evolving into an AI-first financial infrastructure and transaction intelligence platform.

We believe, historically, Fintech businesses were largely valued on transaction processing scale.

And we believe the next decade going forward of value creation will increasingly come from ownership of transaction intelligence, merchant workflows, AI-led automation, embedded finance and intelligent financial ecosystems sitting on top of transaction infrastructure. That is the strategic direction in which we are moving.

Today, our ecosystem spans enterprise merchant acquiring, consumer engagement platforms, AI orchestration layers, regulatory infrastructure, cross-border capabilities, embedded finance opportunities and increasingly intelligent systems. Importantly, these are no longer stand-alone businesses operating independently. They are now beginning to reinforce one another structurally.

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Our payment infrastructure through CCAvenue gives us access to a large and diversified merchant ecosystem across enterprise merchants, SMEs, education, travel, telecom, government and digital commerce. Our consumer ecosystem through Rediff, RediffOne and RediffPay gives us a direct engagement layer with users.

Our AI platforms include our recently announced participation with IAIRO, which is India AI Research Organization, and buildup of CommerceAI, PayCentral, agent frameworks. We are building agent frameworks and intelligent layers across transaction routing, merchant operations, fraud management, reconciliation, compliance, automation and customer engagement. When these layers begin integrating together, the platform significantly becomes more powerful than the sum of individual businesses. We believe this creates a compounding ecosystem advantage. The more transaction

as we process, the more intelligent the platform accumulates.

The more intelligent the platform accumulates, the better the automation, risk optimization, merchant monetization and operating leverage that becomes out of it. And the more embedded the ecosystem becomes, the stronger the long-term defensibility of the platform. One of our major strategic priorities going forward is embedded finance and lending.

We believe lending is undergoing a structural transformation globally. Traditional lending models were balance sheet driven and institution-centric. The future, in our view, will increasingly become transaction-driven, AI-assisted, ecosystem embedded and asset-light. Our approach is not to become a large balance sheet lender ourselves.

Instead, we are building an intelligent lending orchestration and distribution ecosystem leveraging payments, merchant data, transaction intelligence and AI-led underwriting capabilities. Because of our merchant network payment infrastructure and transaction

intelligence capabilities, we believe AvenuesAI is uniquely positioned to participate in this opportunity through an asset-light lending architecture.

We see significant opportunities in merchant financing, checkout financing, working capital solutions, consumer financing, AI-assisted underwriting, transaction intelligence-based credit frameworks and ecosystem-led financial distribution. Our strategic investments and partnerships are being designed specifically to reinforce this direction.

The proposed strategic investment that we announced today in Online PSB Loans is important because it potentially connects us to one of India's most important digital lending infrastructure backed by major financial institutions. Similarly, our investment thesis initiatives in NBFC companies starting with Ratnaafin further strengthens our ability to participate in lending distribution, credit intelligence and financial product ecosystems without necessarily taking disproportionate balance sheet risk ourselves.

We believe the combination of merchant transaction data, AI-led intelligence, lending partnerships, regulatory infra and ecosystem distribution creates a highly scalable and capital-efficient opportunity over the long term. Importantly, this also aligns with where global Fintech

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models are evolving toward embedded finance platforms that monetize intelligence, distribution and transaction ecosystems rather than pure balance sheet deployment.

Another major strategic focus area for us is artificial intelligence. We are not approaching AI as a superficial productivity tool alone. We are embedding intelligence directly into the operating architecture of our platform. We believe AI will fundamentally shape commerce payments, all financial workflows, customer serving, service compliance, risk assessment, operations and practically even autonomous transaction execution.

Through our collaboration and participation in AI research and our broader AI infrastructure, we are positioning AvenuesAI for this transition towards AI-native commerce and Agentic financial ecosystems. We believe future commerce environments will increasingly involve machine-assisted and machine-executed workflows where AI agents participate in discovery payments, reconciliation, optimization and financial decisions.

This is still an early-stage opportunity globally. However, we believe our combination of transaction infrastructure, merchant relationships, AI orchestration and financial workflows gives us a very strong foundation to participate meaningfully in this evolution. International expansion is another strategic pillar for the company.

Over the past year, we continued expanding our global capabilities through Middle East and GIFT City infrastructure. Going forward, United States represents an important strategic focus area for us as a country. We believe cross

border commerce, global merchant acquiring international settlements and AI-native payment orchestration represents a large underpenetrated opportunity.

Our objective is not merely geographical expansion. Our objective is to build globally relevant infrastructure capabilities originating from India. We are also increasingly optimistic about our strategic importance of Rediff's ecosystem. Historically, Rediff was viewed primarily as an Internet media and communication platform.

We increasingly see it becoming a broader consumer engagement and financial participation layer. Over time, we intend to gradually expand RediffOne and Rediffpay into areas including payments, financial engagement, wealth, participation in brokerage, consumer commerce, intelligent communication systems and AI-led consumer ecosystems.

Importantly, we remain disciplined in how we build these businesses. Our strategy is not subsidiary-led growth. Our strategy is infrastructure-led, intelligence-led and ecosystem-led growth. We are focused on building durable long-term operating leverage rather than short-term expansion at cost of sustainability.

As we enter FY '27, we believe the company is moving into the next phase of its evolution. FY '26 was the year where the building blocks came together for us. FY '27, in our view, becomes a year where scale, intelligence, monetization, lending, AI orchestration, international expansion and ecosystem integration, they begin reinforcing one another more visibly.

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We remain extremely excited about the long-term opportunity add. Our vision is to build one of

the world's most important AI-first fintech infrastructure companies emerging from India. At this point, I will hand over the call to Vish was to talk about payments in CCAvenue. Vishwas, over to you.

Vishwas Patel: Thanks, Vishal, and good afternoon, everyone, on the call. India's payment ecosystem is entering a completely new phase of evolution. Over the last decade, the industry focused on digitalization of transactions. The next decade, in our view, will be about the intelligence layer on top of the payments, where payments become the starting point for commerce, engagement, credit, communication and financial decision-making.

At CCAvenue, we see payments evolving from being a transaction utility into a much larger merchant operating ecosystem powered by AI. Today, merchants are not only looking for payment acceptance. They're looking for customer acquisition, engagement, financing, automation, analytics and intelligence business tools, all integrated into a single digital ecosystem.

This is where we believe the future opportunity lies. Our vision to bring CCAvenue, RediffPay, Rediff and the broader AvenuesAI ecosystem into a unified AI-led commerce and financial infrastructure platform. CCAvenue brings one of India's largest merchant payment ecosystems with deep transaction relationship across enterprises, SMEs and digital businesses.

Rediff brings communication, engagement and consumer reach capabilities. RediffPay sits on a Fintech and payment infrastructure stack. Together, these platforms create a powerful ecosystem that can enable merchants to not only process payments but also grow, engage customers and access financial products and operate more intelligently.

Artificial intelligence will play a foundational role in this transformation. We are building AI-led capabilities across merchant servicing, fraud management, customer engagement, predictive analytics, workflow automation and embedded finance. We believe AI can help merchants better understand customer behaviour, optimize collections, improve conversion leads and access more customized financial solutions.

But the largest opportunity we see is embedded finance and merchant lending. To our liability-light strategy, we aim to work alongside regulated NBFC's partners, as AvenuesAI focuses

on

merchant distribution, AI-led analytics, orchestration and engagement infrastructure. Our merchant ecosystem, combined with the transaction intelligence and AI frameworks, can help create smarter working capital and business financing solutions integrated directly into the merchant's workflows.

Importantly, our strategy remains asset-light and scalable. We are not looking to become a traditional balance sheet lender. Instead, we aim to build the digital intelligence and distribution infrastructure layer that powers the next generation of financial services. FY '27 will therefore be a year of ecosystem integration, AI deployment and deeper merchant monetization across payments, communications and embedded financial services.

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Our strategic investments and partnership with platforms like OPL and Ratnaafin Capital align closely with this long-term vision. These partnerships enable us to combine regulated lending infrastructure and underwriting capabilities with AvenuesAI's merchant ecosystem, payment infrastructure, AI frameworks, enterprise communication capabilities and distribution reach to accelerate embedded finance and intelligent merchant lending opportunities across India's digital economy.

We believe the convergence of payments, AI, commerce and financial infrastructure will define the next era of India's digital economy, and our company, AvenuesAI, is positioning itself to participate meaningfully in that transformation. Thank you, and over to you, Sunil Bhagat.

Sunil Bhagat: Thank you, Vishwas sir. Good evening, everyone. FY '26 was a strong year for AvenuesAI from both a growth and execution perspective. We delivered our highest ever annual revenue while continuing to maintain profitability and disciplined operating performance. On a consolidated basis, revenue from operations for financial year '26 increased to INR8,116 crores compared to INR3,923 crores in FY '25, representing strong year-on-year growth of 103%.

Our net revenue on a consolidated basis for FY '26 increased 15% year-over-year to INR603 crores as compared to INR526 crores in FY '25. Our consolidated profit after tax for FY '26 increased 58% year-on-year to INR332 crores as against INR209 crores in FY '25. Overall, the

full year performance reflects continued scaling of our transaction infrastructure business, improving ecosystem monetization and healthy operating leverage across the platform.

Coming to quarter 4 of FY '26. Our revenue from operations stood at INR2,490 crores, reflecting strong growth of 115% year-on-year and 5% sequential growth. Our quarter 4 net revenue grew 11% year-on-year to INR149 crores. Our quarterly adjusted PAT grew strongly by 90% year-on-year to INR95 crores.

The quarterly and annual performance was driven by continued growth in transaction processing volumes, expansion in enterprise merchant relationships, strong traction across digital commerce ecosystems, international business momentum and increasing operating leverage across the platforms. Importantly, we achieved this while continuing to invest in AI infrastructure, regulatory capabilities, international expansion and ecosystem integration.

As discussed earlier, our focus remains on building long-term ecosystem value rather than optimizing for short-term take rates. As transaction scale increases, we are seeing improving operating leverage through automation, AI-led efficiencies, better payment routing, fraud optimization and deeper merchant monetization opportunities.

Another important strategic area for us is embedded finance and lending. Our approach remains asset-light and ecosystem oriented. We are leveraging transaction intelligence, merchant data and AI-led underwriting capabilities to participate in lending opportunities without building a balance sheet heavy lending model.

Our strategic initiatives involving Online PSB Loans and investments in pl

atforms such as

Ratnaafin reinforce this direction and strengthen our positioning within embedded finance and

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lending ecosystems. As we move into FY '27, our priorities remain focused on profitable growth, AI-led automation, ecosystem monetization, international expansion, operating leverage and disciplined capital allocation. We believe the company is entering a phase where scale, intelligence and monetization can increasingly compound together over time. Thank you. And

we'll now open the floor for questions and answers.

Moderator: Thank you so much, sir. Ladies and gentlemen, we will now begin with a question and answer session. Our first question comes from the line of Rahul Jain with Dolat Capital.

Rahul Jain: Yes, I would just like to understand what are the top three use cases that is driving extraordinary TPV growth for us within the payment business. And secondly, on the lending side, if you could further clarify what is the level of exposure we would like to go on the balance sheet side. Is it identified in terms of capital allocation or initially, it would be all about distribution to begin with?

Vishal Mehta: So Rahul, I'll take the second question first. We are not going to put our balance sheet for lending.

The strategy that we've applied is that we will work with NBFC companies to be able to open up our ecosystem, and that strategy will continue to percolate. What we will do selectively is to invest minority stakes in more than one NBFC.

You may have heard earlier in the call, Ratnaafin is the first one that we've opened up, where we've taken up, up to 2.5%. And the idea here is that we are able to connect our ecosystem very tightly with such NBFCs where we have some minority investments, and we would allow the NBFCs to continue opening up the lending opportunities to our merchant and merchant ecosystem and consumer ecosystems.

And we will work with them in building products and opportunities to be able to take advantage of. So to your question, our investment thesis in some of these NBFCs is that we want to pick up certain NBFCs with a few thousand crores of AUM, which have a good operating history, which have scale, which are next generation and well-run management. And we would work with them in terms of building such bridges, products and opportunities. So does that answer your question?

Rahul Jain: Yes. This part is clear.

Vishal Mehta: Yes. As far as the payment is concerned, Vishwas will take that. Vishwas, you want to go ahead?

Vishwas Patel: Yes, yes. So overall, Rahul, there has been a good merchant wins that we have had in this last Q4 quarter, which has translated into good growth of TPV. So overall merchant traffic across thousands of our merchants were growing and also a lot of big wins that is there. So in India, specifically on the utility, government payments, B2B payments, everything was growing very well. So hence, that relates into the transforming into the higher TPV numbers.

Rahul Jain: Yes. So basically, Vishwas, what I was trying to understand, if I look at the industry growth, this growth look pretty phenomenal. So there must be something that is driving this kind of a traction.

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So is there something which we have identified as a gap or area where we are seeing this momentum?

Vishwas Patel: Yes. I think a lot of customization has come into play. Payments, you put up a platform layer over a payments layer, so it becomes a big hook for bigger merchants to stay on and increase volumes. So it makes it easier for them to go online. So multiple form, like we launched our own form builder, which corresponds then to a lot of education institutions, a lot of small merchants, a lot of event merchants and everything. So more than 5,000 merchants were onboarded on the form builder in less than a month. So a lot of growth on the platform. I

it's just another vanilla payment gateway. So it's a platform plus payments play that has come. Like for the hospitality industry, now we're scaling up to more than 3,000 hotels, where we're building the entire central reservation system along with the payment gateway built in. So the workflows which connects to the global distribution systems, to their own property management systems. Like we are certified with Opera systems or Micros-Fidelio, which is used by almost all the 5-stars and some of the bigger 4-star chains. So it makes them easier because everything is automated end to end. When reservation comes in through, say, any OTA like Booking.com or Expedia or MakeMyTrip, it gets automated systems and payments are collected automatically. So those workloads customization is where we are winning, putting a platform with a payments play. That's where the real growth for us is coming.

Vishal Mehta: To add to what Vishwas said, I mean we've been very focused in terms of merchants who have signed up with us but who have -- normally, you know that merchants will be using multiple payment options- payment gateway options. And we have been very consciously going after the merchants to move processing volumes to us. It comes at a cost, but I think it's one worth making. So growth is supported by additional merchants as well as increasing share of the existing merchants that process from us. Rahul Jain: Sure. That's pretty helpful and good to know. Lastly, from my side, on the profitability side, last year, we did extremely well on the TPV and revenue side, and our run rate seems much stronger now. Any -- and I'm assuming we are investing in so many areas, which has caused FY '26 profitability to be where it was. But from a going forward perspective, do you think some of the operating leverage might start playing out in FY '27? Or you think for now, we will stay in a similar profitability band and the acceleration on that pipe would come much later?

Vishal Mehta: So you're right. Quite a few of other costs are front loaded, specifically some of the investments that we're making in the AI setup and also, the opportunities that are there in front of us. So the costs are front loaded. But I think that in pockets, we are seeing the operating leverage kicking in with scale.

And we also think that the productivity that we are getting through this optimization and productivity gains from AI are also not insignificant in some ways. So we think that's adding up

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to what we think this year will look like. I think, I mean, it's reasonable to assume that it will -- the profitability, we don't see a hockey stick in FY '27 in profitability. We'll work very hard in terms of ensuring that we are able to get our take rates better, and that will require quite a bit of work and optimization. And we want to continue building up from where we left off in '26. And we will also invest in the Rediff ecosystem, as you are aware, which is a very large opportunity that we believe is in front of us. So I think that it's reasonable to assume that it will be similar to what we have seen in the past years FY '27 should be. But we'll give guidance in the first quarter call for the full year.

Moderator: Our next question comes from the line of Amish Kanani from Knowise Investment Manager.

Amish Kanani: Congrats on a decent performance. Sir, while we have grown in payment side, if one looks at the segment, I think your e-commerce platform is kind of degrowing. So one, can you explain why this is happening because that's a high-margin business for us. And in that context, we have noted that Rediff had filed for a confidential DRHP, but whatever you can share in terms of their financial and/or plans for the year any timelines that we should look for in quarter where we probably have planned an IPO, that will be helpful?

Vishal Mehta: Sure. So glad that you've

seen, you're right, the platform business is slightly flat to slightly higher. So I think that overall we have not seen big growth in that business. If you look at full year, and I'm not talking about the quarterly. Quarterly, you'll have some changes, of course, as you go through. But the full year numbers in the segment there, you'll see that they are somewhat flat to slightly higher. I think that as we build out -- and fortunately for us, with the AI-first approach in terms of building out reworks, you will see a lot more activities on the platform side in FY '27. And what Vishwas said is also true, which is we'll combine the platform and the payments more,

which actually increases quite a bit of our stickiness.

We think a lot of secrets sauce lies in that. So you'll see some amount of growth in that business that comes from the combination of building out a suite of new products and also opening up our existing framework internationally. We think international is a fairly large opportunity in the platform space.

And given the currency rates and so on and so forth fluctuations, we believe that international focus will be a big area to look at going forward. So that's as far as the platform business is concerned. You have questions around Rediff, yes, we have filed a confidential DRHP. Given the regulatory compliances, we are not able to share anything additional at this time.

But what we will do is we'll keep everyone updated in terms of where we stand. I think that there's -- I mean, great if I can tell you, Rediff has got a lot of consumer interactions going, not just merchant interactions. And given the macroeconomics of data, data privacy and sovereignty of data, there's a lot of incentives for very large institutions and merchants to move to a sovereign stack.

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And I think that, that's where we are seeing a lot of movement at this time happening. Last year, we were just focused on moving these merchants and large merchants and institutions on to our framework. But we believe that it becomes a very large opportunity in '27 and '28 to build up upon because that's where we can offer a lot more services to the existing merchants.

And then we are also working on RediffPay, which is a consumer-facing UPI app. It's actually live and in production. And given the recent launches and also the number of transactions and being able to ensure that we are stabilizing and then scaling it up, the team has been working on it. But you can try it out. And you'll hear a lot more about those kinds of activities which are consumer-facing in the coming weeks.

Amish Kanani: Sure, sir. And sir, any new launches that Rediff has done and what kind of investments we'll be making this year which may kind of probably affect our overall margins? Or are we going to keep our overall console margin in mind while kind of calibrating the investments that Rediff might make?

Also one -- Given the IPO money that they may receive and the investment that they may make, should we worry about our consolidated margin getting affected? That's one. And overall, any sense of the capex guidance One, we have made some investments in NBFCs. So including those types of investment, the capex guidance recorded, if at all you can share with us across investments in NBFCs, overall capex guidance on the infrastructure that we're building and the Rediff but Rediff was a platform might make for the year?

Vishal Mehta: We see pockets where we see expansion in margins that we will also incur capex. We are in the payment gateway business is somewhat -- there is margin pressure. So I think a combination of that is, of course, playing out. But yes, we believe the margins should continue. I mean, in terms of consolidated basis, we should continue seeing similar numbers or maybe slightly higher, which will guide you at the end of first quarter.

But yes, in terms of the capex

x, we have certain guidelines and policies that we are not able to share a lot of information about, specifics on Rediff. What I can tell you is that Rediff should see -- Rediff is going to be, given the platform framework as part of Rediff and also growth is there, today, most of the business is B2B, which is being able to offer feedbacks and platforms to companies. But given the opportunity with RediffPay and also embedded...

Amish Kanani: Hello?

Moderator: I think there is some other background noise. You may go ahead.

Vishwas Patel: I think we lost Vishal. But just continuing on that, yes, a lot of long-term growth will be there in Rediff. As and when the time will -- we are there at the IPO level, we will give out more details.

Amish Kanani: Sure, sir. And one last suggestion, sir, whenever it's possible, if you can share Rediff's line items separately even at a very broad level, say, revenue and EBITDA. That will help because, going forward, maybe there will be an SOPP kind of valuation, which might emerge if and when we get Rediff listed. So some scratch bare detail on Rediff will really be helpful?

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Vishal Mehta: Absolutely. Thanks.

Moderator: Next question comes from the line of [Shrinagesh Burugucherla from Shubh Capital 0:35:22]. Please go ahead.

Shrinagesh B.: Congratulations for the good numbers. I have only one question. How much of the current

transaction routing through the AI-assisted versus rule-engine based?

Vishal Mehta: So I mean, if you come to think of it, AI is in all facets of transaction processing. So in other words, what we do is traditionally, I mean, if you -- I'm assuming your question is around how much is automated in fraud checks using AI and AI frameworks compared to humans or rule-based engines.

Shrinagesh B.: Yes.

Vishal Mehta: And so I think that fortunately for us, with two-factor authentication in India, that the fraud rates are pretty low. And we think that this AI-based frameworks have been evolving. We've been checking and building up. But I think not just -- I can tell you for sure that practically in all different areas of payments, we are using AI. So in one way, we can say that all of our transactions will have some component of AI-based checks and validations that are happening across the company. I mean, I could say all of the transactions, but if that makes sense.

Moderator: Next question comes from the line of Sanjay Malik with Champion Enterprises. Please go ahead.

Sanjay Malik: Can you hear me? Hello?

Moderator: Yes, we can hear you. Please go ahead.

Sanjay Malik: Yes. So I have two questions. One of them is linked to the question just now asked of you. In fact, I just become a small shareholder, but I'm more keen to understand how AI will manifest. And from the outside, the best way to understand that is to see the sort of metrics. Personally speaking, today, someone might see CCAvenue as a payment company that talks about AI. But from an investor standpoint, I think it's important that AI is already becoming a measurable revenue-generating business line. And for that, there are a number of areas, and this is more of an observation, you don't need to sort of answer the question. It's more of an observation, but please feel free to sort of comment on it.

So if there was some sort of AI revenue disclosure in terms of merchant adoption, revenue per merchant, how much of your processes, the queries, the fraud, the recommendations, the underwriting decisions, the fraud management that you talked about, so many metrics which are AI-related partially or entirely. If there can be a slide or two that gives us that kind of confidence on how you are tracking on AI.

I think then you can call yourself an AI company and not a payments company talking about AI.

I think you're going there but I'm not able to fully grasp it. So that was the first part. And the second part also is somewhat

that connected. And I've been a banker for many years and have seen

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a lot of banks, payment banks, Fintechs completely come undone either because they clouded the regulatory license or they have not kept pace with technology.

You see what Mythos is showing up in so many banks. You see what Andromeda is doing to someone like all the pop-ups and the cookies. So everything is changing so quickly. It's very important to understand how you're managing your risk and whether there can be some sort of risk management slide. Because, to me, apart from AI, the only other key issue in the company's operating risk. And if something goes wrong where you don't get a certain chance, especially not from the regulators or someone who's trying to hack our system. So I'm very keen to understand if you have any comments on these two observations. And I think other than that, you have a very interesting trajectory going forward?

Vishal Mehta: No, thanks, and also thanks for the question. It's something that we think about all the time. So the -- we always think that in some ways, pretty much what you said, the best metrics to track are the ones that clearly show improvements and efficiency, scale, merchant experience, risk management and somewhat monetization at the end.

But the things that internally we would want to track in some ways, are things like the payment success rates driven by intelligent routing using AI, some reduction in transaction failures and, in some ways, the way you would want to get productivity through onboarding turnaround times and increase the cross-sell across the ecosystem products.

And when we think about risk and fraud, you would want to think about internally, you look at things which are like the detection times, the response times and the transactions monitored through the AI alert systems in and so on and so forth. And in terms of efficiencies, we look at all the way from customer service, support resolution times to the reconciliation settlement turnaround time and all these manual lower loads and operating overloads.

But pretty much the answer on the question which was asked earlier which is what percentage of the workflows are automated using AI systems and this productivity gains, so the key, we think, in terms of the opportunity, and this is how we think in our mental model is also evolving because it's a moving target. But we think that we need to think of this opportunity of AI not just as a technology productivity gain or an experiment but as a driver for efficiency, risk management and long-term operating leverage. And I mean, that's how we look into this, at least. And so far, we think that yes, it's

just not a separate initiative.

It is increasingly becoming embedded all across our platforms and leveraging AI across product management and analytics and customer servicing and transaction routing and all the lending-related risk assessment that we plan to do going forward to enhance both scalability and somewhat the margin expansion going forward.

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So I mean that's how our approach is, not just simply deploy AI on a standalone feature, but to integrate it as a layer across our payments, commerce and financial services to build somewhat an efficient platform over time. So this has been our thought process. So far, your point about actually specifically talking about AI as separate line item, given that we are not just a services company, we're more of a product company.

Historically, we've seen services companies segregate the revenues on AI and non-AI. If you -- and yes, there are some cloud service providers who do that in terms of the large ones including Microsoft and others or data center providers. We're somewhat embedding AI into all different aspects of what we do. And so as a result, we think that just embedding AI across all these multi

ple layers of our organization with a focus on sort of the key areas that we need to leverage is perhaps the way we need to think about it. We do have specific AI revenue as well, which from a size of the P&L is not material, but we think that there's a lot more potential in that. And as and when it becomes large enough that we'd want to talk about it, and you'll hear more and more of that in this year from us. But I think that's how we think about it. To your points about how we would want to manage the risk and so on and so forth, and you mentioned my Mythos and a few other security vulnerability issues and so on and so forth, keeps us up all the time.

We don't know too much about that because the new frameworks are coming up by the day. I mean, I think only a handful of companies have access to such large frameworks but given the amount of scrutiny and so on and so forth that come along with it. But I think that will evolve. We'll have to learn. I mean, much like us, even banks will have to build up on that. And I think that a lot of things are new in that space.

But there are good, great compliance standards in place even today, that much I can tell you. And I think that this exposure that comes in is about a small vulnerability in a piece of software, which was not patched, which was not even known, that risk is now becoming significantly more and something that we have to keep on reviewing and looking at.

And we also have a lot of compliances on data, data security and DPDP and many others. So I think a proper framework in terms of looking at it is very important. And more at a capex level, we look at three things, which is in the world of AI, genuinely, we think there's only compute, algos and data, at the end, abstracted out to these three.

And so we think that we don't have a very large role to play in compute because we're not a chip design firm in we don't manufacture chips and we are not going that route. So we just think that we have to work on algos and data. And that's where we are at, at the moment and apply it within our embedded ecosystem. So I know it's a long answer, but hopefully in the coming quarters, we'll be able to specifically when we gain significant traction, not just from our embedding of AI within our ecosystem, but also direct revenues coming from certain products that we have built out in AI that potentially

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have a lot more interesting use cases, which we believe there are, that we'll be able to share that as well going forward.

Sanjay Malik: Only recommendation is if at all, whatever fabric of your organization and which have a process front, middle or back end, to the extent possible, you can disclose what part of that is AI, that will really help people understand where you are in that AI journey?

Vishal Mehta: That's a good suggestion. We'll take that up.

Moderator: Our next question comes from the line of Anita Bajaj from SK Advisors.

Anita Bajaj: Also many congratulations for a great set of numbers. So first, I wanted to understand that as AI agents increasingly execute commerce autonomously, does the control point of the ecosystem shift away from merchants towards orchestration platforms like AvenuesAI?

Vishal Mehta: I think it's a slightly loaded question. But the way I think we need to think about agents is that the agents and who is custodian of that agent. So in a classical way, what you do is intent and

execution, there are two separate things. And we as a company will provide a framework for someone to build an agent, and then there are guardrails around that agent.

And then there's control mechanisms to an extent of a kill switch, which has been given to the custodian of the agent. The important part is that much like -- you can imagine that, I mean, what the agent would need to execute will always be in the control of the merchant within the merchant ecosystem.

But if

AvenuesAI here is providing the agent for the merchant to do certain tasks and activities

at the back end, technically, we are an infra provider. But the control mechanism of the merchant will always be -- or the agent will always be with the merchant. But it gets slightly more gray area because we are also the custodian and we brought the framework to build the agents.

So I think a lot of this is slightly -- I mean, it's new to all. And we have bit of payment agents as well, just to let you know. So in other words, using the protocols which are out there that -- a classical example is a customer can go and say that I want to buy ticket from, say, Ahmedabad to Bombay.

And so there's a discovery agent on the side that will actually go discover the lowest cost and what it may be and give you that information. And then once the intent is given, the opportunity for the customer to give intent is always in the control of the customer. And I'm just using one use case to perhaps walk you through how we think through it.

But so the customer control is always with the customer. It is never with the agent because the intent comes from the customer. The agent is executing on that intent. And so I think from a customer perspective, we don't think that the agent can take over the customer intent at any given point in time because that would be huge risk, if you will. So that's one part.

Once the agent is able to go and discover and find the right set of search results, and if the customer wants to purchase a particular sector of tickets or whatever it may be, that intent goes

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into a command to execute. And that again comes from the customer. It can't be an agent which will just run the command itself.

But at that point, that execution will go from discovery agent to a payment agent. So there will be an agent to agent protocol transfer that happens. And that payment agent is actually going to go again to AvenuesAI's payment framework, whether it's through MCP, I mean, or it will go directly into executing that if the merchant is integrated using CCAvenue.

And once that happens, again, the two-factor authentication is still in the hands of the customer, which means that they can't execute -- or a payment agent cannot execute the command without the customer finally going and saying that, yes, I'm going to verify because a two-factor authentication is required.

And once it executes, it will again give it back to the site agent and the site agent gives the information back to the customer. So I think in some ways, we think the intent of the customer will always be safe. The intent of the merchant will be more around the amount of guardrails and the controls that you would want to set as a merchant on to your own agent.

And then there will be infra providers, in certain cases, us, who provide the agent framework for someone to create such agents and give the controls in the hands of the creator. And creator in this case would be a merchant or creator in this case could also be a software developer working for a merchant. And you will have pretty much all the guardrails and the metering and everything else on the agent that potentially also safeguards the interest of the person who controls the agent.

So I hope that makes sense. But I mean, we don't see the control moving to us.

Anita Bajaj: And my next question is that where do you believe the largest long-term profit pool will kind of emerge from? Will it be -- like is it payments, AI orchestration or lending software or transaction intelligence?

Vishal Mehta: I think transaction intelligence is an input into the profit pool. It's like the most important input in a profit pool. So if the output is profits, then the input is the transaction intelligence. And that's what we are after, which is -- and that becomes the monetization on merchant data distribution, credit automation, all the w

orkflows built on top of payments. So I mean, the biggest value creation is not much on MDR alone. It becomes -- in some ways we believe the intelligence and that's where we think the opportunity lies.

Anita Bajaj: Right. Okay. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Ayushi.

Ayushi: Sir, my first question is regarding XDuce. So we had acquired XDuce in 2024, acquired a 20% stake for \$10 million. So I wanted to ask about what is the status with respect to the company,

what is the turnover, where are we at. Because, yes, I expect an answer for that first and then I'll ask my follow-up question?

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Vishal Mehta: Yes. So we have not acquired. We've taken 20% in XDuce. The participation of XDuce comes up in the share of associates of the company. I think XDuce is based out of the United States. This year, as a company, we will want to expand international payments in United States also, and so we invested post all the regulatory RBI clearances.

But I think they don't show up directly in our balance sheet. They show up as a share of associates in our books. I think we have got a lot of opportunity because once we build out more infrastructure in the U.S., we will have more collaborative partnerships with companies we have invested in and become strategic in some ways for us going forward. So I hope that answers the question. But yes, there's -- I mean, the specifics around associated companies, of course, start discussing it out given our interest in the United States and how we'd like to grow there going forward.

Ayushi: Sir, I have two follow-up questions to that. Sir, actually, your answer doesn't give me a lot of confidence right now because when we acquired XDuce, the Board had stated two specific objectives. One was that we were embedding Phronetic AI into XDuce's framework, and then second was growing CCAvenue's U.S. payment business.

So since that investment, XDuce has made at least two significant capital deployments that are entirely unrelated to those objectives. And I think you would probably know about that more than I do. And sir, at that point also, you had to lead that our international revenue -- that the 30% target for international revenue was made in February 2024. Sir, as of now, also, we are not close to that number. So what do you expect us to believe? Even 5 years down the line, if you don't reach that number, we are just supposed to wait?

Vishal Mehta: No. So I think the way we think about this and thanks for bringing this up. So the way we think about the opportunity is that AI deployment, and you'll read a lot of reports, what the mental model was about 1.5 years, 2 years ago is very different than what the reality is today. So enterprise adoption of AI has been slow.

And if you read the recent news, you will also realize that companies like OpenAI, they have set up -- I mean, some of these investments, even as recent as last quarter, where they said that we will implement it for enterprises. Because, historically, you would have seen that companies which are into software development would actually go and say that we know how to implement and give productivity gains to you.

So let me help you implement AI within your organization. But you'll see a number of reports out there saying that the enterprise adoption of AI has been very, very slow. In many cases, many of them, they're even not very bullish about it. And the reason is nothing else. The reason is that enterprises have their own challenges.

And within those enterprises, unless there is a team that can come in, who provide end-to-end solutions, and OpenAI has been working with even companies like Accenture and there are reports that Accenture may be at risk given that OpenAI is getting into implementation. But the reason they want to get into a implementation is because it's slow.

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And so the mental model maybe two years ago was that, yes, large enterprises like Morgan Stanley, Goldman Sachs, all of them, they adopted AI, every nook and corner of it, and there won't be jobs and you'd be seeing reports on that. But no, it's changed. So yes, I think that as a company would make bold bets in terms of -- and we don't control the adoption as much as we'd like to.

But you'd want to make such bets in the years, it's worth it. It will stand the test of time. It's just not that there's some latency involved. So that's one. And so I think that in each company will want to do what they would think is appropriate in terms of their build out. So we can't comment on specific investments and what they'd like to do.

But what I can tell you is that, two things have happened. One is our focus last year has been on Middle East, in growth in Middle East and Saudi and some of the Middle Eastern countries because we thought that we had achieved a certain scale penetration and we should continue building up. And U.S. was there in the horizon, but it was not an important geography to focus on because we thought that Middle East was seeing a lot more traction. And where we think that we have

lighted a small fire, we pour gasoline on it until it becomes larger. This year, we will pick up U.S. because of the macroeconomic risk in Middle East.

And we are also seeing a lot more activities happening in the U.S. So to us, we don't think that -- yes, we were wrong in terms of thinking that AI adoption in such large financial enterprises will become much cleaner, faster, and companies can provide services to them who already have MSAs with large enterprises.

So to that extent, of course, we were wrong, that the rate of adoption for large enterprises have been slow. But on the other hand, we also believe that there is a lot more going on. And once there is an adoption that starts because the frameworks have also evolved, the cost of tokens has also been -- some people say it's higher, some people say it's lower, but that's also being optimized. We think that it stands the test of time.

I think it will work. It is just that it will take time to adopt, and maybe we were slightly ahead of our time in terms of our approach to apply AI. In fact, if you come to think of it, even other than productivity tools and coding and many others, enterprise adoption has been very slow. So I think that, that will always happen in a new technology. We think that that's -- it's a bet worth making. It's one that we won't get all our bets right in terms of timing. But it stands the test of time. It will work because we will...

Vishwas Patel: Yes. This is universal, not just specific to us, actually. So AI adoption is slow.

Vishal Mehta: Yes.

Ayushi: So sir, with XDuce, basically, they made one investment in a U.S. cybersecurity firm and the other investment in DEV Information Technologies, which is an Indian listed company. So I think they have spent around INR12 crores in that particular transaction. So the Infibeam Board

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would have probably given approval to XDuce to redeploy the money that you gave them, right?

So what does Infibeam still think about that? Be cause if they're not losing it according to your stated objectives. It is a concern for me as a shareholder?

Vishal Mehta: I think that's an incorrect statement. We don't participate in the Board of XDuce and we don't allocate the funds. They have their own control mechanism and they have their own opportunities that they want to explore. And just so that you know, they have been a profitable company. They make a few million dollars every year.

So I think I don't see any reason why we would want to, to control what specifically about how firms who derive most of the revenues out of the U.S. would perform and what they would work upon going forward, What I can tell y

ou is that, yes, we think that whatever we want to build up and however we want to think about growing this position, that we have -- we think that there's a lot more opportunity going forward.

And I think that, that will specifically in two areas that we think because we don't have direct MSAs with large financial institutions who are based in the U.S. and New York. We don't have MSAs. And typically, an MSA could perhaps take you 6 to 12 months, maybe two years even, to sign a single MSA.

So we think that when the enterprise adoption of AI picks up and we are able to build out a lot more this year in FY '27, that we'll have more collaborations going forward. So I don't think that we would have much to say in terms of what some of those decisions on capital allocations happen at that point.

Moderator: Thank you, sir. Participant has left the queue. Ladies and gentlemen, with that, that was the last question. So today with that we conclude today's conference. I now hand the conference over to the management for the closing remarks. Thank you and over to you, team.

Vishal Mehta: Yes. So thanks all for joining our full year Investor Call and we look forward to keeping everyone updated on the progress. Have a good day.

Rajat Gupta: Thank you so much, sir. Ladies and gentlemen, on behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.